

Connecting the world's most dynamic markets

Half Year Report 2025



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Unless another currency is specified, the word 'dollar' or symbol '\$' in this document means US dollar and the word 'cent' or symbol 'c' means one-hundredth of one US dollar.

The information within Performance highlights to Capital review and Other supplementary information to Glossary is unreviewed.

Unless the context requires, within this document, 'China' refers to the People's Republic of China and, for the purposes of this document only, excludes Hong Kong Special Administrative Region (Hong Kong), Macau Special Administrative Region (Macau) and Taiwan. 'Korea' or 'South Korea' refers to the Republic of Korea.

Within the tables in this report, blank spaces indicate that the number is not disclosed, dashes indicate that the number is zero and nm stands for not meaningful. Standard Chartered PLC is incorporated in England and Wales with limited liability. Standard Chartered PLC is headquartered in London.

The Group's head office provides guidance on governance and regulatory standards. Standard Chartered PLC stock codes are: HKSE 02888 and LSE STAN.LN.

Standard Chartered PLC – Results for the first half and second quarter ended 30 June 2025

All figures are presented on an underlying basis and comparisons are made to 2024 on a reported currency basis, unless otherwise stated. A reconciliation of restructuring and other items excluded from underlying results is set out on page 24.

Bill Winters, Group Chief Executive, said:

“Our strong first-half performance reflects continued successful execution of our strategy, through our focus on cross-border and affluent banking. We delivered record net new money in the second quarter, alongside double-digit income growth in Wealth Solutions, Global Markets and Global Banking. Through our unique network across Asia, Africa and the Middle East, we offer our clients the means to navigate volatile external conditions. We’re performing well, while keeping a tight grip on costs, credit risk and capital. As a result, we delivered a 41 per cent increase in earnings per share in the first half and have announced a further buyback of \$1.3 billion.”

Selected information on Q2'25 financial performance with comparisons to Q2'24 unless otherwise stated

- Operating income of \$5.5bn up 14% at constant currency (ccy), up 15% at ccy excluding notable¹ items.
 - Excluding \$238m gain on the Solv India transaction with Jumbotail, income up 10% at ccy.
 - Net interest income (NII) was broadly flat at ccy at \$2.7bn.
 - Non NII up 31% at ccy to \$2.8bn, up 33% at ccy excluding notable items.
 - Wealth Solutions up 20% at ccy, with double-digit growth in both Investment Products and Bancassurance.
 - Global Markets up 47% at ccy, with strong performance in both flow and episodic income.
 - Global Banking up 12% at ccy, driven by higher origination and distribution volumes, and increased capital markets activity.
- Operating expenses up 3% at ccy to \$3bn, driven by targeted investments for business growth, and inflation, partly offset by efficiency saves.
- Credit impairment charge of \$117m; Wealth & Retail Banking (WRB) charge of \$153m up year-on-year albeit lower quarter-on-quarter due to reduction in some unsecured portfolios, partly offset by a \$44m release in Corporate & Investment Banking (CIB).
 - Loan-loss rate of 12 basis points (bps).
- Underlying profit before tax of \$2.4bn, up 34% at ccy; reported profit before tax of \$2.3bn, up 48% at ccy.
- Restructuring and other charges of \$123m include \$87m related to the Fit for Growth programme.
- Balance sheet remains strong, liquid and well diversified:
 - Loans and advances to customers of \$287bn up 2% since 31.03.25; up \$1bn on an underlying basis, after adjusting for foreign exchange (FX), and Treasury and Global Markets securities backed lending activities.
 - Customer deposits of \$517bn up 5% since 31.03.25; up 4% at ccy; growth in CIB and WRB CASA and Term Deposits in WRB.
- Risk-weighted assets (RWA) of \$260bn, up \$6bn since 31.03.25.
 - Credit risk RWA up \$7.1bn; driven by FX translation, asset growth and mix, a sovereign downgrade, partly offset by optimisation activities. Reduction in Market risk RWA of \$1bn.
- The Group remains strongly capitalised:
 - Common Equity Tier 1 (CET1) ratio 14.3% (31.03.25: 13.8%).
 - \$1.3bn share buyback starting imminently is expected to reduce CET1 ratio by approximately 50bps.
 - Interim ordinary dividend increased 37% to 12.3 cents per share (\$288m).
 - Tangible net asset value per share of \$16.80, up 119 cents quarter-on-quarter.
- Return on Tangible Equity (RoTE) of 19.7%, up 7%pts.

¹ Notable items relating to Ghana hyperinflation and revaluation of FX positions in Egypt

Selected information on H1'25 financial performance with comparisons to H1'24 unless otherwise stated

- Underlying earnings per share (EPS) increased 40.7 cents or 41% to 139.2 cents; reported EPS increased 45.8 cents or 55% to 129.1 cents.
- Operating income up 9% to \$10.9bn, up 10% at ccy; up 13% at ccy excluding notable items.
 - NII up 4% at ccy to \$5.5bn; non NII up 18% at ccy to \$5.4bn, up 25% at ccy excluding notable items.
 - Wealth Solutions up 24% at ccy, particularly strong growth in capital market products.
 - Global Banking up 14% at ccy driven by higher origination and distribution volumes.
 - Global Markets up 28% at ccy with episodic income up 50% and flow income up 19%.
- Operating expenses up 5% to \$6bn, up 4% at ccy.
- Credit impairment charge of \$336m, includes WRB charges \$332m.
- Underlying profit before tax of \$4.7bn, up 22% at ccy; reported profit before tax of \$4.4bn, up 30% at ccy.
- Tax charge of \$1.1bn; underlying effective tax rate of 23.7%.
- RoTE of 18.1%, up 4%pts.

Guidance

2025 and 2026 guidance:

- **Income:**
 - Operating income to increase 5–7% compound annual growth rate (CAGR) in 2023–2026 at ccy excluding the deposit insurance reclassification; tracking towards the upper end of the range
 - 2025 growth expected to be around the bottom of the 5–7% range at ccy excluding notable items
- **Expenses:**
 - Operating expenses to be below \$12.3bn¹ in 2026 at ccy, including the UK bank levy and the ongoing impact of the deposit insurance reclassification
 - Expense saves of around \$1.5bn and cost to achieve of no more than \$1.5bn from the Fit for Growth programme
 - Positive income-to-cost jaws in each year at ccy, excluding notable items
- **Assets and RWA:**
 - Low single-digit percentage growth in underlying loans and advances to customers and RWA
 - Basel 3.1 day-1 RWA impact expected to be close to neutral
 - Continue to expect the loan-loss rate to normalise towards the historical through-the-cycle 30 to 35bps range
- **Capital:**
 - Continue to operate dynamically within the full 13–14% CET1 ratio target range
 - Plan to return at least \$8bn to shareholders cumulative 2024–2026
 - Continue to increase full-year dividend per share over time
- **RoTE** approaching 13% in 2026 and to progress thereafter.

¹ Currently running at \$12.4 billion due to FX

Statement of results

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million	Change ¹ %
Underlying performance			
Operating income	10,899	9,958	9
Operating expenses	(5,965)	(5,673)	(5)
Credit impairment	(336)	(249)	(35)
Other impairment	(9)	(143)	94
Profit from associates and joint ventures	91	64	42
Profit before taxation	4,680	3,957	18
Profit attributable to ordinary shareholders ²	3,307	2,567	29
Return on ordinary shareholders' tangible equity (%)	18.1	14.0	410bps
Cost-to-income ratio (%)	54.7	57.0	230bps
Reported performance⁷			
Operating income	10,906	9,791	11
Operating expenses	(6,247)	(6,056)	(3)
Credit impairment	(336)	(240)	(40)
Goodwill and other impairment	(19)	(147)	87
Profit from associates and joint ventures	79	144	(45)
Profit before taxation	4,383	3,492	26
Taxation	(1,057)	(1,123)	6
Profit for the period	3,326	2,369	40
Profit attributable to parent company shareholders	3,309	2,378	39
Profit attributable to ordinary shareholders ²	3,065	2,169	41
Return on ordinary shareholders' tangible equity (%)	16.4	11.9	450bps
Cost-to-income ratio (%)	57.3	61.9	460bps
Net interest margin (%) (adjusted) ^{6,9}	2.05	1.98	7bps
	30.06.25 \$million	31.12.24 \$million	Change ¹ %
Balance sheet and capital			
Total assets	913,936	849,688	8
Total equity	54,670	51,284	7
Average tangible equity attributable to ordinary shareholders ²	37,676	36,876	2
Loans and advances to customers	286,731	281,032	2
Customer accounts	517,390	464,489	11
Risk-weighted assets	259,684	247,065	5
Total capital	53,281	53,091	–
Total capital ratio (%)	20.5	21.5	(97)bps
Common Equity Tier 1	37,260	35,190	6
Common Equity Tier 1 ratio (%)	14.3	14.2	11bps
Advances-to-deposits ratio (%) ³	51.0	53.3	(230)bps
Liquidity coverage ratio (%)	146	138	830bps
UK leverage ratio (%)	4.7	4.8	(11)bps
	30.06.25	30.06.24	Change ¹
Information per ordinary share⁸			
Earnings per share ⁴ – underlying (cents)	139.2	98.5	40.7
– reported (cents)	129.1	83.3	45.8
Net asset value per share ⁵ (cents)	1,941	1,683	258
Tangible net asset value per share ⁵ (cents)	1,680	1,444	236
Number of ordinary shares at period end (millions)	2,330	2,550	(9)

1 Variance is better/(worse) other than assets, liabilities and risk-weighted assets. Change is percentage points difference between two points rather than percentage change for total capital ratio (%), Common Equity Tier 1 ratio (%), net interest margin (%), advances-to-deposits ratio (%), liquidity coverage ratio (%), leverage ratio (%), cost-to-income ratio (%) and return on ordinary shareholders' tangible equity (%)

2 Profit/(loss) attributable to ordinary shareholders is after the deduction of dividends payable to the holders of non-cumulative redeemable preference shares and Additional Tier 1 securities classified as equity

3 When calculating this ratio, total loans and advances to customers excludes reverse repurchase agreements and other similar secured lending, excludes approved balances held with central banks, confirmed as repayable at the point of stress and includes loans and advances to customers held at fair value through profit and loss. Total customer accounts include customer accounts held at fair value through profit or loss

4 Represents the underlying or reported earnings divided by the basic weighted average number of shares. Results represent six months ended the reporting period

5 Calculated on period end net asset value, tangible net asset value and number of shares

6 Net interest margin is calculated as adjusted net interest income divided by average interest-earning assets, annualised

7 Reported performance/results within this interim financial report means amounts reported under UK-adopted International Accounting Standards and International Financial Reporting Standards

8 Change is cents difference between the two periods for earnings per share, net asset value per share and tangible net asset value per share. Number of ordinary shares at period end is percentage difference between the two periods

9 Net interest income has been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 to reflect the reclassification of funding cost mismatches to non NII

Group Chief Executive's review

Focused strategy, strong delivery

The continuing disciplined execution of our strategy is delivering strong financial results and improving shareholder returns. Income of \$10.9 billion was up 10 per cent year-on-year at constant currency with an underlying return on tangible equity of 18.1 per cent in the first half of the year.

Our strategic objectives are clear and continue to resonate with our clients and employees. We combine differentiated cross-border capabilities for corporate and institutional clients with leading wealth management expertise for affluent clients.

This focus on areas of greatest competitive advantage is yielding results, with double-digit income growth in Wealth Solutions, Global Markets and Global Banking in the first half of 2025. Our ambition is to outperform consistently in these areas, and we are seeing encouraging signs, including a record net new money in our affluent business, providing demonstrable progress towards our ambition to deliver \$200 billion of net new money from 2025 to 2029. In the broader Wealth & Retail Banking (WRB) business, we are reinforcing our position as a leading wealth manager across Asia, Africa and the Middle East. With a strong combination of product innovation, advisory expertise and digital capabilities, we are seeing continued momentum across our fast-growing and high-returning international affluent franchise. In Asia, we are now the number three wealth manager by assets under management.

Our deep-rooted and diversified global network gives us a unique ability to help our clients grow and protect their business and wealth across borders. In the first half of the year our cross-border income was up 9 per cent year-on-year excluding the impact of rates and we saw a 17 per cent increase in the intra-ASEAN corridor. Such capability is valuable in any environment, but at times of elevated global economic and geopolitical uncertainty, it provides a much-needed service to our client base.

Our footprint informs our perspective on the sustainability challenges and opportunities facing our clients and communities. This puts us in a strong position to direct capital to where it is needed most, and we remain committed to that goal. In the first half of 2025, our sustainable finance income grew 5 per cent year-on-year while sustainable finance issuances contracted across the broader market, and we are on track to achieve our target of at least \$1 billion by 2025. We have also mobilised \$136 billion in sustainable finance since 2021 towards our \$300 billion target by 2030, with notable transactions in the first half including our first-ever Social Bond ('Viñals Social Bond') of €1 billion, first Indonesia Just Energy Transition solar project, and a £2.5 billion landmark carbon capture transaction in the UK.

We will continue to invest in our strategy while exploring alternative and complementary business models to serve clients seeking non-traditional solutions. One such area is digital assets, which is a growing and increasingly integral part of financial services. As institutional demand builds and regulatory clarity improves, we are at the forefront; for example we are the only global systemically important bank to offer spot trading in Bitcoin and Ether. Through businesses in our Ventures portfolio like Zodia Custody and Zodia Markets, we are expanding our digital asset capabilities, bridging traditional finance with the evolving digital ecosystem and opening up new, future-facing opportunities. Clients choose us for the trust and credibility we bring as a regulated institution in a rapidly evolving space.

More broadly, SC Ventures will continue to advance a culture of innovation across the Group, by incubating and scaling new business models. We remain disciplined in how we manage the SC Ventures portfolio. This quarter, the Solv India transaction with Jumbotail, one of India's leading B2B marketplaces, reflects our focus on scaling ventures where we see the strongest strategic fit and long-term value creation. Also, our digital banks, Mox and Trust, are gaining traction with volume growth.

Executing with discipline and purpose

We have set ourselves clear and ambitious transformation goals that will structurally improve our profitability and help us to deliver our strategy at greater pace and scale. This is hard work, challenging us to raise the bar across the organisation. I am encouraged by the incremental progress we are making and continue to be impressed by the resilience and dedication our people bring to delivering these objectives.

Our new Group Chair, Maria Ramos, and I share a passion for developing people and promoting talent. There has always been a sense of pride running through the organisation – what our previous Group Chair, José Viñals, referred to as its 'soul'. What we now see and encourage is a renewed confidence, built on our consistent performance. This is critical in delivering our strategy, especially as we focus on developing creative, innovative solutions for our clients.

To build on this momentum, we will continue to hone a high-performance culture; one that complements who we are, further highlights our distinctiveness, and remains anchored in the purpose that our clients and partners value.

Returning value to shareholders

We remain committed to sharing our success with our shareholders and will continue to actively manage our capital position with this in mind. We are announcing a further share buyback programme of \$1.3 billion, to commence imminently. This new share buyback, and the interim dividend of \$288 million, brings our total shareholder returns announced since the full-year 2023 results to \$6.5 billion; well on our way to our target of at least \$8 billion through to the end of 2026.

A high-growth outlook across our footprint

Downside risks to the global economy persist amid elevated trade policy uncertainty and wider geopolitical change. We expect the 2025 global growth forecast to moderate slightly to 3.1 per cent from the 3.2 per cent projected in late 2024.

Growth in our footprint across Asia, Africa and the Middle East, is set to outpace global growth in 2025, with average growth of 4.9 per cent in Asia, 4.1 per cent in Africa and 3.4 per cent in Middle East, in contrast to an average of 1.3 per cent for major developed economies.

We are uniquely positioned to take advantage of growth opportunities that will continue to emerge from the markets in our footprint, generating value for our clients and the communities in which we operate. We remain committed to investing in our core capabilities serving our institutional clients' cross-border needs, with a particular focus on affluent clients in WRB.

Conclusion

As we look ahead, we do so with confidence, grounded in our focused strategy, the resilience, agility and diversity of our network, and the capabilities we continue to build.

Maintaining a strong financial performance and the return of a further \$1.3 billion to shareholders, demonstrates the strength of our franchise.

While the global environment remains complex and uncertain, our unique positioning in some of the world's most dynamic markets, combined with our disciplined execution, leaves us well placed to capture opportunities and help our clients navigate and capitalise on these conditions.

And as ever, it is the dedication of our people that enables us to serve our clients with conviction and generate sustainable, long-term value for our shareholders.

Thank you for your continued trust and support as we shape a bank that is not only fit for the future but also helping to build it.



Bill Winters
Group Chief Executive

31 July 2025

Group Chief Financial Officer's review

The Group delivered a strong performance in the first half of 2025

All commentary that follows is on an underlying basis and comparisons are made to the equivalent period in 2024 on a constant currency basis, unless otherwise stated. H1 2024 included items totalling \$258 million relating to gains on revaluation of FX positions in Egypt and a hyperinflationary accounting adjustment in Ghana (the notable items).

The Group delivered a strong performance in the first half of 2025 amidst an evolving macro and geopolitical environment. Operating income grew by 10 per cent to \$10.9 billion. Excluding the impact of the notable items, operating income was up 13 per cent. Underlying expenses increased 4 per cent driven by continued investment into business initiatives, resulting in positive income-to-cost jaws of 6 per cent. Credit impairment charges of \$336 million were equivalent to an annualised loan-loss rate of 19 basis points. This resulted in an underlying profit before tax of \$4.7 billion, up 22 per cent, and underlying earnings per share of 139 cents, up 41 per cent also benefitting from a reduction in share count.

The Group remains well capitalised and highly liquid with a diverse and stable deposit base. The liquidity coverage ratio of 146 per cent reflects disciplined asset and liability management. The Common Equity Tier 1 (CET1) ratio of 14.3 per cent remains above the target range, with profit accretion in the first half partly offset by shareholder distributions and growth in risk-weighted assets (RWA). This capital strength has enabled the Board to announce an interim ordinary dividend of 12.3 cents per share, up 3.3 cents or 37 per cent, and announce a further \$1.3 billion share buyback programme to commence imminently. This follows on from the \$1.5 billion share buyback commenced in February 2025.

Operating income of \$10.9 billion increased by 10 per cent or 13 per cent excluding the two notable items. The growth was driven by record performance in Wealth Solutions, strong pipeline execution in Global Banking and elevated client activity in Global Markets.

Net interest income (NII) increased 4 per cent, benefitting from improved mix and roll-off of legacy short-term hedges which was partly offset by the impact of lower interest rates and margin compression.

Non NII increased 18 per cent or 25 per cent excluding the notable items. This was driven by continued momentum in Wealth Solutions, strong performance in Global Banking and record Global Markets income, supported by a \$238 million gain from the Solv India transaction.

Operating expenses increased 4 per cent. This was largely driven by continued investments into business growth initiatives and inflation which were partly offset by efficiency savings. The Group generated 6 per cent positive income-to-cost jaws and the cost-to-income ratio improved 3 percentage points to 55 per cent.

Credit impairment was a charge of \$336 million, an increase of \$87 million. Wealth & Retail Banking charge of \$332 million increased \$65 million primarily from higher charge-offs in a few select markets. Corporate & Investment Banking impairments continued to be well managed with a net release of \$14 million. Ventures impairments were lower as delinquency rates continued to improve in Mox. The first half charge includes a non-linearity charge of \$34 million, reflecting an increased probability weighting for the two downside scenarios given the heightened uncertainty around trade tariffs.

Other impairment charge decreased by \$134 million to \$9 million due to the non-repeat of software asset write-offs.

Profit from associates and joint ventures increased by \$27 million reflecting higher profits at China Bohai Bank.

Restructuring, Fit For Growth, Debit Valuation Adjustment (DVA) and other items totalled \$297 million including \$160 million charge related to the Fit for Growth programme and \$137 million restructuring charges primarily relating to the simplification of technology platforms and losses relating to business and portfolio exits.

Taxation was \$1.1 billion on a reported basis, with an underlying effective tax rate of 23.7 per cent down from 30.1 per cent in the prior year reflecting changes in geographic mix of profits, lower level of non-deductible losses in the UK, lower non-tax-deductible costs and adjustments related to prior periods.

Underlying RoTE of 18.1 per cent increased 410 basis points due to higher profits and lower taxation partly offset by higher tangible equity. On a reported basis, RoTE increased 450 basis points to 16.4 per cent with growth in underlying profits and reduced charges relating to other items.

Underlying basic earnings per share (EPS) increased 41 cents or 41 per cent to 139.2 cents and reported increased 46 cents or 55 per cent to 129.1 cents reflecting both the increase in profits and reduction in share count following the execution of successive share buyback programmes.



Diego De Giorgi
Group Chief Financial Officer

31 July 2025

Summary of financial performance

	H1'25 \$million	H1'24 \$million	Change %	Constant currency change ¹ %	Q2'25 \$million	Q2'24 \$million	Change %	Constant currency change ¹ %	Q1'25 \$million	Change %	Constant currency change ¹ %
Underlying net interest income ²	5,499	5,350	3	4	2,703	2,694	–	–	2,796	(3)	(4)
Underlying non NII ²	5,400	4,608	17	18	2,806	2,112	33	31	2,594	8	8
Underlying operating income	10,899	9,958	9	10	5,509	4,806	15	14	5,390	2	2
Underlying operating expenses	(5,965)	(5,673)	(5)	(4)	(3,050)	(2,887)	(6)	(3)	(2,915)	(5)	(3)
Underlying operating profit before impairment and taxation	4,934	4,285	15	18	2,459	1,919	28	30	2,475	(1)	–
Credit impairment	(336)	(249)	(35)	(32)	(117)	(73)	(60)	(51)	(219)	47	48
Other impairment	(9)	(143)	94	94	(3)	(83)	96	97	(6)	50	50
Profit from associates and joint ventures	91	64	42	42	64	65	(2)	(8)	27	137	103
Underlying profit before taxation	4,680	3,957	18	22	2,403	1,828	31	34	2,277	6	7
Restructuring ⁵	(137)	(64)	(114)	(144)	(40)	(19)	(111)	(105)	(97)	59	55
FFG ⁵	(160)	(86)	(86)	(86)	(87)	(76)	(14)	(14)	(73)	(19)	(19)
DVA	5	(26)	119	123	9	22	(59)	(52)	(4)	nm	nm
Other items	(5)	(289)	98	98	(5)	(177)	97	97	–	nm	nm
Reported profit before taxation	4,383	3,492	26	30	2,280	1,578	44	48	2,103	8	10
Taxation	(1,057)	(1,123)	6	3	(546)	(604)	10	9	(511)	(7)	(6)
Profit for the period	3,326	2,369	40	45	1,734	974	78	83	1,592	9	11
Net interest margin (%) ^{3,4}	2.05	1.98	7		1.98	2.03	(5)		2.12	(14)	
Underlying return on tangible equity (%) ⁴	18.1	14.0	410bps		19.7	12.9	680bps		16.4	330bps	
Underlying earnings per share (cents)	139.2	98.5	41		76.6	45.5	68		62.7	22	

1 Comparisons presented on the basis of the current period's transactional currency rate, ensuring like-for-like currency rates between the two periods

2 Underlying Net Interest Income (NII) has been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 to reflect the reclassification of funding cost mismatches to underlying non NII

3 Net interest margin has been restated due to the revision of underlying net interest income as outlined in footnote 2

4 Change is the basis points (bps) difference between the two periods rather than the percentage change

5 FFG (Fit for Growth) charge previously reported within Restructuring has been re-presented as a separate item

Reported financial performance summary

	H1'25 \$million	H1'24 \$million	Change %	Constant currency change ¹ %	Q2'25 \$million	Q2'24 \$million	Change %	Constant currency change ¹ %	Q1'25 \$million	Change %	Constant currency change ¹ %
Net interest income	3,044	3,175	(4)	(3)	1,463	1,603	(9)	(9)	1,581	(7)	(9)
Non NII	7,862	6,616	19	20	4,064	3,058	33	32	3,798	7	7
Reported operating income	10,906	9,791	11	12	5,527	4,661	19	18	5,379	3	2
Reported operating expenses	(6,247)	(6,056)	(3)	(3)	(3,201)	(3,059)	(5)	(3)	(3,046)	(5)	(3)
Reported operating profit before impairment and taxation	4,659	3,735	25	29	2,326	1,602	45	48	2,333	–	1
Credit impairment	(336)	(240)	(40)	(37)	(119)	(75)	(59)	(49)	(217)	45	46
Goodwill and Other impairment	(19)	(147)	87	87	(4)	(87)	95	96	(15)	73	73
Profit from associates and joint ventures	79	144	(45)	(45)	77	138	(44)	(46)	2	nm	nm
Reported profit before taxation	4,383	3,492	26	30	2,280	1,578	44	48	2,103	8	10
Taxation	(1,057)	(1,123)	6	3	(546)	(604)	10	9	(511)	(7)	(5)
Profit for the period	3,326	2,369	40	45	1,734	974	78	83	1,592	9	11
Reported return on tangible equity (%) ²	16.4	11.9	450bps		17.9	10.4	750bps		14.8	310bps	
Reported earnings per share (cents)	129.1	83.3	55		72.5	36.7	98		56.6	28	

1 Comparisons presented on the basis of the current period's transactional currency rate, ensuring like-for-like currency rates between the two periods

2 Change is the basis points (bps) difference between the two periods rather than the percentage change

Financial review

Operating income by product

	H1'25 \$million	H1'24 ² \$million	Change %	Constant currency change ¹ %	Q2'25 \$million	Q2'24 ² \$million	Change %	Constant currency change ¹ %	Q1'25 \$million	Change %	Constant currency change ¹ %
Transaction Services	2,996	3,196	(6)	(6)	1,469	1,593	(8)	(8)	1,527	(4)	(4)
Payments & Liquidity	2,074	2,300	(10)	(9)	1,013	1,139	(11)	(11)	1,061	(5)	(5)
Securities & Prime Services	309	294	5	6	158	153	3	4	151	5	5
Trade & Working Capital	613	602	2	3	298	301	(1)	–	315	(5)	(6)
Global Banking	1,096	960	14	14	548	488	12	12	548	–	(1)
Lending & Financial Solutions	928	836	11	11	476	422	13	12	452	5	4
Capital Markets & Advisory	168	124	35	37	72	66	9	11	96	(25)	(25)
Global Markets	2,355	1,837	28	28	1,172	796	47	47	1,183	(1)	(1)
Macro Trading	1,939	1,515	28	28	961	631	52	52	978	(2)	(2)
Credit Trading	409	332	23	24	187	165	13	14	222	(16)	(16)
Valuation & Other Adj	7	(10)	170	170	24	–	nm	nm	(17)	nm	nm
Wealth Solutions	1,519	1,234	23	24	742	618	20	20	777	(5)	(5)
Investment Products	1,103	868	27	28	544	444	23	22	559	(3)	(3)
Bancassurance	416	366	14	15	198	174	14	14	218	(9)	(10)
Deposits & Mortgages	1,996	2,061	(3)	(3)	990	1,041	(5)	(5)	1,006	(2)	(2)
CCPL & Other Unsecured Lending	539	530	2	2	282	270	4	4	257	10	9
Ventures	320	80	nm	nm	278	48	nm	nm	42	nm	nm
Digital Banks	88	62	42	48	46	33	39	48	42	10	5
SCV	232	18	nm	nm	232	15	nm	nm	–	nm	nm
Treasury & Other	78	60	30	nm	28	(48)	158	nm	50	(44)	(45)
Total underlying operating income	10,899	9,958	9	10	5,509	4,806	15	14	5,390	2	2

1 Comparisons presented on the basis of the current period's transactional currency rate, ensuring like-for-like currency rates between the two periods

2 Products have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 with no change in total income

The operating income by product commentary that follows is on an underlying basis and comparisons are made to the equivalent period in 2024 on a constant currency basis, unless otherwise stated. H1 2024 included items totalling \$258 million relating to gains on revaluation of foreign exchange (FX) positions in Egypt and a hyperinflationary accounting adjustment in Ghana (the notable items).

Transaction Services income decreased 6 per cent as growth in Securities & Prime Services and Trade & Working Capital was more than offset by lower Payments & Liquidity. Securities & Prime Services income grew 6 per cent from higher custody, funds and prime brokerage fees, while Trade & Working Capital income increased 3 per cent driven by higher volumes and fees. Payments & Liquidity income decreased 9 per cent as volume growth was more than offset by the impact of lower interest rates and margin compression.

Global Banking income increased 14 per cent. Lending & Financial Solutions income grew 11 per cent as increased deal completion led to higher origination and distribution volumes. This resulted in increases in both carry and fee income. Capital Market & Advisory grew 37 per cent on the back of higher bond issuances and increased Mergers & Acquisitions activity.

Global Markets income was up 28 per cent with broad-based growth across all products. Macro Trading increased 28 per cent with double-digit growth across Rates and Commodities while Credit Trading income grew 24 per cent. Flow income grew by 19 per cent supported by sustained momentum from our key strategic initiatives and investments, while episodic income increased by 50 per cent, benefitting from heightened market volatility which led to elevated client activity.

Wealth Solutions income was up 24 per cent, driven by double-digit growth in both Investment Products and Bancassurance, in particular capital market products. This was driven by continued investment in product innovation, digitisation and advisory capabilities; and sustained momentum in Affluent new-to-bank with 135,000 clients onboarded in the first half of 2025, and \$28 billion of Affluent net new money.

Deposits & Mortgages income was down 3 per cent as growth in Mortgages income was more than fully offset by a decline in Deposit income. Mortgage income was up, driven by margin expansion and higher volumes in select markets as interest rates declined. Deposit income was reduced as the impact of margin compression in a lower interest rate environment was partly offset by higher volumes and pricing actions.

Credit Cards and Personal Loans (CCPL) & Other Unsecured Lending income was up 2 per cent as benefit from margin expansion was partly offset by lower volumes resulting from portfolio optimisation actions.

Ventures income increased \$242 million as SC Ventures booked a \$238 million gain relating to the Solv India transaction (refer to note 6). Digital Banks income increased by \$26 million from continued increase in lending and deposit volumes.

Treasury & Other income increased \$56 million as the benefit to income from the repricing of longer dated assets and roll-off of the legacy loss-making short-term hedges in February 2024 was partly offset by the non-repeat of the notable items.

Profit before tax by client segment

	H1'25 \$million	H1'24 ² \$million	Change %	Constant currency change ¹ %	Q2'25 \$million	Q2'24 ² \$million	Change %	Constant currency change ¹ %	Q1'25 \$million	Change %	Constant currency change ¹ %
Corporate & Investment Banking ²	3,442	3,098	11	13	1,701	1,476	15	18	1,741	(2)	(1)
Wealth & Retail Banking ²	1,398	1,336	5	8	652	654	–	3	746	(13)	(12)
Ventures	46	(197)	123	125	130	(86)	nm	nm	(84)	nm	nm
Central & other items ²	(206)	(280)	26	35	(80)	(216)	63	56	(126)	37	29
Underlying profit before taxation	4,680	3,957	18	22	2,403	1,828	31	34	2,277	6	7

1 Comparisons presented on the basis of the current period's transactional currency rate, ensuring like-for-like currency rates between the two periods

2 Underlying profit before taxation has been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 to reflect the reallocation of Treasury income and certain costs across segments

The client segment commentary that follows is on an underlying basis and comparisons are made to the equivalent period in 2024 on a constant currency basis, unless otherwise stated. H1 2024 included items totalling \$258 million relating to gains on revaluation of FX positions in Egypt and a hyperinflationary accounting adjustment in Ghana (the notable items).

Corporate & Investment Banking (CIB) profit before taxation increased 13 per cent. Income grew 7 per cent, with strong double-digit growth in Global Markets and Global Banking partly offset by a decrease in Transaction Services. Expenses were 3 per cent higher and credit impairments were a net release of \$14 million versus a release of \$54 million in the prior year. Other impairments were lower by \$105 million due to a non-repeat of software asset write-off.

Wealth & Retail Banking (WRB) profit before taxation increased 8 per cent, with income up 8 per cent led by a record performance in Wealth Solutions. Expenses increased 7 per cent, mainly from hiring of Affluent relationship managers and increased investment spend on revenue accretive initiatives. Credit impairment charge of \$332 million was up \$65 million, mainly from an increase in unsecured portfolios and partnerships. However, credit impairment decreased \$30 million in Q2'25 as compared to Q1'25 as a result of portfolio optimisation actions.

Ventures achieved profit before tax of \$46 million compared to a prior year loss of \$197 million, due to a \$238 million gain from the Solv India transaction by SC Ventures. Digital Banks income increased by \$30 million driven by continued growth in customers and volumes. Expenses were up 4%, while the \$24 million impairment charge declined \$20 million as delinquency rates improved in Mox.

Central & other items (C&O) loss before tax improved to \$206 million versus \$280 million in the prior year. Treasury benefitted from the repricing of longer dated assets and roll-off of the legacy loss-making hedges in February 2024; this was in part offset by the non-repeat of the notable items. Associates' profit share increased by \$32 million, reflecting higher profits at China Bohai Bank.

Adjusted net interest income and margin

	H1'25 \$million	H1'24 \$million	Change ¹ %	Q2'25 \$million	Q2'24 \$million	Change ¹ %	Q1'25 \$million	Change %
Adjusted net interest income ²	5,499	5,362	3	2,702	2,696	–	2,797	(3)
Average interest-earning assets	541,385	543,788	–	546,709	533,869	2	535,999	2
Average interest-bearing liabilities	564,056	537,608	5	571,401	538,054	6	556,629	3
Gross yield (%) ³	4.75	5.39	(64)	4.61	5.42	(81)	4.89	(28)
Rate paid (%) ³	2.59	3.44	85	2.51	3.36	85	2.67	16
Net yield (%) ³	2.16	1.95	21	2.10	2.06	4	2.22	(12)
Net interest margin (%) ^{3,4}	2.05	1.98	7	1.98	2.03	(5)	2.12	(14)

1 Variance is better/(worse), other than assets and liabilities which is increase/(decrease)

2 Adjusted net interest income has been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 to reflect the reclassification of funding cost mismatches to non NII. Adjusted net interest income is reported net interest income less trading book funding cost, Treasury currency management activities, cash collateral and prime services

3 Change is the basis points (bps) difference between the two periods rather than the percentage change. Net interest margin has been re-presented due to the revision to Adjusted net interest income as outlined in footnote 2

4 Adjusted net interest income divided by average interest-earning assets, annualised

Financial review continued

Adjusted net interest income increased 3 per cent, driven by increase in the net interest margin which averaged 205 basis points during the first half, increasing 7 basis points year-on-year. An improvement in asset and deposit mix and benefit from roll-off of legacy short-term hedges was partly offset by lower interest rates, leading to margin compression, while volumes were broadly stable.

Adjusted net interest income in the second quarter declined 3 per cent compared to the prior quarter, as volume growth was more than offset by the drag from lower interest rates and margin compression. Average interest-earning assets were up \$11 billion on the prior quarter driven by strong growth across products in Global Banking, Mortgages and Wealth Solutions partly offset by lower trade volumes. Average interest-bearing liabilities were up by \$15 billion on the prior quarter mostly from growth in CIB and WRB deposits. Gross yields and rates paid decreased 28 basis points and 16 basis points respectively, reflecting a declining interest rate environment, while the impact of changes in balance sheet mix was broadly neutral in the quarter. This resulted in a net interest margin drop of 14 basis points compared to the prior quarter.

Credit risk summary

Income statement (Underlying view)

	H1'25 \$million	H1'24 \$million	Change ¹ %	Q2'25 \$million	Q2'24 \$million	Change ¹ %	Q1'25 \$million	Change ¹ %
Total credit impairment charge/(release)²	336	249	35	117	73	60	219	(47)
Of which stage 1 and 2 ²	179	73	145	67	12	nm	112	(40)
Of which stage 3 ²	157	176	(11)	50	61	(18)	107	(53)

1 Variance is increase/(decrease) comparing current reporting period to prior reporting period

2 Refer to Credit Impairment charge table in Risk review (page 57) for reconciliation from underlying to reported credit impairment

Balance sheet

	30.06.25 \$million	31.03.25 \$million	Change ¹ %	31.12.24 \$million	Change ¹ %	30.06.24 \$million	Change ¹ %
Gross loans and advances to customers²	291,811	286,812	2	285,936	2	280,893	4
Of which stage 1	273,155	269,282	1	269,102	2	264,249	3
Of which stage 2	12,520	11,447	9	10,631	18	10,005	25
Of which stage 3	6,136	6,083	1	6,203	(1)	6,639	(8)
Expected credit loss provisions	(5,080)	(5,024)	1	(4,904)	4	(4,997)	2
Of which stage 1	(553)	(537)	3	(483)	14	(480)	15
Of which stage 2	(465)	(462)	1	(473)	(2)	(362)	28
Of which stage 3	(4,062)	(4,025)	1	(3,948)	3	(4,155)	(2)
Net loans and advances to customers	286,731	281,788	2	281,032	2	275,896	4
Of which stage 1	272,602	268,745	1	268,619	1	263,769	3
Of which stage 2	12,055	10,985	10	10,158	19	9,643	25
Of which stage 3	2,074	2,058	1	2,255	(8)	2,484	(17)
Cover ratio of stage 3 before/after collateral (%) ³	66/82	66/81	0/1	64/78	2/4	63/82	3/0
Credit grade 12 accounts (\$million)	2,095	1,797	17	969	116	964	117
Early alerts (\$million)	4,485	4,451	1	5,559	(19)	5,044	(11)
Investment-grade corporate exposures (%) ³	75	74	1	74	1	74	1
Aggregate top 20 corporate exposures as a percentage of Tier 1 capital ^{3,4}	56	60	(4)	61	(5)	58	(2)

1 Variance is increase/(decrease) comparing current reporting period to prior reporting period

2 Includes reverse repurchase agreements and other similar secured lending held at amortised cost of \$4,189 million (31 March 2025: \$6,797 million; 31 December 2024: \$9,660 million; 30 June 2024: \$7,788 million)

3 Change is the percentage points difference between the two points rather than the percentage change

4 Excludes reverse repurchase agreements

Asset quality remained resilient in the first half, with an improvement in a number of underlying credit metrics. The Group continues to actively manage the credit portfolio while remaining alert to a volatile and challenging external environment including increased geopolitical tensions and evolving policy changes which may lead to idiosyncratic stress in a select number of geographies and industry sectors.

Credit impairment was a \$336 million charge in the first half, up \$87 million year-on-year, and representing an annualised loan-loss rate of 19 basis points. WRB charges for the first half totalled \$332 million, up \$65 million mainly from increased charges in unsecured and partnership portfolios. There was a \$24 million charge in Ventures, down \$20 million year-on-year as delinquency rates have improved in Mox following a change in credit criteria. In CIB, there was a net release of \$14 million as releases from sovereign upgrades were in part offset by a low level of client downgrades. During the first half, the non-linearity impact increased by \$34 million to \$77 million. This reflects an increased probability weighting of the two downside scenarios from 32 per cent as at 31 December 2024 to 45 per cent while the base forecast probability weighting reduced from 68 per cent as at 31 December 2024 to 55 per cent. The Group retains a China commercial real estate (CRE) management overlay of \$58 million and a \$35 million overlay for clients who have exposure to the Hong Kong CRE sector. During the second quarter, CRE overlays dropped by \$14 million for China CRE primarily driven by repayments and utilisation due to movement to stage 3 and \$12 million for Hong Kong CRE due to risks being partially manifested in the portfolio modelled ECL.

Gross stage 3 loans and advances to customers of \$6.1 billion remained broadly flat compared with 31 December 2024, as new inflows were mostly offset by repayments, client upgrades, a reduction in exposures and write-offs. Credit-impaired loans represent 2.1 per cent of gross loans and advances, down 7 basis points as compared with 31 December 2024.

The stage 3 cover ratio of 66 per cent improved 2 percentage points as compared with 31 December 2024, while the cover ratio post collateral at 82 per cent increased by 4 percentage points due to an increase in stage 3 provisions and a slight reduction in gross stage 3 balances.

Credit grade 12 balances increased \$1.1 billion since 31 December 2024 to \$2.1 billion reflecting downgrades from Early Alert accounts and upgrades from stage 3 assets. The Group continues to carefully monitor its exposures in select sectors and geographies, given the uncertain and volatile macroeconomic environment.

The proportion of investment-grade corporate exposures of 75 per cent improved by 1 percentage point compared with 31 December 2024.

Restructuring, DVA, FFG and other items

	H1'25					H1'24				
	Restructuring \$million	FFG \$million	DVA \$million	Net gain/ loss on businesses disposed of/held for sale \$million	Other items \$million	Restructuring ² \$million	FFG ² \$million	DVA \$million	Net loss on businesses disposed of/held for sale ³ \$million	Other items ¹ \$million
Operating income	7	–	5	(5)	–	48	–	(26)	(189)	–
Operating expenses	(129)	(153)	–	–	–	(197)	(86)	–	–	(100)
Credit impairment	–	–	–	–	–	9	–	–	–	–
Other impairment	(3)	(7)	–	–	–	(4)	–	–	–	–
Profit from associates and joint ventures	(12)	–	–	–	–	80	–	–	–	–
Profit/(loss) before taxation	(137)	(160)	5	(5)	–	(64)	(86)	(26)	(189)	(100)

1 Other items include \$100 million charge relating to Korea equity linked securities (ELS) portfolio

2 FFG (Fit for Growth) charge previously reported within Restructuring has been re-presented as a separate item

3 Net loss on businesses disposal includes loss of \$174 million relating to Zimbabwe exit

The Group's statutory performance is adjusted for profits or losses of a capital nature, amounts consequent to investment transactions driven by strategic intent, other infrequent and/or exceptional transactions that are significant or material in the context of the Group's normal business earnings for the period and items which management and investors would ordinarily identify separately when assessing underlying performance period-by-period.

Restructuring charges of \$137 million reflect the impact of actions to simplify technology platforms, ongoing charges related to portfolios and businesses being exited, and optimising the Group's office space and property footprint.

Charges related to the Fit for Growth programme totalled \$160 million.

Movements in Debit Valuation Adjustment (DVA) were positive \$5 million, driven by the widening of Group's asset swap spreads on derivative liability exposures.

Net loss on businesses disposed of \$189 million in the first half of 2024 included \$174 million from the sale of Zimbabwe primarily related to the recycling of FX translation losses from reserves into the income statement, which had no impact on tangible net asset value and capital.

Balance sheet and liquidity

	30.06.25 \$million	31.03.25 \$million	Change ¹ %	31.12.24 \$million	Change ¹ %	30.06.24 \$million	Change ¹ %
Assets							
Loans and advances to banks	42,386	45,604	(7)	43,593	(3)	45,231	(6)
Loans and advances to customers	286,731	281,788	2	281,032	2	275,896	4
Other assets	584,819	547,054	7	525,063	11	514,300	14
Total assets	913,936	874,446	5	849,688	8	835,427	9
Liabilities							
Deposits by banks	30,883	28,569	8	25,400	22	28,087	10
Customer accounts	517,390	490,921	5	464,489	11	468,157	11
Other liabilities	310,993	302,488	3	308,515	1	287,856	8
Total liabilities	859,266	821,978	5	798,404	8	784,100	10
Equity	54,670	52,468	4	51,284	7	51,327	7
Total equity and liabilities	913,936	874,446	5	849,688	8	835,427	9
Advances-to-deposits ratio (%)²	51.0	51.8		53.3		52.6	
Liquidity coverage ratio (%)	146	147		138		148	

1 Variance is increase/(decrease) comparing current reporting period to prior reporting periods

2 The Group excludes \$14,239 million held with central banks (31 March 2025: \$15,847 million, 31 December 2024: \$19,187 million and 30 June 2024: \$18,419 million) that has been confirmed as repayable at the point of stress. Advances exclude reverse repurchase agreement and other similar secured lending of \$4,189 million (31 March 2025: \$6,797 million, 31 December 2024: \$9,660 million and 30 June 2024: \$7,788 million) and include loans and advances to customers held at fair value through profit or loss of \$8,119 million (31 March 2025: \$7,692 million, 31 December 2024: \$7,084 million and 30 June 2024: \$6,877 million). Deposits include customer accounts held at fair value through profit or loss of \$24,958 million (31 March 2025: \$24,642 million, 31 December 2024: \$21,772 million and 30 June 2024: \$19,850 million)

The Group's balance sheet remains strong, liquid and well diversified.

Loans and advances to customers increased by \$6 billion from 31 December 2024. Underlying growth was \$8 billion or 3 per cent excluding the impact of a \$11 billion reduction from Treasury and securities-based loans held to collect and a \$9 billion increase from currency translation. The underlying growth is primarily driven by Global Banking in CIB, and Mortgages and Wealth Solutions in WRB.

Customer accounts of \$517 billion increased by \$53 billion from 31 December 2024. Excluding a \$10 billion increase from currency translation, customer accounts increased by \$44 billion, or 9 per cent, driven by an increase of \$19 billion in CIB Current and Savings Account (CASA), a \$5 billion increase in Corporate Term Deposits and a \$19 billion increase in WRB across CASA and Time Deposits from targeted campaigns and Affluent net new money inflows.

Other assets increased 11 per cent, or \$60 billion, from 31 December 2024. Financial assets held at FVTPL increased by \$24 billion, primarily in debt securities and reverse repurchase agreements, while other assets increased by \$11 billion from higher volumes of unsettled trades in Global Markets and increased \$11 billion from precious metals. Investment securities and central bank balances increased by \$14 billion and \$17 billion respectively. These increases were partly offset by a \$17 billion decrease in derivative asset balances.

Other liabilities increased 1 per cent or \$2 billion, from 31 December 2024. Financial liabilities held at fair value through profit and loss increased by \$14 billion, other liabilities increased by \$4 billion and debt securities in issue increased by \$5 billion. This was offset by a decrease of \$12 billion in derivative balances and a \$7 billion decrease in repurchase agreements.

The advances-to-deposits ratio decreased to 51 per cent from 53.3 per cent as of 31 December 2024. The point-in-time liquidity coverage ratio increased 8 percentage points in the first half to 146 per cent and remains well above the minimum regulatory requirement of 100 per cent.

Risk-weighted assets (RWAs)

	30.06.25 \$million	31.03.25 \$million	Change ¹ %	31.12.24 \$million	Change ¹ %	30.06.24 \$million	Change ¹ %
By risk type							
Credit risk	191,348	184,274	4	189,303	1	185,004	3
Operational risk	32,578	32,578	–	29,479	11	29,479	11
Market risk	35,758	36,744	(3)	28,283	26	27,443	30
Total RWAs	259,684	253,596	2	247,065	5	241,926	7

1 Variance is increase/(decrease) comparing current reporting period to prior reporting periods

Total RWAs of \$259.7 billion increased \$12.6 billion or 5.1 per cent in comparison to 31 December 2024:

- **Credit risk** RWA increased by \$2.0 billion to \$191.3 billion. This was primarily driven by an increase of \$4.1 billion from asset growth and adverse credit migration, \$5.0 billion from currency translation, partly offset by a decrease of \$5.6 billion from optimisation actions and a \$1.4 billion reduction from changes in models and methodology.
- **Operational risk** RWA increased by \$3.1 billion to \$32.6 billion mainly due to an increase in average income as measured over a rolling three-year time horizon with higher 2024 income replacing lower 2021 income.
- **Market risk** RWA increased by \$7.5 billion to \$35.8 billion as RWAs were deployed to help clients capture market opportunities.

Capital base and ratios

	30.06.25 \$million	31.03.25 \$million	Change ¹ %	31.12.24 \$million	Change ¹ %	30.06.24 \$million	Change ¹ %
CET1 capital	37,260	35,122	6	35,190	6	35,418	5
Additional Tier 1 capital (AT1)	6,517	7,507	(13)	6,482	1	6,484	1
Tier 1 capital	43,777	42,629	3	41,672	5	41,902	4
Tier 2 capital	9,504	10,482	(9)	11,419	(17)	11,667	(19)
Total capital	53,281	53,111	–	53,091	–	53,569	(1)
CET1 capital ratio (%)²	14.3	13.8	0.50	14.2	0.11	14.6	(0.29)
Total capital ratio (%)²	20.5	20.9	(0.43)	21.5	(0.97)	22.1	(1.62)
Leverage ratio (%)²	4.7	4.7	(0.01)	4.8	(0.11)	4.8	(0.08)

¹ Variance is increase/(decrease) comparing current reporting period to prior reporting periods

² Change is percentage points difference between two points rather than percentage change

The Group's CET1 ratio of 14.3 per cent was up 11 basis points against the ratio as at 31 December 2024 and remains 3.9 percentage points above the Group's latest regulatory minimum CET1 requirement. Strong profit accretion was largely offset by shareholder distributions and an increase in RWAs.

The 135 basis points of CET1 accretion from profits was supported by a further 11 basis points uplift from the combination of currency translation, fair value gains in other comprehensive income and certain regulatory capital adjustments. This was partly offset by 52 basis points reduction from an increase in RWA.

The Group spent \$1.37 billion purchasing 93.5 million ordinary shares of \$0.50 each during the first half, representing a volume weighted average price per share of £11.18. These shares were subsequently cancelled, reducing the total issued share capital by 3.9 per cent. The entire \$1.5 billion is deducted from CET1 in the period, reducing the CET1 ratio by approximately 61 basis points.

The Group is accruing a provisional interim 2025 ordinary share dividend over the first half of 2025, which is calculated formulaically at one-third of the ordinary dividend paid in 2024, or 12.3 cents a share. This, combined with payments due to AT1 and preference shareholders, reduced the CET1 ratio by 23 basis points.

The Board has decided to carry out a share buyback commencing imminently for up to a maximum consideration of \$1.3 billion to further reduce the number of ordinary shares in issue by cancelling the repurchased shares. The terms of the buyback will be announced, and it is expected to reduce the Group's CET1 ratio in the third quarter of 2025 by approximately 50 basis points.

The Group's leverage ratio of 4.7 per cent is 11 basis points lower than as at 31 December 2024. The Group's leverage ratio remains significantly above its minimum requirement of 3.7 per cent.

Supplementary financial information

Underlying performance by client segment

	H1'25					H1'24 ²				
	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Ventures \$million	Central & other items \$million	Total \$million	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Ventures \$million	Central & other items \$million	Total \$million
Operating income	6,583	4,162	320	(166)	10,899	6,194	3,884	80	(200)	9,958
External	6,317	1,834	321	2,427	10,899	5,221	1,761	80	2,896	9,958
Inter-segment	266	2,328	(1)	(2,593)	–	973	2,123	–	(3,096)	–
Operating expenses	(3,155)	(2,429)	(239)	(142)	(5,965)	(3,045)	(2,254)	(228)	(146)	(5,673)
Operating profit/(loss) before impairment losses and taxation	3,428	1,733	81	(308)	4,934	3,149	1,630	(148)	(346)	4,285
Credit impairment	14	(332)	(24)	6	(336)	54	(267)	(43)	7	(249)
Other impairment	–	(3)	–	(6)	(9)	(105)	(27)	–	(11)	(143)
Profit/(loss) from associates and joint ventures	–	–	(11)	102	91	–	–	(6)	70	64
Underlying profit/(loss) before taxation	3,442	1,398	46	(206)	4,680	3,098	1,336	(197)	(280)	3,957
Restructuring & Other items	(146)	(130)	(1)	(20)	(297)	(77)	(195)	(1)	(192)	(465)
Reported profit/(loss) before taxation	3,296	1,268	45	(226)	4,383	3,021	1,141	(198)	(472)	3,492
Total assets	512,928	129,591	7,534	263,883	913,936	443,567	122,625	5,115	264,120	835,427
Of which: loans and advances to customers	204,812	126,712	1,555	17,539	350,618	190,474	120,258	1,110	23,865	335,707
loans and advances to customers	140,930	126,707	1,555	17,539	286,731	130,672	120,249	1,110	23,865	275,896
loans held at fair value through profit or loss (FVTPL)	63,882	5	–	–	63,887	59,802	9	–	–	59,811
Total liabilities	507,646	244,591	6,010	101,019	859,266	469,158	208,419	4,347	102,176	784,100
Of which: customer accounts ¹	332,952	240,612	5,718	2,851	582,133	316,543	204,221	4,046	7,452	532,262
Risk-weighted assets	182,129	57,610	3,288	16,657	259,684	162,682	57,440	2,129	19,675	241,926
Income return on risk-weighted assets (%)	7.5	14.9	24.2	(1.7)	8.6	7.6	13.3	8.2	(1.7)	8.1
Underlying return on tangible equity (%)	19.6	25.3	nm	(12.3)	18.1	17.3	22.0	nm	(10.7)	14.0
Cost to income ratio (%)	47.9	58.4	nm	nm	54.7	49.2	58.0	nm	nm	57.0

1 Customer accounts includes FVTPL and repurchase agreements

2 Segment results have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025. Please refer note 2 Basis of preparation for details

Corporate & Investment Banking

	H1'25 \$million	H1'24 ^{7,8} \$million	Change ² %	Constant currency change ^{1,2} %	Q2'25 \$million	Q2'24 ^{7,8} \$million	Change ² %	Constant currency change ^{1,2} %	Q1'25 \$million	Change ² %	Constant currency change ^{1,2} %
Transaction Services	2,996	3,196	(6)	(6)	1,469	1,593	(8)	(8)	1,527	(4)	(4)
Payments & Liquidity	2,074	2,300	(10)	(9)	1,013	1,139	(11)	(11)	1,061	(5)	(5)
Securities & Prime Services	309	294	5	6	158	153	3	4	151	5	5
Trade & Working Capital	613	602	2	3	298	301	(1)	–	315	(5)	(6)
Global Banking	1,096	960	14	14	548	488	12	12	548	–	(1)
Lending & Financial Solutions	928	836	11	11	476	422	13	12	452	5	4
Capital Market & Advisory	168	124	35	37	72	66	9	11	96	(25)	(25)
Global Markets	2,355	1,837	28	28	1,172	796	47	47	1,183	(1)	(1)
Macro Trading	1,939	1,515	28	28	961	631	52	52	978	(2)	(2)
Credit Trading	409	332	23	24	187	165	13	14	222	(16)	(16)
Valuation & Other Adj	7	(10)	170	170	24	–	nm	nm	(17)	nm	nm
Treasury & Other	136	201	(32)	(30)	72	105	(31)	(30)	64	13	12
Operating income⁸	6,583	6,194	6	7	3,261	2,982	9	9	3,322	(2)	(2)
Operating expenses	(3,155)	(3,045)	(4)	(3)	(1,602)	(1,518)	(6)	(3)	(1,553)	(3)	(1)
Operating profit before impairment losses and taxation	3,428	3,149	9	10	1,659	1,464	13	16	1,769	(6)	(5)
Credit impairment	14	54	(74)	(72)	44	63	(30)	(24)	(30)	nm	nm
Other impairment	–	(105)	100	100	(1)	(51)	98	98	1	nm	nm
Profit from associates and joint ventures	–	–	nm	nm	(1)	–	nm	nm	1	nm	nm
Underlying profit before taxation	3,442	3,098	11	13	1,701	1,476	15	18	1,741	(2)	(1)
Restructuring & Other items	(146)	(77)	(90)	(93)	(49)	3	nm	nm	(97)	49	48
Reported profit before taxation	3,296	3,021	9	11	1,652	1,479	12	14	1,644	–	2
Total assets	512,928	443,567	16	15	512,928	443,567	16	15	494,395	4	3
Of which: loans and advances to customers ³	204,812	190,474	8	7	204,812	190,474	8	7	203,757	1	(1)
Total liabilities	507,646	469,158	8	7	507,646	469,158	8	7	485,427	5	3
Of which: customer accounts ⁴	332,952	316,543	5	4	332,952	316,543	5	4	319,507	4	3
Risk-weighted assets	182,129	162,682	12	nm	182,129	162,682	12	nm	175,445	4	nm
Income return on risk-weighted assets (%) ⁵	7.5	7.6	(10)bps	nm	7.3	7.3	–	nm	7.7	(40)bps	nm
Underlying return on tangible equity (%) ⁵	19.6	17.3	230bps	nm	19.4	14.7	470bps	nm	19.8	(40)bps	nm
Cost to income ratio (%) ⁶	47.9	49.2	1.3	1.7	49.1	50.9	1.8	2.8	46.7	(2)	(1)

1 Comparisons presented on the basis of the current period's transactional currency rate, ensuring like-for-like currency rates between the two periods

2 Variance is better/(worse), other than risk-weighted assets, assets and liabilities, which is increase/(decrease)

3 Loans and advances to customers includes FVTPL and reverse repurchase agreements

4 Customer accounts includes FVTPL and repurchase agreements

5 Change is the basis points (bps) difference between the two periods rather than the percentage change

6 Change is the percentage points difference between the two periods rather than the percentage change

7 Segment results have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

8 Products have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

Performance highlights

All commentary below is on underlying basis. Percentage changes are shown on a constant currency basis versus the equivalent period in 2024 unless otherwise stated; reported dollar amount variances use actual exchange rates unless otherwise noted.

- Underlying profit before tax of \$3,442 million, an increase of 13 per cent, primarily driven by strong growth in operating income, partly offset by higher operating expenses and lower impairment.
- Underlying operating income of \$6,583 million increased 7 per cent, driven by strong performance in Global Markets and Global Banking. Global Markets income grew by 28 per cent, supported by strong growth across both flow and episodic income. Global Banking delivered double-digit growth of 14 per cent, driven by increased origination and distribution volumes. Transaction Services income declined by 6 per cent, with Payments & Liquidity down 9 per cent reflecting margin compression from lower interest rates, partly mitigated by active passthrough-rate management, growth in balances and higher fees. Securities Services income increased 6 per cent, largely supported by fee growth from higher client activity. Trade & Working Capital income rose by 3 per cent driven by higher fee income.
- Operating expenses of \$3,155 million increased by 3 per cent, mainly due to inflation and strategic investments, although this was part funded by efficiencies from the Fit for Growth programme. Cost growth remains well-managed relative to income momentum.
- Credit impairment was a net release of \$14 million as releases from sovereign upgrades were in part offset by a low level of client downgrades. Other impairment declined by \$105 million year-on-year, largely due to the non-repeat of prior-year software asset write-offs.
- Loans and advances to customers grew by 2 per cent since 31 December 2024, primarily driven by higher origination volumes in Global Banking.

Wealth & Retail Banking

	H1'25 \$million	H1'24 ^{8,9} \$million	Change ² %	Constant currency change ^{1,2} %	Q2'25 \$million	Q2'24 ^{8,9} \$million	Change ² %	Constant currency change ^{1,2} %	Q1'25 \$million	Change ² %	Constant currency change ^{1,2} %
Wealth Solutions	1,519	1,234	23	24	742	618	20	20	777	(5)	(5)
Investment Products	1,103	868	27	28	544	444	23	22	559	(3)	(3)
Bancassurance	416	366	14	15	198	174	14	14	218	(9)	(10)
Deposits & Mortgages	1,996	2,061	(3)	(3)	990	1,041	(5)	(5)	1,006	(2)	(2)
CCPL & Other Unsecured Lending	539	530	2	2	282	270	4	4	257	10	9
Treasury & Other	108	59	83	86	38	45	(16)	(20)	70	(46)	(48)
Operating income ⁹	4,162	3,884	7	8	2,052	1,974	4	4	2,110	(3)	(4)
Operating expenses	(2,429)	(2,254)	(8)	(7)	(1,248)	(1,169)	(7)	(4)	(1,181)	(6)	(4)
Operating profit before impairment losses and taxation	1,733	1,630	6	9	804	805	–	3	929	(13)	(13)
Credit impairment	(332)	(267)	(24)	(26)	(153)	(128)	(20)	(20)	(179)	15	17
Other impairment	(3)	(27)	89	89	1	(23)	104	104	(4)	125	125
Underlying profit before taxation	1,398	1,336	5	8	652	654	–	3	746	(13)	(12)
Restructuring & Other items ³	(130)	(195)	33	31	(55)	(62)	11	14	(75)	27	27
Reported profit before taxation	1,268	1,141	11	14	597	592	1	5	671	(11)	(10)
Total assets	129,591	122,625	6	3	129,591	122,625	6	3	123,698	5	1
Of which: loans and advances to customers ⁴	126,712	120,258	5	2	126,712	120,258	5	2	121,031	5	1
Total liabilities	244,591	208,419	17	15	244,591	208,419	17	15	227,645	7	6
Of which: customer accounts ⁷	240,612	204,221	18	16	240,612	204,221	18	16	223,847	7	6
Risk-weighted assets	57,610	57,440	–	nm	57,610	57,440	–	nm	56,704	2	nm
Income return on risk-weighted assets (%) ⁵	14.9	13.3	160bps	nm	14.7	13.6	110bps	nm	15.1	(40)bps	nm
Underlying return on tangible equity (%) ⁵	25.3	22.0	330bps	nm	24.0	21.3	270bps	nm	26.7	(270)bps	nm
Cost to income ratio (%) ⁶	58.4	58.0	(0.4)	0.5	60.8	59.2	(1.6)	(0.3)	56.0	(4.8)	(4.3)

1 Comparisons presented on the basis of the current period's transactional currency rate, ensuring like-for-like currency rates between the two periods

2 Variance is better/(worse), other than risk-weighted assets, assets and liabilities, which is increase/(decrease)

3 Other items in H1 2024 include \$100 million provision relating to Korea ELS

4 Loans and advances to customers includes FVTPL

5 Change is the basis points (bps) difference between the two periods rather than the percentage change

6 Change is the percentage points difference between the two periods rather than the percentage change

7 Customer accounts includes FVTPL

8 Segment results have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

9 Products have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

Performance highlights

All commentary below is on underlying basis. Percentage changes are shown on a constant currency basis versus the equivalent period in 2024 unless otherwise stated; reported dollar amount variances use actual exchange rates unless otherwise noted.

- Underlying profit before tax of \$1,398 million, increased by 8 per cent reflecting strong income growth, partly offset by higher operating expenses and higher impairments.
- Operating income of \$4,162 million increased by 8 per cent, primarily driven by robust 24 per cent growth in Wealth Solutions. Within Wealth Solutions, there was growth across all products, in particular capital market products driven by continued investment in product innovation, digitisation and advisory capabilities; and sustained momentum in affluent new-to-bank with 135,000 clients onboarded in the first half of 2025 and \$28 billion of affluent net new money.
- Operating expenses increased by 7 per cent to \$2,429 million, reflecting continued investment in our affluent strategy, including the hiring of relationship managers, and investments into new products, capabilities and platforms, partly offset by efficiency savings from the Fit for Growth programme.
- Credit impairment charges increased to \$332 million, reflecting higher delinquencies in unsecured portfolios partly offset by portfolio optimisation actions.

Supplementary financial information continued

Ventures

	H1'25 \$million	H1'24 ⁷ \$million	Change ² %	Constant currency change ^{1,2} %	Q2'25 \$million	Q2'24 ⁷ \$million	Change ² %	Constant currency change ^{1,2} %	Q1'25 \$million	Change ² %	Constant currency change ^{1,2} %
Digital Banks	88	62	42	48	46	33	39	48	42	10	5
SCV	232	18	nm	nm	232	15	nm	nm	–	nm	nm
Operating income	320	80	nm	nm	278	48	nm	nm	42	nm	nm
Operating expenses	(239)	(228)	(5)	(4)	(127)	(116)	(9)	(7)	(112)	(13)	(11)
Operating profit/(loss) before impairment losses and taxation	81	(148)	155	156	151	(68)	nm	nm	(70)	nm	nm
Credit impairment	(24)	(43)	44	45	(14)	(15)	7	7	(10)	(40)	(40)
Loss from associates and joint ventures	(11)	(6)	(83)	(83)	(7)	(3)	(133)	(133)	(4)	(75)	(75)
Underlying profit/(loss) before taxation	46	(197)	123	125	130	(86)	nm	nm	(84)	nm	nm
Restructuring	(1)	(1)	–	–	(1)	(1)	–	–	–	nm	nm
Reported profit/(loss) before taxation	45	(198)	123	124	129	(87)	nm	nm	(84)	nm	nm
Total assets	7,534	5,115	47	42	7,534	5,115	47	42	6,791	11	11
Of which: loans and advances to customers ³	1,555	1,110	40	38	1,555	1,110	40	38	1,472	6	4
Total liabilities	6,010	4,347	38	34	6,010	4,347	38	34	5,740	5	2
Of which: customer accounts ⁶	5,718	4,046	41	37	5,718	4,046	41	37	5,379	6	4
Risk-weighted assets	3,288	2,129	54	nm	3,288	2,129	54	nm	2,589	27	nm
Income return on risk-weighted assets (%) ⁴	24.2	8.2	nm	nm	39.8	9.1	nm	nm	6.7	nm	nm
Underlying return on tangible equity (%) ⁴	nm	nm	nm	nm	nm	nm	nm	nm	nm	nm	nm
Cost-to-income ratio (%) ⁵	nm	nm	nm	nm	nm	nm	nm	nm	nm	nm	nm

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3 Loans and advances to customers includes FVTPL

4 Change is the basis points (bps) difference between the two periods rather than the percentage change

5 Change is the percentage points difference between the two periods rather than the percentage change

6 Customer accounts includes FVTPL

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Performance highlights

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- Underlying profit before tax increased by \$243 million to \$46 million, mostly driven by a gain from the Solv India transaction of \$238 million. Our digital banks, Mox and Trust, continue to scale rapidly, with income up 48 per cent.
- Operating expenses increased by 4 per cent, primarily due to increased costs from the consolidated Ventures as they continue to build, partly offset by efficiency saves within the Digital Banks and SCV platform costs.
- Credit impairment decreased by 45 per cent to \$24 million, reflecting improved delinquency rates in Mox.
- Strong balance sheet expansion reflecting both customer and volume growth in the digital banks. Loans and advances to customers of \$1.6 billion increased by 11 per cent since 31 December 2024, while customer deposits increased by 12 per cent to \$5.7 billion.

Central & other items

	H1'25 \$million	H1'24 ^{8,9} \$million	Change ² %	Constant currency change ^{1,2} %	Q2'25 \$million	Q2'24 ^{8,9} \$million	Change ² %	Constant currency change ^{1,2} %	Q1'25 \$million	Change ² %	Constant currency change ^{1,2} %
Treasury & Other ⁹	(166)	(200)	17	29	(82)	(198)	59	53	(84)	2	2
Operating income	(166)	(200)	17	29	(82)	(198)	59	53	(84)	2	2
Operating expenses	(142)	(146)	3	5	(73)	(84)	13	12	(69)	(6)	(10)
Operating (loss)/profit before impairment losses and taxation	(308)	(346)	11	19	(155)	(282)	45	40	(153)	(1)	(3)
Credit impairment	6	7	(14)	(14)	6	7	(14)	(17)	–	nm	nm
Other impairment	(6)	(11)	45	54	(3)	(9)	67	70	(3)	–	–
Profit from associates and joint ventures	102	70	46	46	72	68	6	–	30	140	109
Underlying (loss)/profit before taxation	(206)	(280)	26	35	(80)	(216)	63	56	(126)	37	29
Restructuring & Other items ⁷	(20)	(192)	90	90	(18)	(190)	91	91	(2)	nm	nm
Reported (loss)/profit before taxation	(226)	(472)	52	56	(98)	(406)	76	73	(128)	23	16
Total assets	263,883	264,120	–	(2)	263,883	264,120	–	(2)	249,562	6	4
Of which: loans and advances to customers ³	17,539	23,865	(27)	(30)	17,539	23,865	(27)	(30)	18,371	(5)	(6)
Total liabilities	101,019	102,176	(1)	(1)	101,019	102,176	(1)	(1)	103,166	(2)	(2)
Of which: customer accounts ⁶	2,851	7,452	(62)	(62)	2,851	7,452	(62)	(62)	5,385	(47)	(47)
Risk-weighted assets	16,657	19,675	(15)	nm	16,657	19,675	(15)	nm	18,858	(12)	nm
Income return on risk-weighted assets (%) ⁴	(1.7)	(1.7)	–	nm	(1.6)	(3.6)	200bps	nm	(1.7)	10bps	nm
Underlying return on tangible equity (%) ⁴	(12.3)	(10.7)	(160)bps	nm	(3.2)	(6.0)	280bps	nm	(21.8)	nm	nm
Cost to income ratio (%) ⁵	nm	nm	nm	nm	nm	nm	nm	nm	nm	nm	nm

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5 Change is the percentage points difference between the two periods rather than the percentage change

6 Customer accounts includes FVTPL

7 Other items in H1 2024 includes \$174 million primarily relating to recycling of FX translation losses from reserves into profit and loss on the sale of Zimbabwe

8 Segment results have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

9 Products have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

Performance highlights

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- Underlying loss before tax of \$206 million reduced by \$74 million year-on-year, mainly driven by lower income losses and a \$32 million increase in profit from associates and joint ventures, mostly relating to the Group's investment in China Bohai Bank.
- Income loss of \$166 million improved by \$34 million year-on-year. Treasury income increased \$153 million to \$(26) million, benefitting from the maturation of short-term hedges in the first half of 2024, and improved yields from repricing longer-dated Treasury assets partly offset by the non-repeat of translation gains on the revaluation of FX positions in Egypt. Other income was down \$119 million to \$(140) million, primarily reflecting the non-repeat of hyperinflation accounting adjustments in Ghana.

Supplementary financial information continued

Underlying performance by key market

The following tables provide information for key markets in which the Group operates. These numbers are prepared in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025.

	H1'25										
	Hong Kong \$million	Korea \$million	China \$million	Taiwan \$million	Singapore \$million	India \$million	UAE \$million	UK \$million	US \$million	Other \$million	Group \$million
Operating income	2,775	561	666	290	1,651	795	606	901	598	2,056	10,899
Operating expenses	(1,160)	(367)	(398)	(165)	(805)	(442)	(295)	(820)	(286)	(1,227)	(5,965)
Operating profit before impairment losses and taxation	1,615	194	268	125	846	353	311	81	312	829	4,934
Credit impairment	(168)	(27)	(57)	(18)	(48)	(19)	16	24	–	(39)	(336)
Other impairment	(1)	1	(3)	–	(1)	(1)	–	(1)	–	(3)	(9)
Profit from associates and joint ventures	–	–	103	–	1	–	–	(2)	–	(11)	91
Underlying profit before taxation	1,446	168	311	107	798	333	327	102	312	776	4,680
Total assets employed	209,923	53,654	45,573	24,526	114,423	33,336	21,902	265,713	56,506	88,380	913,936
Of which: loans and advances to customers ¹	86,140	31,328	15,243	12,628	65,063	13,616	8,464	65,615	22,039	30,482	350,618
Total liabilities employed	214,165	45,178	38,422	21,401	109,253	25,260	18,323	258,501	47,405	81,358	859,266
Of which: customer accounts ²	187,036	35,057	30,959	18,841	99,094	17,383	15,471	99,032	18,277	60,983	582,133

	H1'24 ³										
	Hong Kong \$million	Korea \$million	China \$million	Taiwan \$million	Singapore \$million	India \$million	UAE \$million	UK \$million	US \$million	Other ⁴ \$million	Group \$million
Operating income	2,211	580	748	300	1,291	753	642	753	436	2,244	9,958
Operating expenses	(1,061)	(327)	(435)	(164)	(781)	(440)	(258)	(730)	(271)	(1,206)	(5,673)
Operating profit before impairment losses and taxation	1,150	253	313	136	510	313	384	23	165	1,038	4,285
Credit impairment	(93)	(19)	(87)	(19)	(15)	(8)	4	12	(1)	(23)	(249)
Other impairment	(14)	(1)	(4)	–	(101)	(6)	(3)	(9)	–	(5)	(143)
Profit from associates and joint ventures	–	–	72	–	3	–	–	(3)	–	(8)	64
Underlying profit before taxation	1,043	233	294	117	397	299	385	23	164	1,002	3,957
Total assets employed ⁵	191,794	50,798	45,164	21,221	103,825	34,835	22,207	232,519	58,984	74,080	835,427
Of which: loans and advances to customers ¹	82,324	26,944	16,749	11,002	65,265	14,797	8,445	65,738	16,313	28,130	335,707
Total liabilities employed ⁵	189,615	42,082	36,366	18,794	92,547	27,267	19,737	242,944	42,660	72,088	784,100
Of which: customer accounts ²	163,742	32,323	27,081	16,983	83,078	20,661	16,459	97,722	17,528	56,685	532,262

1 Loans and advances to customers includes FVTPL and reverse repurchase agreements

2 Customer accounts includes FVTPL and repurchase agreements

3 Underlying profit before taxation has been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

4 Other includes notable items of Egypt revaluation and Ghana hyperinflation

5 Balance sheet numbers have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

Quarterly underlying operating income by product

	Q2'25 \$million	Q1'25 \$million	Q4'24 ¹ \$million	Q3'24 ¹ \$million	Q2'24 ¹ \$million	Q1'24 ¹ \$million	Q4'23 ¹ \$million	Q3'23 ¹ \$million
Transaction Services	1,469	1,527	1,666	1,572	1,593	1,603	1,647	1,654
Payments & Liquidity	1,013	1,061	1,193	1,112	1,139	1,161	1,207	1,196
Securities & Prime Services	158	151	161	156	153	141	140	138
Trade & Working Capital	298	315	312	304	301	301	300	320
Global Banking	548	548	500	475	488	472	400	447
Lending & Financial Solutions	476	452	434	407	422	414	358	393
Capital Markets & Advisory	72	96	66	68	66	58	42	54
Global Markets	1,172	1,183	773	840	796	1,041	534	716
Macro Trading	961	978	654	683	631	884	463	595
Credit Trading	187	222	138	174	165	167	92	122
Valuation & Other Adj	24	(17)	(19)	(17)	–	(10)	(21)	(1)
Wealth Solutions	742	777	562	694	618	616	412	526
Investment Products	544	559	452	507	444	424	298	364
Bancassurance	198	218	110	187	174	192	114	162
Deposits & Mortgages	990	1,006	1,058	1,051	1,041	1,020	1,008	1,036
CCPL & Other Unsecured Lending	282	257	270	281	270	260	259	270
Ventures	278	42	60	43	48	32	32	35
Digital Banks	46	42	41	39	33	29	26	27
SCV	232	–	19	4	15	3	6	8
Treasury & Other	28	50	(55)	(52)	(48)	108	(268)	(281)
Total underlying operating income	5,509	5,390	4,834	4,904	4,806	5,152	4,024	4,403

1 Products have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 with no change in total income

Earnings per ordinary share

	H1'25 \$million	H1'24 \$million	Change %	Q2'25 \$million	Q2'24 \$million	Change %	Q1'25 \$million	Change %
Profit for the period attributable to equity holders	3,326	2,369	40	1,734	974	78	1,592	9
Non-controlling interest	(17)	9	nm	(15)	1	nm	(2)	nm
Dividend payable on preference shares and AT1 classified as equity	(244)	(209)	(17)	(11)	(29)	62	(233)	95
Profit for the period attributable to ordinary shareholders	3,065	2,169	41	1,708	946	81	1,357	26
Items normalised:²								
Restructuring	137	64	114	40	19	111	97	(59)
FFG	160	86	86	87	76	14	73	19
DVA	(5)	26	nm	(9)	(22)	59	4	nm
Net loss on sale of businesses	5	189	(97)	5	177	(97)	–	nm
Other items	–	100	nm	–	–	nm	–	nm
Tax on normalised items	(55)	(67)	18	(26)	(22)	(18)	(29)	10
Underlying profit attributable to ordinary shareholders	3,307	2,567	29	1,805	1,174	54	1,502	20
Basic – Weighted average number of shares (millions)	2,375	2,605	(9)	2,355	2,578	(9)	2,396	(2)
Diluted – Weighted average number of shares (millions)	2,443	2,669	(8)	2,422	2,645	(8)	2,464	(2)
Basic earnings per ordinary share (cents)¹	129.1	83.3	45.8	72.5	36.7	35.8	56.6	15.9
Diluted earnings per ordinary share (cents)¹	125.5	81.3	44.2	70.5	35.8	34.7	55.1	15.4
Underlying basic earnings per ordinary share (cents)¹	139.2	98.5	40.7	76.6	45.5	31.1	62.7	13.9
Underlying diluted earnings per ordinary share (cents)¹	135.4	96.2	39.2	74.5	44.4	30.1	61.0	13.5

1 Change is the difference between the two periods rather than the percentage change

2 Refer to Profit before taxation (PBT) table in underlying versus reported reconciliation

Return on Tangible Equity

	H1'25 \$million	H1'24 \$million	Change %	Q2'25 \$million	Q2'24 \$million	Change %	Q1'25 \$million	Change %
Average parent company Shareholders' Equity	45,077	44,180	2	45,645	44,171	(3)	44,474	3
Less Average preference share capital and share premium	(1,494)	(1,494)	–	(1,494)	(1,494)	–	(1,494)	–
Less Average intangible assets	(5,907)	(6,157)	4	(5,965)	(6,128)	(3)	(5,815)	(3)
Average Ordinary Shareholders' Tangible Equity	37,676	36,529	3	38,186	36,549	(4)	37,165	3
Profit for the period attributable to equity holders	3,326	2,369	40	1,734	974	78	1,592	9
Non-controlling interests	(17)	9	nm	(15)	1	nm	(2)	nm
Dividend payable on preference shares and AT1 classified as equity	(244)	(209)	(17)	(11)	(28)	61	(233)	95
Profit for the period attributable to ordinary shareholders	3,065	2,169	41	1,708	947	80	1,357	26
Items normalised:¹								
Restructuring	137	64	114	40	19	111	97	(59)
FFG	160	86	86	87	76	14	73	19
DVA	(5)	26	nm	(9)	(22)	59	4	nm
Ventures FVOCI (gains)/losses net of tax	72	(15)	nm	72	(3)	nm	–	nm
Net loss on sale of businesses	5	189	(97)	5	177	(97)	–	nm
Other items	–	100	nm	–	–	nm	–	nm
Tax on normalised items	(55)	(67)	18	(26)	(22)	(18)	(29)	10
Underlying profit for the period attributable to ordinary shareholders	3,379	2,552	32	1,877	1,172	60	1,502	25
Underlying Return on Tangible Equity	18.1%	14.0%	410bps	19.7%	12.9%	680bps	16.4%	330bps
Reported Return on Tangible Equity	16.4%	11.9%	450bps	17.9%	10.4%	750bps	14.8%	310bps

1 Refer to Profit before taxation (PBT) table in underlying versus reported reconciliation

Net Tangible Asset Value per Share

	30.06.25 \$million	30.06.24 \$million	Change %	31.12.24 \$million	Change %	31.03.25 \$million	Change %
Parent company shareholders' equity	46,730	44,413	5	44,388	5	44,559	5
Less preference share capital and share premium	(1,494)	(1,494)	–	(1,494)	–	(1,494)	–
Less intangible assets	(6,091)	(6,103)	–	(5,791)	(5)	(5,838)	(4)
Net shareholders tangible equity	39,145	36,816	6	37,103	6	37,227	5
Ordinary shares in issue, excluding own shares (millions)	2,330	2,550	(9)	2,408	(3)	2,384	(2)
Net Tangible Asset Value per share (cents)¹	1,680	1,444	236	1,541	139	1,561	119

1 Change is cents difference between the two periods rather than percentage change

Underlying versus reported results reconciliations

Reconciliations between underlying and reported results are set out in the tables below:

Operating income by client segment

Reconciliation of underlying versus reported operating income by client segment set out in note 2 Segmental information on page 102.

Net interest income and non NII

	H1'25				H1'24			
	Underlying \$million	Restructuring \$million	Adjustment for Trading book funding cost and others ¹ \$million	Reported \$million	Underlying ¹ \$million	Restructuring \$million	Adjustment for Trading book funding cost and others ¹ \$million	Reported \$million
Net interest income	5,499	–	(2,455)	3,044	5,350	12	(2,187)	3,175
Non NII	5,400	7	2,455	7,862	4,608	(179)	2,187	6,616
Total income	10,899	7	–	10,906	9,958	(167)	–	9,791

¹ Underlying net interest income has been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 to reflect the reclassification of funding cost mismatches to Underlying non NII

Profit/(loss) before taxation (PBT)

Reconciliation of underlying versus reported PBT set out in note 2 Segmental information on page 102.

Profit/(loss) before taxation (PBT) by client segment

Reconciliation of underlying versus reported PBT by client segment set out in note 2 Segmental information on page 103.

Return on tangible equity (RoTE)

Reconciliation of RoTE is set out in Supplementary financial information on page 23.

Net charge-off ratio

	30.06.25			30.06.24		
	Credit impairment (charge)/ release for the year/period \$million	Net average exposure \$million	Net charge-off ratio %	Credit impairment (charge)/ release for the year/period \$million	Net average exposure \$million	Net charge-off ratio %
Stage 1	(18)	313,387	0.01%	46	312,091	(0.01)%
Stage 2	(158)	11,570	1.37%	(129)	10,015	1.29%
Stage 3	(156)	2,176	7.17%	(173)	2,715	6.37%
Total exposure	(332)	327,133	0.10%	(256)	324,821	0.08%

Earnings per ordinary share (EPS)

	H1'25						
	Underlying \$million	Restructuring \$million	FFG \$million	Net loss on sale of businesses \$million	Other items \$million	DVA \$million	Tax on normalised items \$million
Profit/(loss) for the period attributable to ordinary shareholders	3,307	(137)	(160)	(5)	–	5	55
Basic – Weighted average number of shares (millions)	2,375						
Basic earnings per ordinary share (cents)	139.2						

	H1'24						
	Underlying \$million	Restructuring \$million	FFG \$million	Net loss on sale of businesses \$million	Other items ¹ \$million	DVA \$million	Tax on normalised items \$million
Profit/(loss) for the period attributable to ordinary shareholders	2,567	(64)	(86)	(189)	(100)	(26)	67
Basic – Weighted average number of shares (millions)	2,605	–	–	–	–	–	–
Basic earnings per ordinary share (cents)	98.5	–	–	–	–	–	–

¹ Other items include \$100 million provision relating to Korea ELS

Alternative performance measures

An alternative performance measure is a financial measure of historical or future financial performance, financial position or cash flows, other than a financial measure defined or specified in the applicable financial reporting framework. The following are key alternative performance measures used by the Group to assess financial performance and financial position.

Advances-to-deposits/customer advances-to-deposits (ADR) ratio: The ratio of total loans and advances to customers relative to total customer accounts, excluding approved balances held with central banks, confirmed as repayable at the point of stress. A low advances-to-deposits ratio demonstrates that customer accounts exceed customer loans resulting from emphasis placed on generating a high level of stable funding from customers.

Average interest-earning balance: Daily average of the interest-earning assets and interest-bearing liabilities balances excluding the daily average cash collateral balances in other assets and other liabilities that are related to the Global Markets trading book.

Constant currency basis: A performance measure on a constant currency basis is presented such that comparative periods are adjusted for the current year's functional currency rate. The following balances are presented on a constant currency basis when described as such: 1. Operating income, 2. Operating expenses, 3. Profit before tax and 4. RWAs or risk-weighted assets.

Cost-to-income ratio (CIR): The proportion of total operating expenses to total operating income.

Cover ratio: The ratio of impairment provisions for each stage to the gross loan exposure for each stage.

Cover ratio after collateral/cover ratio including collateral: The ratio of impairment provisions for stage 3 loans and realisable value of collateral held against these non-performing loan exposures to the gross loan exposure of stage 3 loans.

Gross yield: Reported interest income divided by average interest-earning assets.

Income return on risk weighted assets (IRoRWA): Annualised underlying income as a percentage of average RWA.

Jaws: The difference between the rates of change in revenue and operating expenses. Positive jaws occurs when the percentage change in revenue is higher than, or less negative than, the corresponding rate for operating expenses.

Loan-loss rate: Credit impairment profit and loss on loans and advances to banks and customers over gross average loans and advances to banks and customers excluding FVTPL loans.

Net charge-off ratio: The ratio of net credit impairment charge or release to average outstanding net loans and advances.

Net Interest Margin (NIM): Reported net interest income adjusted for trading book funding cost, reclassification of accounting asymmetry on account of Treasury currency management activities, cash collateral and prime services on interest-earning assets, divided by average interest-earning assets.

Net tangible asset value per share: Ratio of net tangible assets (total tangible assets less total liabilities) to the number of ordinary shares outstanding at the end of a reporting period.

Net yield: Gross yield on average assets less rate paid on average liabilities.

Non NII: Reported non NII is a sum of net fees and commission, net trading income and other operating income.

Rate paid: Reported interest expense adjusted for interest expense incurred on amortised cost liabilities used to fund financial instruments held at fair value through profit or loss, divided by average interest-bearing liabilities.

Return on Ordinary Shareholders' Tangible Equity (RoTE): The ratio of the current year's profit available for distribution to ordinary shareholders to the average tangible equity, being ordinary shareholders' equity less the average intangible assets for the reporting period. Where a target RoTE is stated, this is based on profit and equity expectations for future periods.

TSR or Total Shareholder Return: The total return of the Group's equity (share price growth and dividends) to investors.

Underlying net interest income: Reported net interest income normalised to an underlying basis adjusted for trading book funding cost, reclassification of accounting asymmetry on account of Treasury currency management activities, cash collateral and prime services.

Underlying/normalised: A performance measure is described as underlying/normalised if the reported result has been adjusted for restructuring and other items representing profits or losses of a capital nature; DVA; amounts consequent to investment transactions driven by strategic intent, excluding amounts consequent to Ventures transactions, as these are considered part of the Group's ordinary course of business; and other infrequent and/or exceptional transactions that are significant or material in the context of the Group's normal business earnings for the period, and items which management and investors would ordinarily identify separately when assessing performance period-by-period. Restructuring includes impacts to profit or loss from businesses that have been disclosed as no longer part of the Group's ongoing business, redundancy costs, costs of closure or relocation of business locations, impairments of assets and other costs which are not related to the Group's ongoing business. Restructuring in this context is not the same as a restructuring provision as defined in IAS 37. A reconciliation between underlying/normalised and reported performance is contained in Note 2 to the financial statements. The following balances and measures are presented on an underlying basis when described as such: 1. Operating income, 2. Operating expenses, 3. Profit before tax and 4. Earnings per share (basic and diluted) 5. CIR 6. Jaws and 7. RoTE.

Underlying non NII: Reported non NII normalised to an underlying basis adjusted for trading book funding cost and reclassification of accounting asymmetry on account of Treasury currency management activities.

Underlying RoTE: The ratio of the current year's underlying profit attributable to ordinary shareholders plus fair value on OCI equity movement relating to Ventures segment to the weighted average tangible equity, being ordinary shareholders' equity less the intangible assets for the reporting period.

Group Chief Risk Officer's review

"Managing our risks proactively amid a complex geopolitical and macroeconomic environment"

Managing Risk

The global economy in H1 2025 was marked by heightened trade tensions following the announcement and subsequent pause of new US tariffs, and increased geopolitical risks, particularly in Russia, Ukraine and the Middle East. Constant fluctuations in policy changes and escalating conflicts have led to increased economic uncertainty, risking fragmentation of interest rates across developed economies, commodities price volatility and elevating refinancing risks across emerging markets, among others.

Amid an unpredictable external environment, we have stayed focused on managing risks proactively and been forward-looking in identifying emerging risks. Ahead of the US tariff announcements in 2025, we conducted assessments of trade linkages and identified countries that were most vulnerable to rising tariffs. Beyond the direct impact of the tariffs, we continue to closely monitor second-order impacts and regularly assess country risks through our Country Risk Early Warning System (CREWS). Through this process, markets considered high risk were subject to enhanced monitoring with risk strategies in place. We remain vigilant in managing risks arising from the escalation of conflicts and broader impact. Assessing the impact of potential downside scenarios is key to our risk management as we continued to build on our stress testing capability by increasing the number of Management Stress Tests we perform and scanning for topical and emerging risks.

+ Further details on risks and uncertainties which we are monitoring can be found in the 'Topical and Emerging Risks' section on pages 28 to 32.

Corporate & Investment Banking (CIB)

Our CIB credit portfolio remained resilient amid fluid market conditions, with overall good asset quality as evidenced by our largely investment-grade corporate portfolio (30 June 2025: 75 per cent; 31 December 2024: 74 per cent). In consideration of the macroeconomic challenges, we have been pre-emptive in assessing potential impacts of a possible trade war escalation by conducting extensive stress tests and portfolio reviews since H2 2024 across vulnerable countries, sectors and clients. While the risk of re-escalation in global tariffs has somewhat moderated, we regularly update our assessments, and based on latest developments, take timely risk mitigating actions as appropriate. Outside tariffs, we remain vigilant in monitoring geopolitical risks across geographies including the Middle East and the resultant impact it could have on certain commodities prices.

Our CIB Traded Risk increased during H1 2025, as evidenced by the higher Value at Risk (30 June 2025: Trading total \$23.0 million; non-trading total \$62.3 million; 31 December 2024: Trading total \$20.8 million, non-trading total \$38.8 million). The higher non-trading VaR was driven by an increase in the interest rate risk of the Treasury portfolio, larger United States agency bonds inventory in the CIB non-trading portfolio and the implementation of an enhanced VaR model more responsive to upturns in market volatility. While elevated, the increased risk remained within Risk Appetite during the period. Stress tests were used extensively to detect any emerging issue in terms of Market Risk or Counterparty Credit Risk, with mitigating actions taken where required. There were no margin call issues with our collateralised counterparties, including hedge funds. Concentration risk is monitored tightly and contained by limits. We remain vigilant and are continuously enhancing our modelling and stress testing capabilities in anticipation of further market volatility in H2 2025.

Wealth & Retail Banking (WRB)

The WRB credit portfolio continued to demonstrate resilience amid the economic uncertainties in several key markets and geopolitical challenges. As a result of credit portfolio actions taken, we are seeing signs of credit performance improvement in some larger markets, but overall net cost of risk remains elevated. Portfolio management actions have continued to be dynamically adjusted in the last 18 months in response to the challenging and rapidly changing macroeconomic and operating conditions, with scenario testing being utilised to manage the uncertainties. We remain focused on taking proactive actions across origination, portfolio management and collections to manage the risks and the impact of global trade disruptions and associated market volatility on the WRB portfolios, as well as the successful execution of the pivot to Affluent across WRB markets.

Treasury Risk

Liquidity remained resilient across the Group and major legal entities. The liquidity coverage ratio (LCR) is 146 per cent (31 December 2024: 138 per cent) with a surplus to both Risk Appetite and regulatory requirements. Amid the uncertain environment, we are focused on assessing and proactively managing our capital, Interest Rate Risk in the Banking Book (IRRBB) and liquidity risks, including assessing and increasing contingent liquidity as appropriate, and enhancing our framework for managing Treasury Risks in volatile market scenarios. The Group remains well capitalised with CET1 ratio at 14.3 per cent (31 December 2024: 14.2 per cent), while the leverage ratio was 4.7 per cent (31 December 2024: 4.8 per cent).

+ Further details on managing Liquidity and Funding Risk and IRRBB can be found on pages 79 and 83.

Our risk management approach

Our Enterprise Risk Management Framework (ERMF) sets out the principles and minimum requirements for risk management and governance across the Group. The ERMF is complemented by frameworks, policies and standards which are mainly aligned to the Principal Risk Types (PRTs) and is embedded across the Group, including its branches and subsidiaries¹.

The ERMF enables the Group to manage enterprise-wide risks, with the objective of maximising risk-adjusted returns while remaining within our Risk Appetite (RA).

¹ The Group's ERMF and system of internal control applies only to wholly controlled subsidiaries of the Group, and not to Associates, Joint Ventures or Structured Entities of the Group.

Principal Risk Types and Risk Appetite

PRTs are those risks that are inherent in our strategy and business model and have been formally defined in the Group's ERMF. These risks are managed through distinct Risk Type Frameworks which are approved by the Group Chief Risk Officer.

The table below details the Group's current PRTs, their definitions and RA statements.

Principal Risk Types	Definition	Risk Appetite statement
Credit Risk	Potential for loss due to failure of a counterparty to meet its agreed obligations to pay the Group.	The Group manages its credit exposures following the principle of diversification across products, geographies, client segments and industry sectors.
Traded Risk	Potential for market or counterparty credit risk losses resulting from activities undertaken by the Group in fair valued financial market instruments.	The Group should control its financial markets activities to ensure that market and counterparty credit risk losses do not cause material damage to the Group's franchise.
Treasury Risk	Potential for insufficient capital, liquidity or funding to support our operations, the risk of reductions in earnings or value from movements in interest rates impacting banking book items and the potential for losses from a shortfall in the Group's pension plans.	The Group should maintain sufficient capital, liquidity and funding to support its operations, and an interest rate profile ensuring that the reductions in earnings or value from movements in interest rates impacting banking book items does not cause material damage to the Group's franchise. In addition, the Group should ensure its pension plans are adequately funded.
Operational and Technology Risk	Potential for loss resulting from inadequate or failed internal processes, technology events, human error, or from the impact of external events (including legal risks).	The Group aims to control operational and technology risks to ensure that operational losses (financial or reputational), including those related to the conduct of business matters, do not cause material damage to the Group's franchise.
Information and Cyber Security Risk	Risk to the Group's assets, operations, and individuals due to the potential for unauthorised access, use, disclosure, disruption, modification, or destruction of information assets and/or information systems.	The Group aims to mitigate and control ICS risks to ensure that incidents do not cause the Bank material harm, business disruption, financial loss or reputational damage – recognising that while incidents are unwanted, they cannot be entirely avoided.
Financial Crime Risk²	Potential for legal or regulatory penalties, material financial loss or reputational damage resulting from the failure to comply with applicable laws and regulations relating to international sanctions, anti-money laundering and anti-bribery and corruption, and fraud.	The Group has no appetite for breaches of laws and regulations related to Financial Crime, recognising that while incidents are unwanted, they cannot be entirely avoided.
Compliance Risk	Potential for penalties or loss to the Group or for an adverse impact to our clients or stakeholders or to the integrity of the markets we operate in through a failure on our part to comply with laws, or regulations.	The Group has no appetite for breaches of laws and regulations related to regulatory non-compliance; recognising that while incidents are unwanted, they cannot be entirely avoided.
Environmental, Social and Governance and Reputational (ESGR) Risk	Potential or actual adverse impact on the environment and/or society, the Group's financial performance, operations, or the Group's name, brand or standing, arising from environmental, social or governance factors, or as a result of the Group's actual or perceived actions or inactions.	The Group aims to measure and manage financial and non-financial risks arising from climate change, reduce emissions in line with our net zero strategy and protect the Group from material reputational damage by upholding responsible conduct and striving to do no significant environmental and social harm.
Model Risk	Potential loss that may occur because of decisions or the risk of mis-estimation that could be principally based on the output of models, due to errors in the development, implementation or use of such models.	The Group has no appetite for material adverse implications arising from misuse of models or errors in the development or implementation of models, while accepting some model uncertainty.

² Fraud forms part of the Financial Crime RA statement but, in line with market practice, does not apply a zero-tolerance approach

+ Further details on our Risk Management Approach can be found on pages 196 to 206 of the 2024 Annual Report

Topical and Emerging Risks (TERs)

Topical Risks refer to themes that may have emerged but are still evolving rapidly and unpredictably. Emerging Risks refer to unpredictable and uncontrollable outcomes from certain events which may have the potential to adversely impact our business.

As part of our risk identification process, we have updated the Group's TERs from those disclosed in the 2024 Annual Report. Below is a summary of the TERs, and the actions we are taking to mitigate them based on our current knowledge and assumptions. The TER list is not exhaustive and there may be additional risks which could have an adverse effect on the Group. There are some horizon risks that, although not highly likely at present, could become future threats and thus we are monitoring them. Our mitigation approach for these risks may not eliminate them but demonstrates the Group's awareness and attempt to mitigate or manage their impact.

Macroeconomic and geopolitical considerations

There is a complex interconnectedness between risks due to the direct influence of geopolitics on macroeconomics, as well as the global or concentrated nature of key supply chains. A more complex and less integrated global landscape could challenge cross-border business models, but also provide new business opportunities.

The Group is exposed to these risks directly through investments, infrastructure and employees, and also indirectly through its clients. While the primary impact is financial, there may be other ramifications such as reputational, compliance or operational considerations.

Expanding array of global tensions and transition of the international order

The global geopolitical landscape has undergone a transition, with a shift from a rules-based international order to a system driven by relative power dynamics. More fluid political and economic alliances are evolving as a result, with the landscape further complicated by complex conflicts in Ukraine and the Middle East.

Fragmentation is also hampering collaboration on key worldwide challenges. The erosion of the international rules-based system and the organisations that underpin it could undermine efforts to reach globally agreed solutions to structural issues.

There were many changes of governments in 2024, with a growing worldwide trend for short-term populist measures outweighing longer-term political necessities, such as addressing climate change or managing demographic transitions.

The Group may be affected directly or impacted by the second-order effects of countries engaged in conflicts. Escalation of tensions in the Middle East following the strikes on Iran could affect markets in the Group's footprint.

The positioning of 'middle powers' is complex and evolving, with a rise in 'mini-lateral' groups of countries that are ideologically or geographically aligned. The negotiating power of these alliances can be strengthened where they are located in strategic areas or export key resources.

While focus has been on East-West dynamics in recent years, US tariffs have caused fractures with traditional allies such as Canada and Europe, leaving many long-standing bilateral relationships in a state of flux globally.

The malicious use of Artificial Intelligence (AI) enabled disinformation could further undermine trust in the political process. Combined with increasingly polarised societies and persistent inequality, this may lead to heightened societal tensions and the threat of terrorism. Cyber warfare may also disrupt infrastructure in rival countries.

Tariffs and trade tensions

Uncertainty caused by the tariffs saw a risk-off sentiment across the globe, with equities falling and safe havens such as gold seeing historic rises. Rapid market swings caused huge price moves across a range of asset classes.

Macroeconomic unpredictability has led to companies reassessing their business models and supply chains and delaying investment plans. Tariffs are likely to hit small businesses more severely, as they have less resources and financial buffers to withstand prolonged volatility.

In an extreme case, the rest of the world may vastly reduce trade with the US. This could disrupt the macroeconomic status quo, leading to US dollar weakening and challenging its status as the global reserve currency, or risk premia on traditionally risk-free assets such as US Treasuries.

Uncertain interest rate trajectory and credit downturn

Although the rate cut cycle has begun across most major central banks, the short-term trajectory remains uncertain. Tariffs, supply chain disruption and higher deficits could be inflationary, leading to higher rates. In contrast, aggressive cuts could further fuel inflation. 'Higher-for-longer' rates amid ongoing market disruption would continue to stretch companies and sovereigns alike. Volatile interest rates could also impact the Group's Net Interest Income outlook.

Direct public rebukes of the Federal Reserve threaten to impact its independence. The tension between the Federal Reserve's caution and the US Government's open desire for lower rates, as well as shifting investor perception on the attractiveness of US assets, has further clouded the outlook in the world's most influential economy.

Economic challenges in China

The IMF forecasts that China's growth will reduce to 4 per cent this year and elevated tariffs could mean a further downside for China's GDP. The government has announced multiple rounds of stimulus measures, with further actions expected throughout 2025.

Competition with the US and the EU remains intense. To combat this, China has sought agreements with other nations, and the tariff actions from the US could drive nations towards China as the main alternative economic superpower. Continued volatility in Western economics could see companies further diversify their payments, with China the most obvious beneficiary.

A prolonged slowdown in China would have wider implications across the supply chain, especially for its trading partners, and for countries which rely on it for investment.

Sovereign risk

Governments are likely to find it difficult to reduce debt levels due to the prevailing political backdrop, weak GDP growth, demographic challenges and pressure to increase national security and defence. This was further evidenced by Moody's action to downgrade the US's rating due to rising debt levels and interest costs. This in turn could lead to scrutiny on the levels of US debt on global balance sheets.

Refinancing costs remain elevated, and interest payments are an increasing burden on both emerging and developed markets. Although a weaker US dollar may provide some respite, this is generally offset by increased economic uncertainty and the significant tariffs directly imposed.

Some countries also face a heightened risk of failing to manage societal demands and increasing political vulnerability. Food and security challenges exacerbated by armed conflict and climate change also have the potential to drive social unrest.

Supply chain issues and key material shortages

Geopolitical volatility, tariffs, shifts towards protectionism, and ongoing conflicts have complicated the operation of global supply chains. With increased trade barriers, countries are 'de-risking' by reducing reliance on rivals or concentrated suppliers and looking to either re-industrialise or make use of near-shoring and friend-shoring production.

The growing need for minerals and rare earth elements to power future technologies can be leveraged to achieve economic or political aims by restricting access. This can bolster the negotiating influence of refiners and producers such as China, Indonesia and some African markets.

How these risks are mitigated

- We conduct portfolio reviews and stress tests at Group, country and business level, with regular reviews of vulnerable sectors.
- We explored the implications of a second Trump administration, evaluating policy direction under different scenarios. We performed targeted portfolio analyses to identify clients that may be impacted by tariffs.
- We run daily Market Risk stress scenarios to assess the impact of unlikely but plausible market shocks.
- We run a suite of management scenarios with differing severities to assess their impact on key risk appetite metrics.
- We have a dedicated Country Risk team that closely monitors sovereign risk.
- We maintain a diversified portfolio across products and geographies, with specific risk appetite metrics to monitor concentrations.
- Increased scrutiny is applied when onboarding clients in sensitive industries and ensuring compliance with sanctions.
- We regularly review our supply chains and third-party arrangements to improve operational resilience.
- We actively review and test our crisis management and business continuity plans.
- We conduct regular threat intelligence monitoring and news scanning, and reviews of politically exposed persons.

Environmental, social and governance (ESG) considerations

Evolving ESG dynamics

Higher frequencies of extreme weather events are observed each year and the cost of managing the climate impacts is increasing, with the burden disproportionately borne by developing markets.

Other environmental risks pose incremental challenges to food, health systems and energy security. Modern slavery and human rights concerns are increasingly in focus, with the scope expanding beyond direct operations to extended supply chains.

There is increasing stakeholder scrutiny on ESG commitments and practices, including greenwashing. Growing economic pressures and geopolitical tensions such as tariff wars may also push companies to consider deprioritising their climate transition, potentially impacting progress towards the Group's net zero targets.

The ESG regulatory landscape also continues to evolve, with growing requirements on ESG risk management, stress testing, disclosures, transition planning, taxonomies, and sustainable finance frameworks across many of the Group's footprint markets. We are also closely monitoring the changing attitudes towards ESG, particularly in the US.

Frontier technologies such as quantum computing and AI may also come with substantial energy demands. These need to be understood, particularly the impact on companies' ability to deliver against sustainability targets.

How these risks are mitigated/next steps

- Climate Risk considerations are embedded across relevant Principal Risk Types. We perform client-level Climate Risk assessments and set adequate mitigants or controls.
- We seek to increase the proportion of our electricity usage that comes from renewable sources and optimising energy efficiency for our own operations.
- We embed our values through our Position Statements for sensitive sectors and a list of prohibited activities. We also maintain ESG and Reputational Risk standards to identify, assess and manage risks when providing services to clients.
- Management of greenwashing risks is integrated into our ESG and Reputational Risk (ESGR) Framework, ESGR policy, Sustainable Finance frameworks, and relevant product and marketing standards.
- Detailed portfolio reviews and scenario analyses are conducted to assess the resilience of climate-related physical and transition risks and there are ongoing initiatives to enhance modelling capabilities.
- We assess our corporate clients and suppliers against various international human rights principles, as well as through our social safeguards.

Modern slavery statement: [sc.com/modernslavery](https://www.sc.com/modernslavery)

Human Rights Position Statement: [sc.com/humanrights](https://www.sc.com/humanrights)

New business structures, channels and competition

Competitive disruption

The rapid adoption of AI is a key focus. There has been a large increase in the use of AI in fraud, scams and spreading misinformation. There are also potential societal and economic impacts from replacement of jobs across many sectors. Leveraging the benefits of augmented AI while managing these risks will be a core part of the Group's business model.

The integration of more sophisticated insights utilising big data and AI could greatly enhance the services offered to customers. However, it also raises other considerations such as the ethical use of data and protecting privacy and security.

The impact of more nascent technologies such as quantum computing needs to be proactively managed to avoid falling behind the technological frontier. This may lead to sunk costs into projects that are ultimately not required, or do not become part of daily operations.

Traditional banking also faces competitive challenges from a range of fintechs and private credit players. These provide customers with alternative channels for payments and borrowing. Increased adoption of stablecoins and digital currencies could also create alternative deposit channels.

Cyber, data and operational resilience

The Group's digital footprint is expanding. This increases inherent cyber risk as more services and products are digitised, outsourced and made more accessible. It also expands opportunities for cybercriminals to gain entry or access to corporate assets, including infrastructure such as cloud and third-party enabled services.

The risks of cyber incidents and sophisticated scams are amplified by highly organised cybercriminals. Emerging technologies such as AI enable novel or augmented attack types, and cross-border tensions further drive the arms race to develop more innovative cyber capabilities, both offensive and defensive. In the longer term, advances in quantum computing could threaten encryption, one of the core aspects of security, with a complex global transition to enhance data architecture.

The rapid adoption of new technologies also compounds the risk of obsolescence. While an option is to outsource functionality such as cloud storage and computing, this requires enhanced due diligence to ensure secure adoption. There are also concentration risks given the relatively small number of firms that dominate the sector.

Reliance on third parties for critical processes is an increasing regulatory focus, and growing dependency can introduce significant risks if these third parties fail to deliver or face operational issues. Managing critical relationships requires robust oversight, continuous monitoring and effective risk management practices.

The adoption of new technologies, products or business models requires clear operating models and risk frameworks. It is essential to upskill our people to develop in-house capabilities to manage associated risks. People, process and technology agendas must be viewed holistically to effectively implement new infrastructure.

How these risks are mitigated/next steps

- We continuously monitor and evaluate emerging technology trends, business models and opportunities, with key themes tabled at Board Strategy meetings.
- We have enhanced governance for evolving areas, such as the Digital Asset Risk Committee and the Responsible AI Council.
- We manage data and information security risks through our Compliance and Information and Cyber Security (ICS) Risk Type Frameworks. We maintain a global Group Data Conduct Policy.
- The Group is investing to enhance its resilience capabilities, focusing on data centres, single technology asset upgrades, and remediation and re-platforming of legacy infrastructure.
- We ensure that software is built secure by default, and is validated through robust testing and assurance activities before they go live.
- The Group has implemented a 'defence-in-depth' ICS control environment strategy to protect, detect and respond to known and emerging ICS threats.
- New risks are identified through the New Initiatives Risk Assessment and Third-Party Risk Management Policy and Standards.
- We have initiated a post quantum cryptography programme to manage the bank-wide transition to post-quantum encryption standards.
- We periodically test the effectiveness of our crisis management and continuity strategies through a series of severe but plausible disruption scenarios.

Regulatory considerations

Regulatory evolution and fragmentation

Aside from changes in prudential, financial markets, climate and data regulations, we are seeing a rise in consultations relating to digital assets and greater regulatory interest in the use of AI, particularly around its ethical application in decision-making. However some AI use cases are seeing regulatory bodies lagging the development of technology, with key questions around safety and ethics, systems interoperability, and productivity challenges.

The US administration has signalled an intent to relax regulation, and its adoption of Basel 3.1 rules may differ from proposed policies to align with international standards. The UK also delayed its implementation of Basel 3.1 to 2027. However, some Asian markets have gone live as of 2025. Other areas of divergence include ESG regulation, and extraterritorial and localisation requirements.

Whilst some deregulation can be beneficial, an uncoordinated global regime can create systemic risks. This makes it challenging to manage cross-border activities, with additional complexity and cost.

How these risks are mitigated

- We actively monitor regulatory developments and respond to consultations either bilaterally with regulators and external legal advisors or through well-established industry bodies.
- We track evolving country-specific requirements, and actively collaborate with regulators to support important initiatives.
- We are leveraging new technology to identify and map new regulations.

Demographic considerations

Skills and the competition for talent

Evolving client expectations and the rapid development of technologies such as AI are transforming the workplace, accelerating changes to how people work, connect and collaborate. The future workforce will continue to augment, with a focus on ensuring that human and technical skills intertwine efficiently, keeping pace with ongoing changes and client needs.

Workforce expectations also continue to evolve, with health, wellbeing and purpose becoming top focuses for talent attraction. Maintaining an Employee Value Proposition (EVP) that caters for multiple generations with differing priorities is a key challenge to build a high performing, integrated employee base.

Flexible working is an increasingly important factor for colleagues and an overall positive factor in workforce experience. However, there are risks around potential lack of development opportunities from face-to-face interaction, especially for more junior staff. As such the role of people leaders will continue to evolve to enable the right balance for both individuals and teams.

Demographic and migration trends

Divergent demographic trends across developed and emerging markets create contrasting challenges. Developed markets' budgets will be increasingly strained by ageing populations. Conversely, emerging markets are experiencing fast-growing, younger workforces. Population growth will put pressure on key resources and government budgets to fully capitalise on the 'demographic dividend'.

Population displacement is rising, which may increase the fragility of societal structures in vulnerable centres. Both forced and economic migration are increasingly influential in the political discourse. Large scale movement could cause social unrest, as well as propagate disease transmission and accelerate spread of future pandemics.

Societal unrest continues to increase, with protests on topics ranging from pro-democracy, nationalism, climate change and the cost of living. The threat of terrorist activity has also increased over the past 12 months.

Net population growth for the 21st century will be in less-developed countries. Anticipating and proactively planning for these demographic shifts will be essential in maintaining an efficient global business model.

How these risks are mitigated/next steps

- Colleagues are empowered to build capabilities. We have an internal Talent Marketplace which enables colleagues to sign up for projects to access diverse experiences and career opportunities.
- We place an emphasis on skills and identifying talent to accelerate, and how to deploy them in areas with the highest impact for our clients and the business.
- We emphasise frequent two-way feedback through performance and development conversations to embed a culture of continuous learning and development.
- We provide support and resources to help balance productivity, collaboration and wellbeing, with more than 60 per cent of our staff working flexibly.
- Our Human Rights Position Statement outlines our commitment to maintain a safe, supportive, diverse and inclusive workplace, and to support social and economic development in the communities in which we operate.



Sadia Ricke
Group Chief Risk Officer
31 July 2025

Risk review and Capital review

Risk Index	Page
Risk profile	Credit Risk
	Basis of preparation
	Credit risk overview
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Risk review and Capital review continued

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The following parts of the Risk review and Capital review form part of these financial statements and are reviewed by the external auditors:

a) Risk review: Disclosures marked as 'reviewed' from the start of the 'Credit Risk' section (page 35) to the end of other principal risks in the same section (page 84); and

b) Capital review: Tables marked as 'reviewed' from the start of 'Capital base' (page 86) to the end of 'Movement in total capital' (page 87), excluding 'Total risk-weighted assets'.

Risk review

Credit Risk (reviewed)

Basis of preparation

Unless otherwise stated, the balance sheet and income statement information within this section is based on the financial booking location. The accounting policy for the presentation of geographic information has been changed in 2025 as set out in Note 1 to the financial statements, and prior period amounts have been re-presented in line with this change.

Loans and advances to customers and banks held at amortised cost in this 'Risk profile' section include reverse repurchase agreement balances held at amortised cost, per Note 15 Reverse repurchase and repurchase agreements including other similar secured lending and borrowing.

Credit Risk overview

Credit Risk is the potential for loss due to the failure of a counterparty to meet its agreed obligations to pay the Group. Credit exposures arise from both the banking and trading books.

Impairment model

IFRS 9 mandates an impairment model that requires the recognition of ECL on all financial debt instruments held at amortised cost, Fair Value through Other Comprehensive Income (FVOCI), undrawn loan commitments and financial guarantees.

Staging of financial instruments

Financial instruments that are not already credit-impaired are originated into stage 1 and a 12-month expected credit loss provision is recognised. Instruments will remain in stage 1 until they are repaid, unless they experience significant credit deterioration (stage 2) or they become credit-impaired (stage 3).

Instruments will transfer to stage 2 and a lifetime expected credit loss provision is recognised when there has been a significant change in the Credit Risk compared to what was expected at origination. The framework used to determine a Significant increase in Credit Risk (SICR) is set out below.

Stage 1 • 12-month ECL • Performing	Stage 2 • Lifetime expected credit loss • Performing but has exhibited SICR	Stage 3 • Credit-impaired • Non-performing
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IFRS 9 ECL principles and approaches

The main methodology principles and approach adopted by the Group are set out in the following table. Refer to the 2024 Annual Report for the 'Application of lifetime ECL' on page 236, 'Sensitivity of ECL calculation to macroeconomic variables' on page 242, 'SICR' on page 244, 'Assessment of credit-impaired financial assets' on page 245 and 'Governance of Post Model Adjustments and application of expert credit judgement in respect of ECL' on page 246.

Title	Supplementary Information	Page
Approach for determining ECL	• IFRS 9 ECL methodology	67
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	• Forecast of key macroeconomic variables underlying the ECL calculation and the impact of non-linearity	68
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	• Judgemental adjustments and management overlays	73
Transfers between stages	• Movement in gross exposures and credit impairment	49
Modified financial assets	• Forborne and other modified loans	57

Summary of Credit Risk Performance

Maximum Exposure

The Group's on-balance sheet maximum exposure to Credit Risk increased by \$50.4 billion to \$873.8 billion (31 December 2024: \$823.4 billion). Cash and balances at Central banks increased by \$16.7 billion to \$80.2 billion (31 December 2024: \$63.4 billion) due to increased placements. Loans to banks held at amortised cost decreased by \$1.2 billion to \$42.4 billion (31 December 2024: \$43.6 billion). Debt securities (not held at fair value through profit or loss) increased by \$14.1 billion to \$157.6 billion (31 December 2024: \$143.6 billion) as exposures increased due to investments in high quality liquid assets. Loans and advances to customers increased by \$5.7 billion to \$286.7 billion (31 December 2024: \$281.0 billion). Fair Value through profit and loss increased by \$22.0 billion to \$194.1 billion (31 December 2024: \$172 billion), largely due to an increase in debt securities and reverse repos. Off-balance sheet instruments increased by \$23.7 billion to \$296.9 billion (31 December 2024: \$273.2 billion), due to an increase in undrawn commitments, financial guarantees and other equivalents. Derivative financial instruments decreased by \$17.2 billion to \$64.2 billion (31 December 2024: \$81.5 billion) mainly due to the weakening of the US dollar.

+ Further details can be found in the 'Maximum exposure to Credit Risk' section on page 38.

Loans and Advances

94 per cent (31 December 2024: 94 per cent) of the Group's gross loans and advances to customers remain in stage 1 at \$273.2 billion (31 December 2024: \$269.1 billion), reflecting our continued focus on high-quality origination. For WRB, stage 1 balances increased by \$7.3 billion to \$124.3 billion (31 December 2024: \$117 billion), mainly due to a \$5.2 billion increase in the mortgage portfolio across Korea, Taiwan and Singapore and \$2.5 billion increase in Secured wealth products due to the higher demand in Singapore. For CIB, stage 1 balances remained stable at \$129.1 billion (31 December 2024: \$128.7 billion). For Central and other items, stage 1 balances decreased by \$3.7 billion to \$18.3 billion (31 December 2024: \$22 billion) due to exposure reductions in the Government sector.

Stage 2 loans and advances to customers increased by \$1.9 billion to \$12.5 billion (31 December 2024: \$10.6 billion). For WRB, stage 2 balances remained stable at \$2.1 billion (31 December 2024: \$1.9 billion). For CIB, stage 2 balances increased by \$1.7 billion to \$10.4 billion (31 December 2024: \$8.6 billion), due to exposure increases to Sovereign related and Commercial real estate clients.

Stage 3 loans and advances decreased by \$0.1 billion to \$6.1 billion (31 December 2024: \$6.2 billion) due to repayments in CIB, and in Central and other items, which was offset by an increase in WRB mainly due to secured lending. While the WRB stage 3 cover ratio before collateral remained stable at 47.0 per cent (31 December 2024: 46.9 per cent), the stage 3 cover ratio after collateral increased to 85.6 per cent (31 December 2024: 83.1 per cent) driven by the increase of credit impairment provisions and collateral value.

+ Further details can be found in the 'Analysis of financial instruments by stage' section on page 39; 'Credit quality by client segment' section on page 41; 'Credit quality by industry' section on page 61.

Analysis of Stage 2

The key SICR driver which caused exposures to be classified as stage 2 remains an increase in probability of default (PD). The proportion of CIB exposures in stage 2 increased due to PD driven changes. In WRB, the exposures in stage 2 loans with more than 30 days past due remained stable at \$0.2 billion (31 December 2024: \$0.2 billion). The 'Others' category includes exposures where origination data is incomplete and the exposures are allocated into stage 2.

+ Further details can be found in the 'Analysis of stage 2 balances' section on page 56.

Credit Impairment charges

The Group's ongoing credit impairment was a net charge of \$336 million (30 June 2024: \$240 million).

WRB contributed a net charge of \$332 million (30 June 2024: \$267 million), driven by a high interest rate environment impacting repayments on unsecured portfolio as well as growth in Indonesia partnerships. CIB contributed to a net release of \$14 million (30 June 2024: \$54 million release) due to \$48 million stage 3 releases from the sovereign upgrade of Sri Lanka foreign currency exposures. The non-linearity impact increased impairment charges by \$34 million in H1 2025 and \$15 million from June 2024, to \$77 million (31 December 2024: \$43 million; 30 June 2024: \$62 million). This reflects an increased probability weighting of the overall downside scenarios from 32 per cent to 45 per cent, given heightened levels of tariffs and geopolitical uncertainty.

+ Further details can be found in the 'Financial review' section on page 10; 'Credit impairment charge' section on page 57.

+ Further details of the specific downside scenarios can also be found in the 'Impact of multiple economic scenarios' section on page 72.

Commercial Real Estate (CRE)

The Group provides loans to CRE counterparties of which \$9.5 billion is to counterparties in the CIB segment where the source of repayment is substantially derived from rental or sale of real estate and is secured by real estate collateral. The remaining CRE loans comprise working capital loans to real estate corporates, loans with non-property collateral, unsecured loans and loans to real estate entities of diversified conglomerates. The average LTV ratio of the performing book CRE portfolio has increased to 55 per cent (31 December 2024: 54 per cent). The proportion of loans with an LTV greater than 80 per cent has increased to 5 per cent (31 December 2024: 4 per cent).

China CRE

Total exposure to China CRE was stable at \$1.9 billion (31 December 2024: \$2.0 billion). The proportion of credit impaired exposures increased to 73 per cent (31 December 2024: 70 per cent) due to a stage 3 downgrade during the period. Stage 3 provision coverage increased to 89 per cent (31 December 2024: 87 per cent), reflecting increased provision charges during the period. The proportion of the loan book rated as Higher risk decreased to 1.8 per cent (31 December 2024: 2.8 per cent) mainly due to downgrades to stage 3 during the period.

The Group continues to hold a judgemental management overlay, which decreased by \$12.0 million to \$58.0 million (31 December 2024: \$70.0 million), reflecting changes in exposure during the period.

The Group is further indirectly exposed to China CRE through its associate investment in China Bohai Bank.

+ Further details can be found in the 'Commercial real estate' section on page 65; 'Judgemental management adjustments' section on page 73.

High carbon sectors

Total net on-balance sheet exposure to high carbon sectors increased by \$1.9 billion to \$27.2 billion (31 December 2024: \$25.4 billion). This was driven by exposure increases to portfolios in Oil and Gas at \$7.7 billion (31 December 2024: \$6.4 billion), CRE at \$4.3 billion (31 December 2024: \$4.2 billion) and Power at \$5.6 billion (31 December 2024: \$4.8 billion). The Group monitors the lending to these portfolios against each sector's carbon budget and interim 2030 net zero targets.

+ Further details can be found in the 'High carbon sectors' section on page 64.

Risk review continued

Maximum exposure to Credit Risk (reviewed)

The table below presents the Group's maximum exposure to Credit Risk for its on-balance sheet and off-balance sheet financial instruments as at 30 June 2025, before and after taking into account any collateral held or other Credit Risk mitigation.

	30.06.25				31.12.24			
	Credit risk management				Credit risk management			
	Maximum exposure \$million	Collateral ⁸ \$million	Master netting agreements \$million	Net Exposure \$million	Maximum exposure \$million	Collateral ⁸ \$million	Master netting agreements \$million	Net exposure \$million
On-balance sheet								
Cash and balances at central banks	80,165	–	–	80,165	63,447	–	–	63,447
Loans and advances to banks ¹	42,386	4,250	–	38,136	43,593	2,946	–	40,647
of which – reverse repurchase agreements and other similar secured lending ⁷	4,250	4,250	–	–	2,946	2,946	–	–
Loans and advances to customers ¹	286,731	125,538	–	161,193	281,032	119,047	–	161,985
of which – reverse repurchase agreements and other similar secured lending ⁷	4,189	4,189	–	–	9,660	9,660	–	–
Investment securities – Debt securities and other eligible bills ²	157,617	–	–	157,617	143,562	–	–	143,562
Fair value through profit or loss ^{3,7}	194,073	90,333	–	103,740	172,031	86,195	–	85,836
Loans and advances to banks	2,393	–	–	2,393	2,213	–	–	2,213
Loans and advances to customers	8,119	–	–	8,119	7,084	–	–	7,084
Reverse repurchase agreements and other similar lending ⁷	90,333	90,333	–	–	86,195	86,195	–	–
Investment securities – Debt securities and other eligible bills ²	93,228	–	–	93,228	76,539	–	–	76,539
Derivative financial instruments ^{4,7}	64,225	12,831	48,308	3,086	81,472	15,005	60,280	6,187
Accrued income	2,612	–	–	2,612	2,776	–	–	2,776
Assets held for sale ⁹	622	–	–	622	889	–	–	889
Other assets ⁵	45,372	–	–	45,372	34,585	–	–	34,585
Total balance sheet	873,803	232,952	48,308	592,543	823,387	223,193	60,280	539,914
Off-balance sheet⁶								
Undrawn Commitments	192,947	3,503	–	189,444	182,529	2,489	–	180,040
Financial Guarantees and other equivalents	103,959	2,046	–	101,913	90,632	1,807	–	88,825
Total off-balance sheet	296,906	5,549	–	291,357	273,161	4,296	–	268,865
Total	1,170,709	238,501	48,308	883,900	1,096,548	227,489	60,280	808,779

1 Amounts are net of ECL provisions. An analysis of credit quality is set out in the credit quality analysis section. Further details of collateral held by client segment and stage are set out in the collateral analysis section. The Group also has credit mitigation through Credit Linked Notes as set out on page 60.

2 Excludes equity and other investments of \$971 million (31 December 2024: \$994 million). Further details are set out in Note 13 financial instruments

3 Excludes equity and other investments of \$7,450 million (31 December 2024: \$5,486 million). Further details are set out in Note 13 financial instruments

4 The Group enters into master netting agreements, which in the event of default result in a single amount owed by or to the counterparty through netting the sum of the positive and negative mark-to-market values of applicable derivative transactions

5 Other assets include Hong Kong certificates of indebtedness, cash collateral, and acceptances, in addition to unsettled trades and other financial assets

6 Excludes ECL provisions of \$236 million (31 December 2024: \$255 million) which are reported under Provisions for liabilities and charges

7 Collateral capped at maximum exposure (over-collateralised)

8 Adjusted for over-collateralisation, which has been determined with reference to the drawn and undrawn component as this best reflects the effect on the amount arising from expected credit losses

9 The amount is after ECL provisions. Further details are set out in Note 20 Assets held for sale and associated liabilities

Analysis of financial instruments by stage (reviewed)

The table below presents the gross and credit impairment balances by stage for the Group's amortised cost and FVOCI financial instruments as at 30 June 2025.

	30.06.25											
	Stage 1			Stage 2			Stage 3			Total		
	Gross balance¹ \$million	Total credit impairment \$million	Net carrying value \$million	Gross balance¹ \$million	Total credit impairment \$million	Net carrying value \$million	Gross balance¹ \$million	Total credit impairment \$million	Net carrying value \$million	Gross balance¹ \$million	Total credit impairment \$million	Net carrying value \$million
Cash and balances at central banks	79,158	–	79,158	417	(3)	414	603	(10)	593	80,178	(13)	80,165
Loans and advances to banks (amortised cost)	41,613	(6)	41,607	737	(2)	735	48	(4)	44	42,398	(12)	42,386
Loans and advances to customers (amortised cost)	273,155	(553)	272,602	12,520	(465)	12,055	6,136	(4,062)	2,074	291,811	(5,080)	286,731
Debt securities and other eligible bills⁵	156,264	(29)		1,059	(7)		306	(6)		157,629	(42)	
Amortised cost	55,128	(11)	55,117	41	(1)	40	53	–	53	55,222	(12)	55,210
FVOCI²	101,136	(18)		1,018	(6)		253	(6)		102,407	(30)	–
Accrued income (amortised cost)⁴	2,612		2,612			–			–	2,612	–	2,612
Assets held for sale⁴	556	–	556	62	–	62	45	(41)	4	663	(41)	622
Other assets	45,372	–	45,372	–	–	–	7	(7)	–	45,379	(7)	45,372
Undrawn commitments³	188,364	(60)		4,546	(37)		37	(1)		192,947	(98)	
Financial guarantees, trade credits and irrevocable letter of credits³	101,740	(16)		1,794	(16)		425	(106)		103,959	(138)	
Total	888,834	(664)		21,135	(530)		7,607	(4,237)		917,576	(5,431)	

1 Gross carrying amount for off-balance sheet refers to notional values

2 These instruments are held at fair value on the balance sheet. The ECL provision in respect of debt securities measured at FVOCI is held within the OCI reserve

3 These are off-balance sheet instruments. Only the ECL is recorded on-balance sheet as a financial liability and therefore there is no 'net carrying amount'. ECL allowances on off-balance sheet instruments are held as liability provisions to the extent that the drawn and undrawn components of loan exposures can be separately identified. Otherwise they will be reported against the drawn component

4 Stage 1 ECL is not material

5 Stage 3 gross includes \$289 million originated credit-impaired debt securities with impairment of \$6 million

Risk review continued

	31.12.24											
	Stage 1			Stage 2			Stage 3			Total		
	Gross balance¹ \$million	Total credit impairment \$million	Net carrying value \$million	Gross balance¹ \$million	Total credit impairment \$million	Net carrying value \$million	Gross balance¹ \$million	Total credit impairment \$million	Net carrying value \$million	Gross balance¹ \$million	Total credit impairment \$million	Net carrying value \$million
Cash and balances at central banks	62,597	–	62,597	432	(4)	428	426	(4)	422	63,455	(8)	63,447
Loans and advances to banks (amortised cost)	43,208	(10)	43,198	318	(1)	317	83	(5)	78	43,609	(16)	43,593
Loans and advances to customers (amortised cost)	269,102	(483)	268,619	10,631	(473)	10,158	6,203	(3,948)	2,255	285,936	(4,904)	281,032
Debt securities and other eligible bills⁵	141,862	(23)		1,614	(4)		103	(2)		143,579	(29)	
Amortised cost	54,637	(15)	54,622	475	(2)	473	42	–	42	55,154	(17)	55,137
FVOCI²	87,225	(8)		1,139	(2)		61	(2)		88,425	(12)	
Accrued income (amortised cost)⁴	2,776		2,776			–			–	2,776	–	2,776
Assets held for sale⁴	840	(7)	833	38	–	38	58	(45)	13	936	(52)	884
Other assets	34,585	–	34,585	–	–	–	3	(3)	–	34,588	(3)	34,585
Undrawn commitments³	178,516	(50)		4,006	(52)		7	(1)		182,529	(103)	
Financial guarantees, trade credits and irrevocable letter of credits³	87,991	(16)		2,038	(7)		603	(129)		90,632	(152)	
Total	821,477	(589)		19,077	(541)		7,486	(4,137)		848,040	(5,267)	

1 Gross carrying amount for off-balance sheet refers to notional values

2 These instruments are held at fair value on the balance sheet. The ECL provision in respect of debt securities measured at FVOCI is held within the OCI reserve

3 These are off-balance sheet instruments. Only the ECL is recorded on-balance sheet as a financial liability and therefore there is no 'net carrying amount'. ECL allowances on off-balance sheet instruments are held as liability provisions to the extent that the drawn and undrawn components of loan exposures can be separately identified. Otherwise they will be reported against the drawn component

4 Stage 1 ECL is not material

5 Stage 3 gross includes \$59 million originated credit-impaired debt securities with impairment of \$Nil million

Credit quality analysis (reviewed)

Credit quality by client segment

For CIB, exposures are analysed by credit grade (CG), which plays a central role in the quality assessment and monitoring of risk. All loans are assigned a CG, which is reviewed periodically and amended in light of changes in the borrower's circumstances or behaviour. CGs 1 to 12 are assigned to stage 1 and stage 2 (performing) clients or accounts, while CGs 13 and 14 are assigned to stage 3 (credit-impaired) clients. Consumer and Business Banking portfolios are analysed by days past due and Private Banking by the type of collateral held.

Mapping of credit quality

The Group uses the following internal risk mapping to determine the credit quality for loans.

Credit quality description	Corporate & Investment Banking			Private Banking ¹	Wealth & Retail Banking ⁴
	Internal grade mapping	S&P external ratings equivalent	Regulatory PD range (%)	Internal ratings	Internal grade mapping
Strong	1A to 5B	AAA/AA+ to BBB-/BB+ ²	0 to 0.425	Class I and Class IV	Current loans (no past dues nor impaired)
Satisfactory	6A to 11C	BB to CCC+ ³	0.426 to 15.75	Class II and Class III	Loans past due till 29 days
Higher risk	Grade 12	CCC+ to C	15.751 to 99.999	Stressed Assets Group (SAG) Managed	Past due loans 30 days and over till 90 days

1 For Private Banking, classes of risk represent the type of collateral held. Class I represents facilities with liquid collateral, such as cash and marketable securities. Class II represents unsecured/partially secured facilities and those with illiquid collateral, such as equity in private enterprises. Class III represents facilities with residential or commercial real estate collateral. Class IV covers margin trading facilities

2 Banks' rating: AAA/AA+ to BB+/BB. Sovereigns' rating: AAA to BB+

3 Banks' rating: BB to 'CCC+' to C'. Sovereigns' rating: BB+/BB to B-/CCC+

4 Wealth & Retail Banking excludes Private Banking. Medium enterprise clients within Business Banking are managed using the same internal credit grades as CIB

The table below sets out the gross loans and advances held at amortised cost, ECL provisions and expected credit loss coverage by business segment and stage. ECL coverage represents the ECL reported for each segment and stage as a proportion of the gross loan balance for each segment and stage.

+ Further details can be found in the 'Summary of Credit Risk performance' section on page 36.

Risk review continued

Loans and advances by client segment (reviewed)

30.06.25

	Customers							
	Banks \$million	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Ventures \$million	Central & other items \$million	Customer Total \$million	Undrawn commitments \$million	Financial Guarantees \$million
Amortised cost								
Stage 1	41,613	129,064	124,273	1,549	18,269	273,155	188,364	101,740
– Strong	28,979	91,162	118,929	1,528	17,799	229,418	171,907	66,028
– Satisfactory	12,634	37,902	5,344	21	470	43,737	16,457	35,712
Stage 2	737	10,374	2,078	47	21	12,520	4,546	1,794
– Strong	41	1,888	1,563	30	–	3,481	1,144	471
– Satisfactory	263	6,845	146	6	–	6,997	3,133	990
– Higher risk	433	1,641	369	11	21	2,042	269	333
Of which (stage 2):								
– Less than 30 days past due	–	118	146	6	–	270	–	–
– More than 30 days past due	2	57	369	11	–	437	–	–
Stage 3, credit-impaired financial assets	48	4,421	1,701	14	–	6,136	37	425
Gross balance¹	42,398	143,859	128,052	1,610	18,290	291,811	192,947	103,959
Stage 1	(6)	(124)	(403)	(26)	–	(553)	(60)	(16)
– Strong	(3)	(49)	(328)	(24)	–	(401)	(34)	(7)
– Satisfactory	(3)	(75)	(75)	(2)	–	(152)	(26)	(9)
Stage 2	(2)	(306)	(141)	(18)	–	(465)	(37)	(16)
– Strong	–	(6)	(65)	(11)	–	(82)	(4)	–
– Satisfactory	–	(209)	(38)	(2)	–	(249)	(24)	(5)
– Higher risk	(2)	(91)	(38)	(5)	–	(134)	(9)	(11)
Of which (stage 2):								
– Less than 30 days past due	–	(11)	(38)	(2)	–	(51)	–	–
– More than 30 days past due	–	–	(38)	(5)	–	(43)	–	–
Stage 3, credit-impaired financial assets	(4)	(3,251)	(800)	(11)	–	(4,062)	(1)	(106)
Total credit impairment	(12)	(3,681)	(1,344)	(55)	–	(5,080)	(98)	(138)
Net carrying value	42,386	140,178	126,708	1,555	18,290	286,731		
Stage 1	0.0%	0.1%	0.3%	1.7%	0.0%	0.2%	0.0%	0.0%
– Strong	0.0%	0.1%	0.3%	1.6%	0.0%	0.2%	0.0%	0.0%
– Satisfactory	0.0%	0.2%	1.4%	9.5%	0.0%	0.3%	0.2%	0.0%
Stage 2	0.3%	2.9%	6.8%	38.3%	0.0%	3.7%	0.8%	0.9%
– Strong	0.0%	0.3%	4.2%	36.7%	0.0%	2.4%	0.3%	0.0%
– Satisfactory	0.0%	3.1%	26.0%	33.3%	0.0%	3.6%	0.8%	0.5%
– Higher risk	0.5%	5.5%	10.3%	45.5%	0.0%	6.6%	3.3%	3.3%
Of which (stage 2):								
– Less than 30 days past due	0.0%	9.3%	26.0%	33.3%	0.0%	18.9%	0.0%	0.0%
– More than 30 days past due	0.0%	0.0%	10.3%	45.5%	0.0%	9.8%	0.0%	0.0%
Stage 3, credit-impaired financial assets (S3)	8.3%	73.5%	47.0%	78.6%	0.0%	66.2%	2.7%	24.9%
– Stage 3 Collateral	–	294	656	–	–	950	–	37
– Stage 3 Cover ratio (after collateral)	8.3%	80.2%	85.6%	78.6%	0.0%	81.7%	2.7%	33.6%
Cover ratio	0.0%	2.6%	1.0%	3.4%	0.0%	1.7%	0.1%	0.1%
Fair value through profit or loss								
Performing	36,958	63,870	5	–	–	63,875		
– Strong	32,385	44,257	4	–	–	44,261		
– Satisfactory	4,468	19,524	1	–	–	19,525		
– Higher risk	105	89	–	–	–	89		
Defaulted (CG13-14)	–	12	–	–	–	12		
Gross balance (FVTPL) ²	36,958	63,882	5	–	–	63,887		
Net carrying value (incl FVTPL)	79,344	204,060	126,713	1,555	18,290	350,618		

1 Loans and advances includes reverse repurchase agreements and other similar secured lending of \$4,189 million under Customers and of \$4,250 million under Banks, held at amortised cost

2 Loans and advances includes reverse repurchase agreements and other similar secured lending of \$55,768 million under Customers and of \$34,565 million under Banks, held at fair value through profit or loss

	Customers							
	Banks \$million	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Ventures \$million	Central & other items \$million	Customer Total \$million	Undrawn commitments \$million	Financial Guarantees \$million
Amortised cost								
Stage 1	43,208	128,746	117,015	1,383	21,958	269,102	178,516	87,991
– Strong	31,239	90,725	111,706	1,367	21,540	225,338	162,574	56,070
– Satisfactory	11,969	38,021	5,309	16	418	43,764	15,942	31,921
Stage 2	318	8,643	1,905	48	35	10,631	4,006	2,038
– Strong	8	1,229	1,413	31	–	2,673	994	471
– Satisfactory	125	6,665	155	6	–	6,826	2,862	1,403
– Higher risk	185	749	337	11	35	1,132	150	164
Of which (stage 2):								
– Less than 30 days past due	–	55	155	6	–	216	–	–
– More than 30 days past due	2	7	337	11	–	355	–	–
Stage 3, credit-impaired financial assets	83	4,476	1,617	12	98	6,203	7	603
Gross balance¹	43,609	141,865	120,537	1,443	22,091	285,936	182,529	90,632
Stage 1	(10)	(80)	(383)	(20)	–	(483)	(50)	(16)
– Strong	(7)	(28)	(325)	(18)	–	(371)	(33)	(7)
– Satisfactory	(3)	(52)	(58)	(2)	–	(112)	(17)	(9)
Stage 2	(1)	(303)	(147)	(23)	–	(473)	(52)	(7)
– Strong	–	(41)	(70)	(14)	–	(125)	(10)	–
– Satisfactory	(1)	(218)	(32)	(3)	–	(253)	(32)	(4)
– Higher risk	–	(44)	(45)	(6)	–	(95)	(10)	(3)
Of which (stage 2):								
– Less than 30 days past due	–	(1)	(32)	(3)	–	(36)	–	–
– More than 30 days past due	–	–	(45)	(6)	–	(51)	–	–
Stage 3, credit-impaired financial assets	(5)	(3,178)	(759)	(11)	–	(3,948)	(1)	(129)
Total credit impairment	(16)	(3,561)	(1,289)	(54)	–	(4,904)	(103)	(152)
Net carrying value	43,593	138,304	119,248	1,389	22,091	281,032	–	–
Stage 1	0.0%	0.1%	0.3%	1.4%	0.0%	0.2%	0.0%	0.0%
– Strong	0.0%	0.0%	0.3%	1.3%	0.0%	0.2%	0.0%	0.0%
– Satisfactory	0.0%	0.1%	1.1%	12.5%	0.0%	0.3%	0.1%	0.0%
Stage 2	0.3%	3.6%	7.7%	47.9%	0.0%	4.4%	1.3%	0.3%
– Strong	0.0%	3.3%	5.0%	45.2%	0.0%	4.7%	1.0%	0.0%
– Satisfactory	0.8%	3.3%	20.6%	50.0%	0.0%	3.7%	1.1%	0.3%
– Higher risk	0.0%	5.9%	13.4%	54.5%	0.0%	8.4%	6.7%	1.8%
Of which (stage 2):								
– Less than 30 days past due	0.0%	1.8%	20.6%	50.0%	0.0%	16.7%	0.0%	0.0%
– More than 30 days past due	0.0%	0.0%	13.4%	54.5%	0.0%	14.4%	0.0%	0.0%
Stage 3, credit-impaired financial assets (S3)	6.0%	71.0%	46.9%	91.7%	0.0%	63.6%	14.3%	21.4%
– Stage 3 Collateral	1	297	584	–	–	881	–	46
– Stage 3 Cover ratio (after collateral)	7.2%	77.6%	83.1%	91.7%	0.0%	77.8%	14.3%	29.0%
Cover ratio	0.0%	2.5%	1.1%	3.7%	0.0%	1.7%	0.1%	0.2%
Fair value through profit or loss								
Performing	36,967	58,506	6	–	–	58,512		
– Strong	30,799	38,084	3	–	–	38,087		
– Satisfactory	6,158	20,314	3	–	–	20,317		
– Higher risk	10	108	–	–	–	108		
Defaulted (CG13-14)	–	13	–	–	–	13		
Gross balance (FVTPL) ²	36,967	58,519	6	–	–	58,525		
Net carrying value (incl FVTPL)	80,560	196,823	119,254	1,389	22,091	339,557		

1 Loans and advances includes reverse repurchase agreements and other similar secured lending of \$9,660 million under Customers and of \$2,946 million under Banks, held at amortised cost

2 Loans and advances includes reverse repurchase agreements and other similar secured lending of \$51,441 million under Customers and of \$34,754 million under Banks, held at fair value through profit or loss

Loans and advances by client segment credit quality analysis

30.06.25

Credit grade	Regulatory 1-year PD range (%)	S&P external ratings equivalent	Corporate & Investment Banking and Central & other items							
			Gross				Credit impairment			
			Stage 1 \$million	Stage 2 \$million	Stage 3 \$million	Total \$million	Stage 1 \$million	Stage 2 \$million	Stage 3 \$million	Total \$million
Strong			108,961	1,888	–	110,849	(49)	(6)	–	(55)
1A–2B	0–0.045	A+ and above	30,153	36	–	30,189	(1)	–	–	(1)
3A–4A	0.046–0.110	A/A- to BBB+/BBB	34,562	544	–	35,106	(7)	–	–	(7)
4B–5B	0.111–0.425	BBB to BBB-/BB+	44,246	1,308	–	45,554	(41)	(6)	–	(47)
Satisfactory			38,372	6,845	–	45,217	(75)	(209)	–	(284)
6A–7B	0.426–1.350	BB+/BB to BB-	25,061	1,643	–	26,704	(28)	(13)	–	(41)
8A–9B	1.351–4.000	BB-/B+ to B	8,524	3,005	–	11,529	(26)	(166)	–	(192)
10A–11C	4.001–15.75	B/B- to B-/CCC+	4,787	2,197	–	6,984	(21)	(30)	–	(51)
Higher risk			–	1,662	–	1,662	–	(91)	–	(91)
12	15.751–99.999	CCC/C	–	1,662	–	1,662	–	(91)	–	(91)
Credit-impaired			–	–	4,421	4,421	–	–	(3,251)	(3,251)
13–14	100	Defaulted	–	–	4,421	4,421	–	–	(3,251)	(3,251)
Total			147,333	10,395	4,421	162,149	(124)	(306)	(3,251)	(3,681)

31.12.24

Strong			112,265	1,229	–	113,494	(28)	(41)	–	(69)
1A–2B	0–0.045	A+ and above	32,160	31	–	32,191	(2)	–	–	(2)
3A–4A	0.046–0.110	A/A- to BBB+/BBB	40,712	524	–	41,236	(8)	(33)	–	(41)
4B–5B	0.111–0.425	BBB to BBB-/BB+	39,393	674	–	40,067	(18)	(8)	–	(26)
Satisfactory			38,439	6,665	–	45,104	(52)	(218)	–	(270)
6A–7B	0.426–1.350	BB+/BB to BB-	24,928	2,677	–	27,605	(21)	(24)	–	(45)
8A–9B	1.351–4.000	BB-/B+ to B	9,514	2,618	–	12,132	(20)	(169)	–	(189)
10A–11C	4.001–5.75	B/B- to B-/CCC+	3,997	1,370	–	5,367	(11)	(25)	–	(36)
Higher risk			–	784	–	784	–	(44)	–	(44)
12	15.751–99.999	CCC/C	–	784	–	784	–	(44)	–	(44)
Credit-impaired			–	–	4,574	4,574	–	–	(3,178)	(3,178)
13–14	100	Defaulted	–	–	4,574	4,574	–	–	(3,178)	(3,178)
Total			150,704	8,678	4,574	163,956	(80)	(303)	(3,178)	(3,561)

Undrawn commitment and financial guarantees – by client segment credit quality

30.06.25

Credit grade	Regulatory 1-year PD range (%)	S&P external ratings equivalent	Corporate & Investment Banking and Central & other items							
			Notional				Credit impairment			
			Stage 1 \$million	Stage 2 \$million	Stage 3 \$million	Total \$million	Stage 1 \$million	Stage 2 \$million	Stage 3 \$million	Total \$million
Strong			160,041	1,392	–	161,433	(25)	(1)	–	(26)
1A–2B	0–0.045	A+ and above	34,283	252	–	34,535	(1)	–	–	(1)
3A–4A	0.046–0.110	A/A- to BBB+/BBB	58,220	594	–	58,814	(4)	–	–	(4)
4B–5B	0.111–0.425	BBB to BBB-/BB+	67,538	546	–	68,084	(20)	(1)	–	(21)
Satisfactory			50,662	4,059	–	54,721	(31)	(27)	–	(58)
6A–7B	0.426–1.350	BB+/BB to BB-	39,644	1,435	–	41,079	(18)	(6)	–	(24)
8A–9B	1.351–4.000	BB-/B+ to B	8,070	2,030	–	10,100	(9)	(14)	–	(23)
10A–11C	4.001–15.75	B/B- to B-/CCC+	2,948	594	–	3,542	(4)	(7)	–	(11)
Higher risk			–	572	–	572	–	(18)	–	(18)
12	15.751–99.999	CCC+/C	–	572	–	572	–	(18)	–	(18)
Credit-impaired			–	–	450	450	–	–	(107)	(107)
13–14	100	Defaulted	–	–	450	450	–	–	(107)	(107)
Total			210,703	6,023	450	217,176	(56)	(46)	(107)	(209)

31.12.24

Strong			140,733	1,265	–	141,998	(22)	(6)	–	(28)
1A–2B	0–0.045	A+ and above	29,623	280	–	29,903	(1)	–	–	(1)
3A–4A	0.046–0.110	A/A- to BBB+/BBB	53,568	492	–	54,060	(4)	–	–	(4)
4B–5B	0.111–0.425	BBB to BBB-/BB+	57,542	493	–	58,035	(17)	(6)	–	(23)
Satisfactory			46,394	4,200	–	50,594	(23)	(33)	–	(56)
6A–7B	0.426–1.350	BB+/BB to BB-	2,544	1,065	–	3,609	(4)	(6)	–	(10)
8A–9B	1.351–4.000	BB-/B+ to B	30,438	1,162	–	31,600	(11)	(16)	–	(27)
10A–11C	4.001–15.75	B/B- to B-/CCC+	13,412	1,973	–	15,385	(8)	(11)	–	(19)
Higher risk			–	286	–	286	–	(11)	–	(11)
12	15.751–99.999	CCC+/C	–	286	–	286	–	(11)	–	(11)
Credit-impaired			–	–	593	593	–	–	(129)	(129)
13–14	100	Defaulted	–	–	593	593	–	–	(129)	(129)
Total			187,127	5,751	593	193,471	(45)	(50)	(129)	(224)

Risk review continued

Loans and advances analysis by client segment, credit quality and key geography

Corporate & Investment Banking and Central & other items																			
30.06.25																			
	Gross									Credit impairment									
	Stage 1			Stage 2			Stage 3			Stage 1			Stage 2			Stage 3			Total Coverage %
	Strong \$million	Satis- factory \$million	Total \$million	Strong \$million	Satis- factory \$million	Higher Risk \$million	Total \$million	De- faulted \$million	Total \$million	Strong \$million	Satis- factory \$million	Total \$million	Strong \$million	Satis- factory \$million	Higher Risk \$million	Total \$million	Im- paired \$million	Total \$million	
Hong Kong	28,893	12,244	41,137	226	1,847	367	2,440	1,432	1,432	(18)	(18)	(36)	–	(103)	(63)	(166)	(1,240)	(1,240)	(3.2)%
Corporate Lending	14,112	5,695	19,807	213	1,219	367	1,799	1,419	1,419	(15)	(6)	(21)	–	(100)	(63)	(163)	(1,239)	(1,239)	(6.2)%
Non Corporate Lending ¹	5,741	2,541	8,282	12	620	–	632	13	13	(1)	(11)	(12)	–	(3)	–	(3)	(1)	(1)	(0.2)%
Banks	9,040	4,008	13,048	1	8	–	9	–	–	(2)	(1)	(3)	–	–	–	–	–	–	(0.0)%
Singapore	30,742	8,835	39,577	1,023	1,065	225	2,313	241	241	(5)	(11)	(16)	(2)	(4)	–	(6)	(192)	(192)	(0.5)%
Corporate Lending	8,803	4,083	12,886	975	603	21	1,599	196	196	(4)	(9)	(13)	(2)	(4)	–	(6)	(192)	(192)	(1.4)%
Non Corporate Lending ¹	17,532	973	18,505	32	420	180	632	–	–	(1)	(1)	(2)	–	–	–	–	–	–	(0.0)%
Banks	4,407	3,779	8,186	16	42	24	82	45	45	–	(1)	(1)	–	–	–	–	–	–	(0.0)%
China	10,610	2,164	12,774	–	273	37	310	161	161	(3)	(1)	(4)	–	–	(1)	(1)	(86)	(86)	(0.7)%
Corporate Lending	5,403	1,472	6,875	–	270	37	307	159	159	(2)	(1)	(3)	–	–	(1)	(1)	(84)	(84)	(1.2)%
Non Corporate Lending ¹	3,402	404	3,806	–	–	–	–	–	–	(1)	–	(1)	–	–	–	–	–	–	(0.0)%
Banks	1,805	288	2,093	–	3	–	3	2	2	–	–	–	–	–	–	–	(2)	(2)	(0.1)%
UK	14,382	6,804	21,186	57	1,792	574	2,423	868	868	(2)	(2)	(4)	(1)	(24)	–	(25)	(389)	(389)	(1.7)%
Corporate Lending	6,096	3,379	9,475	57	1,165	497	1,719	779	779	(2)	(2)	(4)	(1)	(23)	–	(24)	(363)	(363)	(3.3)%
Non Corporate Lending ¹	6,224	1,363	7,587	–	611	74	685	88	88	–	–	–	–	(1)	–	(1)	(25)	(25)	(0.3)%
Banks	2,062	2,062	4,124	–	16	3	19	1	1	–	–	–	–	–	–	–	(1)	(1)	(0.0)%
US	18,653	3,705	22,358	215	329	–	544	3	3	(5)	(3)	(8)	(1)	(3)	–	(4)	(4)	(4)	(0.1)%
Corporate Lending	6,819	2,262	9,081	148	230	–	378	–	–	(4)	(2)	(6)	(1)	(3)	–	(4)	(1)	(1)	(0.1)%
Non Corporate Lending ¹	11,190	262	11,452	67	69	–	136	3	3	(1)	(1)	(2)	–	–	–	–	(3)	(3)	(0.0)%
Banks	644	1,181	1,825	–	30	–	30	–	–	–	–	–	–	–	–	–	–	–	0.0%
Others	34,660	17,254	51,914	408	1,802	892	3,102	1,764	1,764	(19)	(43)	(62)	(2)	(75)	(29)	(106)	(1,344)	(1,344)	(2.7)%
Corporate Lending	19,043	13,399	32,442	372	1,245	456	2,073	1,592	1,592	(18)	(33)	(51)	(2)	(63)	(27)	(92)	(1,186)	(1,186)	(3.7)%
Non Corporate Lending ¹	4,596	2,539	7,135	26	379	30	435	172	172	–	(9)	(9)	–	(12)	–	(12)	(157)	(157)	(2.3)%
Banks	11,021	1,316	12,337	10	178	406	594	–	–	(1)	(1)	(2)	–	–	(2)	(2)	(1)	(1)	(0.0)%
Total	137,940	51,006	188,946	1,929	7,108	2,095	11,132	4,469	4,469	(52)	(78)	(130)	(6)	(209)	(93)	(308)	(3,255)	(3,255)	(1.8)%

1 Include financing, insurance and non-banking corporations and governments

Corporate & Investment Banking and Central & other items²

	31.12.24																			
	Gross										Credit impairment									
	Stage 1			Stage 2			Stage 3			Stage 1			Stage 2			Stage 3			Total coverage %	
	Strong \$million	Satis- factory \$million	Total \$million	Strong \$million	Satis- factory \$million	Higher risk \$million	Total \$million	De- faulted \$million	Total \$million	Strong \$million	Satis- factory \$million	Total \$million	Strong \$million	Satis- factory \$million	Higher risk \$million	Total \$million	Im- paired \$million	Total \$million		
Hong Kong	29,643	12,079	41,722	230	1,539	64	1,833	1,308	1,308	(8)	(8)	(16)	(33)	(107)	(9)	(149)	(1,157)	(1,157)	(2.9)%	
Corporate Lending	13,230	6,180	19,410	225	1,329	64	1,618	1,296	1,296	(5)	(4)	(9)	(33)	(102)	(9)	(144)	(1,157)	(1,157)	(5.9)%	
Non Corporate Lending ¹	4,526	2,730	7,256	4	206	–	210	12	12	(1)	(3)	(4)	–	(5)	–	(5)	–	–	(0.1)%	
Banks	11,887	3,169	15,056	1	4	–	5	–	–	(2)	(1)	(3)	–	–	–	–	–	–	(0.0)%	
Singapore	34,114	8,762	42,876	500	1,019	35	1,554	337	337	–	(8)	(8)	(4)	(14)	–	(18)	(196)	(196)	(0.5)%	
Corporate Lending	9,545	4,457	14,002	469	658	35	1,162	265	265	–	(6)	(6)	(4)	(14)	–	(18)	(195)	(195)	(1.4)%	
Non Corporate Lending ¹	20,156	1,091	21,247	29	358	–	387	–	–	–	(1)	(1)	–	–	–	–	–	–	(0.0)%	
Banks	4,413	3,214	7,627	2	3	–	5	72	72	–	(1)	(1)	–	–	–	–	(1)	(1)	(0.0)%	
China	10,370	2,744	13,114	49	133	14	196	171	171	(3)	(1)	(4)	–	–	–	–	(86)	(86)	(0.7)%	
Corporate Lending	4,934	2,143	7,077	49	133	14	196	168	168	(1)	(1)	(2)	–	–	–	–	(83)	(83)	(1.1)%	
Non Corporate Lending ¹	3,241	363	3,604	–	–	–	–	–	–	(1)	–	(1)	–	–	–	–	–	–	(0.0)%	
Banks	2,195	238	2,433	–	–	–	–	3	3	(1)	–	(1)	–	–	–	–	(3)	(3)	(0.2)%	
UK	21,555	5,985	27,540	48	1,940	141	2,129	756	756	(10)	(4)	(14)	–	(27)	(6)	(33)	(258)	(258)	(1.0)%	
Corporate Lending	2,331	2,082	4,413	47	1,433	27	1,507	658	658	(9)	(3)	(12)	–	(27)	(6)	(33)	(237)	(237)	(4.3)%	
Non Corporate Lending ¹	17,040	1,753	18,793	1	507	112	620	97	97	(1)	(1)	(2)	–	–	–	–	(21)	(21)	(0.1)%	
Banks	2,184	2,150	4,334	–	–	2	2	1	1	–	–	–	–	–	–	–	–	–	0.0%	
US	15,707	4,400	20,107	92	433	33	558	4	4	(4)	(1)	(5)	(1)	(1)	–	(2)	(3)	(3)	(0.0)%	
Corporate Lending	5,334	2,705	8,039	77	322	–	399	1	1	(3)	(1)	(4)	(1)	(1)	–	(2)	–	–	(0.1)%	
Non Corporate Lending ¹	9,688	123	9,811	15	79	–	94	3	3	(1)	–	(1)	–	–	–	–	(3)	(3)	(0.0)%	
Banks	685	1,572	2,257	–	32	33	65	–	–	–	–	–	–	–	–	–	–	–	0.0%	
Others	32,116	16,437	48,553	318	1,726	681	2,725	2,081	2,081	(10)	(33)	(43)	(3)	(70)	(29)	(102)	(1,483)	(1,483)	(3.1)%	
Corporate Lending	21,909	12,516	34,425	291	1,030	490	1,811	1,883	1,883	(6)	(26)	(32)	(3)	(38)	(28)	(69)	(1,333)	(1,333)	(3.8)%	
Non Corporate Lending ¹	332	2,296	2,628	22	610	41	673	191	191	–	(6)	(6)	–	(31)	(1)	(32)	(149)	(149)	(5.4)%	
Banks	9,875	1,625	11,500	5	86	150	241	7	7	(4)	(1)	(5)	–	(1)	–	(1)	(1)	(1)	(0.1)%	
Total	143,505	50,407	193,912	1,237	6,790	968	8,995	4,657	4,657	(35)	(55)	(90)	(41)	(219)	(44)	(304)	(3,183)	(3,183)	(1.7)%	

1 Include financing, insurance and non-banking corporations and governments

2 Amounts have been re-presented from management view to financial booking basis in line with RNS on Re-Presentation of Financial Information issued on 2 April 2025

Risk review continued

Wealth & Retail Banking and Ventures																			
30.06.25																			
Gross										Credit impairment									
Stage 1			Stage 2			Stage 3			Total	Stage 1			Stage 2			Stage 3			Total coverage %
Strong \$million	Satis- factory \$million	Total \$million	Strong \$million	Satis- factory \$million	Higher risk \$million	Total \$million	De- faulted \$million	Total \$million		Strong \$million	Satis- factory \$million	Total \$million	Strong \$million	Satis- factory \$million	Higher risk \$million	Total \$million	Im- paired \$million	Total \$million	
Hong Kong	42,020	269	42,289	324	49	54	427	231	231	(62)	(21)	(83)	(25)	(14)	(10)	(49)	(78)	(78)	(0.5)%
Mortgages	30,622	213	30,835	99	30	22	151	71	71	–	–	–	–	–	–	–	(3)	(3)	(0.0)%
Credit cards	3,999	24	4,023	93	17	19	129	14	14	(32)	(17)	(49)	(19)	(13)	(7)	(39)	(14)	(14)	(2.4)%
Others	7,399	32	7,431	132	2	13	147	146	146	(30)	(4)	(34)	(6)	(1)	(3)	(10)	(61)	(61)	(1.4)%
Singapore	29,807	76	29,883	436	40	43	519	334	334	(38)	(36)	(74)	(1)	(7)	(8)	(16)	(269)	(269)	(1.2)%
Mortgages	14,571	18	14,589	193	34	14	241	11	11	–	–	–	–	–	–	–	(5)	(5)	(0.0)%
Credit cards	2,427	37	2,464	17	5	22	44	19	19	(18)	(35)	(53)	–	(7)	(6)	(13)	(19)	(19)	(3.4)%
Others	12,809	21	12,830	226	1	7	234	304	304	(20)	(1)	(21)	(1)	–	(2)	(3)	(245)	(245)	(2.0)%
Korea	21,492	269	21,761	327	10	43	380	134	134	(25)	(3)	(28)	(21)	(13)	(1)	(35)	(50)	(50)	(0.5)%
Mortgages	16,435	200	16,635	265	9	15	289	77	77	(1)	–	(1)	–	–	–	–	(4)	(4)	(0.0)%
Credit cards	24	1	25	1	–	–	1	–	–	–	–	–	–	–	–	–	–	–	0.0%
Others	5,033	68	5,101	61	1	28	90	57	57	(24)	(3)	(27)	(21)	(13)	(1)	(35)	(46)	(46)	(2.1)%
Rest of World	27,138	4,751	31,889	506	53	240	799	1,016	1,016	(227)	(17)	(244)	(29)	(6)	(24)	(59)	(414)	(414)	(2.1)%
Mortgages	16,006	2,143	18,149	300	36	143	479	489	489	(4)	(3)	(7)	–	–	(1)	(1)	(127)	(127)	(0.7)%
Credit cards	1,311	41	1,352	39	1	14	54	35	35	(26)	(4)	(30)	(15)	–	(10)	(25)	(25)	(25)	(5.6)%
Others	9,821	2,567	12,388	167	16	83	266	492	492	(197)	(10)	(207)	(14)	(6)	(13)	(33)	(262)	(262)	(3.8)%
Total	120,457	5,365	125,822	1,593	152	380	2,125	1,715	1,715	(352)	(77)	(429)	(76)	(40)	(43)	(159)	(811)	(811)	(1.1)%

Wealth & Retail Banking and Ventures																			
31.12.24																			
Gross										Credit impairment									
Stage 1			Stage 2			Stage 3			Total	Stage 1			Stage 2			Stage 3			Total Coverage %
Strong \$million	Satis- factory \$million	Total \$million	Strong \$million	Satis- factory \$million	Higher Risk \$million	Total \$million	De- faulted \$million	Total \$million		Strong \$million	Satis- factory \$million	Total \$million	Strong \$million	Satis- factory \$million	Higher Risk \$million	Total \$million	Im- paired \$million	Total \$million	
Hong Kong	41,906	320	42,226	288	47	40	375	228	228	(59)	(14)	(73)	(33)	(20)	(4)	(57)	(69)	(69)	(0.5)%
Mortgages	31,080	265	31,345	55	14	24	93	75	75	–	–	–	–	–	–	–	(7)	(7)	(0.0)%
Credit cards	4,210	19	4,229	93	30	1	124	14	14	(36)	(11)	(47)	(27)	(19)	(1)	(47)	(14)	(14)	(2.5)%
Others	6,616	36	6,652	140	3	15	158	139	139	(23)	(3)	(26)	(6)	(1)	(3)	(10)	(48)	(48)	(1.2)%
Singapore	26,755	52	26,807	441	39	34	514	312	312	(29)	(26)	(55)	(6)	(6)	(6)	(18)	(265)	(265)	(1.2)%
Mortgages	13,531	12	13,543	160	32	15	207	9	9	–	–	–	–	–	–	–	(4)	(4)	(0.0)%
Credit cards	2,248	25	2,273	14	5	16	35	16	16	(9)	(26)	(35)	(5)	(5)	(4)	(14)	(19)	(19)	(2.9)%
Others	10,976	15	10,991	267	2	3	272	287	287	(20)	–	(20)	(1)	(1)	(2)	(4)	(242)	(242)	(2.3)%
Korea	18,062	220	18,282	378	9	22	409	112	112	(22)	(1)	(23)	(28)	(4)	(1)	(33)	(33)	(33)	(0.5)%
Mortgages	13,198	171	13,369	250	8	17	275	62	62	–	–	–	–	–	–	–	(2)	(2)	(0.0)%
Credit cards	36	1	37	1	–	–	1	–	–	(1)	–	(1)	–	–	–	–	–	–	(2.6)%
Others	4,828	48	4,876	127	1	5	133	50	50	(21)	(1)	(22)	(28)	(4)	(1)	(33)	(31)	(31)	(1.7)%
Rest of World	26,085	4,998	31,083	338	76	241	655	977	977	(239)	(13)	(252)	(39)	(5)	(18)	(62)	(403)	(403)	(2.2)%
Mortgages	15,079	2,007	17,086	136	43	141	320	459	459	(4)	(2)	(6)	–	–	(1)	(1)	(124)	(124)	(0.7)%
Credit cards	1,148	351	1,499	29	12	19	60	40	40	(33)	(1)	(34)	(21)	–	(1)	(22)	(27)	(27)	(5.2)%
Others	9,858	2,640	12,498	173	21	81	275	478	478	(202)	(10)	(212)	(18)	(5)	(16)	(39)	(252)	(252)	(3.8)%
Total	112,808	5,590	118,398	1,445	171	337	1,953	1,629	1,629	(349)	(54)	(403)	(106)	(35)	(29)	(170)	(770)	(770)	(1.1)%

Undrawn commitment and financial guarantees – by client segment credit quality

Wealth & Retail Banking and Ventures

30.06.25								
	Notional				ECL			
	Stage 1 \$million	Stage 2 \$million	Stage 3 \$million	Total \$million	Stage 1 \$million	Stage 2 \$million	Stage 3 \$million	Total \$million
Amortised cost								
Strong	70,794	113	–	70,907	(15)	(3)	–	(18)
Satisfactory	625	12	–	637	(3)	(2)	–	(5)
Higher risk	–	30	–	30	–	(2)	–	(2)
Impaired	–	–	3	3	–	–	–	–
Total	71,419	155	3	71,577	(18)	(7)	–	(25)

31.12.24								
	Notional				ECL			
	Stage 1 \$million	Stage 2 \$million	Stage 3 \$million	Total \$million	Stage 1 \$million	Stage 2 \$million	Stage 3 \$million	Total \$million
Amortised cost								
Strong	70,595	100	–	70,695	(15)	(3)	–	(18)
Satisfactory	850	11	–	861	(5)	(1)	–	(6)
Higher risk	–	21	–	21	–	(3)	–	(3)
Impaired	–	–	8	8	–	–	–	–
Total	71,445	132	8	71,585	(20)	(7)	–	(27)

Movement in gross exposures and credit impairment for loans and advances, debt securities, undrawn commitments and financial guarantees (reviewed)

The tables overleaf set out the movement in gross exposures and credit impairment by stage in respect of amortised cost loans to banks and customers, undrawn commitments, financial guarantees and debt securities classified at amortised cost and FVOCI. The tables are presented for the Group and separately for CIB and WRB (which also includes a separate presentation for secured and unsecured exposures).

Methodology

The movement lines within the tables are an aggregation of monthly movements over the year and will therefore reflect the accumulation of multiple trades during the year. The credit impairment charge in the income statement comprises the amounts within the boxes in the table below, less recoveries of amounts previously written off. Discount unwind is reported in net interest income and related to stage 3 financial instruments only.

The approach for determining the key line items in the tables is set out below.

- **Transfers** – transfers between stages are deemed to occur at the beginning of a month based on prior month closing balances.
- **Net remeasurement from stage changes** – the remeasurement of credit impairment provisions arising from a change in stage is reported within the stage that the assets are transferred to. For example, assets transferred into stage 2 are remeasured from a 12-month to a lifetime ECL, with the effect of remeasurement reported in stage 2. For stage 3, this represents the initial remeasurement from specific provisions recognised on individual assets transferred into stage 3 in the year.
- **Net changes in exposures** – new business written less repayments in the year. Within stage 1, new business written will attract up to 12 months of ECL charges. Repayments of non-amortising loans (primarily within CIB) will have low amounts of ECL provisions attributed to them, due to the release of provisions over the term to maturity. In stages 2 and 3, the net change in exposures reflect repayments although stage 2 may include new facilities where clients are on non-purely precautionary early alert, are CG 12, or when non-investment grade debt securities are acquired.
- **Changes in risk parameters** – for stages 1 and 2, this reflects changes in the probability of default (PD), loss given default (LGD) and exposure at default (EAD) of assets during the year, which includes the impact of releasing provisions over the term to maturity. It also includes the effect of changes in forecasts of macroeconomic variables during the year. In stage 3, this line represents additional specific provisions recognised on exposures held within stage 3.
- **Interest due but not paid** – change in contractual amount of interest due in stage 3 financial instruments but not paid, being the net of accruals, repayments and write-offs, together with the corresponding change in credit impairment.

Changes to ECL models, which incorporate changes to model approaches and methodologies, are not reported as a separate line item as these have an impact over a number of lines and stages.

Movements during the year

Stage 1 gross exposures increased by \$40.5 billion to \$761.1 billion (31 December 2024: \$720.7 billion). CIB exposure increased by \$22.3 billion to \$389.4 billion (31 December 2024: \$367.1 billion), mainly due to an increase in exposures to financial guarantees and undrawn commitments. WRB increased by \$6.5 billion to \$186.1 billion (31 December 2024: \$179.6 billion), mainly due to an increase in the mortgage portfolio across Korea, Taiwan and Singapore and in Secured wealth products due to the higher demand in Singapore.

Total stage 1 provisions increased by \$82 million to \$664 million (31 December 2024: \$582 million). CIB provisions increased by \$55 million to \$188 million (31 December 2024: \$133 million), due to portfolio movements and new exposures. WRB provisions increased by \$20 million to \$412 million (31 December 2024: \$392 million), due to Secured wealth and unsecured lending portfolios.

Stage 2 gross exposures increased by \$2.0 billion to \$20.7 billion (31 December 2024: \$18.6 billion), primarily driven by exposure increases in CIB to Sovereign related and Commercial real estate clients. WRB exposures increased by \$0.2 billion to \$2.2 billion (31 December 2024: \$2.0 billion), mainly due to the China secured portfolio.

Stage 2 provisions decreased by \$10 million to \$527 million (31 December 2024: \$537 million). CIB provisions decreased by \$9 million to \$353 million (31 December 2024: \$362 million) due to China CRE overlay releases. WRB provisions decreased by \$5 million to \$146 million (31 December 2024: \$151 million), mainly in the unsecured portfolio.

The non-linearity impact increased stage 1 and 2 provisions by \$34 million to \$77 million (31 December 2024: \$43 million). This reflects an increased probability weighting of the overall downside scenarios from 32 per cent to 45 per cent, given heightened levels of tariffs and geopolitical uncertainty.

+ Further details of the specific downside scenarios can be found in the 'Impact of multiple economic scenarios' section on page 72.

Stage 3 gross exposures for CIB decreased by \$0.2 billion to \$4.9 billion (31 December 2024: \$5.2 billion) due to repayments. CIB provisions remained stable at \$3.4 billion (31 December 2024: \$3.3 billion). WRB stage 3 loans increased by \$0.1 billion to \$1.7 billion (31 December 2024: \$1.6 billion) mainly in the secured portfolio but provisions remained stable at \$0.8 billion (31 December 2024: \$0.8 billion).

All segments (reviewed)

	Stage 1			Stage 2			Stage 3 ⁵			Total		
	Gross balance ³ \$million	Total credit impairment \$million	Net \$million	Gross balance ³ \$million	Total credit impairment \$million	Net \$million	Gross balance ³ \$million	Total credit impairment \$million	Net \$million	Gross balance ³ \$million	Total credit impairment \$million	Net \$million
Amortised cost and FVOCI												
As at 1 January 2024	723,876	(526)	723,350	22,268	(517)	21,751	8,144	(4,499)	3,645	754,288	(5,542)	748,746
Transfers to stage 1	16,433	(543)	15,890	(16,423)	543	(15,880)	(10)	–	(10)	–	–	–
Transfers to stage 2	(33,301)	128	(33,173)	33,770	(153)	33,617	(469)	25	(444)	–	–	–
Transfers to stage 3	(1,631)	63	(1,568)	(146)	168	22	1,777	(231)	1,546	–	–	–
Net change in exposures	29,928	(173)	29,755	(18,435)	80	(18,355)	(1,383)	622	(761)	10,110	529	10,639
Net remeasurement from stage changes	–	61	61	–	(185)	(185)	–	(203)	(203)	–	(327)	(327)
Changes in risk parameters	–	84	84	–	(242)	(242)	–	(873)	(873)	–	(1,031)	(1,031)
Write-offs	–	–	–	–	–	–	(1,260)	1,260	–	(1,260)	1,260	–
Interest due but unpaid	–	–	–	–	–	–	53	(53)	–	53	(53)	–
Discount unwind	–	–	–	–	–	–	–	135	135	–	135	135
Exchange translation differences and other movements ¹	(14,626)	324	(14,302)	(2,427)	(231)	(2,658)	147	(268)	(121)	(16,906)	(175)	(17,081)
As at 31 December 2024²	720,679	(582)	720,097	18,607	(537)	18,070	6,999	(4,085)	2,914	746,285	(5,204)	741,081
Income statement ECL (charge)/release ⁶		(28)			(347)			(454)			(829)	
Recoveries of amounts previously written off		–			–			279			279	
Total credit impairment (charge)/release⁴		(28)			(347)			(175)			(550)	
As at 1 January 2025	720,679	(582)	720,097	18,607	(537)	18,070	6,999	(4,085)	2,914	746,285	(5,204)	741,081
Transfers to stage 1	5,946	(408)	5,538	(5,945)	408	(5,537)	(1)	–	(1)	–	–	–
Transfers to stage 2	(18,668)	57	(18,611)	18,954	(71)	18,883	(286)	14	(272)	–	–	–
Transfers to stage 3	(70)	–	(70)	(988)	145	(843)	1,058	(145)	913	–	–	–
Net change in exposures	31,424	(129)	31,295	(9,472)	(40)	(9,512)	(553)	304	(249)	21,399	135	21,534
Net remeasurement from stage changes	–	43	43	–	(88)	(88)	–	(25)	(25)	–	(70)	(70)
Changes in risk parameters	–	66	66	–	(28)	(28)	–	(606)	(606)	–	(568)	(568)
Write-offs	–	–	–	–	–	–	(518)	518	–	(518)	518	–
Interest due but unpaid	–	–	–	–	–	–	88	(88)	–	88	(88)	–
Discount unwind	–	–	–	–	–	–	–	55	55	–	55	55
Exchange translation differences and other movements ¹	21,825	289	22,114	(500)	(316)	(816)	165	(121)	44	21,490	(148)	21,342
As at 30 June 2025²	761,136	(664)	760,472	20,656	(527)	20,129	6,952	(4,179)	2,773	788,744	(5,370)	783,374
Income statement ECL (charge)/release ⁶		(20)			(156)			(327)			(503)	
Recoveries of amounts previously written off		–			–			175			175	
Total credit impairment (charge)/release⁴		(20)			(156)			(152)			(328)	

1 Includes fair value adjustments and amortisation on debt securities

2 Excludes Cash and balances at central banks, Accrued income, Assets held for sale and Other assets gross balances of \$128,832 million (31 December 2024: \$101,755 million) and Total credit impairment of \$61 million (31 December 2024: \$63 million)

3 The gross balance includes the notional amount of off balance sheet instruments

4 Reported basis

5 Stage 3 gross includes \$289 million (31 December 2024: \$59 million) originated credit-impaired debt securities with impairment of \$6 million (31 December 2024: \$Nil)

6 Does not include charge relating to Other assets of \$8 million (31 December 2024: \$3 million)

Risk review continued

Corporate & Investment Banking (reviewed)

	Stage 1			Stage 2			Stage 3			Total		
	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million
Amortised cost and FVOCI												
As at 1 January 2024	337,189	(151)	337,038	16,873	(318)	16,555	6,256	(3,651)	2,605	360,318	(4,120)	356,198
Transfers to stage 1	10,390	(245)	10,145	(10,390)	245	(10,145)	–	–	–	–	–	–
Transfers to stage 2	(25,698)	47	(25,651)	25,810	(58)	25,752	(112)	11	(101)	–	–	–
Transfers to stage 3	(186)	(4)	(190)	(186)	22	(164)	372	(18)	354	–	–	–
Net change in exposures	50,866	(50)	50,816	(16,508)	88	(16,420)	(1,063)	607	(456)	33,295	645	33,940
Net remeasurement from stage changes	–	16	16	(4)	(36)	(40)	–	(100)	(100)	(4)	(120)	(124)
Changes in risk parameters²	–	32	32	–	(129)	(129)	–	(324)	(324)	–	(421)	(421)
Write-offs	–	–	–	–	–	–	(321)	321	–	(321)	321	–
Interest due but unpaid	–	–	–	–	–	–	25	(25)	–	25	(25)	–
Discount unwind	–	–	–	–	–	–	–	104	104	–	104	104
Exchange translation differences and other movements²	(5,455)	222	(5,233)	(726)	(176)	(902)	13	(237)	(224)	(6,168)	(191)	(6,359)
As at 31 December 2024	367,106	(133)	366,973	14,869	(362)	14,507	5,170	(3,312)	1,858	387,145	(3,807)	383,338
Income statement ECL (charge)/release²		(2)			(77)			183			104	
Recoveries of amounts previously written off		–			–			26			26	
Total credit impairment (charge)/release		(2)			(77)			209			130	
As at 1 January 2025	367,106	(133)	366,973	14,869	(362)	14,507	5,170	(3,312)	1,858	387,145	(3,807)	383,338
Transfers to stage 1	3,585	(281)	3,304	(3,585)	281	(3,304)	–	–	–	–	–	–
Transfers to stage 2	(14,748)	8	(14,740)	14,975	(22)	14,953	(227)	14	(213)	–	–	–
Transfers to stage 3	(2)	–	(2)	(326)	39	(287)	328	(39)	289	–	–	–
Net change in exposures	25,369	(71)	25,298	(8,166)	(28)	(8,194)	(347)	310	(37)	16,856	211	17,067
Net remeasurement from stage changes	–	–	–	–	–	–	–	14	14	–	14	14
Changes in risk parameters	–	24	24	–	(12)	(12)	–	(256)	(256)	–	(244)	(244)
Write-offs	–	–	–	–	–	–	(39)	39	–	(39)	39	–
Interest due but unpaid	–	–	–	–	–	–	76	(76)	–	76	(76)	–
Discount unwind	–	–	–	–	–	–	–	39	39	–	39	39
Exchange translation differences and other movements	8,050	265	8,315	(470)	(249)	(719)	(33)	(95)	(128)	7,547	(79)	7,468
As at 30 June 2025	389,360	(188)	389,172	17,297	(353)	16,944	4,928	(3,362)	1,566	411,585	(3,903)	407,682
Income statement ECL (charge)/release		(47)			(40)			68			(19)	
Recoveries of amounts previously written off		–			–			29			29	
Total credit impairment (charge)/release		(47)			(40)			97			10	

1 The gross balance includes the notional amount of off balance sheet instruments

2 Business segments have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

Wealth & Retail Banking (reviewed)

	Stage 1			Stage 2			Stage 3			Total		
	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million
Amortised cost and FVOCI												
As at 1 January 2024	190,999	(325)	190,674	2,472	(140)	2,332	1,485	(759)	726	194,956	(1,224)	193,732
Transfers to stage 1	5,126	(288)	4,838	(5,116)	288	(4,828)	(10)	–	(10)	–	–	–
Transfers to stage 2	(7,393)	80	(7,313)	7,525	(80)	7,445	(132)	–	(132)	–	–	–
Transfers to stage 3	(98)	1	(97)	(1,254)	211	(1,043)	1,352	(212)	1,140	–	–	–
Net change in exposures	(3,926)	(89)	(4,015)	(1,505)	21	(1,484)	(431)	–	(431)	(5,862)	(68)	(5,930)
Net remeasurement from stage changes	–	29	29	–	(144)	(144)	–	(44)	(44)	–	(159)	(159)
Changes in risk parameters²	–	35	35	–	(152)	(152)	–	(531)	(531)	–	(648)	(648)
Write-offs	–	–	–	–	–	–	(808)	808	–	(808)	808	–
Interest due but unpaid	–	–	–	–	–	–	28	(28)	–	28	(28)	–
Discount unwind	–	–	–	–	–	–	–	30	30	–	30	30
Exchange translation differences and other movements²	(5,128)	165	(4,963)	(92)	(155)	(247)	139	(22)	117	(5,081)	(12)	(5,093)
As at 31 December 2024	179,580	(392)	179,188	2,030	(151)	1,879	1,623	(758)	865	183,233	(1,301)	181,932
Income statement ECL (charge)/release²		(25)			(275)			(575)			(875)	
Recoveries of amounts previously written off		–			–			253			253	
Total credit impairment (charge)/release		(25)			(275)			(322)			(622)	
As at 1 January 2025	179,580	(392)	179,188	2,030	(151)	1,879	1,623	(758)	865	183,233	(1,301)	181,932
Transfers to stage 1	1,871	(118)	1,753	(1,870)	118	(1,752)	(1)	–	(1)	–	–	–
Transfers to stage 2	(3,647)	43	(3,604)	3,706	(43)	3,663	(59)	–	(59)	–	–	–
Transfers to stage 3	(20)	–	(20)	(690)	100	(590)	710	(100)	610	–	–	–
Net change in exposures	1,592	(29)	1,563	(1,039)	7	(1,032)	(312)	–	(312)	241	(22)	219
Net remeasurement from stage changes	–	22	22	–	(88)	(88)	–	(12)	(12)	–	(78)	(78)
Changes in risk parameters	–	7	7	–	(19)	(19)	–	(363)	(363)	–	(375)	(375)
Write-offs	–	–	–	–	–	–	(454)	454	–	(454)	454	–
Interest due but unpaid	–	–	–	–	–	–	11	(11)	–	11	(11)	–
Discount unwind	–	–	–	–	–	–	–	16	16	–	16	16
Exchange translation differences and other movements	6,679	55	6,734	87	(70)	17	185	(25)	160	6,951	(40)	6,911
As at 30 June 2025	186,055	(412)	185,643	2,224	(146)	2,078	1,703	(799)	904	189,982	(1,357)	188,625
Income statement ECL (charge)/release		–			(100)			(375)			(475)	
Recoveries of amounts previously written off		–			–			146			146	
Total credit impairment (charge)/release		–			(100)			(229)			(329)	

1 The gross balance includes the notional amount of off-balance sheet instruments

2 Business segments have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

Risk review continued

Wealth & Retail Banking – Secured (reviewed)

	Stage 1			Stage 2			Stage 3			Total		
	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million	Gross balance¹ \$million	Total credit impairment \$million	Net \$million
Amortised cost and FVOCI												
As at 1 January 2024	129,798	(33)	129,765	1,827	(16)	1,811	1,062	(525)	537	132,687	(574)	132,113
Transfers to stage 1	3,839	(23)	3,816	(3,836)	23	(3,813)	(3)	–	(3)	–	–	–
Transfers to stage 2	(4,952)	13	(4,939)	5,054	(13)	5,041	(102)	–	(102)	–	–	–
Transfers to stage 3	(43)	–	(43)	(566)	19	(547)	609	(19)	590	–	–	–
Net change in exposures	2,570	(11)	2,559	(917)	8	(909)	(268)	–	(268)	1,385	(3)	1,382
Net remeasurement from stage changes	–	6	6	–	(15)	(15)	–	(7)	(7)	–	(16)	(16)
Changes in risk parameters²	–	10	10	–	(6)	(6)	–	(123)	(123)	–	(119)	(119)
Write-offs	–	–	–	–	–	–	(114)	114	–	(114)	114	–
Interest due but unpaid	–	–	–	–	–	–	53	(53)	–	53	(53)	–
Discount unwind	–	–	–	–	–	–	–	16	16	–	16	16
Exchange translation differences and other movements²	(4,496)	(10)	(4,506)	(57)	(31)	(88)	(33)	41	8	(4,586)	–	(4,586)
As at 31 December 2024	126,716	(48)	126,668	1,505	(31)	1,474	1,204	(556)	648	129,425	(635)	128,790
Income statement ECL (charge)/release²		5			(13)			(130)			(138)	
Recoveries of amounts previously written off		–			–			80			80	
Total credit impairment (charge)/release		5			(13)			(50)			(58)	
As at 1 January 2025	126,716	(48)	126,668	1,505	(31)	1,474	1,204	(556)	648	129,425	(635)	128,790
Transfers to stage 1	1,322	(6)	1,316	(1,321)	6	(1,315)	(1)	–	(1)	–	–	–
Transfers to stage 2	(2,521)	3	(2,518)	2,568	(3)	2,565	(47)	–	(47)	–	–	–
Transfers to stage 3	(14)	–	(14)	(338)	7	(331)	352	(7)	345	–	–	–
Net change in exposures	2,916	(8)	2,908	(749)	(2)	(751)	(255)	–	(255)	1,912	(10)	1,902
Net remeasurement from stage changes	–	3	3	–	(18)	(18)	–	(7)	(7)	–	(22)	(22)
Changes in risk parameters	–	(14)	(14)	–	25	25	–	(129)	(129)	–	(118)	(118)
Write-offs	–	–	–	–	–	–	(114)	114	–	(114)	114	–
Interest due but unpaid	–	–	–	–	–	–	53	(53)	–	53	(53)	–
Discount unwind	–	–	–	–	–	–	–	9	9	–	9	9
Exchange translation differences and other movements	5,735	13	5,748	69	(14)	55	63	62	125	5,867	61	5,928
As at 30 June 2025	134,154	(57)	134,097	1,734	(30)	1,704	1,255	(567)	688	137,143	(654)	136,489
Income statement ECL (charge)/release		(19)			5			(136)			(150)	
Recoveries of amounts previously written off		–			–			46			46	
Total credit impairment (charge)/release		(19)			5			(90)			(104)	

1 The gross balance includes the notional amount of off balance sheet instruments

2 Business segments have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

Wealth & Retail Banking – Unsecured (reviewed)

	Stage 1			Stage 2			Stage 3			Total		
	Gross balance ¹ \$million	Total credit impairment \$million	Net \$million	Gross balance ¹ \$million	Total credit impairment \$million	Net \$million	Gross balance ¹ \$million	Total credit impairment \$million	Net \$million	Gross balance ¹ \$million	Total credit impairment \$million	Net \$million
Amortised cost and FVOCI												
As at 1 January 2024	61,201	(292)	60,909	645	(124)	521	423	(234)	189	62,269	(650)	61,619
Transfers to stage 1	1,287	(265)	1,022	(1,280)	265	(1,015)	(7)	–	(7)	–	–	–
Transfers to stage 2	(2,441)	67	(2,374)	2,471	(67)	2,404	(30)	–	(30)	–	–	–
Transfers to stage 3	(55)	1	(54)	(688)	192	(496)	743	(193)	550	–	–	–
Net change in exposures	(6,496)	(78)	(6,574)	(588)	13	(575)	(163)	–	(163)	(7,247)	(65)	(7,312)
Net remeasurement from stage changes	–	23	23	–	(129)	(129)	–	(37)	(37)	–	(143)	(143)
Changes in risk parameters	–	25	25	–	(146)	(146)	–	(408)	(408)	–	(529)	(529)
Write-offs	–	–	–	–	–	–	(694)	694	–	(694)	694	–
Interest due but unpaid	–	–	–	–	–	–	(25)	25	–	(25)	25	–
Discount unwind	–	–	–	–	–	–	–	14	14	–	14	14
Exchange translation differences and other movements	(632)	175	(457)	(35)	(124)	(159)	172	(63)	109	(495)	(12)	(507)
As at 31 December 2024	52,864	(344)	52,520	525	(120)	405	419	(202)	217	53,808	(666)	53,142
Income statement ECL (charge)/release		(30)			(262)			(445)			(737)	
Recoveries of amounts previously written off		–			–			172			172	
Total credit impairment (charge)/release		(30)			(262)			(273)			(565)	
As at 1 January 2025	52,864	(344)	52,520	525	(120)	405	419	(202)	217	53,808	(666)	53,142
Transfers to stage 1	549	(112)	437	(549)	112	(437)	–	–	–	–	–	–
Transfers to stage 2	(1,126)	40	(1,086)	1,138	(40)	1,098	(12)	–	(12)	–	–	–
Transfers to stage 3	(6)	–	(6)	(352)	93	(259)	358	(93)	265	–	–	–
Net change in exposures	(1,324)	(21)	(1,345)	(290)	9	(281)	(57)	–	(57)	(1,671)	(12)	(1,683)
Net remeasurement from stage changes	–	19	19	–	(70)	(70)	–	(5)	(5)	–	(56)	(56)
Changes in risk parameters	–	21	21	–	(44)	(44)	–	(234)	(234)	–	(257)	(257)
Write-offs	–	–	–	–	–	–	(340)	340	–	(340)	340	–
Interest due but unpaid	–	–	–	–	–	–	(42)	42	–	(42)	42	–
Discount unwind	–	–	–	–	–	–	–	7	7	–	7	7
Exchange translation differences and other movements	944	42	986	18	(56)	(38)	122	(87)	35	1,084	(101)	983
As at 30 June 2025	51,901	(355)	51,546	490	(116)	374	448	(232)	216	52,839	(703)	52,136
Income statement ECL (charge)/release		19			(105)			(239)			(325)	
Recoveries of amounts previously written off		–			–			100			100	
Total credit impairment (charge)/release		19			(105)			(139)			(225)	

1 The gross balance includes the notional amount of off balance sheet instruments

Analysis of stage 2 balances

The table below analyses total stage 2 gross on-and off-balance sheet exposures and associated expected credit provisions by the key SICR driver that caused the exposures to be classified as stage 2 as at 30 June 2025 and 31 December 2024 for each segment.

Where multiple drivers apply, the exposure is allocated based on the table order. For example, a loan may have breached the PD thresholds and could also be on non-purely precautionary early alert; in this instance, the exposure is reported under 'Increase in PD'.

+ Further details can be found in the 'Summary of Credit Risk performance' section on page 36.

30.06.25																
	Corporate & Investment Banking			Wealth & Retail Banking			Ventures			Central & other items ¹			Total			
	Gross \$million	ECL \$million	Cove- rage %	Gross \$million	ECL \$million	Cove- rage %	Gross \$million	ECL \$million	Cove- rage %	Gross \$million	ECL \$million	Cove- rage %	Gross \$million	ECL \$million	Cove- rage %	
Increase in PD	9,051	137	1.5%	1,598	121	7.6%	51	17	33.3%	188	4	2.1%	10,888	279	2.6%	
Non-purely precautionary early alert	3,911	27	0.7%	34	–	0.0%	–	–	0.0%	159	–	0.0%	4,104	27	0.7%	
Higher risk (CG12)	1,618	45	2.8%	20	–	0.0%	–	–	0.0%	1,183	7	0.6%	2,821	52	1.8%	
Top up/Sell down (Private Banking)	–	–	0.0%	187	–	0.0%	–	–	0.0%	–	–	0.0%	187	–	0.0%	
Others	2,717	20	0.7%	180	5	2.8%	–	–	0.0%	26	–	0.0%	2,923	25	0.9%	
30 days past due	–	–	0.0%	205	17	8.3%	7	3	42.9%	–	–	0.0%	212	20	9.4%	
Management overlay	–	124	0.0%	–	3	0.0%	–	–	0.0%	–	–	0.0%	–	127	0.0%	
Total stage 2	17,297	353	2.0%	2,224	146	6.6%	58	20	34.5%	1,556	11	0.7%	21,135	530	2.5%	
31.12.24																
Increase in PD	8,465	112	1.3%	1,366	104	7.6%	48	20	31.3%	154	–	0.0%	10,033	236	2.4%	
Non-purely precautionary early alert	3,473	44	1.3%	30	–	0.0%	–	–	0.0%	–	–	0.0%	3,503	44	1.3%	
Higher risk (CG12)	686	24	3.5%	18	–	0.0%	–	–	0.0%	1,488	1	0.4%	2,192	25	1.1%	
Top up/Sell down (Private Banking)	–	–	0.0%	254	1	0.4%	–	–	0.0%	–	–	0.0%	254	1	0.4%	
Others	2,245	25	1.1%	150	5	3.3%	–	–	0.0%	482	–	0.0%	2,877	30	1.0%	
30 days past due	–	–	0.0%	212	19	9.0%	6	4	66.7%	–	–	0.0%	218	23	10.6%	
Management overlay	–	157	0.0%	–	22	0.0%	–	3	0.0%	–	–	0.0%	–	182	0.0%	
Total stage 2	14,869	362	2.4%	2,030	151	7.4%	54	27	40.7%	2,124	1	0.3%	19,077	541	2.8%	

1 Includes Gross and ECL for Cash and balances at central banks and Assets held for sale

Credit impairment charge (reviewed)

The table below analyses credit impairment charges or releases of the ongoing business portfolio and restructuring business portfolio for the half year ended 30 June 2025.

	30.06.25			30.06.24 ¹		
	Stage 1 & 2 \$million	Stage 3 \$million	Total \$million	Stage 1 & 2 \$million	Stage 3 \$million	Total \$million
Ongoing business portfolio						
Corporate & Investment Banking	85	(99)	(14)	(51)	(3)	(54)
Wealth & Retail Banking	103	229	332	123	144	267
Ventures	(3)	27	24	7	36	43
Central & other items	(6)	–	(6)	(6)	(1)	(7)
Credit impairment charge	179	157	336	73	176	249
Restructuring business portfolio						
Others	(2)	2	–	2	(11)	(9)
Credit impairment charge/(release)	(2)	2	–	2	(11)	(9)
Total credit impairment charge	177	159	336	75	165	240

1 Business segments have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025, with no change in total credit impairment charge

Problem credit management and provisioning (reviewed)

Forborne and other modified loans by client segment

A forborne loan arises when a concession has been made to the contractual terms of a loan in response to a customer's financial difficulties.

Net forborne loans increased by \$192 million to \$976 million (31 December 2024: \$784 billion), largely in CIB due to new loans classified as performing forborne in Hong Kong. Non-performing forborne loans stock increased by \$41 million to \$773 million (31 December 2024: \$732 million), mainly in WRB.

	30.06.25			31.12.24		
	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Total \$million	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Total \$million
Amortised cost						
Gross stage 1 and 2 forborne loans	224	53	277	17	36	53
Modification of terms and conditions ¹	20	53	73	17	36	53
Refinancing ²	204	–	204	–	–	–
Impairment provisions	(73)	(1)	(74)	–	(1)	(1)
Modification of terms and conditions ¹	(1)	(1)	(2)	–	(1)	(1)
Refinancing ²	(72)	–	(72)	–	–	–
Net stage 1 and 2 forborne loans	151	52	203	17	35	52
Collateral	–	43	43	–	27	27
Gross stage 3 forborne loans	2,098	309	2,407	2,065	258	2,323
Modification of terms and conditions ¹	1,802	309	2,111	1,824	258	2,082
Refinancing ²	296	–	296	241	–	241
Impairment provisions	(1,512)	(122)	(1,634)	(1,481)	(110)	(1,591)
Modification of terms and conditions ¹	(1,254)	(122)	(1,376)	(1,242)	(110)	(1,352)
Refinancing ²	(258)	–	(258)	(239)	–	(239)
Net stage 3 forborne loans	586	187	773	584	148	732
Collateral	200	24	224	172	55	227
Net carrying value of forborne loans	737	239	976	601	183	784

1 Modification of terms is any contractual change apart from refinancing, as a result of credit stress of the counterparty, i.e. interest reductions, loan covenant waivers

2 Refinancing is a new contract to a borrower in credit stress, such that they are refinanced and can pay other debt contracts that they were unable to honour

Risk review continued

Forborne and other modified loans by key geography

Net forborne loans increased by \$192 million to \$976 million (31 December 2024: \$784 million), mainly on the performing forborne loans in Hong Kong.

	30.06.25								31.12.24 ¹							
	Hong Kong	Korea	China	Singapore	UK	US	Other	Total	Hong Kong	Korea	China	Singapore	UK	US	Other	Total
Amortised cost	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million	\$million
Performing forborne loans	134	14	–	3	–	–	52	203	2	8	–	3	–	–	39	52
Stage 3 forborne loans	113	24	75	27	102	1	431	773	110	25	85	25	81	1	405	732
Net forborne loans	247	38	75	30	102	1	483	976	112	33	85	28	81	1	444	784

1 Amounts have been re-presented from management view to financial booking basis in line with RNS on Re-Presentation of Financial Information issued on 2 April 2025

Credit Risk mitigation

Potential credit losses from any given account, customer or portfolio are mitigated using a range of tools such as collateral, netting arrangements, credit insurance and credit derivatives, and guarantees. The reliance that can be placed on these mitigants is carefully assessed in consideration of legal certainty and enforceability, market valuation correlation and counterparty risk of the guarantor.

+ Further details can be found in the 'Credit Risk Mitigation' section on page 201 of the 2024 Annual Report.

Collateral held on loans and advances

The table below details collateral held against exposures, separately disclosing stage 2 and stage 3 exposure and corresponding collateral.

	30.06.25								
	Net amount outstanding				Collateral		Net exposure		
	Total	Stage 2	Credit-	Total ²	Stage 2	Credit-	Total	Stage 2	Credit-
Amortised cost	\$million	financial	impaired	\$million	financial	impaired	\$million	financial	impaired
		assets	financial		assets	financial		assets	financial
		\$million	assets (\$3)			assets (\$3)			assets (\$3)
			\$million			\$million			\$million
Corporate & Investment Banking ¹	182,564	10,803	1,214	33,937	3,688	294	148,627	7,115	920
Wealth & Retail Banking	126,708	1,937	901	95,041	1,128	656	31,667	809	245
Ventures	1,555	29	3	–	–	–	1,555	29	3
Central & other items	18,290	21	–	810	21	–	17,480	–	–
Total	329,117	12,790	2,118	129,788	4,837	950	199,329	7,953	1,168

31.12.24									
Corporate & Investment Banking ¹	181,897	8,657	1,376	36,750	3,052	298	145,147	5,605	1,078
Wealth & Retail Banking	119,248	1,758	858	85,163	891	584	34,085	867	274
Ventures	1,389	25	1	–	–	–	1,389	25	1
Central & other items	22,091	35	98	80	35	–	22,011	–	98
Total	324,625	10,475	2,333	121,993	3,978	882	202,632	6,497	1,451

1 Includes loans and advances to banks

2 Adjusted for over-collateralisation based on the drawn and undrawn components of exposures

Collateral – Corporate & Investment Banking (reviewed)

Our underwriting standards encourage taking specific charges on assets and we consistently seek high-quality, investment grade collateral.

Collateral taken for longer-term and sub-investment grade corporate loans decreased to 47 per cent (31 December 2024: 49 per cent).

The unadjusted market value of collateral across all asset types, in respect of CIB, without adjusting for over collateralisation, decreased to \$378 billion (31 December 2024: \$383 billion) predominantly due to a decrease in reverse repos.

87.0 per cent (31 December 2024: 88.5 per cent) of tangible collateral excluding reverse repurchase agreements and financial guarantees held comprises of physical assets with the remainder held in cash. Overall collateral decreased by \$2.8 billion to \$33.9 billion (31 December 2024: \$36.8 billion) due to a reduction in reverse repos.

Non-tangible collateral, such as guarantees and standby letters of credit, is also held against corporate exposures, although the financial effect of this type of collateral is less significant in terms of recoveries. However, this is considered when determining the loss given default and other credit-related factors. Collateral is also held against off-balance sheet exposures, including undrawn commitments and trade-related instruments.

Corporate & Investment Banking

	30.06.25 \$million	31.12.24 \$million
Amortised cost		
Maximum exposure	182,564	181,897
Property	9,917	8,504
Plant, machinery and other stock	901	935
Cash	2,367	1,973
Reverse repos	7,641	12,568
AAA	587	–
AA- to AA+	776	938
A- to A+	3,034	8,324
BBB- to BBB+	578	1,437
Lower than BBB-	–	95
Unrated	2,666	1,774
Financial guarantees and insurance	8,027	7,075
Commodities	9	33
Ships and aircraft	5,075	5,662
Total value of collateral¹	33,937	36,750
Net exposure	148,627	145,147

1 Adjusted for over-collateralisation based on the drawn and undrawn components of exposures

Collateral – Wealth & Retail Banking (reviewed)

In WRB, fully secured products remained stable at 86 per cent of the total portfolio (31 December 2024: 85 per cent).

The following table presents an analysis of loans to individuals by product; split between fully secured, partially secured and unsecured.

	30.06.25				31.12.24			
	Fully secured ¹ \$million	Partially secured ¹ \$million	Unsecured \$million	Total ² \$million	Fully secured ¹ \$million	Partially secured ¹ \$million	Unsecured \$million	Total ² \$million
Amortised cost								
Maximum exposure	109,035	662	17,011	126,708	101,264	536	17,448	119,248
Loans to individuals								
Mortgages	81,868	–	–	81,868	76,696	–	–	76,696
CCPL ⁵	–	–	15,830	15,830	–	–	16,343	16,343
Secured wealth products	24,458	–	–	24,458	21,928	–	–	21,928
Other ^{4,5}	2,709	662	1,181	4,552	2,640	536	1,105	4,281
Total collateral²				95,041				85,163
Net exposure³				31,667				34,085
Percentage of total loans	86%	1%	13%		85%	0%	15%	

1 Secured loans are fully secured if the fair value of the collateral is equal to or greater than the loan at the time of origination. All other secured loans are considered to be partially secured

2 Collateral values are adjusted where appropriate in accordance with our risk mitigation policy and for the effect of over-collateralisation

3 Amounts net of ECL

4 Includes Auto Loans previously presented separately. Prior period has been represented

5 Prior period has been represented between CCPL and Other under Fully secured

Mortgage loan-to-value ratios by geography (reviewed)

Loan-to-value (LTV) ratios measure the ratio of the current mortgage outstanding to the current fair value of the properties on which they are secured. An analysis of LTV ratios by geography for the mortgage portfolio is presented in the table below.

For the majority of mortgage loans, the value of property held as security significantly exceeds the principal outstanding of the loan. The average LTV of the overall mortgage portfolio remains stable at 49.0 per cent (31 December 2024: 48.9 per cent). The Hong Kong mortgage portfolio represents 32 per cent of total WRB mortgage portfolio and the increase in LTV from 58.6 per cent to 59.4 per cent was primarily due to a decrease in property prices. However, 29 per cent of the Hong Kong mortgage exposure is backed by credit insurance and, specifically, 94 per cent of mortgage exposure with LTV greater than 80 per cent is backed by credit insurance.

Our other key markets continued to have low portfolio LTVs (Korea and Singapore at 42.9 per cent and 42.5 per cent respectively). Korea portfolio LTV increased slightly by 0.8 per cent (31 December 2024: 42.1 per cent) primarily due to government relaxations on LTV.

	30.06.25					31.12.24				
	Hong Kong %	Singapore %	Korea %	Other %	Total %	Hong Kong %	Singapore %	Korea %	Other %	Total %
Amortised cost	Gross	Gross	Gross	Gross	Gross	Gross	Gross	Gross	Gross	Gross
Less than 50 per cent	39.2	53.6	61.3	48.6	50.4	40.9	52.7	64.1	50.2	51.3
50 per cent to 59 per cent	17.1	21.2	13.6	14.9	16.2	17.6	21.8	13.2	15.4	16.5
60 per cent to 69 per cent	13.5	14.0	15.0	17.5	14.9	12.7	15.6	13.5	17.0	14.3
70 per cent to 79 per cent	6.7	11.0	9.0	13.3	9.5	5.5	9.6	8.3	12.7	8.5
80 per cent to 89 per cent	5.2	0.1	0.9	5.0	3.0	5.1	0.1	0.8	4.1	2.9
90 per cent to 99 per cent	8.5	0.0	0.1	0.4	2.8	8.2	0.0	0.1	0.5	3.0
100 per cent and greater	9.8	0.1	0.1	0.2	3.2	10.1	0.1	0.1	0.2	3.5
Average portfolio loan-to-value	59.4	42.5	42.9	48.4	49.0	58.6	42.5	42.1	48.0	48.9
Loans to individuals – mortgages (\$million)	31,055	14,836	16,997	18,980	81,868	31,506	13,756	13,703	17,731	76,696

Collateral and other credit enhancements possessed or called upon (reviewed)

The Group obtains assets by taking possession of collateral (such as property, plant and equipment) or calling upon other credit enhancements (such as guarantees). Repossessed properties are sold in an orderly fashion. Where the proceeds are in excess of the outstanding loan balance, the excess is returned to the borrower.

Certain equity securities acquired may be held by the Group for investment purposes and are classified as fair value through profit or loss, and the related loan written off. The carrying value of collateral possessed that is held on the Group's balance sheet at the end of 30 June 2025 was \$nil (31 December 2024: \$24 million).

Other Credit risk mitigation (reviewed)

Other forms of credit risk mitigation are set out below.

Credit default swaps

The Group has entered into credit default swaps for portfolio management purposes, referencing loan assets with a notional value of \$5 billion (31 December 2024: \$3.5 billion). These credit default swaps are accounted for as financial guarantees as per IFRS 9 as they will only reimburse the holder for an incurred loss on an underlying debt instrument. The Group continues to hold the underlying assets referenced in the credit default swaps and it continues to be exposed to related Credit Risk and Foreign Exchange Rate Risk on these assets.

Credit linked notes

The Group has issued credit linked notes for portfolio management purposes, referencing loan assets with a notional value of \$21.6 billion (31 December 2024: \$18.6 billion). The Group continues to hold the underlying assets for which the credit linked notes provide mitigation. The credit linked notes of \$1.8 billion (31 December 2024: \$2.0 billion) are recognised as a financial liability at amortised cost on the balance sheet and are adjusted, where appropriate, for reductions in expected future cash flows with a corresponding credit impairment in the income statement.

Off-balance sheet exposures

For certain types of exposures, such as letters of credit and guarantees, the Group obtains collateral such as cash depending on internal Credit Risk assessments, as well as in the case of letters of credit holding legal title to the underlying assets should a default take place.

Other portfolio analysis

This section provides analysis of credit quality by industry, and industry and retail products analysis of loans and advances by key geography.

Credit quality by industry

Loans and advances

This section provides an analysis of the Group's amortised cost portfolio by industry on a gross, total credit impairment and net basis.

30.06.25												
	Stage 1			Stage 2			Stage 3			Total		
	Gross balance \$million	Total credit impair- ment \$million	Net carrying amount \$million	Gross balance \$million	Total credit impair- ment \$million	Net carrying amount \$million	Gross balance \$million	Total credit impair- ment \$million	Net carrying amount \$million	Gross balance \$million	Total credit impair- ment \$million	Net carrying amount \$million
Amortised cost												
Industry:												
Energy	12,862	(18)	12,844	709	(58)	651	797	(532)	265	14,368	(608)	13,760
Manufacturing	20,884	(12)	20,872	901	(14)	887	403	(309)	94	22,188	(335)	21,853
Financing, insurance and non-banking	33,065	(21)	33,044	1,124	(3)	1,121	175	(161)	14	34,364	(185)	34,179
Transport, telecom and utilities	16,723	(16)	16,707	2,309	(38)	2,271	396	(100)	296	19,428	(154)	19,274
Food and household products	8,846	(7)	8,839	338	(15)	323	212	(200)	12	9,396	(222)	9,174
Commercial real estate	11,977	(27)	11,950	2,139	(142)	1,997	1,609	(1,336)	273	15,725	(1,505)	14,220
Mining and quarrying	5,283	(3)	5,280	200	(5)	195	54	(51)	3	5,537	(59)	5,478
Consumer durables	6,969	(8)	6,961	229	(7)	222	254	(241)	13	7,452	(256)	7,196
Construction	1,949	(2)	1,947	484	(4)	480	161	(153)	8	2,594	(159)	2,435
Trading companies & distributors	524	–	524	12	(1)	11	94	(54)	40	630	(55)	575
Government	23,700	(5)	23,695	1,397	(14)	1,383	101	(24)	77	25,198	(43)	25,155
Other	4,551	(5)	4,546	553	(5)	548	165	(90)	75	5,269	(100)	5,169
Total	147,333	(124)	147,209	10,395	(306)	10,089	4,421	(3,251)	1,170	162,149	(3,681)	158,468
Retail Products:												
Mortgage	80,210	(9)	80,201	1,160	(3)	1,157	648	(138)	510	82,018	(150)	81,868
Credit Cards	7,866	(134)	7,732	229	(79)	150	69	(58)	11	8,164	(271)	7,893
Personal Loan and other unsecured lending	9,375	(230)	9,145	228	(50)	178	306	(137)	169	9,909	(417)	9,492
Secured wealth products	23,985	(43)	23,942	349	(4)	345	532	(361)	171	24,866	(408)	24,458
Other	4,386	(13)	4,373	159	(23)	136	160	(117)	43	4,705	(153)	4,552
Total	125,822	(429)	125,393	2,125	(159)	1,966	1,715	(811)	904	129,662	(1,399)	128,263
Net carrying value (customers)¹	273,155	(553)	272,602	12,520	(465)	12,055	6,136	(4,062)	2,074	291,811	(5,080)	286,731
Net carrying value (Banks)¹	41,613	(6)	41,607	737	(2)	735	48	(4)	44	42,398	(12)	42,386

1 Includes reverse repurchase agreements and other similar secured lending held at amortised cost of \$4,189 million for customers and \$4,250 million for Banks

Risk review continued

31.12.24												
	Stage 1			Stage 2			Stage 3			Total		
	Gross balance \$million	Total credit impair- ment \$million	Net carrying amount \$million	Gross balance \$million	Total credit impair- ment \$million	Net carrying amount \$million	Gross balance \$million	Total credit impair- ment \$million	Net carrying amount \$million	Gross balance \$million	Total credit impair- ment \$million	Net carrying amount \$million
Amortised cost												
Industry:												
Energy	12,147	(9)	12,138	468	(57)	411	870	(559)	311	13,485	(625)	12,860
Manufacturing	19,942	(12)	19,930	840	(16)	824	418	(305)	113	21,200	(333)	20,867
Financing, insurance and non-banking	34,452	(16)	34,436	1,238	(6)	1,232	154	(142)	12	35,844	(164)	35,680
Transport, telecom and utilities	16,099	(11)	16,088	2,309	(32)	2,277	330	(85)	245	18,738	(128)	18,610
Food and household products	8,425	(8)	8,417	267	(8)	259	251	(198)	53	8,943	(214)	8,729
Commercial real estate	12,135	(10)	12,125	1,714	(126)	1,588	1,485	(1,265)	220	15,334	(1,401)	13,933
Mining and quarrying	5,542	(3)	5,539	287	(12)	275	124	(57)	67	5,953	(72)	5,881
Consumer durables	5,988	(6)	5,982	218	(26)	192	292	(259)	33	6,498	(291)	6,207
Construction	1,925	(2)	1,923	528	(5)	523	171	(160)	11	2,624	(167)	2,457
Trading companies & distributors	589	–	589	24	(1)	23	88	(48)	40	701	(49)	652
Government	28,870	–	28,870	441	(12)	429	205	(18)	187	29,516	(30)	29,486
Other	4,590	(3)	4,587	344	(2)	342	186	(82)	104	5,120	(87)	5,033
Total	150,704	(80)	150,624	8,678	(303)	8,375	4,574	(3,178)	1,396	163,956	(3,561)	160,395
Retail Products:												
Mortgage	75,340	(8)	75,332	896	(2)	894	606	(136)	470	76,842	(146)	76,696
Credit Cards	8,037	(121)	7,916	222	(80)	142	71	(60)	11	8,330	(261)	8,069
Personal Loan and other unsecured lending ³	9,563	(228)	9,335	236	(53)	183	274	(129)	145	10,073	(410)	9,663
Secured wealth products	21,404	(37)	21,367	402	(6)	396	518	(353)	165	22,324	(396)	21,928
Other ^{2,3}	4,054	(9)	4,045	197	(29)	168	160	(92)	68	4,411	(130)	4,281
Total	118,398	(403)	117,995	1,953	(170)	1,783	1,629	(770)	859	121,980	(1,343)	120,637
Net carrying value (customers)¹	269,102	(483)	268,619	10,631	(473)	10,158	6,203	(3,948)	2,255	285,936	(4,904)	281,032
Net carrying value (Banks)¹	43,208	(10)	43,198	318	(1)	317	83	(5)	78	43,609	(16)	43,593

1 Includes reverse repurchase agreements and other similar secured lending held at amortised cost of \$9,660 million for customers and \$2,946 million for Banks

2 Includes Auto Loans previously presented separately. Prior period has been represented

3 Prior period has been represented between Personal Loan and other unsecured lending and Other

Industry and Retail Products analysis of loans and advances by key geography

This section provides an analysis of the Group's amortised cost loan portfolio, net of provisions, by industry and geography.

The Manufacturing sector group is spread across a diverse range of industries, including automobiles and components, capital goods, pharmaceuticals, biotech and life sciences, technology hardware and equipment, chemicals, paper products and packaging, with lending spread over 3,052 clients.

Corporate & Investment Banking and Central & other items

Amortised Cost	30.06.25							31.12.24 ¹						
	Hong Kong \$million	China \$million	Singapore \$million	UK \$million	US \$million	Other \$million	Total \$million	Hong Kong \$million	China \$million	Singapore \$million	UK \$million	US \$million	Other \$million	Total \$million
Energy	2,003	82	3,240	2,969	1,658	3,808	13,760	1,036	60	3,089	3,666	1,771	3,238	12,860
Manufacturing	4,179	4,340	2,105	831	2,875	7,523	21,853	4,077	4,200	1,655	660	2,307	7,968	20,867
Financing, insurance and non-banking	4,089	3,780	3,132	6,895	11,584	4,699	34,179	3,633	3,486	2,401	12,282	9,900	3,978	35,680
Transport, telecom and utilities	5,153	268	4,059	2,465	902	6,427	19,274	5,131	612	3,766	2,596	880	5,625	18,610
Food and household products	489	314	1,705	1,447	865	4,354	9,174	1,038	428	1,472	1,151	685	3,955	8,729
Commercial Real estate	4,193	320	1,040	1,496	1,978	5,193	14,220	4,512	334	1,421	1,107	1,575	4,984	13,933
Mining and Quarrying	518	718	501	1,405	102	2,234	5,478	608	606	866	1,644	214	1,943	5,881
Consumer durables	3,461	346	358	97	423	2,511	7,196	2,780	293	504	154	481	1,995	6,207
Construction	285	124	352	136	240	1,298	2,435	318	156	482	96	247	1,158	2,457
Trading Companies & Distributors	56	115	99	31	49	225	575	95	103	106	31	40	277	652
Government	4,821	26	16,003	1,440	3	2,862	25,155	3,836	117	20,266	1,671	4	3,592	29,486
Other	1,266	625	1,011	704	355	1,208	5,169	1,419	563	816	724	233	1,278	5,033
Net Loans and advances to Customers	30,513	11,058	33,605	19,916	21,034	42,342	158,468	28,483	10,958	36,844	25,782	18,337	39,991	160,395
Net Loans and advances to Banks	13,054	2,096	8,312	4,143	1,855	12,926	42,386	15,058	2,432	7,701	4,337	2,322	11,743	43,593

1 Amounts have been re-presented from management view to financial booking basis in line with RNS on Re-Presentation of Financial Information issued on 2 April 2025 and also to include Central & others amounts

Wealth & Retail Banking and Ventures

Amortised Cost	30.06.25					31.12.24 ²				
	Hong Kong \$million	Korea \$million	Singapore \$million	Other \$million	Total \$million	Hong Kong \$million	Korea \$million	Singapore \$million	Other \$million	Total \$million
Mortgages	31,055	16,997	14,836	18,980	81,868	31,506	13,703	13,756	17,731	76,696
Credit Cards	4,063	25	2,441	1,364	7,893	4,262	38	2,252	1,517	8,069
Personal Loans and other unsecured lending ³	1,057	2,838	336	5,261	9,492	1,057	2,796	301	5,509	9,663
Secured wealth products	5,976	24	12,605	5,853	24,458	5,229	24	10,793	5,882	21,928
Other Retail ³	586	2,278	159	1,529	4,552	579	2,153	194	1,355	4,281
Net Loans and advances to Customers	42,737	22,162	30,377	32,987	128,263	42,633	18,714	27,296	31,994	120,637

1 Includes Auto Loans previously presented separately. Prior period has been represented

2 Prior year has been represented to include Ventures

3 Prior period has been represented between Personal Loans and other unsecured lending and Other Retail

Risk review continued

High carbon sectors

Sectors are identified and grouped as per the International Standard Industrial Classification (ISIC) system and exposure numbers have been updated to include all in-scope ISIC codes used for target setting among the high carbon sectors.

The maximum exposures shown in the table include loans and advances to customers at amortised cost, Fair Value through profit or loss, and committed facilities available as per IFRS 9 – Financial Instruments.

Maximum exposure

30.06.25							
Amortised Cost	Maximum on Balance Sheet Exposure (net of credit impairment) \$million	Collateral \$million	Net On Balance Sheet Exposure \$million	Undrawn Commitments (net of credit impairment) \$million	Financial Guarantees (net of credit impairment) \$million	Net Off Balance Sheet Exposure \$million	Total On & Off Balance Sheet Net Exposure \$million
Industry:							
Automotive manufacturers	3,960	395	3,565	4,066	717	4,783	8,348
Aviation	1,698	1,042	656	856	881	1,737	2,393
Steel	1,615	354	1,261	807	357	1,164	2,425
Coal Mining	1	1	–	–	–	–	–
Aluminium	1,263	48	1,215	303	65	368	1,583
Cement	691	65	626	946	244	1,190	1,816
Shipping	6,826	4,458	2,368	2,572	361	2,933	5,301
Commercial Real Estate	8,292	3,981	4,311	3,273	410	3,683	7,994
Oil & Gas	8,668	991	7,677	8,689	7,025	15,714	23,391
Power	6,888	1,318	5,570	4,916	1,103	6,019	11,589
Total¹	39,902	12,653	27,249	26,428	11,163	37,591	64,840
Total Corporate & Investment Banking²	204,061	27,787	176,274	135,007	94,237	229,244	405,518
Total Group³	429,962	129,788	300,174	209,765	103,840	313,605	613,779
31.12.24							
Industry:							
Automotive manufacturers	3,881	69	3,812	3,331	605	3,936	7,748
Aviation	1,829	960	869	842	928	1,770	2,639
Steel	1,526	316	1,210	816	325	1,141	2,351
Coal Mining	25	–	25	–	–	–	25
Aluminium	1,341	32	1,309	354	53	407	1,716
Cement	709	55	654	637	267	904	1,558
Shipping	7,038	5,037	2,001	2,176	397	2,573	4,574
Commercial Real Estate	7,635	3,400	4,235	2,758	684	3,442	7,677
Oil & Gas	7,421	988	6,433	7,928	7,079	15,007	21,440
Power	6,341	1,500	4,841	4,538	1,124	5,662	10,503
Total¹	37,746	12,357	25,389	23,380	11,462	34,842	60,231
Total Corporate & Investment Banking²	196,823	32,152	164,671	118,106	81,132	199,238	363,909
Total Group³	420,117	121,993	298,124	193,115	90,602	283,717	581,841

1 Maximum on Balance sheet exposure includes FVTPL amount of High Carbon sector is \$644 million (31 December 2024: \$749 million)

2 Include on balance sheet FVTPL amount of \$63,882 million (31 December 2024: \$ 58,519 million) for Corporate & Investment Banking loans to customers

3 Total Group includes net loans and advances to banks and net loans and advances to customers held at amortised cost of \$42,386 million (31 December 2024: \$43,593 million) and \$286,731 (31 December 2024: \$281,032 million) respectively and loans to banks and loans and advances to customers held at FVTPL of \$36,958 million (31 December 2024: \$ 36,967 million) and \$63,887 million (31 December 2024: \$ 58,525 million) respectively. Refer to the credit quality table on page 42

Maturity and expected credit loss for high-carbon sectors

Sector	30.06.25					31.12.24				
	Loans and advances (Drawn funding) \$million	Maturity Buckets ¹			Expected Credit Loss \$million	Loans and advances (Drawn funding) \$million	Maturity Buckets ¹			Expected Credit Loss \$million
		Less than 1 year \$million	More than 1 to 5 years \$million	More than 5 years \$million			Less than 1 year \$million	More than 1 to 5 years \$million	More than 5 years \$million	
Automotive Manufacturers	3,961	3,511	372	78	1	3,883	3,458	369	56	2
Aviation	1,704	405	56	1,243	6	1,833	231	404	1,198	4
Cement	731	372	359	–	40	724	356	368	–	15
Coal Mining	15	15	–	–	14	38	25	13	–	13
Steel	1,676	927	156	593	61	1,598	941	133	524	72
Aluminium	1,271	1,116	155	–	8	1,352	1,089	177	86	11
Oil & Gas	8,823	2,678	2,630	3,515	155	7,580	2,601	2,407	2,572	159
Power	6,957	1,899	1,688	3,370	69	6,401	1,700	1,404	3,297	60
Shipping	6,845	1,070	2,170	3,605	19	7,053	1,035	2,450	3,568	15
Commercial Real Estate	8,456	4,104	4,147	205	164	7,773	3,880	3,680	213	138
Total balance¹	40,439	16,097	11,733	12,609	537	38,235	15,316	11,405	11,514	489

¹ Gross of credit impairment

Sectors of interest

Commercial Real Estate

	30.06.25						
	Maximum on Balance Sheet Exposure (net of credit impairment) ¹ \$million	Collateral \$million	Net On Balance Sheet Exposure \$million	Undrawn Commitments (net of credit impairment) \$million	Financial Guarantees (net of credit impairment) \$million	Net Off Balance Sheet Exposure \$million	Total On & Off Balance Sheet Net Exposure \$million
Commercial Real Estate	14,561	6,637	7,924	5,894	713	6,607	14,531
	31.12.24						
	14,037	5,947	8,090	4,932	670	5,602	13,692

¹ Includes net loans and advances of \$14,220 million (31 December 2024: \$13,933 million) as detailed in the table below.

Analysis of credit quality of loans and advances of Commercial Real Estate

	30.06.25 Gross \$million	31.12.24 Gross \$million
Amortised Costs		
Strong	7,707	7,222
Satisfactory	6,005	6,515
Higher risk	403	112
Credit impaired (stage 3)	1,609	1,485
Total Gross Balance	15,724	15,334
Strong	(24)	(83)
Satisfactory	(83)	(44)
Higher risk	(61)	(9)
Credit impaired (stage 3)	(1,336)	(1,265)
Total Credit Impairment	(1,504)	(1,401)
Total Net of Credit Impairment	14,220	13,933
Strong	0.3%	1.1%
Satisfactory	1.4%	0.7%
Higher risk	15.1%	8.0%
Credit impaired (stage 3)	83.0%	85.1%
Cover Ratio	9.6%	9.1%

An analysis of the net CRE loans and advances balance by key geography, is set out on page 63.

Risk review continued

China commercial real estate

The table below represents the on and off-balance sheet items that are exposed to China CRE by credit quality.

	30.06.25			31.12.24		
	China \$million	Hong Kong \$million	Total \$million	China \$million	Hong Kong \$million	Total \$million
Loans to customers	312	1,567	1,879	324	1,598	1,922
Off balance sheet	–	26	26	1	40	41
Total	312	1,593	1,905	325	1,638	1,963
Loans to customers – By Credit quality						
Gross						
Strong	–	–	–	–	12	12
Satisfactory	148	323	471	172	338	510
Higher risk	33	–	33	12	42	54
Credit impaired (stage 3)	131	1,244	1,375	140	1,206	1,346
Total	312	1,567	1,879	324	1,598	1,922
Loans to customers – ECL						
Strong	–	–	–	–	–	–
Satisfactory	–	(60)	(60)	(2)	(73)	(75)
Higher risk	–	–	–	–	(1)	(1)
Credit impaired (stage 3)	(64)	(1,155)	(1,219)	(63)	(1,111)	(1,174)
Total	(64)	(1,215)	(1,279)	(65)	(1,185)	(1,250)

Debt securities and other eligible bills (reviewed)

This section provides further detail on gross debt securities and treasury bills.

The credit quality descriptions in the table below align to those used for CIB and Central and other items, as described on page 41. Debt securities held that have a short-term external rating are reported against the long-term rating of the issuer. For securities that are unrated, the Group applies an internal credit rating, as described under the 'Credit rating and measurement' section on page 201 of the 2024 Annual Report.

Total gross debt securities and other eligible bills increased by \$14 billion to \$157.6 billion (31 December 2024: \$143.6 billion) due to investments in high quality liquid assets.

Stage 1 gross balance increased by \$14.4 billion to \$156.3 billion (31 December 2024: \$141.9 billion), mainly due Hong Kong exposures.

Stage 2 gross balance decreased by \$0.6 billion to \$1.1 billion (31 December 2024: \$1.6 billion).

Stage 3 gross balance increased by \$0.2 billion to \$0.3 billion (31 December 2024: \$0.1 billion) due to increases across two sovereign exposures.

Amortised cost and FVOCI	30.06.25			31.12.24		
	Gross \$million	ECL \$million	Net ² \$million	Gross \$million	ECL \$million	Net ² \$million
Stage 1	156,264	(29)	156,235	141,862	(23)	141,839
– Strong	152,430	(24)	152,406	138,353	(19)	138,334
– Satisfactory	3,834	(5)	3,829	3,509	(4)	3,505
Stage 2	1,059	(7)	1,052	1,614	(4)	1,610
– Strong	216	(2)	214	562	–	562
– Satisfactory	255	(3)	252	31	–	31
– High Risk	588	(2)	586	1,021	(4)	1,017
Stage 3	306	(6)	300	103	(2)	101
Gross balance¹	157,629	(42)	157,587	143,579	(29)	143,550

1 Stage 3 gross includes \$289 million (31 December 2024: \$59 million) originated credit-impaired debt securities with \$6 million impairment (31 December 2024: \$Nil)

2 FVOCI instruments are not presented net of ECL on the balance sheet. While the presentation is on a net basis for the table, the total net on-balance sheet amount is \$157,617 million (31 December 2024: \$143,562 million). Refer to the Analysis of financial instrument by stage table

IFRS 9 ECL methodology (reviewed)

Refer to page 236 of the 2024 Annual Report for the 'Approach for determining ECL', 'Application of lifetime ECL' and pages 244 to 246 for 'SICR', 'Assessment of credit-impaired financial assets' and 'Governance of PMAs and application of expert credit judgement in respect of ECL'. There have been no changes to the Group's approach in determining SICR compared to 31 December 2024.

Composition of credit impairment provisions (reviewed)

The table below summarises the key components of the Group's credit impairment provision balances as at 30 June 2025 and 31 December 2024.

	30.06.2025					31.12.2024				
	Corporate & Investment Banking \$ million	Wealth & Retail Banking \$ million	Ventures \$ million	Central & other items \$ million ⁴	Total \$ million	Corporate & Investment Banking \$ million	Wealth & Retail Banking \$ million	Ventures \$ million	Central & other items \$ million ⁴	Total \$ million
Modelled ECL provisions (base forecast)	372	639	64	40	1,115	337	613	61	37	1,048
Impact of multiple economic scenarios ¹	43	33	–	1	77	24	19	–	–	43
Total ECL provisions before management judgements	415	672	64	41	1,192	361	632	61	37	1,091
Of which: Model performance post model adjustments	(10)	7	–	–	(3)	–	14	–	–	14
Judgemental post model adjustments ²	–	(11)	–	–	(11)	–	(23)	–	–	(23)
Management overlays ³										
– China commercial real estate	58	–	–	–	58	70	–	–	–	70
– Other	93	19	1	–	113	109	27	7	–	143
Total modelled provisions	566	680	65	41	1,352	540	636	68	37	1,281
Of which:										
Stage 1	188	412	34	30	664	133	392	30	34	589
Stage 2	353	146	20	11	530	362	151	27	1	541
Stage 3	25	122	11	–	158	45	93	11	2	151
Stage 3 non-modelled provisions	3,337	677	–	65	4,079	3,267	665	–	54	3,986
Total credit impairment provisions	3,903	1,357	65	106	5,431	3,807	1,301	68	91	5,267

1 Includes upwards judgemental post-model adjustment of \$47 million (31 December 2024: \$28 million)

2 Excludes \$47 million (31 December 2024: \$28 million) upwards judgemental post-model adjustment which is included in 'Impact of multiple economic scenarios'

3 \$29 million (31 December 2024: \$32 million) is in stage 1, \$128 million (31 December 2024: \$181 million) in stage 2 and \$14 million (31 December 2024: nil) in stage 3

4 Includes ECL on cash and balances at central banks, accrued income, assets held for sale and other assets

Model performance post model adjustments (PMA)

As part of model monitoring and independent validation processes, where a model's performance breaches the approved monitoring thresholds or validation standards, an assessment is performed to determine whether a model performance PMA is required to temporarily remediate the model issue. The process for the determination of PMAs is set out in the 'Governance of PMAs and application of expert credit judgement in respect of ECL' section on page 246 of the 2024 Annual Report.

As at 30 June 2025, model performance PMAs have been applied for five models out of the total of 110 models. In aggregate, these PMAs reduce the Group's impairment provisions by \$3 million (less than 1 per cent of modelled provisions) compared with a \$14 million increase as at 31 December 2024. The change from 31 December 2024 was primarily due to a new PMA in CIB to address overprediction in the commercial banking portfolio.

In addition to these model performance PMAs, separate judgemental post model and management adjustments have also been applied as set out on page 73.

	30.06.25 \$ million	31.12.24 \$ million
Model performance PMAs		
Corporate & Investment Banking	(10)	–
Wealth & Retail Banking	7	14
Total model performance PMAs	(3)	14

Key assumptions and judgements in determining ECL

Incorporation of forward-looking information

The evolving economic environment is a key determinant of the ability of a bank's clients to meet their obligations as they fall due. It is a fundamental principle of IFRS 9 that the provisions banks hold against potential future Credit Risk losses should depend, not just on the health of the economy today, but should also take into account potential changes to the economic environment. For example, if a bank was to anticipate a sharp slowdown in the world economy over the coming year, it should hold more provisions today to absorb the credit losses likely to occur in the near future.

To capture the effect of changes to the economic environment, the PDs and LGDs used to calculate ECL incorporate forward-looking information in the form of forecasts of the values of economic variables and asset prices that are likely to have an effect on the repayment ability of the Group's clients.

The 'base forecast' of the economic variables and asset prices is based on management's view of the five-year outlook, supported by projections from the Group's in-house research team and outputs from a third-party model that project specific economic variables and asset prices. The research team takes consensus views into consideration, and senior management review projections for some core country variables against consensus when forming their view of the outlook. For the period beyond five years, management utilises the in-house research view and third-party model outputs, which allow for a reversion to long-term growth rates or norms. All projections are updated on a quarterly basis.

Forecast of key macroeconomic variables underlying the ECL calculation and the impact on non-linearity

In the Base Forecast, management's view of the most likely outcome – the pace of growth of the world economy is expected to slow from 3.2 per cent in 2024 to 3.1 per cent in 2025. This compares to the average of 3.7 per cent growth for the 10 years prior to COVID-19 (between 2010 and 2019). For many economies 2025 is a year of two halves as tariff front-running now gives way to implementation. Front-loaded exports to the US ahead of higher tariffs supported economic activity in H1 2025, leading to a record Q1 2025 US trade deficit and stronger than expected growth in China. H2 2025 is likely to see weaker economic momentum in both economies, as well as elevated recession risks in Europe. Asia is expected to remain as the outperformer this year.

The global economy faces continued challenges due to ongoing trade policy instability. US tariffs remain fluid as tariff negotiations continue, elevating the uncertainty over the outlook for the rest of the year. Geopolitical tensions and sovereign debt pressures also continue to pose significant risks.

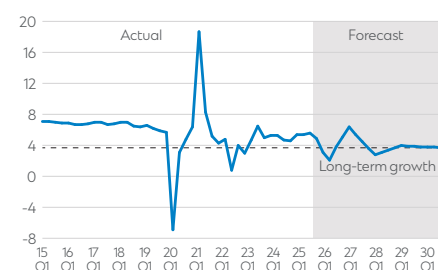
Whilst the quarterly Base Forecasts inform the Group's strategic plan, one key requirement of IFRS 9 is that the assessment of provisions should consider multiple future economic environments. For example, the global economy may grow more quickly or more slowly than the Base Forecast, and these variations would have different implications for the provisions that the Group should hold today. As the negative impact of an economic downturn on credit losses tends to be greater than the positive impact of an economic upturn, if the Group sets provisions only on the ECL under the Base Forecast it might maintain a level of provisions that does not appropriately capture the range of potential outcomes. To address the inherent uncertainty in economic forecast, and the property of skewness (or non-linearity), IFRS 9 requires reported ECL to be a probability-weighted ECL, calculated over a range of possible outcomes.

To assess the range of possible outcomes the Group simulates a set of 50 scenarios around the Base Forecast, calculates the ECL under each of them and assigns an equal weight of 2 per cent to each scenario outcome. These scenarios are generated by a Monte Carlo simulation, which addresses the challenges of crafting many realistic alternative scenarios in the many countries in which the Group operates by means of a model, which produces these alternative scenarios whilst considering the degree of historical uncertainty (or volatility) observed from Q1 1990 to Q1 2025 around economic outcomes, the trends in each macroeconomic variable modelled and the correlation in the unexplained movements around these trends. This naturally means that each of the 50 scenarios do not have a specific narrative, although collectively they explore a range of hypothetical alternative outcomes for the global economy, including scenarios that turn out better than expected and scenarios that amplify anticipated stresses. Further details on the impact of multiple economic scenarios (including any PMAs) are set out on page 72.

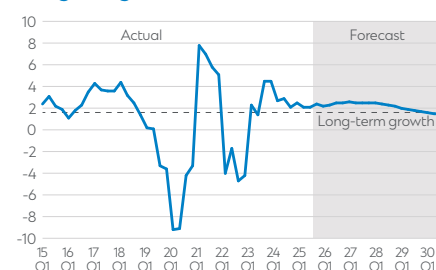
The GDP graphs below illustrate the shape of the Base Forecast for key footprint markets in relation to prior periods' actuals. The long-term growth rates are based on the pace of economic expansion expected for 2030. The tables below provide a summary of the Group's Base Forecast for these markets. The peak/trough amounts show the highest and lowest points within the Base Forecast.

In 2025, China's GDP growth is projected to moderate slightly to 4.8 per cent from 5.0 per cent in 2024, primarily due to persistent challenges in the property sector and the anticipated impact of higher tariffs on export momentum. Singapore's growth is expected to slow more significantly, reaching 1 per cent in 2025, down from 4.4 per cent last year, with weaker global demand and trade uncertainty contributing to the slowdown. South Korea and Hong Kong are also expected to experience limited growth in 2025 due to the uncertain global environment, with projections of 0.8 per cent and 2.2 per cent respectively. India's growth is anticipated to record 6.5 percent in 2025, up from 6.2 per cent in 2024, driven by consumption, particularly in rural areas, supported by lower inflation and potentially higher crop yields.

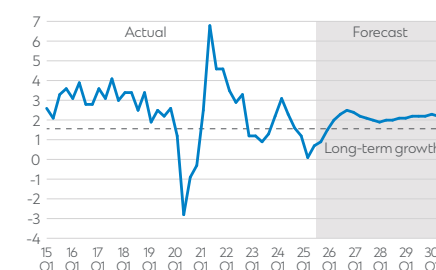
China GDP YoY%



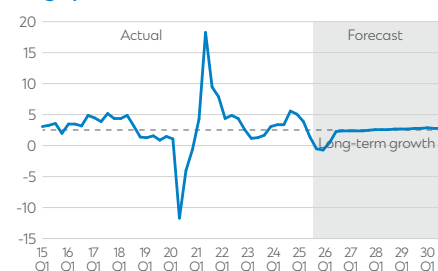
Hong Kong GDP YoY%



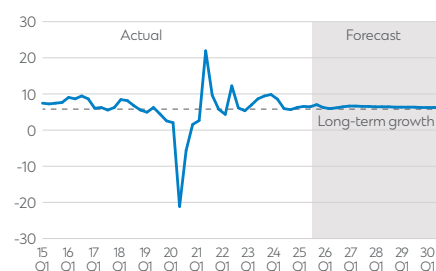
Korea GDP YoY%



Singapore GDP YoY%



India GDP YoY%



Long-term growth = GDP growth expected for 2030

Risk review continued

30.06.25								
	China				Hong Kong			
	GDP growth (YoY%)	Unemployment %	3-month interest rates %	House prices ⁵ (YoY %)	GDP growth (YoY %)	Unemployment %	3-month interest rates %	House prices (YoY %)
Base forecast¹								
2025	4.8	3.5	1.5	(4.9)	2.2	3.2	2.9	1.0
2026	4.3	3.4	1.3	(3.2)	2.5	3.3	3.6	7.6
2027	4.1	3.3	1.2	(0.9)	2.5	3.3	3.9	5.0
2028	3.5	3.3	1.2	0.9	2.2	3.3	4.1	3.4
2029	3.9	3.3	1.2	2.0	1.8	3.3	4.1	2.4
5-year average²	3.9	3.4	1.3	(0.4)	2.2	3.3	3.8	4.4
Quarterly peak	6.4	3.5	1.4	2.6	2.6	3.3	4.1	8.0
Quarterly trough	2.1	3.3	1.2	(4.7)	1.5	3.2	2.4	2.2
Monte Carlo								
Low ³	(6.3)	2.9	(0.9)	(9.9)	(3.7)	1.6	(0.5)	(20.5)
High ⁴	16.3	3.7	3.4	12.2	8.2	5.9	8.8	33.3

30.06.25								
	Singapore				Korea			
	GDP growth (YoY%)	Unemployment ⁶ %	3-month interest rates %	House prices (YoY%)	GDP growth (YoY%)	Unemployment %	3-month interest rates %	House prices (YoY %)
Base forecast¹								
2025	1.0	2.9	2.1	2.5	0.8	2.8	2.6	0.4
2026	1.9	3.0	2.0	2.3	2.3	2.9	2.2	2.2
2027	2.5	2.9	2.6	2.6	2.0	2.9	2.2	2.3
2028	2.7	2.9	3.1	2.7	2.0	2.9	2.2	2.1
2029	2.8	2.9	3.1	2.7	2.2	3.0	2.2	2.0
5-year average²	2.2	2.9	2.7	2.6	2.1	2.9	2.2	2.0
Quarterly peak	2.9	3.1	3.1	2.8	2.5	3.0	2.4	2.4
Quarterly trough	(0.7)	2.9	1.9	1.8	0.9	2.8	2.2	0.5
Monte Carlo								
Low ³	(4.3)	1.5	(0.0)	(18.6)	(3.2)	1.5	(1.0)	(6.5)
High ⁴	8.5	4.5	6.2	22.9	7.1	5.1	6.0	9.3

30.06.25					
	India				
	GDP growth (YoY%)	Unemployment ⁷ %	3-month interest rates %	House prices (YoY%)	Brent Crude \$ pb
Base forecast¹					
2025	6.5	NA	5.6	5.8	68.9
2026	6.5	NA	5.7	6.4	67.5
2027	6.5	NA	5.7	6.4	69.5
2028	6.4	NA	5.7	6.3	71.6
2029	6.3	NA	5.7	6.2	73.1
5-year average²	6.4	NA	5.7	6.3	70.4
Quarterly peak	7.1	NA	5.8	7.3	74.5
Quarterly trough	6.0	NA	5.5	5.2	66.1
Monte Carlo					
Low ³	2.9	N/A	1.1	1.1	29.0
High ⁴	9.8	N/A	10.2	12.9	136.3

31.12.24								
	China				Hong Kong			
	GDP growth (YoY%)	Unemployment %	3-month interest rates %	House prices ⁵ (YoY%)	GDP growth (YoY%)	Unemployment %	3-month interest rates %	House prices (YoY%)
5-year average ²	4.1	3.3	1.7	(1.3)	2.2	3.1	2.4	3.8
Quarterly peak	5.3	3.5	1.9	2.3	3.5	3.2	2.9	6.8
Quarterly trough	3.2	3.1	1.6	(5.6)	1.5	3.0	2.1	(2.6)
Monte Carlo								
Low ³	(1.0)	2.8	0.6	(10.1)	(1.8)	1.8	0.3	(13.1)
High ⁴	9.3	3.7	3.0	7.8	5.8	5.1	5.3	22.2

31.12.24								
	Singapore				Korea			
	GDP growth (YoY%)	Unemployment ⁶ %	3-month interest rates %	House prices (YoY%)	GDP growth (YoY%)	Unemployment %	3-month interest rates %	House prices (YoY%)
5-year average ²	2.3	2.7	2.0	2.4	2.0	2.8	2.9	2.8
Quarterly peak	3.4	2.8	2.4	3.2	2.2	2.9	3.2	4.8
Quarterly trough	0.6	2.7	1.6	(0.4)	1.5	2.8	2.9	1.9
Monte Carlo								
Low ³	(2.7)	2.0	0.3	(10.5)	(1.3)	2.2	0.8	(4.3)
High ⁴	7.0	3.6	3.9	17.5	5.2	3.5	5.7	9.8

31.12.24						
	India					
	GDP growth (YoY%)	Unemployment %	3-month interest rates %	House prices (YoY%)	Brent crude \$ pb	
5-year average ²	6.6	NA	6.0	6.4	76.2	
Quarterly peak	7.1	NA	6.2	7.3	77.8	
Quarterly trough	5.9	NA	6.0	6.0	74.8	
Monte Carlo						
Low ³	3.2	NA	1.9	(0.1)	44.5	
High ⁴	10.0	NA	10.3	12.6	107.8	

1 Data presented are those used in the calculation of ECL and presented as average growth for the year. These may differ slightly to forecasts presented elsewhere in this Half-Year Report as they are finalised before the period end. The annual averages are calendar year where 2025 = Q1 2025 to Q4 2025.

2 5 year averages reported for 30.06.25 cover 20 quarters from Q3 2025 to Q2 2030. They cover Q1 2025 to Q4 2029 for the numbers reported for the 2024 Annual report

3 Represents the 10th percentile in the range of economic scenarios used to determine non-linearity

4 Represents the 90th percentile in the range of economic scenarios used to determine non-linearity

5 A judgemental management adjustment is held in respect of the China commercial real estate sector, as discussed on page 68

6 Singapore unemployment rate covers the resident unemployment rate, which refers to citizens and permanent residents

7 India unemployment is not available due to insufficient data

Impact of multiple economic scenarios

The final probability weighted ECL reported by the Group is a simple average of the ECL for each of the 50 scenarios simulated using a Monte Carlo model. The Monte Carlo approach has the advantage that it generates many alternative scenarios that cover our global footprint. The range of scenarios is restricted through the use of ceilings and floors applied to the underlying macroeconomic variables, and these were redeveloped in the first half of 2025 to capture a broader range of outcomes.

Given continuing heightened levels of tariff and geopolitical uncertainty, a \$47 million (31 December 2024: \$28 million) non-linearity PMA has been applied, \$24 million (31 December 2024: \$13 million) for CIB and Central and other items, and \$23 million (31 December 2024: \$15 million) for WRB.

The total amount of non-linearity has been estimated by assigning probability weights of 55 per cent, 27 per cent and 18 per cent respectively to the Base Forecast, 'Moderate Global Trade and Geopolitical Tensions', and 'Bank Capital Stress Test' scenarios which are presented below and comparing this to the unweighted Base Forecast ECL. At 31 December 2024, probability weights of 68 per cent, 22 per cent and 10 per cent respectively to the Base Forecast, 'Higher for Longer Commodities and Rates', and 'Global Trade and Geopolitical Tensions' scenarios as disclosed in the 2024 Annual Report.

The non-linearity PMA represents the difference between the probability weighted ECL calculated using the three scenarios and the probability weighted ECL calculated by the Monte Carlo model.

The total amount of non-linearity including the PMA is \$77 million (31 December 2024: \$43 million). The CIB and Central and other items portfolio accounted for \$44 million (31 December 2024: \$24 million) of the calculated non-linearity, with the remaining \$33 million (31 December 2024: \$19 million) attributable to WRB portfolios.

The impact of multiple economic scenarios on total modelled ECL is set out in the table below, together with the management overlay and other judgemental adjustments.

	Base forecast \$million	Multiple economic scenarios ¹ \$million	Management overlays and other judgemental adjustments \$million	Total modelled ECL ² \$million
Total expected credit loss at 30 June 2025	1,115	77	160	1,352
Total expected credit loss at 31 December 2024	1,048	43	190	1,281

1 Includes an upwards judgemental PMA of \$47 million (31 December 2024: \$28 million)

2 Total modelled ECL comprises stage 1 and stage 2 balances of \$1,194 million (31 December 2024: \$1,130 million) and \$158 million (31 December 2024: \$151 million) of modelled ECL on stage 3 loans

The average ECL under multiple scenarios is 7 per cent (31 December 2024: 4 per cent) higher than the ECL calculated using only the most likely scenario (the Base Forecast). Portfolios that are more sensitive to non-linearity include those with greater leverage and/or a longer tenor, such as Project and Shipping Finance portfolios. Other portfolios display minimal non-linearity owing to limited responsiveness to macroeconomic impacts for structural reasons, such as significant collateralisation as with the WRB mortgage portfolios.

Judgemental management adjustments

As at 30 June 2025, the Group held judgemental adjustments for ECL as set out in the table below. All of the judgemental adjustments have been determined after taking account of the model performance PMAs reported on below. They are reassessed quarterly and are reviewed and approved by the IFRS 9 Impairment Committee (IIC) and will be released when no longer relevant.

	Corporate & Investment Banking \$million	Wealth & Retail Banking				Ventures \$million	Central & other items \$million	Total \$million
	Mortgages \$million	Credit Cards \$million	Other \$million	Total \$million				
30 June 2025								
Judgemental post model adjustments	23	(1)	14	(1)	12	–	1	36
Judgemental management overlays:								
– China CRE	58	–	–	–	–	–	–	58
– Other	93	–	1	18	19	1	–	113
Total judgemental adjustments	174	(1)	15	17	31	1	1	207
Judgemental adjustments by stage:								
Stage 1	36	–	9	8	17	1	1	55
Stage 2	138	(1)	6	9	14	–	–	152
Stage 3	–	–	–	–	–	–	–	–
31 December 2024								
Judgemental post model adjustments	13	–	9	(17)	(8)	–	–	5
Judgemental management overlays:								
– China CRE	70	–	–	–	–	–	–	70
– Other	109	–	5	22	27	7	–	143
Total judgemental adjustments	192	–	14	5	19	7	–	218
Judgemental adjustments by stage:								
Stage 1	27	–	10	(11)	(1)	4	–	30
Stage 2	165	–	5	25	30	3	–	198
Stage 3	–	–	(1)	(9)	(10)	–	–	(10)

Judgemental PMAs

As at 30 June 2025, judgemental PMAs have been applied that increase ECL by a net \$36 million (31 December 2024: \$5 million increase). \$47 million (31 December 2024: \$28 million) of the increase in ECL related to multiple economic scenarios (see 'Impact of multiple economic scenarios' section on page 72). This was partly offset by a reduction of ECL of \$11 million for certain WRB models, primarily to adjust for temporary factors impacting modelled outputs. These will be released when these factors normalise.

Judgemental management overlays

China CRE

The real estate market in China has been in a downturn since late 2021 with continued over supply, developer liquidity issues and a lack of foreign investment. The government has introduced a number of monetary and fiscal stimuli during the period, including reducing down payment ratios, interest rates, mortgage rates, and taxes as well as new policies permitting local governments to purchase homes as affordable housing. However, demand still remains muted with some small improvements in prices and volumes only visible in first tier cities. Consumer confidence and continued support from the government are key to reversing the declining trend and ensuring further stabilisation in 2025.

The Group's loans and advances to China CRE clients was \$1.9 billion at 30 June 2025 (31 December 2024: \$1.9 billion). Heightened risk management continues to be carried out, with a focus on managing upcoming maturities through refinancing and/or repayment. No new financing transactions were entered into during the period. Clients with exposure maturing within the next 12 months have been placed on purely precautionary or non-purely precautionary early alert, where appropriate, for closer monitoring. Given the evolving nature of the risks in the China CRE sector, a management overlay of \$58 million (31 December 2024: \$70 million) has been taken by estimating the impact of further deterioration to exposures in this sector. The decrease from 31 December 2024 was primarily driven by repayments and utilisation due to movement to stage 3.

Risk review continued

Other

In CIB, additional overlays of \$93 million (31 December 2024: \$109 million) have been taken, \$35 million (31 December 2024: \$58 million) of which is in Hong Kong, with the remainder relating to Bangladesh and an immaterial amount for climate risks. The overlay in Hong Kong reflects subdued economic activity and increasing commercial property vacancy rates, which contributes to an uncertain outlook that are not yet fully reflected in the credit grades and modelled ECL. The risk of further impairment remains as a result of subdued economic activity in the property sector and the related liquidity constraints faced by counterparties as a result. The overlays reduction since 31 December 2024 was due to risks being partially manifested in the portfolio modelled ECL. The overlay in Bangladesh reflects the political situation that has contributed to an increasing level of uncertainty in the macroeconomic outlook. The overlays for Hong Kong and Bangladesh have been determined by estimating the impact of a deterioration to certain exposures in these countries.

In WRB, overlays of \$19 million (31 December 2024: \$27 million) includes \$14 million (31 December 2024: \$21 million) in Korea to cover the risks relating to the failure of two e-commerce payment platforms in 2024, and an immaterial adjustment for climate risks and other items. The overlays reduction since 31 December 2024 was due to risks being partially manifested in the portfolio modelled ECL, and overlay releases for bankruptcy trends in certain markets previously held at 31 December 2024 are now covered by a separate judgemental PMA.

Further details on the adjustment for Climate Risk are set out in Note 1 of the 'Notes to the financial statements' section in the 2024 Annual Report.

Stage 3 assets

Credit-impaired assets managed by Stressed Asset Group (SAG) incorporate forward-looking economic assumptions in respect of the recovery outcomes identified and are assigned individual probability weightings per IFRS 9. These assumptions are not based on a Monte Carlo simulation but are informed by the Base Forecast.

Sensitivity of ECL calculation to macroeconomic variables

The ECL calculation relies on multiple variables and is inherently non-linear and portfolio-dependent, which implies that no single analysis can fully demonstrate the sensitivity of the ECL to changes in the macroeconomic variables. The Group has conducted a series of analyses with the aim of identifying the macroeconomic variables which might have the greatest impact on the overall ECL. These encompassed single variable and multi-variable exercises, using simple up/down variation and extracts from actual calculation data, as well as bespoke scenario design assessments.

The primary conclusion of these exercises is that no individual macroeconomic variable is materially influential. The Group believes this is plausible as the number of variables used in the ECL calculation is large. This does not mean that macroeconomic variables are uninfluential; rather, that the Group believes that consideration of macroeconomics should involve whole scenarios, as this aligns with the multi-variable nature of the calculation.

The Group faces downside risks in the operating environment related to the uncertainties surrounding the macroeconomic outlook. To explore this, a sensitivity analysis of ECL was undertaken to explore the effect of slower economic recoveries across the Group's footprint markets. Two downside scenarios were considered in particular to explore the current uncertainties over commodity prices. The 'Moderate Global Trade and Geopolitical Tensions' (Moderate GTGT) scenario is a moderate downside scenario characterised by an escalating trade war between the US and China and other economies. The second Bank of England's 'Bank Capital Stress Test' (BCST) scenario is characterized by a severe but plausible global aggregate supply shock leading to deep recessions globally. It also features higher commodity prices, inflation and interest rates.

	Baseline		Moderate GTGT		BCST	
	Five year average	Peak/Trough	Five year average	Peak/Trough	Five year average	Peak/Trough
China GDP	3.9	6.4/2.1	2.9	4.4/0.2	2.7	4.2/(1.7)
China unemployment	3.4	3.5/3.3	4.1	4.4/3.6	4.3	5.0/3.7
China property prices	(0.4)	2.6/(4.7)	0.4	6.5/(11.4)	(3.8)	11.1/(11.4)
Hong Kong GDP	2.2	2.6/1.5	0.6	1.5/(3.2)	0.1	2.7/(6.6)
Hong Kong unemployment	3.3	3.3/3.2	4.8	5.3/3.6	6.1	7.6/3.7
Hong Kong property prices	4.4	8.0/2.2	1.7	13.4/(12.8)	(3.2)	7.9/(10.5)
US GDP	1.9	2.2/1.5	1.0	2.0/(0.3)	0.2	1.4/(3.5)
Singapore GDP	2.2	2.9/(0.7)	0.9	2.8/(2.9)	0.6	3.8/(6.7)
India GDP	6.4	7.1/6.0	5.5	6.6/3.8	4.8	6.3/0.8
Crude oil	70.4	74.5/66.1	62.5	70.1/55.4	110.4	146.2/74.5

Period covered from Q3 2025 to Q2 2030.

	Base (GDP, YoY%)					Moderate GTGT (GDP, YoY%)					Difference from Base				
	2025	2026	2027	2028	2029	2025	2026	2027	2028	2029	2025	2026	2027	2028	2029
China	3.5	5.4	3.2	3.9	3.8	1.8	2.4	2.7	3.9	3.8	(1.6)	(3.0)	(0.6)	(0.0)	0.0
Hong Kong	2.3	2.5	2.4	2.0	1.6	(2.2)	0.7	1.5	1.5	1.4	(4.5)	(1.9)	(0.9)	(0.5)	(0.2)
US	1.7	2.1	1.8	1.9	1.8	0.6	(0.1)	1.1	1.7	1.9	(1.1)	(2.2)	(0.8)	(0.1)	0.1
Singapore	0.4	2.4	2.6	2.7	2.8	(2.2)	(0.4)	1.9	2.6	2.4	(2.6)	(2.8)	(0.7)	(0.1)	(0.4)
India	6.4	6.6	6.5	6.4	6.3	5.1	4.4	5.8	6.1	6.2	(1.3)	(2.2)	(0.7)	(0.3)	(0.1)

Each year is from Q3 to Q2. For example 2025 is from Q3 2025 to Q2 2026.

	Base (GDP, YoY%)					BCST (GDP, YoY%)					Difference from Base				
	2025	2026	2027	2028	2029	2025	2026	2027	2028	2029	2025	2026	2027	2028	2029
China	3.5	5.4	3.2	3.9	3.8	0.6	0.6	4.0	4.1	3.9	(2.8)	(4.7)	0.8	0.2	0.1
Hong Kong	2.3	2.5	2.4	2.0	1.6	(3.2)	(3.3)	2.5	2.4	2.4	(5.5)	(5.9)	0.0	0.4	0.8
US	1.7	2.1	1.8	1.9	1.8	(1.0)	(1.9)	1.1	1.3	1.3	(2.8)	(4.0)	(0.7)	(0.5)	(0.6)
Singapore	0.4	2.4	2.6	2.7	2.8	(4.7)	(3.1)	3.6	3.6	3.6	(5.1)	(5.5)	1.0	0.8	0.7
India	6.4	6.6	6.5	6.4	6.3	3.4	2.1	6.1	6.2	6.2	(3.0)	(4.5)	(0.4)	(0.2)	(0.1)

Each year is from Q3 to Q2. For example 2025 is from Q3 2025 to Q2 2026.

The total modelled stage 1 and 2 ECL provisions (including both on and off-balance sheet instruments) would be approximately \$107 million higher under the 'Moderate GTGT' scenario, and \$268 million higher under the 'BCST' scenario than the baseline ECL provisions (which excluded the impact of multiple economic scenarios and judgemental management adjustments which may already capture some of the risks in these scenarios). Stage 2 exposures as a proportion of stage 1 and 2 exposures would increase from 2.9 per cent in the base case to 3.3 per cent and 3.8 per cent respectively under the 'Moderate GTGT' and 'BCST' scenarios. This includes the impact of exposures transferring to stage 2 from stage 1 but does not consider an increase in stage 3 defaults.

Under both scenarios, the majority of the increase in ECL in CIB came from the main CRE, Project Finance and Corporate portfolios. For the main corporate portfolios, ECL would increase by \$29 million and \$14 million in the 'Moderate GTGT' and 'BCST' scenarios respectively, and the proportion of stage 2 exposures would increase from 4.6 per cent in the base case to 5.1 per cent and 5.7 per cent respectively. Although the 'BCST' is a more severe scenario, the impact on the main corporate portfolio is moderated compared to the 'Moderate GTGT' scenario as the scenario includes an increase in commodity prices, which some of the models view positively.

For WRB, most of the increase in ECL came from the unsecured retail portfolios, particularly from the credit cards portfolios in Hong Kong and Singapore. Under the 'Moderate GTGT' and 'BCST' scenarios, credit card ECL would increase by \$13 million and \$47 million respectively and the proportion of stage 2 credit card exposures would increase from 2.5 per cent in the base scenario to 3.1 per cent and 4.3 per cent under 'Moderate GTGT' and 'BCST' respectively. Additionally, under the 'BCST' scenario, Korea personal loans, Private Bank, and retail mortgages ECL would increase by \$11 million, \$86 million, and 27 million respectively. The proportion of stage 2 mortgages would increase from 1.2 per cent in the base case to 1.4 per cent and 2.4 per cent respectively, with the Hong Kong, Singapore, and Korea portfolios most impacted.

There was no material change in modelled stage 3 provisions as these primarily relate to unsecured WRB exposures for which the LGD is not sensitive to changes in the macroeconomic forecasts. There is also no material change for non-modelled stage 3 exposures as these are more sensitive to client-specific factors than to alternative macroeconomic scenarios.

The actual outcome of any scenario may be materially different due to, among other factors, the effect of management actions to mitigate potential increases in risk and changes in the underlying portfolio.

Risk review continued

	Gross as reported ¹ \$million	ECL as reported ² \$million	ECL Base case \$million	ECL Moderate GTGT \$million	ECL BCST \$million
Stage 1 modelled					
Corporate & Investment Banking	389,444	151	136	152	155
Wealth & Retail Banking	186,055	395	379	388	428
Ventures	11,179	33	33	33	33
Central & other items	174,458	30	29	30	32
Total excluding management judgements	761,136	609	577	603	648
Stage 2 modelled					
Corporate & Investment Banking	17,297	215	187	249	291
Wealth & Retail Banking	2,224	132	115	134	208
Ventures	54	20	20	20	20
Central & other items	1,081	8	8	8	8
Total excluding management judgements	20,656	375	330	411	527
Total Stage 1 and 2 modelled					
Corporate & Investment Banking	406,741	366	323	401	446
Wealth & Retail Banking	188,279	527	494	522	636
Ventures	11,233	53	53	53	53
Central & other items	175,539	38	37	38	40
Total excluding management judgements	781,792	984	907	1,014	1,175
Stage 3 exposures excluding management judgements	6,952	4,179			
Other financial assets ³	128,832	61			
ECL from management judgements		207			
Total financial assets reported at 30 June 2025	917,576	5,431			

1 Gross balances includes both on- and off-balance sheet instruments; allocation between stage 1 and 2 will differ by scenario

2 Includes ECL for both on- and off-balance sheet instruments

3 Includes cash and balances at central banks, accrued income, other financial assets, and assets held for sale

Traded Risk

Market Risk (reviewed)

Market Risk is the potential for fair value loss due to adverse moves in financial markets. The Group's exposure to Market Risk arises predominantly from the following sources:

- Trading book:
 - The Group provides clients with access to markets, facilitation of which entails the Group taking moderate Market Risk positions. All trading teams support client activity. There are no proprietary trading teams. Hence, income earned from Market Risk-related activities is primarily driven by the volume of client activity.
- Non-trading book:
 - Treasury is required to hold a liquid assets buffer, much of which is held in high-quality marketable debt securities.
 - The Group underwrites and sells down loans, and invests in select investment grade debt securities with no trading intent.
 - The Group has capital invested and related income streams denominated in currencies other than US dollars. To the extent that these income streams are not hedged, the Group is subject to Structural Foreign Exchange Risk, which is reflected in reserves.

A summary of our current policies and practices regarding Market Risk management is provided in the 'Principal Risks' section of the 2024 Annual Report (page 201).

The primary categories of Market Risk for the Group are:

- Interest Rate Risk: arising from changes in yield curves and implied volatilities.
- Foreign Exchange Risk: arising from changes in currency exchange rates and implied volatilities.
- Commodity Risk: arising from changes in commodity prices and implied volatilities.
- Credit Spread Risk: arising from changes in the price of debt instruments and credit-linked derivatives and driven by factors other than the level of risk-free interest rates.
- Equity Risk: arising from changes in the prices of equities and implied volatilities.

Market Risk movements

Value at Risk (VaR) allows the Group to manage Market Risk across the trading book and most of the fair valued non-trading books.

There have been a number of market events in H1 2025 that led to increased market volatility. Q1 2025 was dominated by fears over US tariffs, with the S&P 500 exhibiting its worst underperformance versus emerging markets since 2017. US yields fell over the quarter on recession concerns, while yields in other major bond markets increased, notably Germany on unprecedented fiscal stimulus, driven by security fears associated with US isolationism. This uncertainty drove gold prices higher and risk assets lower, especially US high-yield credit. Despite recession concerns, oil prices remained supported by tension in the Middle East. In Q2 2025, market volatility increased driven by the imposition of tariffs on Liberation Day and then subsequent suspensions and re-impositions. Additional volatility was driven by military hostilities in India-Pakistan and within the Middle East, and subsequent ceasefires. The market consequences included the worst H1 2025 performance of the US dollar against foreign exchanges since 2002, while the S&P 500 rose in Q2 2025, closing near its all-time high. The price of crude oil, having spiked in June 2025 on fears over potential closure of the Strait of Hormuz, closed lower in Q2 2025 on global trade uncertainty; in contrast, gold continued to rise over the quarter.

Trading VaR

The average level of trading VaR in H1 2025 was \$27.9 million, 35 per cent higher than H2 2024 (\$20.7 million) and 30 per cent higher than H1 2024 (\$21.5 million). The increase in trading average VaR was driven by an increase in market volatility combined with a VaR model enhancement to make the model more responsive to such an upturn in market volatility.

Daily Value at Risk (VaR at 97.5%, one day) (reviewed)

Trading ¹	6 months ended 30.06.25				6 months ended 31.12.24				6 months ended 30.06.24			
	Average \$million	High \$million	Low \$million	Half Year \$million	Average \$million	High \$million	Low \$million	Half Year \$million	Average \$million	High \$million	Low \$million	Half Year \$million
Interest Rate Risk	13.9	18.3	9.8	13.0	12.1	17.2	7.0	12.0	13.2	22.0	9.1	10.6
Credit Spread Risk	8.9	13.0	5.4	12.2	6.1	7.4	5.1	5.4	7.2	9.6	4.8	6.0
Foreign Exchange Risk	7.5	12.3	4.9	6.5	9.7	15.0	5.0	7.4	8.9	14.5	5.2	9.1
Commodity Risk	13.0	21.7	2.9	5.1	4.5	7.6	2.7	4.3	5.2	10.0	2.4	5.7
Equity Risk	–	–	–	–	–	–	–	–	–	–	–	–
Diversification effect ²	(15.4)	NA	NA	(13.8)	(11.7)	NA	NA	(8.3)	(13.0)	NA	NA	(15.9)
Total²	27.9	34.9	18.9	23.0	20.7	30.3	13.2	20.8	21.5	33.1	13.0	15.5

1 The trading book for Market Risk is defined in the 'Trading Book Capital Requirements Regulation (CRR)' part of the PRA Handbook which transposes the requirements of CRR Part 3 Title I Chapter 3 as onshored in the UK. This restricts the positions permitted in the trading book

2 The total VaR is non-additive across risk types due to diversification effects, which is measured as the difference between the sum of the VaR by individual risk type or business and the combined total VaR. As the maximum and minimum occur on different days for different risk types or businesses, it is not meaningful to calculate a portfolio diversification benefit for these measures

Risks not in VaR

In H1 2025, the main market risks not reflected in VaR were:

- Basis risks for which the historical market price data is limited and is therefore proxied, giving rise to potential proxy basis risk that is not captured in VaR
- Potential depeg risk from currencies currently pegged or managed, where the historical one-year VaR observation period may not reflect the possibility of a change in the currency regime or a sudden depegging

Additional capital is set aside to cover such 'risks not in VaR'.

Backtesting

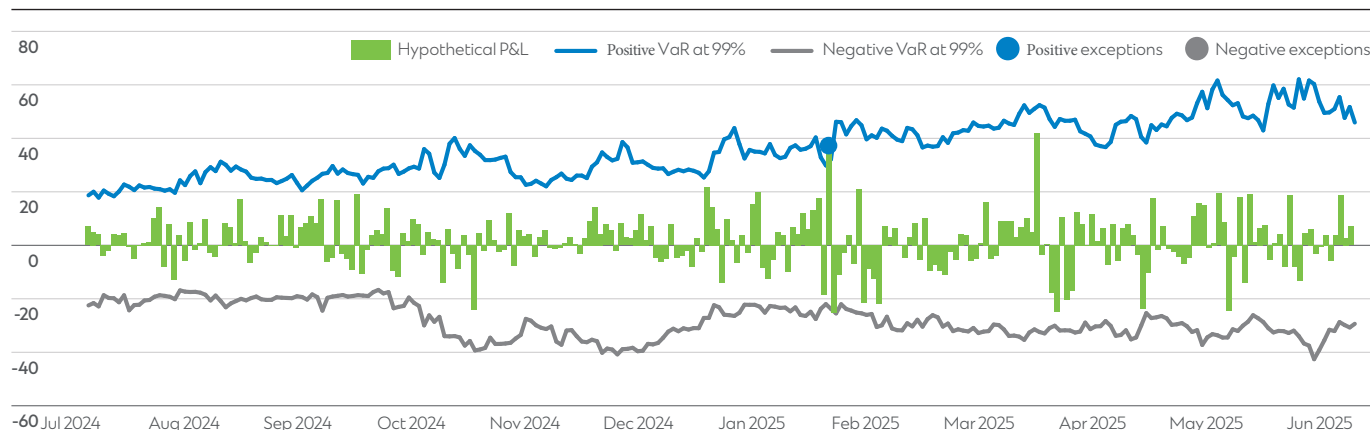
In H1 2025, there were no regulatory backtesting negative exceptions at Group level. In the one-year period to 30 June 2025, there have been no Group-level backtesting exceptions.

An enhancement to the VaR model was implemented from January 2025 to increase the model's responsiveness to abrupt upturns in market volatility.

The graph below illustrates the performance of the VaR model used in capital calculations. It compares the 99 percentile profit and loss confidence level given by the VaR model with the hypothetical profit and loss of each day given the actual market movement ignoring any intra-day trading activity.

Half year 2025 Backtesting chart

Internal Model Approach regulatory trading book at Group Level
Hypothetical Profit and Loss (P&L) versus VaR (99 per cent, one day)



Counterparty Credit Risk

Counterparty Credit Risk is the potential for loss in the event of the default of a derivative counterparty, after taking into account the value of eligible collaterals and risk mitigation techniques. The Group's counterparty credit exposures are included in the Credit Risk section.

Derivative financial instruments Credit Risk mitigation

The Group enters into master netting agreements, which in the event of default result in a single amount owed by or to the counterparty through netting the sum of the positive and negative mark-to-market values of applicable derivative transactions.

In addition, the Group enters into credit support annexes (CSAs) with counterparties where collateral is deemed a necessary or desirable mitigant to the exposure. Cash collateral includes collateral called under a variation margin process from counterparties if total uncollateralised mark-to-market exposure exceeds the threshold and minimum transfer amount specified in the CSA. With certain counterparties, the CSA is reciprocal and requires us to post collateral if the overall mark-to-market values of positions are in the counterparty's favour and exceed an agreed threshold.

Liquidity and Funding Risk

Liquidity and Funding Risk is the risk that the Group may not have sufficient stable or diverse sources of funding to meet its obligations as they fall due.

The Group's Liquidity and Funding Risk framework requires each country to ensure that it operates within predefined liquidity limits and remains in compliance with Group liquidity policies and practices, as well as local regulatory requirements.

The Group achieves this through a combination of setting Risk Appetite and associated limits, policy formation, risk measurement and monitoring, prudential and internal stress testing, governance and review.

Throughout 2025, the Group retained a robust liquidity position across key metrics. The Group continues to focus on improving the quality and diversification of its funding mix and remains committed to supporting its clients.

Liquidity and Funding Risk metrics

The Group continually monitors key liquidity metrics, both on a country basis and consolidated across the Group.

The following liquidity and funding Board Risk Appetite metrics define the maximum amount and type of risk that the Group is willing to assume in pursuit of its strategy: liquidity coverage ratio (LCR), internal liquidity stress, recovery capacity and net stable funding ratio (NSFR). In addition to the Board Risk Appetite, there are further limits that apply at Group and country level such as external wholesale borrowing (WBE) and cross-currency limits.

Liquidity coverage ratio (LCR)

The LCR is a regulatory requirement set to ensure the Group has sufficient unencumbered high-quality liquid assets to meet its liquidity needs in a 30-calendar-day liquidity stress scenario.

The Group monitors and reports its liquidity positions under the Liquidity Coverage Ratio per PRA rulebook and has maintained its LCR above the prudential requirement. The Group maintained robust liquidity ratios throughout 2025.

At the reporting date, the Group LCR was 146 per cent (31 December 2024: 138 per cent), with a surplus to both Board-approved Risk Appetite and regulatory requirements.

Adequate liquidity was held across our footprint to meet all local prudential LCR requirements where applicable.

The Liquidity buffer reported is after deductions made to reflect the impact of limitations in the transferability of entity liquidity around the Group. This resulted in a deduction of \$55 billion to the liquidity buffer (LCR HQLA) as at 30 June 2025.

	30.06.25 \$million	31.12.24 \$million
Liquidity buffer	187,496	170,306
Total net cash outflows	128,151	123,226
Liquidity coverage ratio	146%	138%

Stressed coverage

The Group intends to maintain a prudent and sustainable funding and liquidity position, in all countries and currencies, such that it can withstand a severe but plausible liquidity stress.

Our approach to managing liquidity and funding is reflected in the Board-level Risk Appetite Statement which includes the following:

"The Group should have sufficient stable and diverse sources of funding to meet its contractual and contingent obligations as they fall due."

The Group's Internal Liquidity Adequacy Assessment Process ('ILAAP') stress testing framework covers the following stress scenarios:

- Standard Chartered-specific – captures the liquidity impact from an idiosyncratic event affecting Standard Chartered only with the rest of the market assumed to be operating normally.
- Market-wide – captures the liquidity impact from a market-wide crisis affecting all participants in a country, region or globally.
- Combined – assumes both Standard Chartered-specific and market-wide events affect the Group simultaneously and hence is the most severe scenario.

Risk review continued

All scenarios include, but are not limited to, modelled outflows for retail and wholesale funding, off-balance sheet funding risk, cross-currency funding risk, intraday risk, franchise risk and risks associated with a deterioration of a firm's credit rating. Concentration risk approach captures single name and industry concentration. Internal stress testing results show that, as at 30 June 2025, Group and all countries were able to survive for a period of time with positive surpluses as defined under each scenario. The results take into account currency convertibility and portability constraints while calculating the liquidity surplus at Group level. Standard Chartered Bank's credit ratings as at 30 June 2025 were A+ with stable outlook (Fitch), A+ with stable outlook (S&P) and A1 with positive outlook (Moody's). As of 30 June 2025, the estimated contractual outflow of a three-notch long-term ratings downgrade is \$0.8 billion.

Advances-to-deposits ratio

This is defined as the ratio of total loans and advances to customers relative to total customer deposits. An advances-to-deposits ratio below 100 per cent demonstrates that customer deposits exceed customer loans as a result of the emphasis placed on generating a high level of funding from customers. The Group's advances-to-deposits ratio has improved by 2.3 per cent as customer deposit growth exceeds growth in customer loans and advances. Deposits from customers as at 30 June 2025 are \$542,348 million (31 December 2024: \$486,261 million).

	30.06.25 \$million	31.12.24 \$million
Total loans and advances to customers ^{1,2}	276,422	259,269
Total customer accounts ³	542,348	486,261
Advances-to-deposits ratio	51.0%	53.3%

1 Excludes reverse repurchase agreement and other similar secured lending of \$4,189 million (31 December 2024: \$9,660 million) and includes loans and advances to customers held at fair value through profit and loss of \$8,119 million (31 December 2024: \$7,084 million)

2 Loans and advances to customers for the purpose of the advances-to-deposits ratio excludes \$14,239 million (31 December 2024: \$19,187 million) of approved balances held with central banks, confirmed as repayable at the point of stress

3 Includes customer accounts held at fair value through profit or loss of \$24,958 million (31 December 2024: \$21,772 million)

Net stable funding ratio (NSFR)

The NSFR is a PRA regulatory requirement that stipulates institutions to maintain a stable funding profile in relation to an assumed duration of their assets and off-balance sheet activities over a one-year horizon. It is the ratio between the amount of available stable funding (ASF) and the amount of required stable funding (RSF). ASF factors are applied to balance sheet liabilities and capital, based on their perceived stability and the amount of stable funding they provide. Likewise, RSF factors are applied to assets and off-balance sheet exposures according to the amount of stable funding they require. The regulatory requirements for NSFR are to maintain a ratio of at least 100 per cent. The average ratio for the past four quarters is 137 per cent.

Liquidity pool

The liquidity value of the Group's LCR eligible liquidity pool at the reporting date was \$187 billion. The figures in the table below account for haircuts, currency convertibility and portability constraints per PRA rules for transfer restrictions (amounting to \$55 billion as at 30 June 2025), and therefore are not directly comparable with the consolidated balance sheet. A liquidity pool is held to offset stress outflows as defined in the LCR per PRA rulebook.

	30.06.25 \$million	31.12.24 \$million
Level 1 securities		
Cash and balances at central banks	86,388	76,094
Central banks, governments/public sector entities	89,238	74,182
Multilateral development banks and international organisations	7,191	14,386
Other	460	343
Total Level 1 securities	183,277	165,005
Level 2 A securities	3,703	4,367
Level 2 B securities	516	934
Total LCR eligible assets	187,496	170,306

Liquidity analysis of the Group's balance sheet

Contractual maturity of assets and liabilities

The following table presents assets and liabilities by maturity groupings based on the remaining period to the contractual maturity date as at the balance sheet date on a discounted basis. Contractual maturities do not necessarily reflect actual repayments or cashflows. Within the tables below, cash and balances with central banks, interbank placements and investment securities that are fair valued through other comprehensive income are used by the Group principally for liquidity management purposes. As at the reporting date, assets remain predominantly short-dated, with 58 per cent maturing in less than one year.

30.06.25

	One month or less \$million	Between one month and three months \$million	Between three months and six months \$million	Between six months and nine months \$million	Between nine months and one year \$million	Between one year and two years \$million	Between two years and five years \$million	More than five years and undated \$million	Total \$million
Assets									
Cash and balances at central banks	69,253	–	–	–	–	–	–	10,912	80,165
Derivative financial instruments	15,694	10,181	9,599	6,638	3,475	5,548	7,647	5,443	64,225
Loans and advances to banks ^{1,2}	19,868	17,585	11,524	7,348	8,116	8,993	4,115	1,795	79,344
Loans and advances to customers ^{1,2}	84,528	37,657	25,261	15,231	15,646	39,059	32,349	100,887	350,618
Investment securities ¹	16,805	26,083	18,853	22,846	15,126	37,676	48,352	73,525	259,266
Other assets ¹	20,454	46,949	1,359	416	806	39	66	10,229	80,318
Total assets	226,602	138,455	66,596	52,479	43,169	91,315	92,529	202,791	913,936
Liabilities									
Deposits by banks ^{1,3}	30,337	2,304	1,404	192	1,179	4,322	2,548	2	42,288
Customer accounts ^{1,4}	423,214	38,415	30,685	15,380	12,331	8,893	49,889	3,326	582,133
Derivative financial instruments	17,450	14,035	10,334	7,033	3,562	5,165	7,512	4,787	69,878
Senior debt ⁵	820	2,267	1,401	1,211	2,096	6,630	20,185	20,737	55,347
Other debt securities in issue ¹	2,438	5,181	9,051	5,469	2,962	1,090	769	778	27,738
Other liabilities	16,290	42,430	2,222	849	1,960	1,859	1,636	5,858	73,104
Subordinated liabilities and other borrowed funds	–	63	9	144	45	1,422	736	6,359	8,778
Total liabilities	490,549	104,695	55,106	30,278	24,135	29,381	83,275	41,847	859,266
Net liquidity gap	(263,947)	33,760	11,490	22,201	19,034	61,934	9,254	160,944	54,670

31.12.24

Assets									
Cash and balances at central banks	55,646	–	–	–	–	–	–	7,801	63,447
Derivative financial instruments	22,939	15,556	12,217	7,265	4,328	7,067	7,448	4,652	81,472
Loans and advances to banks ^{1,2}	22,381	21,722	10,588	6,771	4,986	8,407	3,715	1,990	80,560
Loans and advances to customers ^{1,2}	65,688	58,765	25,739	15,479	16,192	31,240	31,766	94,688	339,557
Investment securities ¹	13,016	25,886	21,546	14,789	14,688	32,815	41,423	62,418	226,581
Other assets ¹	12,601	32,130	1,333	381	931	71	64	10,560	58,071
Total assets	192,271	154,059	71,423	44,685	41,125	79,600	84,416	182,109	849,688
Liabilities									
Deposits by banks ^{1,3}	24,293	2,345	1,621	848	571	4,342	1,939	3	35,962
Customer accounts ^{1,4}	379,926	37,502	25,863	10,152	10,123	9,695	47,367	2,635	523,263
Derivative financial instruments	21,680	17,115	11,773	7,018	4,353	6,660	8,144	5,321	82,064
Senior debt ⁵	609	1,755	4,074	2,132	932	7,926	18,784	17,886	54,098
Other debt securities in issue ¹	2,734	2,663	6,550	4,535	5,015	851	1,206	688	24,242
Other liabilities	12,173	43,574	3,020	1,441	155	4,494	682	2,854	68,393
Subordinated liabilities and other borrowed funds	–	64	23	180	13	359	1,978	7,765	10,382
Total liabilities	441,415	105,018	52,924	26,306	21,162	34,327	80,100	37,152	798,404
Net liquidity gap	(249,144)	49,041	18,499	18,379	19,963	45,273	4,316	144,957	51,284

1 Loans and advances, investment securities, deposits by banks, customer accounts and debt securities in issue include financial instruments held at fair value through profit or loss, see Note 13 Financial instruments

2 Loans and advances include reverse repurchase agreements and other similar secured lending of \$98.8 billion (31 December 2024: \$98.8 billion)

3 Deposits by banks include repurchase agreements and other similar secured borrowing of \$9.4 billion (31 December 2024: \$8.7 billion)

4 Customer accounts include repurchase agreements and other similar secured borrowing of \$39.8 billion (31 December 2024: \$37.0 billion)

5 Senior debt maturity profiles are based upon contractual maturity, which may be later than call options over the debt held by the Group

Behavioural maturity of financial assets and liabilities

The cashflows presented in the previous section reflect the cashflows that will be contractually payable over the residual maturity of the instruments. However, contractual maturities do not necessarily reflect the timing of actual repayments or cashflow. In practice, certain assets and liabilities behave differently from their contractual terms, especially for short-term customer accounts, credit card balances and overdrafts, which extend to a longer period than their contractual maturity.

On the other hand, mortgage balances tend to have a shorter repayment period than their contractual maturity date. Expected customer behaviour is assessed and managed on a country basis using qualitative and quantitative techniques, including analysis of observed customer behaviour over time.

Maturity of financial liabilities on an undiscounted basis

The following table analyses the contractual cashflows payable for the Group's financial liabilities by remaining contractual maturities on an undiscounted basis. The financial liability balances in the table below will not agree with the balances reported in the consolidated balance sheet as the table incorporates all contractual cashflows, on an undiscounted basis, relating to both principal and interest payments. Derivatives not treated as hedging derivatives are included in the 'On demand' time bucket and not by contractual maturity.

Within the 'More than five years and undated' maturity band are undated financial liabilities, the majority of which relate to subordinated debt, on which interest payments are not included as this information would not be meaningful, given the instruments are undated. Interest payments on these instruments are included within the relevant maturities up to five years.

	30.06.25								
	One month or less \$million	Between one month and three months \$million	Between three months and six months \$million	Between six months and nine months \$million	Between nine months and one year \$million	Between one year and two years \$million	Between two years and five years \$million	More than five years and undated \$million	Total \$million
Deposits by banks	30,417	2,320	1,422	197	1,202	4,341	2,603	2	42,504
Customer accounts	423,779	38,700	31,103	15,716	12,640	9,353	51,116	4,824	587,231
Derivative financial instruments ¹	68,339	51	114	74	51	195	389	665	69,878
Debt securities in issue	3,620	7,712	10,810	7,204	5,520	9,351	24,852	24,614	93,683
Subordinated liabilities and other borrowed funds	19	131	12	150	51	1,536	976	12,141	15,016
Other liabilities	15,572	42,796	2,129	813	1,934	1,813	1,630	7,830	74,517
Total liabilities	541,746	91,710	45,590	24,154	21,398	26,589	81,566	50,076	882,829
	31.12.24								
Deposits by banks	24,303	2,360	1,660	862	589	4,347	1,939	4	36,064
Customer accounts	380,377	37,790	26,277	10,384	10,438	9,937	47,642	3,396	526,241
Derivative financial instruments ¹	80,055	13	12	10	3	216	592	1,163	82,064
Debt securities in issue	3,622	4,551	11,007	7,056	6,319	10,261	23,184	21,337	87,337
Subordinated liabilities and other borrowed funds	19	134	46	206	14	392	2,345	13,800	16,956
Other liabilities	10,421	44,933	2,894	1,408	152	4,433	682	4,802	69,725
Total liabilities	498,797	89,781	41,896	19,926	17,515	29,586	76,384	44,502	818,387

¹ Derivatives are on a discounted basis

Interest Rate Risk in the Banking Book

The following table provides the estimated impact to a hypothetical base case projection of the Group's earnings under the following scenarios:

- A 50 basis point parallel interest rate shock (up and down) to the current market-implied path of rates, across all yield curves
- A 100 basis point parallel interest rate shock (up and down) to the current market-implied path of rates, across all yield curves

These interest rate shock scenarios assume all other economic variables remain constant. The sensitivities shown represent the estimated change to a hypothetical base case projected net interest income (NII), plus the change in interest rate implied income and expense from FX swaps used to manage banking book currency positions, under the different interest rate shock scenarios.

The base case projected NII is based on the current market-implied path of rates and forward rate expectations. The NII sensitivities below stress this base case by a further 50 or 100bps. Actual observed interest rate changes will likely differ from market expectation. Accordingly, the shocked NII sensitivity does not represent a forecast of the Group's net interest income.

The interest rate sensitivities are indicative stress tests and based on simplified scenarios, estimating the aggregate impact of an unanticipated, instantaneous parallel shock across all yield curves over a one-year horizon. The assessment assumes that the size and mix of the balance sheet remain constant and that there are no specific management actions in response to the change in rates. No assumptions are made in relation to the impact on credit spreads in a changing rate environment.

Significant modelling and behavioural assumptions are made regarding scenario simplification, market competition, pass-through rates, asset and liability re-pricing tenors, and price flooring. In particular, the assumption that interest rates of all currencies and maturities shift by the same amount concurrently, and that no actions are taken to mitigate the impacts arising from this are considered unlikely. Reported sensitivities will vary over time due to a number of factors including changes in balance sheet composition, market conditions, customer behaviour and risk management strategy. Therefore, while the NII sensitivities are a relevant measure of the Group's interest rate exposure, they should not be considered an income or profit forecast.

30.06.25									
Estimated one-year impact to earnings from a parallel shift in yield curves at the beginning of the period of:	USD bloc \$million	HKD bloc \$million	SGD bloc \$million	GBP bloc \$million	CNY bloc ² \$million	INR bloc \$million	EUR bloc ² \$million	Other currency bloc ¹ \$million	Total \$million
+ 50 basis points	30	40	20	20	–	20	–	40	170
- 50 basis points	(40)	(60)	(30)	(20)	(20)	(20)	(10)	(70)	(270)
+ 100 basis points	50	70	30	30	10	40	10	80	320
- 100 basis points	(100)	(130)	(60)	(40)	(40)	(40)	(20)	(140)	(570)
31.12.24									
+ 50 basis points	20	30	10	10	20	30	10	80	210
- 50 basis points	(40)	(30)	(20)	(10)	(30)	(30)	(20)	(90)	(270)
+ 100 basis points	30	60	20	20	30	40	30	160	390
- 100 basis points	(90)	(50)	(40)	(30)	(50)	(40)	(40)	(210)	(550)

1 The largest exposures within the Other currency bloc are JPY and TWD

2 The +50bps CNY and EUR sensitivities are positive, but round to zero

As at 30 June 2025, the Group estimates the one-year impact of an instantaneous, parallel increase across all yield curves of 50 basis points to increase projected NII by \$170 million. The equivalent impact from a parallel decrease of 50 basis points would result in a reduction in projected NII of \$270 million. The Group estimates the one-year impact of an instantaneous, parallel increase across all yield curves of 100 basis points to increase projected NII by \$320 million. The equivalent impact from a parallel decrease of 100 basis points would result in a reduction in projected NII of \$570 million.

The benefit from rising interest rates is primarily from reinvesting at higher yields and from assets re-pricing faster and to a greater extent than deposits. NII sensitivity in falling rate scenarios has increased versus 31 December 2024, due to an increase in balance sheet size, with assets repricing faster than liabilities, and due to lower HIBOR rates. This impact was partially offset by an increase in programmatic hedging.

Over the course of H1 2025 the notional of interest rate swaps and HTC-accounted bond portfolios used to reduce NII sensitivity through the cycle increased from \$64 billion to \$75 billion. As at June 2025, the portfolios had a weighted average maturity of 2.7 years, which reflects the behaviouralised lives of the rate-insensitive deposit and equity balances that they hedge, and a yield of 3.6 per cent. In addition, \$18 billion of fixed rate commercial assets provide structural offset to the structural liabilities.

Non-Trading VaR

The average level of non-trading VaR in H1 2025 was \$47.3 million, 37 per cent higher than H2 2024 (\$34.5 million) and 40 per cent higher than H1 2024 (\$33.9 million). The increase in non-trading average VaR was driven by an increase in market volatility combined with a VaR model enhancement to make the model more responsive to such an upturn in market volatility, an increase in the interest rate risk of the Treasury portfolio and larger US agency bonds inventory in the CIB non-trading portfolio.

Daily Value at Risk (VaR at 97.5%, one day) (reviewed)

	6 months ended 30.06.25				6 months ended 31.12.24				6 months ended 30.06.24			
	Average \$million	High \$million	Low \$million	Half Year \$million	Average \$million	High \$million	Low \$million	Half Year \$million	Average \$million	High \$million	Low \$million	Half Year \$million
Non-trading¹												
Interest Rate Risk	40.7	64.6	23.8	56.6	25.3	32.9	17.4	32.5	30.8	35.5	26.4	32.4
Credit Spread Risk	20.8	29.0	13.9	24.5	16.8	17.7	13.8	15.7	17.7	24.8	10.0	17.8
Foreign Exchange Risk	–	–	–	–	–	–	–	–	–	–	–	–
Commodity Risk	2.2	4.8	0.8	1.1	1.3	1.6	0.8	0.8	1.3	1.8	0.6	1.5
Equity Risk	–	–	–	–	0.4	0.8	–	–	0.4	0.9	–	0.1
Diversification effect ²	(16.4)	NA	NA	(19.8)	(9.3)	NA	NA	(10.2)	(16.3)	NA	NA	(11.0)
Total²	47.3	66.6	32.3	62.3	34.5	41.0	28.6	38.8	33.9	44.1	29.2	40.8

1 The non-trading book VaR does not include the loan underwriting business

2 The total VaR is non-additive across risk types due to diversification effects, which is measured as the difference between the sum of the VaR by individual risk type or business and the combined total VaR. As the maximum and minimum occur on different days for different risk types or businesses, it is not meaningful to calculate a portfolio diversification benefit for these measures

Operational and Technology Risk

Operational and Technology Risk profile

Operational and Technology risks remain elevated in areas such as Change Mismanagement Risk, Operational Resilience and Third-Party Risk Management, which are being addressed through ongoing control enhancement programmes. The Group also prioritises management of Systems Health/Technology risk, Transaction Processing and Regulatory Compliance risks.

Additionally, the Group continues to monitor and manage Operational and Technology risks associated with external factors such as geopolitical issues, cyber-attacks threats and the misuse of Artificial Intelligence. This enables the Group to keep pace with new business developments, whilst ensuring that its risk and control frameworks evolve accordingly. The Group continues to enhance its risk management capabilities to understand the full spectrum of risks in the operating environment, strengthen its defences and improve its overall resilience.

Other principal risks

The losses arising from operational failures for other principal and integrated risks are reported as operational losses. Operational losses do not include operational risk-related credit impairments.

Capital review

The Capital review provides an analysis of the Group's capital and leverage position, and requirements.

Capital summary

The Group's capital, leverage and minimum requirements for own funds and eligible liabilities (MREL) position is managed within the Board-approved risk appetite. The Group is well capitalised with low leverage and high levels of loss-absorbing capacity.

	30.06.25	31.12.24
CET1 capital	14.3%	14.2%
Tier 1 capital	16.9%	16.9%
Total capital	20.5%	21.5%
Leverage ratio	4.7%	4.8%
MREL ratio	33.3%	34.2%
Risk-weighted assets (RWA) \$million	259,684	247,065

The Group's capital, leverage and MREL positions were all above current requirements and Board-approved risk appetite. The Group's CET1 capital increased 11 basis points to 14.3 percent of RWA since FY2024. Profits, movements in FVOCI, FX translation reserves and decrease in regulatory deductions were partly offset by RWA growth and distributions (including ordinary share buybacks of \$1.5 billion during the period).

As at 30 June 2025 the Group's Pillar 2A was 3.7 percent of RWA, of which at least 2.1 per cent must be held in CET1 capital. The Group's minimum CET1 capital requirement was 10.5 per cent at 30 June 2025.

The Group CET1 capital ratio at 30 June 2025 reflects the share buybacks of \$1.5 billion announced during the period. The CET1 capital ratio also includes an accrual for the FY 2025 dividend. The Board has recommended an interim dividend for H1 2025 of \$288 million or 12.3 cents per share representing a third of the total 2024 dividend. In addition, the Board has announced a further share buyback of \$1.3 billion, the impact of this will reduce the Group's CET1 capital by around 50 basis points in the third quarter of 2025.

The Group expects to manage CET1 capital dynamically within our 13-14 per cent target range, in support of our aim of delivering future sustainable shareholder distributions.

The Group's MREL leverage requirement as at H1 2025 was equivalent 28.1 per cent of RWA. This is composed of a minimum requirement of 24.3 per cent of RWA and the Group's combined buffer (comprising the capital conservation buffer, the G-SII buffer and the countercyclical buffer). The Group's MREL ratio was 33.3 per cent of RWA and 9.3 per cent of leverage exposure at H1 2025.

During the period, the Group successfully raised \$6.5 billion of MREL eligible securities from its holding company, Standard Chartered PLC. Issuance include \$1.0 billion of Additional Tier 1 and \$5.5 billion of callable senior debt.

The Group is a G-SII, with a 1.0 per cent G-SII CET1 capital buffer. The Standard Chartered PLC G-SII disclosure is published at: [sc.com/en/investors/financial-results](https://www.sc.com/en/investors/financial-results).

Capital review continued

Capital base¹ (reviewed)

	30.06.25 \$million	31.12.24 \$million
CET1 capital instruments and reserves		
Capital instruments and the related share premium accounts	5,154	5,201
Of which: share premium accounts	3,989	3,989
Retained earnings	26,692	24,950
Accumulated other comprehensive income (and other reserves)	10,099	8,724
Non-controlling interests (amount allowed in consolidated CET1)	234	235
Independently reviewed interim and year-end profits	3,341	4,072
Foreseeable dividends	(570)	(923)
CET1 capital before regulatory adjustments	44,950	42,259
CET1 regulatory adjustments		
Additional value adjustments (prudential valuation adjustments)	(660)	(624)
Intangible assets (net of related tax liability)	(5,995)	(5,696)
Deferred tax assets that rely on future profitability (excludes those arising from temporary differences)	(18)	(31)
Fair value reserves related to net losses on cash flow hedges	(378)	(4)
Deduction of amounts resulting from the calculation of excess expected loss	(617)	(702)
Net gains on liabilities at fair value resulting from changes in own credit risk	275	278
Defined-benefit pension fund assets	(159)	(149)
Fair value gains arising from the institution's own credit risk related to derivative liabilities	(103)	(97)
Exposure amounts which could qualify for risk weighting of 1250%	(35)	(44)
Total regulatory adjustments to CET1	(7,690)	(7,069)
CET1 capital	37,260	35,190
Additional Tier 1 capital (AT1) instruments	6,537	6,502
AT1 regulatory adjustments	(20)	(20)
Tier 1 capital	43,777	41,672
Tier 2 capital instruments	9,534	11,449
Tier 2 regulatory adjustments	(30)	(30)
Tier 2 capital	9,504	11,419
Total capital	53,281	53,091
Total risk-weighted assets (unreviewed)	259,684	247,065

1 Capital base is prepared on the regulatory scope of consolidation

Movement in total capital (reviewed)

	6 months ended 30.06.25 \$million	6 months ended 31.12.24 \$million
CET1 at 1 January/1 July	35,190	35,418
Ordinary shares issued in the period and share premium	–	–
Share buyback	(1,500)	(1,500)
Profit for the period/year	3,341	1,663
Foreseeable dividends deducted from CET1	(570)	(445)
Difference between dividends paid and foreseeable dividends	9	(477)
Movement in goodwill and other intangible assets	(299)	310
Foreign currency translation differences	753	(15)
Non-controlling interests	(1)	(1)
Movement in eligible other comprehensive income	307	268
Deferred tax assets that rely on future profitability	13	13
Decrease/(increase) in excess expected loss	85	(49)
Additional value adjustments (prudential valuation adjustment)	(36)	54
IFRS 9 transitional impact on regulatory reserves including day one	–	2
Exposure amounts which could qualify for risk weighting	9	(5)
Fair value gains arising from the institution's own Credit Risk related to derivative liabilities	(6)	(7)
Others	(35)	(39)
CET1 at 30 June/31 December	37,260	35,190
AT1 at 1 January/1 July	6,482	6,484
Net issuances	30	23
Foreign currency translation difference	5	(25)
AT1 at 30 June/31 December	6,517	6,482
Tier 2 capital at 1 January/1 July	11,419	11,667
Regulatory amortisation	(124)	367
Net (redemptions)	(2,175)	(517)
Foreign currency translation difference	365	(100)
Tier 2 ineligible minority interest	11	(1)
Others	8	3
Tier 2 capital at 30 June/31 December	9,504	11,419
Total capital at 30 June/31 December	53,281	53,091

The main movements in capital in the period were:

- CET1 capital increased by \$2.0 billion as retained profits of \$3.3 billion, movement in FVOCI of \$0.2 billion, foreign currency translation impact of \$0.8 billion which were partly offset by share buybacks of \$1.5 billion, distributions paid and foreseeable of \$0.6 billion and an increase in regulatory deductions and other movements of \$0.2 billion.
- AT1 capital remained constant as the issuance of \$1.0 billion securities is offset by the redemption of another \$1.0 billion securities.
- Tier 2 capital decreased by \$1.9 billion due to the redemption of \$2.2 billion of Tier 2 during the year and regulatory amortisation partly offset by foreign currency translation impact.

Risk-weighted assets by business

	30.06.25			
	Credit risk \$million	Operational risk \$million	Market risk \$million	Total risk \$million
Corporate & Investment Banking	128,605	22,555	30,969	182,129
Wealth & Retail Banking	47,027	10,583	–	57,610
Ventures	3,031	239	18	3,288
Central & other items	12,685	(799)	4,772	16,657
Total risk-weighted assets	191,348	32,578	35,758	259,684

	31.12.24 ¹			
	Credit risk \$million	Operational risk \$million	Market risk \$million	Total risk \$million
Corporate & Investment Banking	124,635	19,987	24,781	169,403
Wealth & Retail Banking	47,764	9,523	–	57,287
Ventures	2,243	142	21	2,406
Central & other items	14,661	(173)	3,481	17,969
Total risk-weighted assets	189,303	29,479	28,283	247,065

Movement in risk-weighted assets

	Credit risk ¹					Operational risk \$million	Market risk \$million	Total risk \$million
	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Ventures \$million	Central & other items \$million	Total \$million			
At 1 January 2024¹	116,621	50,771	1,885	22,146	191,423	27,861	24,867	244,151
Assets growth & mix	5,580	(2,449)	96	(3,855)	(629)	–	–	(629)
Asset quality	(2,031)	(155)	–	(488)	(2,674)	–	–	(2,674)
Risk-weighted assets efficiencies	–	–	–	–	–	–	–	–
Model Updates	462	818	–	–	1,280	–	–	1,280
Methodology and policy changes	–	–	–	–	–	–	(1,300)	(1,300)
Acquisitions and disposals	–	–	–	–	–	–	–	–
Foreign currency translation	(1,727)	(1,067)	–	(367)	(3,162)	–	–	(3,162)
Other, Including non-credit risk movements	–	–	–	(1,234)	(1,234)	1,618	3,876	4,260
At 30 June 2024¹	118,905	47,917	1,981	16,201	185,004	29,479	27,443	241,926
Assets growth & mix	6,037	1,959	262	(1,321)	6,937	–	–	6,937
Asset quality	(441)	(161)	–	104	(498)	–	–	(498)
Risk-weighted assets efficiencies	–	–	–	–	–	–	–	–
Model Updates	1,158	(819)	–	–	339	–	(400)	(61)
Methodology and policy changes	38	39	–	–	77	–	–	77
Acquisitions and disposals	–	–	–	–	–	–	–	–
Foreign currency translation	(1,061)	(330)	–	(324)	(1,715)	–	–	(1,715)
Other, Including non-credit risk movements	–	(841)	–	–	(841)	–	1,240	399
At 31 December 2024¹	124,635	47,764	2,243	14,661	189,303	29,479	28,283	247,065
Assets growth & mix	847	(2,424)	788	(2,897)	(3,686)	–	–	(3,686)
Asset quality	1,776	(96)	–	556	2,236	–	–	2,236
Risk-weighted assets efficiencies	–	–	–	–	–	–	–	–
Model Updates	(1,655)	232	–	–	(1,423)	–	51	(1,372)
Methodology and policy changes	–	–	–	–	–	–	–	–
Acquisitions and disposals	(14)	(92)	–	(12)	(118)	–	–	(118)
Foreign currency translation	3,016	1,643	–	377	5,036	–	–	5,036
Other, Including non-credit risk movements	–	–	–	–	–	3,099	7,424	10,523
At 30 June 2025	128,605	47,027	3,031	12,685	191,348	32,578	35,758	259,684

1 RWA balances are now presented to reflect the RNS on Presentation of Financial Information issued on 2 April 2025. Prior periods have been re-presented and there is no change in total RWA

Movements in risk-weighted assets

RWA increased by \$12.6 billion, or 5.1 per cent from 31 December 2024 to \$259.7 billion. This was due to increase in Credit Risk RWA of \$2.0 billion, Market Risk RWA of \$7.5 billion and Operational Risk RWA of \$3.1 billion.

Corporate & Investment Banking

Credit Risk RWA increased by \$3.9 billion, or 3.2 per cent from 31 December 2024 to \$128.6 billion due to:

- \$3.0 billion increase from foreign currency translation
- \$1.8 billion increase mainly due to deterioration in asset quality from sovereign downgrades and other client grade moves
- \$0.8 billion increase from changes in asset growth and mix, of which:
 - \$5.3 billion increase from asset growth
 - \$4.5 billion decrease from optimisation actions
- \$1.7 billion decrease from industry-wide regulatory changes to align IRB model performance and from alpha factor used in the Internal Model Method (IMM).

Wealth & Retail Banking

Credit Risk RWA decreased by \$0.7 billion, or 1.5 per cent from 31 December 2024 to \$47.0 billion mainly due to:

- \$2.4 billion decrease from changes in asset growth & mix
- \$0.1 billion decrease mainly due to improvement in asset quality, mainly in Asia
- \$0.1 billion decrease from exit of business in Gambia
- \$1.6 billion increase from foreign currency translation
- \$0.2 billion increase from industry-wide regulatory changes to align IRB model performance.

Ventures

Ventures is comprised of Mox Bank Limited, Trust Bank and SC Ventures. Credit Risk RWA increased by \$0.8 billion, or 35.1 per cent from 31 December 2024 to \$3.0 billion from asset balance growth, mainly from SC Ventures.

Central & other items

Central & other items RWA mainly relate to the Treasury Market's liquidity portfolio, equity investments and current and deferred tax assets. Credit Risk RWA decreased by \$2.0 billion, or 13.5 per cent from 31 December 2024 to \$12.7 billion mainly due to:

- \$2.9 billion decrease from changes in asset growth & mix
- \$0.6 billion increase due to deterioration in asset quality, mainly from sovereign downgrades and other client grade moves
- \$0.4 billion increase from foreign currency translation.

Market Risk

Total Market Risk RWA increased by \$7.5 billion, or 26.4 per cent from 31 December 2024 to \$35.8 billion due to:

- \$2.6 billion increase in Standardised Approach (SA) Specific Interest Rate Risk RWA primarily due to increase in the Trading Book government bond portfolio
- \$2.7 billion increase in Internal Models Approach (IMA) stressed VaR RWA due to increased IMA positions attributable mainly to interest rate exposures
- \$1.3 billion RWA increase from Structural FX risk
- \$0.9 billion RWA increase from IMA add-ons for risks not in VaR.

Operational Risk

Operational Risk RWA increased by \$3.1 billion, or 10.5 per cent from 31 December 2024 to \$32.6 billion, mainly due to an increase in average income as measured over a rolling three-year time horizon.

Leverage ratio

The Group's leverage ratio, which excludes qualifying claims on central banks, was 4.7 per cent at H1 2025, which was above the current minimum requirement of 3.7 per cent. The leverage ratio was 11 basis points lower than FY2024. Leverage exposure increased by \$64.9 billion from an increase in Other Assets of \$78.6 billion, an increase in Derivatives including cash collateral of \$3.2 billion, Off-balance sheet items of \$2.3 billion, securities financing transaction add-on of \$1.8 billion partly offset by an increase in claims on central banks of \$19.2 billion, regulatory consolidation adjustments and unsettled regular way trades of \$1.0 billion, and an increase in asset amounts deducted in determining Tier 1 capital (Leverage) of \$0.8 billion. Tier 1 capital increased by \$2.1 billion as CET1 capital increased by \$2.0 billion following profits for the period of \$3.3 billion, partly offset by the announcement of a share buyback of \$1.5 billion, and an AT1 issuance of \$1.0 billion offset by a call announcement of \$1.0 billion AT1 securities.

Leverage ratio

	30.06.25 \$million	31.12.24 \$million
Tier 1 capital (end point)	43,777	41,672
Derivative financial instruments	64,225	81,472
Derivative cash collateral	13,895	11,046
Securities financing transactions (SFTs)	98,772	98,801
Loans and advances and other assets	737,044	658,369
Total on-balance sheet assets	913,936	849,688
Regulatory consolidation adjustments ¹	(96,465)	(76,197)
Derivatives adjustments		
Derivatives netting	(48,236)	(63,934)
Adjustments to cash collateral	(12,032)	(10,169)
Net written credit protection	2,757	2,075
Potential future exposure on derivatives	54,443	51,323
Total derivatives adjustments	(3,068)	(20,705)
Counterparty risk leverage exposure measure for SFTs	5,959	4,198
Off-balance sheet items	120,878	118,607
Regulatory deductions from Tier 1 capital	(8,006)	(7,247)
Total exposure measure excluding claims on central banks	933,234	868,344
Leverage ratio excluding claims on central banks (%)	4.7	4.8
Average leverage exposure measure excluding claims on central banks	946,944	894,296
Average leverage ratio excluding claims on central banks (%)	4.6	4.7
Countercyclical leverage ratio buffer (%)	0.1	0.1
G-SII additional leverage ratio buffer (%)	0.4	0.4

¹ Includes adjustment for qualifying central bank claims and unsettled regular way trades

Statement of directors' responsibilities

We confirm that to the best of our knowledge:

- The condensed consolidated interim financial statements have been prepared in accordance with UK-adopted IAS 34 Interim Financial Reporting and IAS 34 as adopted by the EU.
- The interim management report includes a fair review of the information required by:
 - (a) DTR 4.2.7R of the Disclosure Guidance and Transparency Rules, being an indication of important events that have occurred during the six months ended 30 June 2025 and their impact on the condensed consolidated interim financial statements; and a description of the principal risks and uncertainties for the remaining six months of the year.
 - (b) DTR 4.2.8R of the Disclosure Guidance and Transparency Rules, being related party transactions that have taken place during the six months ended 30 June 2025 that have materially affected the financial position or performance of the entity during that period; and any changes in the related party transactions described in the last annual report that could have materially affected the financial position or performance of the entity during that period.

By order of the Board



Diego De Giorgi
Group Chief Financial Officer

31 July 2025

Standard Chartered PLC Board of Directors

Group Chair
Maria Ramos

Executive Directors

Bill Winters
Diego De Giorgi

Non-Executive Directors

Shirish Apte
Jackie Hunt
Diane Jurgens
Robin Lawther
Lincoln Leong
Phil Rivett
David Tang
Linda Yueh

Independent review report to Standard Chartered PLC

Conclusion

We have been engaged by Standard Chartered PLC (the 'Company' or, together with its subsidiaries, the 'Group') to review the condensed set of financial statements in the half-yearly financial report for the six months ended 30 June 2025 which comprises the condensed consolidated interim income statement, the condensed consolidated interim statement of comprehensive income, the condensed consolidated interim balance sheet, the condensed consolidated interim statement of changes in equity, the condensed consolidated interim cash flow statement, the related notes 1 to 30, and the risk and capital disclosures marked as 'reviewed' from page 35 to 90 (together the 'condensed consolidated interim financial statements'). We have read the other information contained in the half yearly financial report and considered whether it contains any apparent misstatements or material inconsistencies with the information in the condensed set of financial statements.

Based on our review, nothing has come to our attention that causes us to believe that the condensed consolidated interim financial statements in the half-yearly financial report for the six months ended 30 June 2025 are not prepared, in all material respects, in accordance with United Kingdom (UK) adopted International Accounting Standard 34 (IAS 34), IAS 34 as adopted by the European Union (EU), and the Disclosure Guidance and Transparency Rules (DTR) of the UK's Financial Conduct Authority (FCA).

Basis for Conclusion

We conducted our review in accordance with International Standard on Review Engagements 2410 (UK) 'Review of Interim Financial Information Performed by the Independent Auditor of the Entity' (ISRE) issued by the Financial Reporting Council (FRC). A review of interim financial information consists of making enquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing (UK) and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

As disclosed in note 1, the annual financial statements of the Group are prepared in accordance with UK adopted international accounting standards and international financial reporting standard as adopted by the EU. The condensed set of financial statements included in this half-yearly financial report has been prepared in accordance with UK adopted IAS 34 and IAS 34 as adopted by the EU, and the DTR of the UK's FCA.

Conclusions Relating to Going Concern

Based on our review procedures, which are less extensive than those performed in an audit as described in the Basis of Conclusion section of this report, nothing has come to our attention to suggest that management have inappropriately adopted the going concern basis of accounting or that management have identified material uncertainties relating to going concern that are not appropriately disclosed.

This conclusion is based on the review procedures performed in accordance with this ISRE, however future events or conditions may cause the entity to cease to continue as a going concern.

Responsibilities of the directors

The directors are responsible for preparing the half-yearly financial report in accordance with UK adopted IAS 34 and IAS 34 as adopted by the EU, and the DTR of the UK's FCA.

In preparing the half-yearly financial report, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the review of the financial information

In reviewing the half-yearly report, we are responsible for expressing to the Company a conclusion on the condensed set of financial statements in the half-yearly financial report. Our conclusion, including our Conclusions Relating to Going Concern, are based on procedures that are less extensive than audit procedures, as described in the Basis for Conclusion paragraph of this report.

Use of our report

This report is made solely to the company in accordance with guidance contained in ISRE 2410 (UK) 'Review of Interim Financial Information Performed by the Independent Auditor of the Entity' issued by the FRC. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company, for our work, for this report, or for the conclusions we have formed.

Ernst & Young LLP

Ernst & Young LLP
London

31 July 2025

Condensed consolidated interim income statement

For the six months ended 30 June 2025

	Notes	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Interest income		12,485	14,194
Interest expense		(9,441)	(11,019)
Net interest income	3	3,044	3,175
Fees and commission income		2,627	2,363
Fees and commission expense		(495)	(442)
Net fee and commission income	4	2,132	1,921
Net trading income	5	5,438	4,749
Other operating income	6	292	(54)
Operating income		10,906	9,791
Staff costs		(4,393)	(4,336)
Premises costs		(175)	(177)
General administrative expenses		(1,135)	(1,027)
Depreciation and amortisation		(544)	(516)
Operating expenses	7	(6,247)	(6,056)
Operating profit before impairment losses and taxation		4,659	3,735
Credit impairment	8	(336)	(240)
Goodwill, property, plant and equipment and other impairment	9	(19)	(147)
Profit from associates and joint ventures	19	79	144
Profit before taxation		4,383	3,492
Taxation	10	(1,057)	(1,123)
Profit for the period		3,326	2,369
Profit attributable to:			
Non-controlling interests		17	(9)
Parent company shareholders		3,309	2,378
Profit for the period		3,326	2,369
		cents	cents
Earnings per share:			
Basic earnings per ordinary share	12	129.1	83.3
Diluted earnings per ordinary share	12	125.5	81.3

The notes on pages 100 to 141 form an integral part of these financial statements.

Condensed consolidated interim statement of comprehensive income

For the six months ended 30 June 2025

	Notes	6 months ended 30.06.25 \$million	6 months ended 30.06.2024 \$million
Profit for the period		3,326	2,369
Other comprehensive income/(loss)			
Items that will not be reclassified to income statement:		124	(265)
Own credit losses on financial liabilities designated at fair value through profit or loss		(7)	(410)
Equity instruments at fair value through other comprehensive income/(loss)		122	(25)
Actuarial gains on retirement benefit obligations		5	31
Revaluation (deficit)/surplus ¹		(3)	15
Taxation relating to components of other comprehensive income		7	124
Items that may be reclassified subsequently to income statement:		1,293	(649)
Exchange differences on translation of foreign operations:			
Net gains/(losses) taken to equity		824	(1,017)
Net (losses)/gains on net investment hedges		(76)	377
Share of other comprehensive (loss)/income from associates and joint ventures		(30)	9
Debt instruments at fair value through other comprehensive income:			
Net valuation gains taken to equity		245	56
Reclassified to income statement		(9)	90
Net impact of expected credit gains/(losses)		9	(19)
Cash flow hedges:			
Net movements in cash flow hedge reserve		451	(171)
Taxation relating to components of other comprehensive income/(loss)		(121)	26
Other comprehensive income/(loss) for the period, net of taxation		1,417	(914)
Total comprehensive income for the period		4,743	1,455
Total comprehensive income attributable to:			
Non-controlling interests		42	(16)
Parent company shareholders		4,701	1,471
Total comprehensive income for the period		4,743	1,455

1 Revaluation (deficit)/surplus on reclassification of building to investment property measured at fair value

Condensed consolidated interim balance sheet

As at 30 June 2025

	Notes	30.06.25 \$million	31.12.24 \$million
Assets			
Cash and balances at central banks		80,165	63,447
Financial assets held at fair value through profit or loss	13	201,523	177,517
Derivative financial instruments	13,14	64,225	81,472
Loans and advances to banks	13	42,386	43,593
Loans and advances to customers	13	286,731	281,032
Investment securities	13	158,588	144,556
Other assets	18	65,429	43,468
Current tax assets		572	663
Prepayments and accrued income		3,070	3,207
Interests in associates and joint ventures	19	1,405	1,020
Goodwill and intangible assets	16	6,091	5,791
Property, plant and equipment	17	2,506	2,425
Deferred tax assets	10	399	414
Retirement benefit schemes in surplus		165	151
Assets classified as held for sale	20	681	932
Total assets		913,936	849,688
Liabilities			
Deposits by banks	13	30,883	25,400
Customer accounts	13	517,390	464,489
Repurchase agreements and other similar secured borrowing	13,15	5,250	12,132
Financial liabilities held at fair value through profit or loss	13	99,551	85,462
Derivative financial instruments	13,14	69,878	82,064
Debt securities in issue	13	70,088	64,609
Other liabilities	21	48,638	44,681
Current tax liabilities		967	726
Accruals and deferred income		6,286	6,896
Subordinated liabilities and other borrowed funds	13,24	8,778	10,382
Deferred tax liabilities	10	715	567
Provisions for liabilities and charges		345	349
Retirement benefit schemes in deficit		282	266
Liabilities included in disposal groups held for sale	20	215	381
Total liabilities		859,266	798,404
Equity			
Share capital and share premium account	25	6,648	6,695
Other reserves		10,099	8,724
Retained earnings		29,983	28,969
Total parent company shareholders' equity		46,730	44,388
Other equity instruments	25	7,500	6,502
Total equity excluding non-controlling interests		54,230	50,890
Non-controlling interests		440	394
Total equity		54,670	51,284
Total equity and liabilities		913,936	849,688

The notes on pages 100 to 141 form an integral part of these financial statements.

These financial statements were approved by the Board of Directors and authorised for issue on 31 July 2025 and signed on its behalf by:



Diego De Giorgi
Group Chief Financial Officer

Condensed consolidated interim statement of changes in equity

For the six months ended 30 June 2025

	Ordinary share capital and share premium account \$million	Preference share capital and share premium account \$million	Capital and merger reserves \$million	Own credit adjustment reserve \$million	Fair value through other comprehensive income reserve – debt \$million	Fair value through other comprehensive income reserve – equity \$million	Cash flow hedge reserve \$million	Translation reserve \$million	Retained earnings \$million	Parent company shareholders' equity \$million	Other equity instruments \$million	Non-controlling interests \$million	Total \$million
As at 1 January 2024	5,321	1,494	17,453	100	(690)	330	91	(8,113)	28,459	44,445	5,512	396	50,353
Profit for the period	–	–	–	–	–	–	–	–	2,378	2,378	–	(9)	2,369
Other comprehensive (loss)/income ⁷	–	–	–	(360)	137	(81) ¹¹	(147)	(644)	188 ^{2,12}	(907)	–	(7)	(914)
Distributions	–	–	–	–	–	–	–	–	–	–	–	(25)	(25)
Other equity instruments issued, net of expenses	–	–	–	–	–	–	–	–	–	–	992 ⁸	–	992
Treasury shares net movement	–	–	–	–	–	–	–	–	29	29	–	–	29
Share option expense, net of taxation	–	–	–	–	–	–	–	–	148	148	–	–	148
Dividends on ordinary shares	–	–	–	–	–	–	–	–	(551)	(551)	–	–	(551)
Dividends on preference shares and AT1 securities	–	–	–	–	–	–	–	–	(209)	(209)	–	–	(209)
Share buyback ³	(57)	–	57	–	–	–	–	–	(1,000)	(1,000)	–	–	(1,000)
Other movements	–	–	–	–	7	–	–	134 ⁴	(61) ⁹	80	–	55 ⁵	135
As at 30 June 2024	5,264	1,494	17,510	(260)	(546)	249	(56)	(8,623)	29,381	44,413	6,504	410	51,327
Profit for the period	–	–	–	–	–	–	–	–	1,672	1,672	–	1	1,673
Other comprehensive (loss)/income ⁷	–	–	–	(17)	305	55 ¹³	60	(91)	39 ^{2,14}	351	–	(7)	344
Distributions	–	–	–	–	–	–	–	–	–	–	–	(18)	(18)
Other equity instruments issued, net of expenses	–	–	–	–	–	–	–	–	–	–	576 ⁸	–	576
Redemption of other equity instruments	–	–	–	–	–	–	–	–	–	–	(553) ¹⁰	–	(553)
Treasury shares net movement	–	–	–	–	–	–	–	–	(197)	(197)	–	–	(197)
Share option expense, net of taxation	–	–	–	–	–	–	–	–	121	121	–	–	121
Dividends on ordinary shares	–	–	–	–	–	–	–	–	(229)	(229)	–	–	(229)
Dividends on preference shares and AT1 securities	–	–	–	–	–	–	–	–	(248)	(248)	–	–	(248)
Share buyback ⁶	(63)	–	63	–	–	–	–	–	(1,500)	(1,500)	–	–	(1,500)
Other movements	–	–	–	(1)	–	–	–	76 ⁴	(70) ⁹	5	(25) ¹⁰	8 ⁵	(12)
As at 31 December 2024	5,201	1,494	17,573	(278)	(241)	304	4	(8,638)	28,969	44,388	6,502	394	51,284

- First half year ended 30 June 2024 includes capital reserve of \$5 million, capital redemption reserve of \$394 million and merger reserve of \$17,111 million. Further movement of \$63 million in capital redemption reserve during half year ended 31 December 2024
- Comprises actuarial gain, net of taxation on Group defined benefit schemes
- On 23 February 2024, the Group announced the buyback programme for a share buyback of its ordinary shares of \$0.50 each. Nominal value of share purchases was \$57 million, the total consideration paid was \$1,000 million and the buyback completed on 25 June 2024. The total number of shares purchased was 113,266,516, representing 4.25 per cent of the ordinary shares in issue at the beginning of the programme. The nominal value of the shares was transferred from the share capital to the capital redemption reserve account
- 2024 movement includes realisation of translation adjustment loss from sale of SCB Zimbabwe Limited (\$190 million), SCB Angola S.A. (\$31 million), SCB Sierra Leone Limited (\$25 million) transferred to other operating income
- Movements during first half year ended 30 June 2024 includes non-controlling interest pertaining to Mox Bank Limited (\$8 million) and Trust Bank Singapore Limited (\$47 million). Further movement in non-controlling interest from Mox Bank Limited (\$6 million) and Trust Bank Singapore Limited (\$8 million) partly offset by SCB Angola S.A. (\$6 million) during half year ended 31 December 2024
- On 30 July 2024, the Group announced the buyback programme for a \$1,500 million share buyback of its ordinary shares of \$0.50 each. As at December 2024, nominal value of share purchases was \$63 million with the total number of shares purchased of 126,262,414 and the total consideration was \$1,355 million. The buyback programme was completed on 30 January 2025 with a further 11,300,128 shares purchased in 2025, representing 0.44 per cent of shares in issue at the beginning of the programme. The nominal value of the shares was transferred from the share capital to the capital redemption reserve account
- All the amounts are net of tax
- Includes \$992 million and \$576 million (SGD 750 million) fixed rate resetting perpetual subordinated contingent convertible AT1 securities issued by Standard Chartered PLC (refer note 25)
- Movement in 2024 mainly includes movements related to Ghana hyperinflation
- Relates to redemption of AT1 securities of SGD 750 million (\$553 million) and realised translation loss (\$25 million) reported in other movements
- Includes \$147 million gain on sale of equity investment transferred to retained earnings partly offset by \$76 million reversal of deferred tax liability
- Includes \$147 million gain on sale of equity investment in other comprehensive income reserve transferred to retained earnings partly offset by \$13 million capital gain tax
- Includes \$72 million mark-to-market gain on equity instrument partly offset by \$27 million gain on sale of equity investment transferred to retained earnings
- Includes \$27 million gain on sale of equity investment in other comprehensive income reserve transferred to retained earnings

Condensed consolidated interim statement of changes in equity

For the six months ended 30 June 2025 continued

	Ordinary share capital and share premium account \$million	Preference share capital and share premium account \$million	Capital and merger reserves ¹⁵ \$million	Own credit adjustment reserve \$million	Fair value through other comprehensive income reserve – debt \$million	Fair value through other comprehensive income reserve – equity \$million	Cash flow hedge reserve \$million	Translation reserve \$million	Retained earnings \$million	Parent company shareholders' equity \$million	Other equity instruments \$million	Non-controlling interests \$million	Total \$million
As at 1 January 2025	5,201	1,494	17,573	(278)	(241)	304	4	(8,638)	28,969	44,388	6,502	394	51,284
Profit for the period	–	–	–	–	–	–	–	–	3,309	3,309	–	17	3,326
Other comprehensive income ⁷	–	–	–	3	171	52 ²⁰	374	718	74 ^{2,20}	1,392	–	25	1,417
Distributions	–	–	–	–	–	–	–	–	–	–	–	(35)	(35)
Other equity instruments issued, net of expenses	–	–	–	–	–	–	–	–	–	–	994 ¹⁹	–	994
Treasury shares net movement	–	–	–	–	–	–	–	–	(76)	(76)	–	–	(76)
Share option expense, net of taxation	–	–	–	–	–	–	–	–	139	139	–	–	139
Dividends on ordinary shares	–	–	–	–	–	–	–	–	(670)	(670)	–	–	(670)
Dividends on preference shares and AT1 securities	–	–	–	–	–	–	–	–	(244)	(244)	–	–	(244)
Share buyback ^{6,16}	(47)	–	47	–	–	–	–	–	(1,500)	(1,500)	–	–	(1,500)
Other movements	–	–	–	–	(25)	–	–	35 ¹⁷	(18) ⁹	(8)	4	39 ¹⁸	35
As at 30 June 2025	5,154	1,494	17,620	(275)	(95)	356	378	(7,885)	29,983	46,730	7,500	440	54,670

¹⁵ Includes capital reserve of \$5 million, capital redemption reserve of \$504 million and merger reserve of \$17,111 million

¹⁶ On 21 February 2025, the Group announced the buyback programme for a \$1,500 million share buyback of its ordinary shares of \$0.50 each. As at 30 June 2025, the total number of shares purchased of 82,248,452 representing 3.41 per cent of the ordinary shares in issue at the beginning of the programme, for total consideration of \$1,222 million, out of which \$72 million was paid in July 2025, and a further \$278 million relating to irrevocable obligation to buy back shares under the buyback programme has been recognised. The nominal value of the shares was transferred from the share capital to the capital redemption reserve account

¹⁷ Includes realisation of translation adjustment loss from sale of Standard Chartered Bank Gambia Limited (\$8 million) and Standard Chartered Research and Technology India Private Limited (\$3 million) transferred to other operating income

¹⁸ Movement primarily from non-controlling interest pertaining to Mox Bank Limited (\$12 million), Trust Bank Singapore Limited (\$7 million), Furaha Holdings Limited (\$3 million), Standard Chartered Research and Technology India Private Limited (\$12 million), Century Leader Limited (\$6 million) offset by Standard Chartered Bank Gambia Limited (\$1 million)

¹⁹ Includes \$994 million fixed rate resetting perpetual subordinated contingent convertible AT1 securities issued by Standard Chartered PLC (refer note 25)

²⁰ Includes \$68 million gain on sale of equity investment in other comprehensive income reserve transferred to retained earnings

Note 25 includes a description of each reserve.

The notes on page 100 to 141 form an integral part of these financial statements.

Condensed consolidated interim cash flow statement

For the six months ended 30 June 2025

	Notes	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Cash flows from operating activities:			
Profit before taxation		4,383	3,492
Adjustments for non-cash items and other adjustments included within income statement	30	689	1,730
Change in operating assets	30	(28,293)	(41,582)
Change in operating liabilities	30	50,180	20,466
Contributions to defined benefit schemes		(28)	(19)
UK and overseas taxes paid		(700)	(793)
Net cash from/(used in) operating activities		26,231	(16,706)
Cash flows from investing activities:			
Internally generated capitalised software	16	(451)	(474)
Disposal of internally generated capitalised software	16	11	5
Purchase of property, plant and equipment		(125)	(76)
Disposal of property, plant and equipment		9	31
Acquisition of investment associates, and joint ventures, net of cash acquired		(97)	(4)
Disposal of investment in subsidiaries, associates and joint ventures, net of cash acquired		15	41
Dividends received from associates and joint ventures	19	45	–
Purchase of investment securities		(106,044)	(120,307)
Disposal and maturity of investment securities		97,706	125,925
Net cash (used in)/from investing activities		(8,931)	5,141
Cash flows from financing activities:			
Treasury share purchase		(123)	–
Treasury share sale		47	29
Cancellation of shares through share buyback		(1,150)	(1,000)
Premises and equipment lease liability principal payment		(107)	(105)
Issue of Additional Tier 1 capital, net of expenses		994	992
Interest paid on subordinated liabilities	30	(247)	(252)
Repayment of subordinated liabilities	30	(2,175)	(1,000)
Proceeds from issue of senior debts	30	7,953	7,698
Repayment of senior debts	30	(7,040)	(7,191)
Interest paid on senior debts	30	(1,678)	(548)
Net cash inflow from Non-controlling interest		24	47
Distributions and dividends paid to non-controlling interests, preference shareholders and AT1 securities		(279)	(234)
Dividends paid to ordinary shareholders		(670)	(551)
Net cash used in financing activities		(4,451)	(2,115)
Net increase/(decrease) in cash and cash equivalents		12,849	(13,680)
Cash and cash equivalents at beginning of the period		89,928	107,635
Effect of exchange rate movements on cash and cash equivalents		2,474	(1,740)
Cash and cash equivalents at end of the period¹		105,251	92,215

¹ Comprises cash and balances at central banks \$80,165 million (30 June 2024: \$64,086 million), treasury bills and other eligible bills \$9,005 million (30 June 2024: \$3,873 million), loans and advances to banks \$8,518 million (30 June 2024: \$12,691 million), loans and advances to customers \$15,447 million (30 June 2024: \$20,611 million) investments \$3,028 million (30 June 2024: \$824 million) less restricted balances \$10,912 million (30 June 2024: \$9,870 million)

Interest received was \$12,082 million (30 June 2024: \$14,575 million), interest paid was \$9,574 million (30 June 2024: \$10,948 million).

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Notes to the financial statements

1. Accounting policies

Statement of compliance

The Group's condensed consolidated interim financial statements consolidate those of Standard Chartered PLC (the Company) and its subsidiaries (together referred to as the Group) and equity account the Group's interests in associates and jointly controlled entities.

These interim financial statements have been prepared in accordance with the Disclosure Guidance and Transparency Rules of the United Kingdom's Financial Conduct Authority (FCA) and with UK-adopted International Accounting Standard 34 (IAS 34 Interim Financial Reporting) and IAS 34 as adopted by the European Union (EU), as there are no applicable differences for the periods presented. They should be read in conjunction with the 2024 Annual Report, which was prepared in accordance with the requirements of the Companies Act 2006, UK-adopted international accounting standards, and International Financial Reporting Standards (IFRS) (Accounting Standards) as adopted by the European Union (EU IFRS). The Group's Annual Report 2025 will continue to be prepared in accordance with these frameworks.

The following parts of the Risk review and Capital review form part of these financial statements:

- a) Risk review: Disclosures marked as 'reviewed' from the start of the Credit Risk section to the end of Other principal risks in the same section.
- b) Capital review: Tables marked as 'reviewed' from the start of 'CRD Capital base' to the end of 'Movement in total capital', excluding 'Total risk-weighted assets'.

There were no new accounting standards or interpretations that had a material effect on these Condensed consolidated interim financial statements.

Basis of preparation

The condensed consolidated financial statements have been prepared on a going concern basis and under the historical cost convention, as modified by the revaluation of cash-settled share-based payments, fair value through other comprehensive income, and financial assets and liabilities (including derivatives) at fair value through profit or loss.

The condensed consolidated financial statements are presented in United States dollars (\$), being the presentation and functional currency of the Group, and all values are rounded to the nearest million dollars, except when otherwise indicated. The accounting policies that we applied for these interim condensed consolidated financial statements are consistent with those described on pages 295 to 380 of the 2024 Annual Report, as are the methods of computation, except for the accounting policy change summarised below.

Re-presentation of segmental information

During the period there has been a change in respect to the classification of income attributable to geographic markets which have been re-presented to ensure recognition is in line with transfer pricing principles for services performed including origination, structuring, booking, and risk management. This is necessary to align the presentation of the disclosure of geographic markets' operating income with client segments in line with the Regulatory News Service (RNS) filing on Re-Presentation of Financial Information issued on 2 April 2025.

Prior period amounts have been re-presented in line with the current year basis of preparation to align with the information reviewed by the Chief Operating Decision Maker (CODM). Where the re-representation has impacted disclosure, it is included within the footnotes in the following sections and tables:

- Statement of results table
- Group Chief Financial Officer's review, Summary of financial performance table
- Financial review tables including the following: Operating income by product, profit before tax by client segment, Adjusted net interest income and margin, and Restructuring, DVA, FFG and other items
- Supplementary financial information tables including the following: Underlying performance by client segment, Corporate & Investment Banking, Wealth & Retail Banking, Ventures, Central & other items, Underlying performance by key market, and Quarterly underlying operating income by product
- Underlying versus reported results reconciliations, Net interest income and Non NII table
- Movement in risk-weighted assets
- Risk review: Movement tables for Corporate & Investment Banking (reviewed), Wealth & Retail Banking (reviewed) and Wealth & Retail Banking – Secured (reviewed)
- Risk review: Credit impairment charge (reviewed)
- Notes to the financial statements: Note 2 Segmental information and Note 4 Net fees and commission.

1. Accounting policies continued

Change in accounting policy

Prior period amounts for certain Credit risk tables (required by IFRS 7 – Financial Instruments: Disclosure) within the Risk review on pages 35 to 76 were also represented for a change in accounting policy for the presentation of the Group's geographic disclosures to align to information reported to key management personnel. These disclosures changed from being based on a management view, which was principally the location from which a client relationship is managed, to being based on a financial view reflecting the location in which exposures are financially booked. This change provides more reliable and relevant information because it more closely reflects the Group's exposure to risk presented to key management personnel. The change impacted the following tables: Loans and advances analysis by client segment, credit quality and key geography, Forborne and other modified loans by key geography, and Industry and Retail Products analysis of loans and advances by key geography – Corporate & Investment Banking and Central & other items. The most significant impact of this change was in net loans and advances to customers in the UK, which increased by \$14.4 billion. This amount was reclassified from a number of geographic locations. There has been no impact to Earnings Per Share or Diluted Earnings per Share from this change.

Significant accounting estimates and judgements

In determining the carrying amounts of certain assets and liabilities, the Group makes assumptions of the effects of uncertain future events on those assets and liabilities at the balance sheet date. The Group's estimates and assumptions are based on historical experience and expectation of future events and are reviewed periodically. The significant judgements made by management in applying the Group's accounting policies and key sources of uncertainty were the same as those applied to the consolidated financial statements as at, and for, the year ended 31 December 2024.

IFRS and Hong Kong accounting requirements

As required by the Hong Kong Listing Rules, an explanation of the differences in accounting practices between UK-adopted IFRS and Hong Kong Financial Reporting Standards is required to be disclosed. There would be no significant differences had these accounts been prepared in accordance with Hong Kong Financial Reporting Standards.

Going concern

These financial statements were approved by the Board of Directors on 31 July 2025. The directors have made an assessment of the Group's ability to continue as a going concern. This assessment has been made having considered the current macroeconomic and geopolitical headwinds, including:

- Review of the Group Strategy and Corporate Plan, including the annual budget
- An assessment of the actual performance to date, loan book quality, credit impairment, legal and regulatory matters, compliance matters, recent regulatory developments
- Consideration of stress testing performed, including the Group Recovery Plan (RP) which includes the application of stressed scenarios. Under the tests and through the range of scenarios, the results of these exercises and the RP demonstrate that the Group has sufficient capital and liquidity to continue as a going concern and meet minimum regulatory capital and liquidity requirements
- Analysis of the capital position of the Group, including the capital and leverage ratios, and ICAAP which summarises the Group's capital and risk assessment processes, assesses its capital requirements and the adequacy of resources to meet them
- Analysis of the funding and liquidity position of the Group, including the Internal Liquidity Adequacy Assessment Process (ILAAP), which considers the Group's liquidity position, its framework and whether sufficient liquidity resources are being maintained to meet liabilities as they fall due, was also reviewed. Further, funding and liquidity was considered in the context of the risk appetite metrics, including the LCR ratio
- The level of debt in issue, including redemptions and issuances during the year, debt falling due for repayment in the next 12 months and further planned debt issuances, including the appetite in the market for the Group's debt
- The Group's portfolio of debt securities held at amortised cost
- A detailed review of all principal risks as well as topical and emerging risks.

Based on the analysis performed, the directors confirm they are satisfied that the Group has adequate resources to continue in business for a period of at least 12 months from 31 July 2025.

For this reason, the Group continues to adopt the going concern basis of accounting for preparing the financial statements.

2. Segmental information

Basis of preparation

The analysis reflects how the client segments and markets are managed internally to drive better decision-making, resource allocation and return outcomes. Underlying segment and market performance is based on arms-length transfer pricing and reflects the underlying profitability including related capital and infrastructure costs. Income attribution to segment and markets is based on their contribution to the revenue generated across the network, considering factors such as booking location, trader and sales effort. Treasury outcomes such as MREL, FTP, Structural Hedges and Liquidity Pool which segments can directly benefit, influence, and optimise are allocated to individual business segments.

Disclosures have been re-presented as explained in Note 1 Re-presentation of segmental information. The effect of the change has impacted the classification of cost and income across client segments.

Client segments

The Group's segmental reporting is in accordance with IFRS 8 – Operating Segments and is reported consistently with the internal performance framework and as presented to the Group's Management Team.

Restructuring and other items excluded from underlying results

The Group's reported IFRS performance is adjusted for certain items to arrive at alternative performance measures (APMs). These items include profits or losses of a capital nature, amounts consequent to investment transactions driven by strategic intent, other infrequent and/or exceptional transactions that are significant or material in the context of the Group's normal business earnings for the period and items which management and investors would ordinarily identify separately when assessing consistent performance period by period. The APMs are not within the scope of IFRS and are not a substitute for IFRS measures. These adjustments are set out below.

Restructuring loss of \$137 million includes ongoing charges related to portfolio and businesses being exited and optimising the Group's office space and property footprint. Fit for Growth (FFG) costs of \$160 million, primarily severance costs, costs of staff working on FFG initiatives and legal and professional fees, reflect the impact of actions to transform the organisation to improve productivity, primarily additional redundancy charges, simplifying technology platforms.

Reconciliations between underlying and reported results are set out in the tables below:

6 months ended 30.06.25							
	Underlying \$million	Restructuring \$million	FFG \$million	DVA \$million	Net gain/ loss on businesses disposed of/held for sale \$million	Other items \$million	Reported \$million
Operating income	10,899	7	–	5	(5)	–	10,906
Operating expenses	(5,965)	(129)	(153)	–	–	–	(6,247)
Operating profit/(loss) before impairment losses and taxation	4,934	(122)	(153)	5	(5)	–	4,659
Credit impairment	(336)	–	–	–	–	–	(336)
Other impairment	(9)	(3)	(7)	–	–	–	(19)
Profit from associates and joint ventures	91	(12)	–	–	–	–	79
Profit/(loss) before taxation	4,680	(137)	(160)	5	(5)	–	4,383

6 months ended 30.06.24							
	Underlying \$million	Restructuring ² \$million	FFG ² \$million	DVA \$million	Net loss on businesses disposed of/held for sale ¹ \$million	Other items ³ \$million	Reported \$million
Operating income	9,958	48	–	(26)	(189)	–	9,791
Operating expenses	(5,673)	(197)	(86)	–	–	(100)	(6,056)
Operating profit/(loss) before impairment losses and taxation	4,285	(149)	(86)	(26)	(189)	(100)	3,735
Credit impairment	(249)	9	–	–	–	–	(240)
Other impairment	(143)	(4)	–	–	–	–	(147)
Profit from associates and joint ventures	64	80	–	–	–	–	144
Profit/(loss) before taxation	3,957	(64)	(86)	(26)	(189)	(100)	3,492

1 Net loss on businesses disposal includes loss of \$174 million relating to Zimbabwe exit

2 FFG charge previously reported within Restructuring has been re-presented as a separate item

3 Other items include \$100 million charge relating to Korea equity-linked securities (ELS) portfolio

2. Segmental information continued

Underlying performance by client segment

	6 months ended 30.06.25					6 months ended 30.06.24				
	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Ventures \$million	Central & other items \$million	Total \$million	Corporate & Investment Banking ³ \$million	Wealth & Retail Banking ³ \$million	Ventures ³ \$million	Central & other items ³ \$million	Total \$million
Operating income	6,583	4,162	320	(166)	10,899	6,194	3,884	80	(200)	9,958
External	6,317	1,834	321	2,427	10,899	5,221	1,761	80	2,896	9,958
Inter-segment	266	2,328	(1)	(2,593)	–	973	2,123	–	(3,096)	–
Operating expenses	(3,155)	(2,429)	(239)	(142)	(5,965)	(3,045)	(2,254)	(228)	(146)	(5,673)
Operating profit/(loss) before impairment losses and taxation	3,428	1,733	81	(308)	4,934	3,149	1,630	(148)	(346)	4,285
Credit impairment	14	(332)	(24)	6	(336)	54	(267)	(43)	7	(249)
Other impairment	–	(3)	–	(6)	(9)	(105)	(27)	–	(11)	(143)
Profit from associates and joint ventures	–	–	(11)	102	91	–	–	(6)	70	64
Underlying profit/(loss) before taxation	3,442	1,398	46	(206)	4,680	3,098	1,336	(197)	(280)	3,957
Restructuring and other items ²	(146)	(130)	(1)	(20)	(297)	(77)	(195)	(1)	(192)	(465)
Reported profit/(loss) before taxation	3,296	1,268	45	(226)	4,383	3,021	1,141	(198)	(472)	3,492
Total assets	512,928	129,591	7,534	263,883	913,936	443,567	122,625	5,115	264,120	835,427
Of which: loans and advances to customers	204,812	126,712	1,555	17,539	350,618	190,474	120,258	1,110	23,865	335,707
loans and advances to customers	140,930	126,707	1,555	17,539	286,731	130,672	120,249	1,110	23,865	275,896
loans held at fair value through profit or loss (FVTPL)	63,882	5	–	–	63,887	59,802	9	–	–	59,811
Total liabilities	507,646	244,591	6,010	101,019	859,266	469,158	208,419	4,347	102,176	784,100
Of which: customer accounts ¹	332,952	240,612	5,718	2,851	582,133	316,543	204,221	4,046	7,452	532,262

1 Customer accounts includes FVTPL and repurchase agreements

2 Other items 2024 include \$100 million charge relating to Korea equity linked securities (ELS) portfolio, \$174 million primarily relating to recycling of FX translation losses from reserves into P&L on the sale of Zimbabwe

3 Segment results have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

Operating income by client segment

	6 months ended 30.06.25					6 months ended 30.06.24				
	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Ventures \$million	Central & other items \$million	Total \$million	Corporate & Investment Banking ² \$million	Wealth & Retail Banking ² \$million	Ventures \$million	Central & other items ² \$million	Total \$million
Underlying versus reported:										
Underlying operating income	6,583	4,162	320	(166)	10,899	6,194	3,884	80	(200)	9,958
Restructuring	17	(13)	–	3	7	26	16	–	6	48
DVA	5	–	–	–	5	(26)	–	–	–	(26)
Other items ¹	–	–	–	(5)	(5)	–	–	–	(189)	(189)
Reported operating income	6,605	4,149	320	(168)	10,906	6,194	3,900	80	(383)	9,791
Additional income by account:										
Net interest income	705	2,515	50	(226)	3,044	1,272	2,539	45	(681)	3,175
Net fees and commission income	1,088	1,074	30	(60)	2,132	993	955	19	(46)	1,921
Net trading and other income ¹	4,812	560	240	118	5,730	3,929	406	16	344	4,695
Reported operating income	6,605	4,149	320	(168)	10,906	6,194	3,900	80	(383)	9,791

1 Other items in H1 2024 include loss of \$174 million relating to the Zimbabwe exit

2 Segment results have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025

3. Net interest income

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Balances at central banks	1,036	1,360
Loans and advances to banks	1,109	1,052
Loans and advances to customers	7,221	8,190
Debt securities	2,443	2,716
Other eligible bills	621	807
Accrued on impaired assets (discount unwind)	55	69
Interest income	12,485	14,194
Of which: financial instruments held at fair value through other comprehensive income	1,825	1,707
Deposits by banks	326	441
Customer accounts	7,053	8,361
Debt securities in issue	1,727	1,794
Subordinated liabilities and other borrowed funds	302	394
Interest expense on IFRS 16 lease liabilities	33	29
Interest expense	9,441	11,019
Net interest income	3,044	3,175

4. Net fees and commission

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Fees and commissions income	2,627	2,363
Of which:		
Financial instruments that are not fair valued through profit or loss	763	722
Trust and other fiduciary activities	358	305
Fees and commissions expense	(495)	(442)
Of which:		
Financial instruments that are not fair valued through profit or loss	(171)	(125)
Trust and other fiduciary activities	(31)	(25)
Net fees and commission	2,132	1,921

4. Net fees and commission continued

	6 months ended 30.06.25					6 months ended 30.06.24				
	Corporate & Investment Banking \$million	Wealth & Retail Banking \$million	Ventures \$million	Central & other items \$million	Total \$million	Corporate & Investment Banking \$million	Wealth & Retail Banking ¹ \$million	Ventures ¹ \$million	Central & other items ¹ \$million	Total \$million
Transaction Services	781	–	–	–	781	704	–	–	–	704
Payments & Liquidity	315	–	–	–	315	290	–	–	–	290
Securities Services	166	–	–	–	166	127	–	–	–	127
Trade & Working Capital	300	–	–	–	300	287	–	–	–	287
Global Banking	551	–	–	–	551	504	–	–	–	504
Lending & Financial Solutions	323	–	–	–	323	336	–	–	–	336
Capital Market & Advisory	228	–	–	–	228	168	–	–	–	168
Global Markets	23	–	–	–	23	24	–	–	–	24
Macro Trading	–	–	–	–	–	7	–	–	–	7
Credit Trading	22	–	–	–	22	17	–	–	–	17
Valuation & Other Adjustments	1	–	–	–	1	–	–	–	–	–
Wealth solutions	–	967	–	–	967	–	822	–	–	822
Investment Products	–	548	–	–	548	–	456	–	–	456
Bancassurance	–	419	–	–	419	–	366	–	–	366
Deposits & Mortgages	–	104	–	–	104	–	121	–	–	121
CCPL & Other Unsecured Lending	–	149	–	–	149	–	161	–	–	161
Ventures	–	–	43	–	43	–	–	30	–	30
Digital Banks	–	–	26	–	26	–	–	18	–	18
SC Ventures	–	–	17	–	17	–	–	12	–	12
Treasury & Other	–	13	–	(4)	9	–	13	–	(16)	(3)
Fees and commission income	1,355	1,233	43	(4)	2,627	1,232	1,117	30	(16)	2,363
Fees and commission expense	(267)	(159)	(13)	(56)	(495)	(239)	(162)	(11)	(30)	(442)
Net fees and commission	1,088	1,074	30	(60)	2,132	993	955	19	(46)	1,921

1 Products have been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 with no change in total income

Upfront bancassurance consideration amounts are amortised on a straight-line basis over the contractual period to which the consideration relates. Deferred income on the balance sheet in respect of these activities is \$392 million (30 June 2024: \$448 million), which will be earned evenly over the remaining life of the contract until June 2032. For the six months ended 30 June 2025, \$28 million of fee income was released from deferred income (30 June 2024: \$28 million).

For the bancassurance contract with the annual performance bonus, based on progress so far and expectation of meeting the performance targets by year-end with a high probability, a pro-rata portion of the total performance fee, equal to \$119 million (30 June 2024: \$116 million) of the fee has been recognised as fee income in the period.

5. Net trading income

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Net trading income	5,438	4,749
Significant items within net trading income include:		
Gains on instruments held for trading ¹	4,353	3,717
Gains on financial assets mandatorily at fair value through profit or loss	2,710	2,499
Losses on financial assets designated at fair value through profit or loss	(3)	(1)
Losses on financial liabilities designated at fair value through profit or loss	(1,626)	(1,595)

1 Includes \$207 million loss (30 June 2024: \$110 million gain) from the translation of foreign currency monetary assets and liabilities

6. Other operating income

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Other operating income includes:		
Rental income from operating lease assets	16	20
Net gain/(loss) on disposal of fair value through other comprehensive income debt instruments	9	(90)
Net (loss)/gain on amortised cost financial assets	(7)	4
Net gain/(loss) on sale of businesses	242 ³	(169) ¹
Dividend income	6	4
Other	26	177 ²
Other operating income	292	(54)

1 Includes loss of \$174 million from sale of subsidiary (SCB Zimbabwe Limited) of which \$190 million relates to CTA loss, loss of \$15 million on disposal of aviation business, offset by gain of \$17 million on disposal of Shoal and Autumn Life Pte (subsidiary)

2 Includes IAS 29 adjustment Ghana hyperinflationary impact (\$106 million)

3 Includes gain of \$239 million from disposal of Standard Chartered Research of which \$3 million relates to currency translation adjustment loss, and gain of \$9 million from the sale of the WRB business in Tanzania, partly offset by \$5 million loss from the sale of Standard Chartered Bank Gambia Limited of which \$8 million relates to Currency Translation Adjustment loss

On 26 June 2025, the Group disposed of its entire interest in Standard Chartered Research and Technology India Private Limited (SCRTIPL) a wholly owned subsidiary as part of a combined share swap and primary investment transaction (the Solv India transaction or the transaction). The transaction has resulted in the Group recognising Jumbotail Technologies Private Limited as an associate.

The carrying amount of the net assets of SCRTIPL at the date of the Solv India transaction was \$16 million. The Group recognised a gain on the transaction of \$238 million. The consideration received in the combined share swap was \$344 million, including a primary cash investment of \$80 million. Disposal costs were approximately \$9 million.

The gain on disposal arose because the carrying value of the subsidiary's net assets was exceeded by the consideration received. No impairment of OCI balances was required. The disposal has resulted in the recycling of \$3 million of Currency Translation Adjustments to profit and loss.

The Group elected to apply the 12-month measurement exemption to finalise the purchase price allocation. The allocation is incomplete at half year as additional analysis is required to finalise the nature and value of intangible assets.

7. Operating expenses

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Staff costs:		
Wages and salaries	3,367	3,288
Social security costs	143	129
Other pension costs	215	223
Share-based payment costs	206	172
Other staff costs	462	524
	4,393	4,336
Premises and equipment expenses	175	177
General administrative expenses	1,135	1,027
Depreciation and amortisation		
Property, plant and equipment:		
Premises	153	148
Equipment	66	39
Intangibles:		
Software	325	329
	544	516
Total operating expenses	6,247	6,056

Other staff costs include redundancy expenses of \$62 million (30 June 2024: \$115 million). Further costs in this category include training, travel costs and other staff-related costs.

Operating expenses include research expenditure of \$500 million (30 June 2024: \$480 million), which was recognised as an expense during the period.

8. Credit impairment

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Net credit impairment on loans and advances to banks and customers	332	256
Net credit impairment on debt securities ¹	12	(41)
Net credit impairment relating to financial guarantees and loan commitments	(16)	24
Net credit impairment relating to other financial assets	8	1
Credit impairment charge¹	336	240

¹ Includes impairment charge of \$6 million (30 June 2024: \$14 million release) on originated credit-impaired debt securities

9. Goodwill, property, plant and equipment and other impairment

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Impairment of other intangible assets (Note 16)	18	148
Other	1	(1)
Goodwill, property, plant and equipment and other impairment	19	147

10. Taxation

The following table provides analysis of taxation charge in the period:

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
The charge for taxation based upon the profit for the period comprises:		
Current tax:		
United Kingdom corporation tax at 25 per cent (2024: 25 per cent):		
Current tax charge on income for the period	5	10
Adjustments in respect of prior periods (including double tax relief)	8	2
Foreign tax:		
Current tax charge on income for the period	1,000	993
Adjustments in respect of prior periods (including double tax relief)	(9)	27
	1,004	1,032
Deferred tax:		
Origination/reversal of temporary differences	109	89
Adjustments in respect of prior periods (including double tax relief)	(56)	2
	53	91
Tax on profits on ordinary activities	1,057	1,123
Effective tax rate	24.1%	32.2%

The tax charge for the period has been calculated by applying the effective rate of tax which is expected to apply for the year ending 31 December 2025 using rates substantively enacted at 30 June 2025. The rate has been calculated by estimating and applying an average annual effective income tax rate to each tax jurisdiction individually.

The tax charge for the period of \$1,057 million (30 June 2024: \$1,123 million) on a profit before tax of \$4,383 million (30 June 2024: \$3,492 million) reflects the impact of non-creditable withholding taxes and other taxes, tax losses for which no deferred tax assets are recognised and non-deductible expenses offset by countries with tax rates lower than the UK, the most significant of which includes Hong Kong and Singapore and tax exempt income.

Foreign tax includes current tax of \$196 million (30 June 2024: \$131 million) on the profits assessable in Hong Kong. Deferred tax includes origination or reversal of temporary differences of \$9 million (30 June 2024: \$27 million) provided at a rate of 16.5 per cent (30 June 2024: 16.5 per cent) on the profits assessable in Hong Kong.

The Group falls within the Pillar Two global minimum tax rules which apply in the UK from 1 January 2024. The IAS 12 exception to recognise and disclose information about deferred tax assets and liabilities related to Pillar Two income taxes has been applied. The current tax charge for the period ended 30 June 2025 includes \$10 million in respect of Pillar Two income taxes (30 June 2024: \$10 million).

10. Taxation continued

Deferred tax comprises assets and liabilities as follows:

	30.06.25			31.12.24		
	Total \$million	Asset \$million	Liability \$million	Total \$million	Asset \$million	Liability \$million
Deferred tax comprises:						
Accelerated tax depreciation	(377)	37	(414)	(380)	19	(399)
Impairment provisions on loans and advances	202	196	6	190	139	51
Tax losses carried forward	87	17	70	74	51	23
Equity Instruments at Fair value through other comprehensive income	(74)	(2)	(72)	(62)	(12)	(50)
Debt Instruments at Fair value through other comprehensive income	(60)	1	(61)	(30)	(14)	(16)
Cash flow hedges	(89)	(17)	(72)	(9)	–	(9)
Own credit adjustment	17	1	16	4	4	–
Retirement benefit obligations	(5)	12	(17)	(7)	16	(23)
Share-based payments	51	11	40	54	12	42
Other temporary differences	(68)	143	(211)	13	199	(186)
	(316)	399	(715)	(153)	414	(567)

11. Dividends**Ordinary equity shares**

	6 months ended 30.06.25		6 months ended 30.06.24	
	Cents per share	\$million	Cents per share	\$million
2023 final dividend declared and paid during the period	–	–	21	551
2024 final dividend declared and paid during the period	28	670	–	–

The 2024 final dividend per share of 28 cents per ordinary share (\$670 million) was paid to eligible shareholders on 19 May 2025, and is recognised in these interim accounts.

Interim dividends on ordinary equity shares are recorded in the period in which they are declared and, in respect of the final dividend, have been approved by the shareholders.

2025 recommended interim ordinary share dividend

The 2025 interim dividend of 12.3 cents per ordinary share will be paid in pounds sterling, Hong Kong dollars or US dollars on 30 September 2025 to shareholders on the UK register of members at the close of business in the UK on 8 August 2025.

Preference shares and Additional Tier 1 (AT1) securities

Dividends on these preference shares and securities classified as equity are recorded in the period in which they are declared.

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Non-cumulative redeemable preference shares:		
7.014 per cent preference shares of \$5 each	26	26
Floating rate preference shares of \$5 each ¹	24	27
	50	53
AT1 securities: fixed rate resetting perpetual subordinated contingent convertible securities	194	156
	244	209

¹ Floating rate is based on Secured Overnight Financing Rate (SOFR), average rate paid for floating preference shares is 6.28 per cent (30 June 2024: 7.24 per cent)

12. Earnings per ordinary share

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Profit for the period attributable to equity holders	3,326	2,369
Non-controlling interest	(17)	9
Dividend payable on preference shares and AT1 classified as equity	(244)	(209)
Profit for the period attributable to ordinary shareholders	3,065	2,169
Items normalised:¹		
Restructuring	137	64
FFG	160	86
DVA	(5)	26
Net loss on sale of business	5	189
Other items	–	100
Tax on normalised items	(55)	(67)
Underlying profit for the period attributable to ordinary shareholders	3,307	2,567
Basic – weighted average number of shares (millions)	2,375	2,605
Diluted – weighted average number of shares (millions)	2,443	2,669
Basic earnings per ordinary share (cents)	129.1	83.3
Diluted earnings per ordinary share (cents)	125.5	81.3
Underlying basic earnings per ordinary share (cents)	139.2	98.5
Underlying diluted earnings per ordinary share (cents)	135.4	96.2

¹ Refer to Note 2 segmental information for normalised items

The calculation of basic earnings per share is based on the profit attributable to equity holders of the parent and the basic weighted average number of shares excluding treasury shares held in employees benefit trust. When calculating diluted earnings per share, the weighted average number of shares in issue is adjusted for the effects of all expected dilutive potential ordinary shares held in respect of Standard Chartered PLC totalling 58 million (30 June 2024: 59 million). The total number of share options outstanding, under schemes considered to be potentially dilutive, was 10 million (30 June 2024: 5 million). These options have strike prices ranging from \$5.03 to \$8.36. Of the total number of employee share options and share awards at 30 June 2025, there were nil share options and awards which were anti-dilutive.

The 230 million decrease (30 June 2024: 234 million decrease) in the basic weighted average number of shares is primarily due to the impact of the share buyback programmes completed during the period.

13. Financial instruments

Classification and measurement

Assets	Notes	Assets at fair value							
		Trading \$million	Derivatives held for hedging \$million	Non-trading mandatorily at fair value through profit or loss \$million	Designated at fair value through profit or loss \$million	Fair value through other comprehensive income \$million	Total financial assets at fair value \$million	Assets held at amortised cost \$million	Total \$million
Cash and balances at central banks ¹		-	-	-	-	-	-	80,165	80,165
Financial assets held at fair value through profit or loss									
Loans and advances to banks ²		2,393	-	-	-	-	2,393	-	2,393
Loans and advances to customers ²		7,961	-	158	-	-	8,119	-	8,119
Reverse repurchase agreements and other similar secured lending	15	50	-	90,283	-	-	90,333	-	90,333
Debt securities, alternative tier one and other eligible bills		93,044	-	138	46	-	93,228	-	93,228
Equity shares		7,287	-	163	-	-	7,450	-	7,450
		110,735	-	90,742	46	-	201,523	-	201,523
Derivative financial instruments	14	62,813	1,412	-	-	-	64,225	-	64,225
Loans and advances to banks ^{2,3}		-	-	-	-	-	-	42,386	42,386
of which – reverse repurchase agreements and other similar secured lending	15	-	-	-	-	-	-	4,250	4,250
Loans and advances to customers ²		-	-	-	-	-	-	286,731	286,731
of which – reverse repurchase agreements and other similar secured lending	15	-	-	-	-	-	-	4,189	4,189
Investment securities									
Debt securities, alternative tier one and other eligible bills		-	-	-	-	102,407	102,407	55,210	157,617
Equity shares		-	-	-	-	971	971	-	971
		-	-	-	-	103,378	103,378	55,210	158,588
Other assets	18	-	-	-	-	-	-	45,372	45,372
Assets held for sale	20	1	-	-	-	-	1	622	623
Total at 30 June 2025		173,549	1,412	90,742	46	103,378	369,127	510,486	879,613

1 Comprises cash held at central banks in restricted accounts of \$10,912 million, or on demand, or placements which are contractually due to mature overnight only. Other placements with central banks are reported as part of Loans and advances to customers

2 Further analysed in the Risk review and Capital review on pages 35 to 90

3 Loans and advances to banks include amounts due on demand from banks other than central banks

13. Financial instruments continued

		Assets at fair value								
Assets	Notes	Trading \$million	Derivatives held for hedging \$million	Non-trading mandatorily at fair value through profit or loss \$million	Designated at fair value through profit or loss \$million	Fair value through other comprehensive income \$million	Total financial assets at fair value \$million	Assets held at amortised cost \$million	Total \$million	
Cash and balances at central banks ¹		-	-	-	-	-	-	63,447	63,447	
Financial assets held at fair value through profit or loss										
Loans and advances to banks ²		2,213	-	-	-	-	2,213	-	2,213	
Loans and advances to customers ²		6,912	-	172	-	-	7,084	-	7,084	
Reverse repurchase agreements and other similar secured lending	15	336	-	85,859	-	-	86,195	-	86,195	
Debt securities, alternative tier one and other eligible bills		76,329	-	140	70	-	76,539	-	76,539	
Equity shares		5,285	-	201	-	-	5,486	-	5,486	
		91,075	-	86,372	70	-	177,517	-	177,517	
Derivative financial instruments	14	78,906	2,566	-	-	-	81,472	-	81,472	
Loans and advances to banks ^{2,3}		-	-	-	-	-	-	43,593	43,593	
of which – reverse repurchase agreements and other similar secured lending	15	-	-	-	-	-	-	2,946	2,946	
Loans and advances to customers ²		-	-	-	-	-	-	281,032	281,032	
of which – reverse repurchase agreements and other similar secured lending	15	-	-	-	-	-	-	9,660	9,660	
Investment securities										
Debt securities, alternative tier one and other eligible bills		-	-	-	-	88,425	88,425	55,137	143,562	
Equity shares		-	-	-	-	994	994	-	994	
		-	-	-	-	89,419	89,419	55,137	144,556	
Other assets	18	-	-	-	-	-	-	34,585	34,585	
Assets held for sale	20	-	-	-	5	-	5	884	889	
Total at 31 December 2024		169,981	2,566	86,372	75	89,419	348,413	478,678	827,091	

1 Comprises cash held at central banks in restricted accounts of \$7,799 million, or on demand, or placements which are contractually due to mature overnight only. Other placements with central banks are reported as part of Loans and advances to customers

2 Further analysed in the Risk review and Capital review on pages 35 to 90

3 Loans and advances to banks include amounts due on demand from banks other than central banks

13. Financial instruments continued

		Liabilities at fair value					
			Derivatives	Designated	Total		
Liabilities	Notes	Trading	held for	at fair value	financial	Amortised	Total
		\$million	hedging	through	liabilities at	cost	\$million
			\$million	profit or loss	fair value	\$million	
				\$million	\$million		\$million
Financial liabilities held at fair value through profit or loss							
Deposits by banks		–	–	1,994	1,994	–	1,994
Customer accounts		71	–	24,887	24,958	–	24,958
Repurchase agreements and other similar secured borrowing	15	–	–	43,946	43,946	–	43,946
Debt securities in issue		–	–	12,997	12,997	–	12,997
Short positions		15,656	–	–	15,656	–	15,656
		15,727	–	83,824	99,551	–	99,551
Derivative financial instruments	14	67,886	1,992	–	69,878	–	69,878
Deposits by banks		–	–	–	–	30,883	30,883
Customer accounts		–	–	–	–	517,390	517,390
Repurchase agreements and other similar secured borrowing	15	–	–	–	–	5,250	5,250
Debt securities in issue		–	–	–	–	70,088	70,088
Other liabilities	21	–	–	–	–	47,921	47,921
Subordinated liabilities and other borrowed funds	24	–	–	–	–	8,778	8,778
Liabilities included in disposal groups held for sale	20	–	–	–	–	194	194
Total at 30 June 2025		83,613	1,992	83,824	169,429	680,504	849,933
Financial liabilities held at fair value through profit or loss							
Deposits by banks		–	–	1,893	1,893	–	1,893
Customer accounts		–	–	21,772	21,772	–	21,772
Repurchase agreements and other similar secured borrowing	15	925	–	32,614	33,539	–	33,539
Debt securities in issue		1	–	13,730	13,731	–	13,731
Short positions		14,527	–	–	14,527	–	14,527
		15,453	–	70,009	85,462	–	85,462
Derivative financial instruments	14	80,037	2,027	–	82,064	–	82,064
Deposits by banks		–	–	–	–	25,400	25,400
Customer accounts		–	–	–	–	464,489	464,489
Repurchase agreements and other similar secured borrowing	15	–	–	–	–	12,132	12,132
Debt securities in issue		–	–	–	–	64,609	64,609
Other liabilities	21	–	–	–	–	44,047	44,047
Subordinated liabilities and other borrowed funds	24	–	–	–	–	10,382	10,382
Liabilities included in disposal groups held for sale	20	–	–	–	–	360	360
Total at 31 December 2024		95,490	2,027	70,009	167,526	621,419	788,945

Financial liabilities designated at fair value through profit or loss

	30.06.25 \$million	31.12.24 \$million
Carrying balance aggregate fair value	83,824	70,009
Amount contractually obliged to repay at maturity	83,728	70,166
Difference between aggregate fair value and contractually obliged to repay at maturity	96	(157)
Cumulative change in Fair Value accredited to Credit Risk difference	(286)	(276)

The net fair value loss on financial liabilities designated at fair value through profit or loss was \$1,626 million for the period (31 December 2024: net loss of \$3,252 million).

Further details of the Group's own credit adjustment (OCA) valuation technique is described later in this Note.

13. Financial instruments continued

Valuation of financial instruments

The Valuation Methodology function is responsible for independent price verification, oversight of fair value and appropriate value adjustments and escalation of valuation issues. Independent price verification is the process of determining that the valuations incorporated into the financial statements are validated independent of the business area responsible for the product. The Valuation Methodology function has oversight of the fair value adjustments to ensure the financial instruments are priced to exit.

These are key controls in ensuring the material accuracy of the valuations incorporated in the financial statements. The market data used for price verification (PV) may include data sourced from recent trade data involving external counterparties or third parties such as Bloomberg, Reuters, brokers and consensus pricing providers. The Valuation Methodology function performs an ongoing review of the market data sources that are used as part of the PV and fair value processes which are formally documented on a semi-annual basis detailing the suitability of the market data used for price testing.

Price verification uses independently sourced data that is deemed most representative of the market the instruments trade in. To determine the quality of the market data inputs, factors such as independence, relevance, reliability, availability of multiple data sources and methodology employed by the pricing provider are taken into consideration.

The Valuation and Benchmarks Committee is the valuation governance forum consisting of representatives from Group Market Risk, Product Control, Valuation Methodology and the business, which meets monthly to discuss and approve the independent valuations of the inventory. For Principal Finance, the Investment Committee meeting is held on a quarterly basis to review investments and valuations.

Significant accounting estimates and judgements

The Group evaluates the significance of financial instruments and material accuracy of the valuations incorporated in the financial statements as they involve a high degree of judgement and estimation uncertainty in determining the carrying values of financial assets and liabilities at the balance sheet date.

- Fair value of financial instruments is determined using valuation techniques and estimates (see below) which, to the extent possible, use market observable inputs, but in some cases use non-market observable inputs. Changes in the observability of significant valuation inputs can materially affect the fair values of financial instruments
- When establishing the exit price of a financial instrument using a valuation technique, the Group estimates valuation adjustments in determining the fair value (page 115).
- In determining the valuation of financial instruments, the Group makes judgements on the amounts reserved to cater for model and valuation risks, which cover both Level 2 and Level 3 assets, and the significant valuation judgements in respect of Level 3 instruments (page 116).
- Where the estimated measurement of fair value is more judgemental in respect of Level 3 assets, these are valued based on models that use a significant degree of non-market-based unobservable inputs.

Valuation techniques

Refer to the fair value hierarchy explanation – Level 1, 2 and 3 (page 116).

• Financial instruments held at fair value

- **Debt securities – asset-backed securities:** Asset-backed securities are valued based on external prices obtained from consensus pricing providers, broker quotes, recent trades, arrangers' quotes, etc. Where an observable price is available for a given security, it is classified as Level 2. In instances where third-party prices are not available or reliable, the security is classified as Level 3. The fair value of Level 3 securities is estimated using market standard cash flow models with input parameter assumptions which include prepayment speeds, default rates, discount margins derived from comparable securities with similar vintage, collateral type, and credit ratings.
- **Debt securities in issue:** These debt securities relate to structured notes issued by the Group. Where independent market data is available through pricing vendors and broker sources, these positions are classified as Level 2. Where such liquid external prices are not available, valuations of these debt securities are implied using input parameters such as bond spreads and credit spreads, and are classified as Level 3. These input parameters are determined with reference to the same issuer (if available) or proxies from comparable issuers or assets.
- **Derivatives:** Derivative products are classified as Level 2 if the valuation of the product is based upon input parameters which are observable from independent and reliable market data sources. Derivative products are classified as Level 3 if there are significant valuation input parameters which are unobservable in the market, such as products where the performance is linked to more than one underlying variable. Examples are foreign exchange basket options, equity options based on the performance of two or more underlying indices, and interest rate products with quanto payouts. In most cases these unobservable correlation parameters cannot be implied from the market, and methods such as historical analysis and comparison with historical levels or other benchmark data must be employed.

13. Financial instruments continued

- **Equity shares – unlisted equity investments:** The majority of unlisted equity investments are valued based on market multiples, including Price to Book (P/B), Price-to-Earnings (P/E) or enterprise value to earnings before income tax, depreciation and amortisation (EV/EBITDA) ratios of comparable listed companies. The primary inputs for the valuation of these investments are the actual financials or forecasted earnings of the investee companies and market multiples obtained from the comparable listed companies. To ensure comparability between these unquoted investments and the comparable listed companies, appropriate adjustments are also applied (for example, liquidity and size) in the valuation. In circumstances where an investment does not have direct comparables or where the multiples for the comparable companies cannot be sourced from reliable external sources, alternative valuation techniques (for example, discounted cash flow model or net asset value (“NAV”) or option pricing model), which use predominantly unobservable inputs or Level 3 inputs, may be applied. Even though market multiples for the comparable listed companies can be sourced from third-party sources (for example, Bloomberg), and those inputs can be deemed Level 2 inputs, all unlisted investments (excluding those where observable inputs are available, for example, over-the-counter (OTC) prices) are classified as Level 3 on the basis that the valuation methods involve judgements ranging from determining comparable companies to discount rates where the discounted cash flow method is applied.
- **Loans and advances:** These primarily include loans in the FM Bond and Loan Syndication business which were not fully syndicated as of the balance sheet date and other financing transactions within Financial Markets, and loans and advances including reverse repurchase agreements that do not have SPPI cashflows or are managed on a fair value basis. Where available, their loan valuation is based on observable clean sales transactions prices or market observable spreads. If observable credit spreads are not available, proxy spreads based on comparables with similar credit grade, sector and region, are used. Where observable transaction prices, credit spreads and market standard proxy methods are available, these loans are classified as Level 2. Where there are no recent transactions or comparables, these loans are classified as Level 3.
- **Other debt securities:** These debt securities include convertible bonds, corporate bonds, credit and structured notes. Where quoted prices are available through pricing vendors, brokers or observable trading activities from liquid markets, these are classified as Level 2 and valued using such quotes. Where there are significant valuation inputs which are unobservable in the market, due to illiquid trading or the complexity of the product, these are classified as Level 3. The valuations of these debt securities are implied using input parameters such as bond spreads and credit spreads. These input parameters are determined with reference to the same issuer (if available) or proxied from comparable issuers or assets
- **Financial instruments held at amortised cost**

The following sets out the Group’s basis for establishing fair values of amortised cost financial instruments and their classification between Levels 1, 2 and 3. As certain categories of financial instruments are not actively traded, there is a significant level of management judgement involved in calculating the fair values:

 - **Cash and balances at central banks:** The fair value of cash and balances at central banks is their carrying amounts.
 - **Debt securities in issue, subordinated liabilities and other borrowed funds:** The aggregate fair values are calculated based on quoted market prices. For those notes where quoted market prices are not available, a discounted cash flow model is used based on a current market-related yield curve appropriate for the remaining term to maturity.
 - **Deposits and borrowings:** The estimated fair value of deposits with no stated maturity is the amount repayable on demand. The estimated fair value of fixed interest-bearing deposits and other borrowings without quoted market prices is based on discounted cash flows using the prevailing market rates for debts with a similar Credit Risk and remaining maturity.
 - **Investment securities:** For investment securities that do not have directly observable market values, the Group utilises a number of valuation techniques to determine fair value. Where available, securities are valued using input proxies from the same or closely related underlying (for example, bond spreads from the same or closely related issuer) or input proxies from a different underlying (for example, a similar bond but using spreads for a particular sector and rating). Certain instruments cannot be proxies as set out above, and in such cases the positions are valued using non-market observable inputs. This includes those instruments held at amortised cost and predominantly relates to asset-backed securities. The fair value for such instruments is usually proxies from internal assessments of the underlying cash flows.
 - **Loans and advances to banks and customers:** For loans and advances to banks, the fair value of floating rate placements and overnight deposits is their carrying amounts. The estimated fair value of fixed interest-bearing deposits is based on discounted cash flows using the prevailing money market rates for debts with a similar Credit Risk and remaining maturity.
 - The Group’s loans and advances to customers’ portfolio is well diversified by geography and industry. Approximately a quarter of the portfolio reprices within one month, and approximately half reprices within 12 months. Loans and advances are presented net of provisions for impairment.

13. Financial instruments continued

- The fair value of loans and advances to customers with a residual maturity of less than one year generally approximates the carrying value. The estimated fair value of loans and advances with a residual maturity of more than one year represents the discounted amount of future cash flows expected to be received, including assumptions relating to prepayment rates and Credit Risk.
- Expected cash flows are discounted at current market rates to determine fair value. The Group has a wide range of individual instruments within its loans and advances portfolio and, as a result, providing quantification of the key assumptions used to value such instruments is impractical.
- **Other assets:** Other assets comprise primarily of cash collateral and trades pending settlement. The carrying amount of these financial instruments is considered to be a reasonable approximation of fair value as they are either short-term in nature or reprice to current market rates frequently.

Fair value adjustments

When establishing the exit price of a financial instrument using a valuation technique, the Group considers adjustments to the modelled price which market participants would make when pricing that instrument. The main valuation adjustments (described further below) in determining fair value for financial assets and financial liabilities are as follows:

	01.01.25 \$million	Movement during the year \$million	30.06.25 \$million	01.01.24 \$million	Movement during the year \$million	31.12.24 \$million
Bid-offer valuation adjustment	117	6	123	115	2	117
Credit valuation adjustment	134	5	139	119	15	134
Debit valuation adjustment	(105)	(8)	(113)	(129)	24	(105)
Model valuation adjustment	5	1	6	4	1	5
Funding valuation adjustment	41	(9)	32	33	8	41
Other fair value adjustments	26	19	45	25	1	26
Total	218	14	232	167	51	218
Income deferrals						
Day 1 and other deferrals	138	(11)	127	109	29	138
Total	138	(11)	127	109	29	138

Note: Amounts shown in brackets represent an asset and credit to the income statement

- **Bid-offer valuation adjustment:** Generally, market parameters are marked on a mid-market basis in the revaluation systems, and a bid-offer valuation adjustment is required to quantify the expected cost of neutralising the business' positions through dealing away in the market, thereby bringing long positions to bid and short positions to offer. The methodology to calculate the bid-offer adjustment for a derivative portfolio involves netting between long and short positions and the grouping of risk by strike and tenor based on the hedging strategy where long positions are marked to bid and short positions marked to offer in the systems.
- **Credit valuation adjustment (CVA):** The Group accounts for CVA against the fair value of derivative products. CVA is an adjustment to the fair value of the transactions to reflect the possibility that our counterparties may default and we may not receive the full market value of the outstanding transactions. It represents an estimate of the adjustment a market participant would include when deriving a purchase price to acquire our exposures. CVA is calculated for each subsidiary, and within each entity for each counterparty to which the entity has exposure and takes account of any collateral we may hold. The Group calculates the CVA by using estimates of future positive exposure, market-implied probability of default (PD) and recovery rates. Where market-implied data is not readily available, we use market-based proxies to estimate the PD. Wrong-way risk occurs when the exposure to a counterparty is adversely correlated with the credit quality of that counterparty, and the Group has implemented a model to capture this impact for key wrong-way exposures. The Group also captures the uncertainties associated with wrong-way risk in the Group's Prudential Valuation Adjustments framework.
- **Debit valuation adjustment (DVA):** The Group calculates DVA adjustments on its derivative liabilities to reflect changes in its own credit standing. The Group's DVA adjustments will increase if its credit standing worsens and conversely, decrease if its credit standing improves. For derivative liabilities, a DVA adjustment is determined by applying the Group's probability of default to the Group's negative expected exposure against the counterparty. The Group's probability of default and loss expected in the event of default is derived based on bond and CDS spreads associated with the Group's issuances and market standard recovery levels. The expected exposure is modelled based on the simulation of the underlying risk factors over the expected life of the deal. This simulation methodology incorporates the collateral posted by the Group and the effects of master netting agreements.

13. Financial instruments continued

- **Model valuation adjustment:** Valuation models may have pricing deficiencies or limitations that require a valuation adjustment. These pricing deficiencies or limitations arise due to the choice, implementation and calibration of the pricing model.
- **Funding valuation adjustment (FVA):** The Group makes FVA adjustments against derivative products, including embedded derivatives. FVA reflects an estimate of the adjustment to its fair value that a market participant would make to incorporate funding costs or benefits that could arise in relation to the exposure. FVA is calculated by determining the net expected exposure at a counterparty level and then applying a funding rate to those exposures that reflect the market cost of funding. The FVA for uncollateralised (including partially collateralised) derivatives incorporates the estimated present value of the market funding cost or benefit associated with funding these transactions.
- **Other fair value adjustments:** For certain products, the prices cannot be replicated by usual models or the choice of model inputs can be more subjective. In these circumstances, an adjustment may be necessary to reflect the prices available in the market.
- **Day one and other deferrals:** In certain circumstances the initial fair value is based on a valuation technique which differs to the transaction price at the time of initial recognition. However, these gains can only be recognised when the valuation technique used is based primarily on observable market data. In those cases where the initially recognised fair value is based on a valuation model that uses inputs which are not observable in the market, the difference between the transaction price and the valuation model is not recognised immediately in the income statement. The difference is amortised to the income statement until the inputs become observable, or the transaction matures or is terminated. Other deferrals primarily represent adjustments taken to reflect the specific terms and conditions of certain derivative contracts which affect the termination value at the measurement date.

In addition, the Group calculates own credit adjustment (OCA) on its issued debt designated at fair value, including structured notes, in order to reflect changes in its own credit standing. Issued debt is discounted utilising the spread at which similar instruments would be issued or bought back at the measurement date as this reflects the value from the perspective of a market participant who holds the identical item as an asset. OCA measures the difference between the fair value of issued debt as of reporting date and theoretical fair values of issued debt adjusted up or down for changes in own credit spreads from inception date to the measurement date. Under IFRS 9 the change in the OCA component is reported under other comprehensive income. The Group's OCA reserve will increase if its credit standing worsens in comparison to the inception of the trade and, conversely, decrease if its credit standing improves. The Group's OCA reserve will reverse over time as its liabilities mature.

Fair value hierarchy – financial instruments held at fair value

The fair values of quoted financial assets and liabilities in active markets are based on current prices. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. Wherever possible, fair values have been calculated using unadjusted quoted market prices in active markets for identical instruments held by the Group. Where quoted market prices are not available, or are unreliable because of poor liquidity, fair values have been determined using valuation techniques which, to the extent possible, use market observable inputs, but in some cases use unobservable inputs. Valuation techniques used include discounted cash flow analysis and pricing models and, where appropriate, comparison with instruments that have characteristics similar to those of the instruments held by the Group.

Assets and liabilities carried at fair value or for which fair values are disclosed have been classified into three levels according to the observability of the significant inputs used to determine the fair values. Changes in the observability of significant valuation inputs during the reporting period may result in a transfer of assets and liabilities within the fair value hierarchy. The Group recognises transfers between levels of the fair value hierarchy when there is a significant change in either its principal market or the level of observability of the inputs to the valuation techniques as at the end of the reporting period.

- **Level 1:** Fair value measurements are those derived from unadjusted quoted prices in active markets for identical assets or liabilities.
- **Level 2:** Fair value measurements are those with quoted prices for similar instruments in active markets or quoted prices for identical or similar instruments in inactive markets and financial instruments valued using models where all significant inputs are observable.
- **Level 3:** Fair value measurements are those where inputs which could have a significant effect on the instrument's valuation are not based on observable market data.

13. Financial instruments continued

The following tables show the classification of financial instruments held at fair value into the valuation hierarchy:

	30.06.25				31.12.24			
	Level 1 \$million	Level 2 \$million	Level 3 \$million	Total \$million	Level 1 \$million	Level 2 \$million	Level 3 \$million	Total \$million
Assets								
Financial instruments held at fair value through profit or loss								
Loans and advances to banks	–	2,122	271	2,393	–	2,213	–	2,213
Loans and advances to customers	–	5,781	2,338	8,119	–	5,147	1,937	7,084
Reverse repurchase agreements and other similar secured lending	–	86,941	3,392	90,333	19	82,937	3,239	86,195
Debt securities and other eligible bills	40,762	50,584	1,882	93,228	32,331	42,615	1,593	76,539
Of which:								
Issued by central banks and governments ¹	37,273	18,183	4	55,460	30,278	13,355	9	43,642
Issued by corporates other than financial institutions ¹	14	6,227	235	6,476	7	4,860	399	5,266
Issued by financial institutions ¹	3,475	26,174	1,643	31,292	2,046	24,400	1,185	27,631
Equity shares	7,132	–	318	7,450	5,287	8	191	5,486
Derivative financial instruments	770	63,351	104	64,225	386	80,958	128	81,472
Of which:								
Foreign exchange	158	55,876	26	56,060	140	72,870	37	73,047
Interest rate	23	5,845	55	5,923	27	6,296	80	6,403
Credit	–	274	18	292	–	388	9	397
Equity and stock index options	–	184	5	189	–	349	2	351
Commodity	589	1,172	–	1,761	219	1,055	–	1,274
Investment securities								
Debt securities and other eligible bills	59,414	42,993	–	102,407	50,249	38,176	–	88,425
Of which:								
Issued by central banks and governments ¹	47,073	23,000	–	70,073	41,395	16,916	–	58,311
Issued by corporates other than financial institutions ¹	–	431	–	431	–	490	–	490
Issued by financial institutions ¹	12,341	19,562	–	31,903	8,854	20,770	–	29,624
Equity shares	30	7	934	971	27	2	965	994
Total assets²	108,108	251,779	9,239	369,126	88,299	252,056	8,053	348,408
Liabilities								
Financial instruments held at fair value through profit or loss								
Deposits by banks	–	1,664	330	1,994	–	1,522	371	1,893
Customer accounts	–	20,672	4,286	24,958	–	19,058	2,714	21,772
Repurchase agreements and other similar secured borrowing	–	43,946	–	43,946	–	33,539	–	33,539
Debt securities in issue	–	11,649	1,348	12,997	–	12,317	1,414	13,731
Short positions	8,359	7,209	88	15,656	8,789	5,558	180	14,527
Derivative financial instruments	446	69,208	224	69,878	419	81,387	258	82,064
Of which:								
Foreign exchange	137	57,419	19	57,575	183	69,684	8	69,875
Interest rate	30	7,285	21	7,336	14	8,586	23	8,623
Credit	–	2,672	132	2,804	–	2,131	189	2,320
Equity and stock index options	–	350	52	402	–	157	37	194
Commodity	279	1,482	–	1,761	222	829	1	1,052
Total liabilities	8,805	154,348	6,276	169,429	9,208	153,381	4,937	167,526

1 Includes covered bonds of \$3,231 million (31 December 2024: \$3,727 million), securities issued by Multilateral Development Banks/International Organisations of \$15,928 million (31 December 2024: \$10,679 million), and State-owned agencies and development banks of \$25,561 million (31 December 2024: \$16,759 million)

2 The table above does not include held for sale assets of \$1 million (31 December 2024: \$5 million). These are reported in Note 20 together with their fair value hierarchy

13. Financial instruments continued

The fair value of financial assets and financial liabilities classified as Level 2 in the fair value hierarchy that are subject to complex modelling techniques is \$286 million (31 December 2024: \$739 million) and \$350 million (31 December 2024: \$320 million) respectively.

There were no significant changes to valuation or levelling approaches during the period ending 30 June 2025.

There were no significant transfers of financial assets and liabilities measured at fair value between Level 1 and Level 2 during the period ended 30 June 2025.

Fair value hierarchy – financial instruments measured at amortised cost

The following table shows the carrying amounts and incorporates the Group's estimate of fair values of those financial assets and liabilities not presented on the Group's balance sheet at fair value. These fair values may be different from the actual amount that will be received or paid on the settlement or maturity of the financial instrument. For certain instruments, the fair value may be determined using assumptions for which no observable prices are available.

	30.06.25					31.12.24				
	Carrying value \$million	Fair value				Carrying value \$million	Fair value			
		Level 1 \$million	Level 2 \$million	Level 3 \$million	Total \$million		Level 1 \$million	Level 2 \$million	Level 3 \$million	Total \$million
Assets										
Cash and balances at central banks ¹	80,165	–	80,165	–	80,165	63,447	–	63,447	–	63,447
Loans and advances to banks	42,386	–	42,363	48	42,411	43,593	–	43,430	165	43,595
of which – reverse repurchase agreements and other similar secured lending	4,250	–	4,254	–	4,254	2,946	–	2,948	–	2,948
Loans and advances to customers	286,731	–	29,641	257,678	287,319	281,032	–	40,582	238,986	279,568
of which – reverse repurchase agreements and other similar secured lending	4,189	–	4,178	11	4,189	9,660	–	9,618	42	9,660
Investment securities ²	55,210	–	53,756	–	53,756	55,137	–	53,050	24	53,074
Other assets ¹	45,372	–	45,372	–	45,372	34,585	–	34,585	–	34,585
Assets held for sale	622	15	491	116	622	884	58	353	473	884
Total assets	510,486	15	251,788	257,842	509,645	478,678	58	235,447	239,648	475,153
Liabilities										
Deposits by banks	30,883	–	30,883	–	30,883	25,400	–	25,238	–	25,238
Customer accounts	517,390	–	513,906	–	513,906	464,489	–	461,549	–	461,549
Repurchase agreements and other similar secured borrowing	5,250	–	5,249	–	5,249	12,132	–	12,133	–	12,133
Debt securities in issue	70,088	34,121	35,757	–	69,878	64,609	32,209	32,181	–	64,390
Subordinated liabilities and other borrowed funds	8,778	7,904	559	–	8,463	10,382	9,599	429	–	10,028
Other liabilities ¹	47,921	–	47,921	–	47,921	44,047	–	44,047	–	44,047
Liabilities held for sale	194	–	194	–	194	360	89	271	–	360
Total liabilities	680,504	42,025	634,469	–	676,494	621,419	41,897	575,848	–	617,745

1 The carrying amount of these financial instruments is considered to be a reasonable approximation of fair value as they are short-term in nature or reprice to current market rates frequently

2 Includes Government bonds and treasury bills of \$25,525 million at 30 June 2025 (31 December 2024: \$23,150 million)

13. Financial instruments continued

Fair value of financial instruments

Level 3 Summary and significant unobservable inputs

The following table presents the Group's primary Level 3 financial instruments which are held at fair value. The table also presents the valuation techniques used to measure the fair value of those financial instruments, the significant unobservable inputs, the range of values for those inputs and the weighted average of those inputs:

Instrument	Value at 30 June 2025		Principal valuation technique	Significant unobservable inputs	Range ¹	Weighted average ²
	Assets \$million	Liabilities \$million				
Loans and advances to banks	271	–	Discounted cash flows	Price/yield	4.5% - 4.9%	4.6%
Loans and advances to customers	2,338	–	Discounted cash flows	Price/yield	0.7% - 100%	27.5%
				Recovery rate	94.7% - 96.3%	96.0%
Reverse repurchase agreements and other similar secured lending	3,392	–	Discounted cash flows	Repo curve	1.7% - 8.5%	6.1%
				Price/yield	4.9% - 18.1%	6.9%
Debt securities, alternative tier one and other eligible securities	1,878	–	Discounted cash flows	Price/yield	0.7% - 19.4%	6.7%
				Recovery rate	0.01% - 15.0%	5.7%
Government bonds and treasury bills	4	–	Discounted cash flows	Price/yield	8.6% - 8.6%	8.6%
Equity shares (includes private equity investments)	1,252	–	Comparable pricing/ yield	EV/Revenue multiples	7.1x - 10.0x	7.6x
				P/E multiples	15.5x - 31.7x	20.0x
				P/B multiples	0.4x - 3.4x	1.3x
				P/S multiples	1.3x - 1.3x	1.3x
				Liquidity discount	18.9% - 30.2%	19.7%
			Discounted cash flows	Discount rates	7.1% - 19.8%	13.8%
			Option pricing model	Equity value based on EV/ Revenue multiples	6.3x - 19.0x	13.3x
				Equity value based on EV/ EBITDA multiples	3.9x - 3.9x	3.9x
				Equity value based on volatility	40.0% - 105.0%	101.5%
Derivative financial instruments of which:						
Foreign exchange	26	19	Option pricing model	Foreign exchange option implied volatility	39.4% - 42.5%	41.8%
			Discounted cash flows	Interest rate curves	1.9% - 11.6%	3.9%
				Foreign exchange curves	1.7% - 27.6%	12.1%
Interest rate	55	21	Discounted cash flows	Interest rate curves	3.6% - 28.2%	4.7%
			Option pricing model	Bond option implied volatility	0.1% - 1.1%	0.8%
Credit	18	132	Discounted cash flows	Price/yield	2.8% - 5.8%	5.0%
				Interest rate curves	3.6% - 4.5%	4.0%
			Option pricing model	Credit spreads	0.1% - 2.2%	0.8%
				Bond option implied volatility	15.0% - 15.0%	15.0%
Equity and stock index	5	52	Internal pricing model	Equity-Equity correlation	28.1% - 100%	77.2%
				Equity-FX correlation	(40.0)% - 46.2%	4.5%
Deposits by banks	–	330	Discounted cash flows	Price/yield	4.5% - 5.8%	5.2%
Customer accounts	–	4,286	Internal pricing model	Equity-Equity correlation	28.1% - 100%	77.2%
				Equity-FX correlation	(40.0)% - 46.2%	4.5%
			Discounted cash flows	Interest rate curves	5.1% - 11.6%	9.3%
				Price/yield	0.7% - 19.4%	10.0%
			Option pricing model	Foreign exchange option implied volatility	5.5% - 6.8%	5.7%
Debt securities in issue	–	1,348	Discounted cash flows	Price/yield	0.7% - 16.3%	4.9%
				Foreign exchange curves	4.4% - 13.1%	9.1%
			Internal pricing model	Equity-Equity correlation	28.1% - 100%	77.2%
				Equity-FX correlation	(40.0)% - 46.2%	4.7%
			Option pricing model	Bond option implied volatility	0.1% - 15%	14.9%
Short positions	–	88	Discounted cash flows	Price/yield	5.4% - 6.1%	5.4%
Total	9,239	6,276				

1 The ranges of values shown in the above table represent the highest and lowest levels used in the valuation of the Group's Level 3 financial instruments at 30 June 2025. The ranges of values used are reflective of the underlying characteristics of these Level 3 financial instruments based on the market conditions at the balance sheet date. However, these ranges of values may not represent the uncertainty in fair value measurements of the Group's Level 3 financial instruments

2 Weighted average for non-derivative financial instruments has been calculated by weighting inputs by the relative fair value. Weighted average for derivatives has been provided by weighting inputs by the risk relevant to that variable. N/A has been entered for the cases where weighted average is not a meaningful indicator

13. Financial instruments continued

Instrument	Value at 31 December 2024		Principal valuation technique	Significant unobservable inputs	Range ¹	Weighted average ²
	Assets \$million	Liabilities \$million				
Loans and advances to customers	1,937	–	Discounted cash flows	Price/yield	1.0% – 100%	20.8%
				Recovery rate	93.2% – 95.6%	95.1%
Reverse repurchase agreements and other similar secured lending	3,239	–	Discounted cash flows	Repo curve	2.0% – 7.6%	6.2%
				Price/yield	2.3% – 10.5%	6.4%
Debt securities, alternative tier one and other eligible securities	1,584	–	Discounted cash flows	Price/yield	0.7% – 15.3%	6.9%
				Recovery rate	0.01% – 16.3%	9.2%
Government bonds and treasury bills	9	–	Discounted cash flows	Price/yield	23.5% – 23.5%	23.5%
Equity shares (includes private equity investments)	1,156	–	Comparable pricing/ yield	EV/EBITDA multiples	5.3x – 18.1x	14.8x
				EV/Revenue multiples	8.5x – 12.9x	9.0x
				P/E multiples	17.9x – 48.3x	46.9x
				P/B multiples	0.3x – 3.2x	1.3x
				P/S multiples	0.2x – 1.3x	0.2x
				Liquidity discount	10.0% – 30.0%	16.8%
			Discounted cash flows	Discount rates	8.3% – 20.4%	10.1%
			Option pricing model	Equity value based on EV/ Revenue multiples	5.7x – 23.6x	16.2x
				Equity value based on EV/ EBITDA multiples	10.1x – 10.1x	10.1x
				Equity value based on volatility	30.2% – 50.0%	30.5%
Derivative financial instruments of which:						
Foreign exchange	37	8	Option pricing model	Foreign exchange option implied volatility	10.2% – 46.2%	42.0%
				Interest rate curves	3.5% – 9.0%	4.2%
				Foreign exchange curves	(0.03)% – 34.3%	6.1%
Commodity	–	1	Discounted cash flows	Commodity prices	\$383.0 – \$391.0	\$387.0
				CM-CM correlation	73.7% – 97.9%	86.0%
Interest rate	80	23	Discounted cash flows	Interest rate curves	3.5% – 43.9%	5.1%
			Option pricing model	Bond option implied volatility	2.3% – 4.7%	3.5%
Credit	9	189	Discounted cash flows	Credit spreads	0.1% – 1.9%	0.9%
				Price/yield	4.8% – 6.6%	5.5%
Equity and stock index	2	37	Internal pricing model	Equity-Equity correlation	44.9% – 100%	80.0%
				Equity-FX correlation	(36.4)% – 48.9%	5.0%
Deposits by banks	–	371	Discounted cash flows	Credit spreads	0.2% – 3.5%	1.5%
Customer accounts	–	2,714	Internal pricing model	Equity-Equity correlation	44.9% – 100%	80.0%
				Equity-FX correlation	(36.4)% – 48.9%	5.0%
			Discounted cash flows	Interest rate curves	1.4% – 4.4%	4.0%
				Price/yield	0.7% – 13.0%	8.5%
Debt securities in issue	–	1,414	Discounted cash flows	Credit spreads	0.05% – 2.0%	0.8%
				Price/yield	6.2% – 14.8%	12.7%
				Interest rate curves	3.5% – 4.4%	4.1%
			Internal pricing model	Equity-Equity correlation	44.9% – 100%	80.0%
				Equity-FX correlation	(36.4)% – 48.9%	5.0%
			Option pricing model	Bond option implied volatility	4.0% – 15%	12.5%
Short positions	–	180	Discounted cash flows	Price/yield	5.9% – 12.7%	6.3%
Total	8,053	4,937				

1 The ranges of values shown in the above table represent the highest and lowest levels used in the valuation of the Group's Level 3 financial instruments at 31 December 2024. The ranges of values used are reflective of the underlying characteristics of these Level 3 financial instruments based on the market conditions at the balance sheet date. However, these ranges of values may not represent the uncertainty in fair value measurements of the Group's Level 3 financial instruments

2 Weighted average for non-derivative financial instruments has been calculated by weighting inputs by the relative fair value. Weighted average for derivatives has been provided by weighting inputs by the risk relevant to that variable. N/A has been entered for the cases where weighted average is not a meaningful indicator

13. Financial instruments continued

The following section describes the significant unobservable inputs identified in the valuation technique table:

- **Comparable price/yield** is a valuation methodology in which the price of a comparable instrument is used to estimate the fair value where there are no direct observable prices. Yield is the interest rate that is used to discount the future cash flows in a discounted cash flow model. Valuation using comparable instruments can be done by calculating an implied yield (or spread over a liquid benchmark) from the price of a comparable instrument, then adjusting that yield (or spread) to derive a value for the instrument. The adjustment should account for relevant differences in the financial instruments such as maturity and/or credit quality. Alternatively, a price-to-price basis can be assumed between the comparable instrument and the instrument being valued in order to establish the value of the instrument (for example, deriving a fair value for a junior unsecured bond from the price of a senior secured bond). An increase in price, in isolation, would result in a favourable movement in the fair value of the asset. An increase in yield, in isolation, would result in an unfavourable movement in the fair value of the asset.
- **Correlation** is the measure of how movement in one variable influences the movement in another variable. An equity correlation is the correlation between two equity instruments while an interest rate correlation refers to the correlation between two swap rates, and commodity correlation is correlation between two commodity underlying prices.
- **Commodity price curves** is the term structure for forward rates over a specified period.
- **Credit spread** represents the additional yield that a market participant would demand for taking exposure to the Credit Risk of an instrument.
- **Discount rate** refers to the rate of return used to convert expected cash flows into present value.
- **Equity-FX correlation** is the correlation between equity instrument and foreign exchange instrument.
- **EV/EBITDA multiple** is the ratio of Enterprise Value (EV) to Earnings Before Interest, Taxes, Depreciation and Amortisation (EBITDA). EV is the aggregate market capitalisation and debt minus the cash and cash equivalents. An increase in EV/EBITDA multiple will result in a favourable movement in the fair value of the unlisted firm.
- **EV/Revenue multiple** is the ratio of Enterprise Value (EV) to Revenue. An increase in EV/Revenue multiple will result in a favourable movement in the fair value of the unlisted firm.
- **Foreign exchange curves** is the term structure for forward rates and swap rates between currency pairs over a specified period.
- **Net asset value (NAV)** is the value of an entity's assets after deducting any liabilities.
- **Interest rate curves** is the term structure of interest rates and measures of future interest rates at a particular point in time.
- **Liquidity discounts in the valuation of unlisted investments** are primarily applied to the valuation of unlisted firms' investments to reflect the fact that these stocks are not actively traded. An increase in liquidity discount will result in an unfavourable movement in the fair value of the unlisted firm.
- **Price-Earnings (P/E) multiple** is the ratio of the market value of the equity to the net income after tax. An increase in P/E multiple will result in a favourable movement in the fair value of the unlisted firm.
- **Price-Book (P/B) multiple** is the ratio of the market value of equity to the book value of equity. An increase in P/B multiple will result in a favourable movement in the fair value of the unlisted firm.
- **Price-Sales (P/S) multiple** is the ratio of the market value of equity to sales. An increase in P/S multiple will result in a favourable movement in the fair value of the unlisted firm.
- **Recovery rate** is the expectation of the rate of return resulting from the liquidation of a particular loan. As the probability of default increases for a given instrument, the valuation of that instrument will increasingly reflect its expected recovery level assuming default. An increase in the recovery rate, in isolation, would result in a favourable movement in the fair value of the loan.
- **Repo curve** is the term structure of repo rates on repos and reverse repos at a particular point in time.
- **Volatility** represents an estimate of how much a particular instrument, parameter or index will change in value over time. Generally, the higher the volatility, the more expensive the option will be.

13. Financial instruments continued

Level 3 movement tables – financial assets

The table below analyses movements in Level 3 financial assets carried at fair value.

Assets	Held at fair value through profit or loss						Investment securities			
	Loans and advances to banks \$million	Loans and advances to customers \$million	Reverse repurchase agreements and other similar secured lending \$million	Debt securities, alternative tier one and other eligible bills \$million	Equity shares \$million	Other Assets \$million	Derivative financial instruments \$million	Debt securities, alternative tier one and other eligible bills \$million	Equity shares \$million	Total \$million
At 1 January 2025	–	1,937	3,239	1,593	191	–	128	–	965	8,053
Total (losses)/gains recognised in income statement	(2)	24	(66)	(3)	(18)	–	(9)	–	–	(74)
Net trading income	(2)	24	(66)	53	(18)	–	(9)	–	–	(18)
Other operating income	–	–	–	(56)	–	–	–	–	–	(56)
Total (losses)/gains recognised in other comprehensive income (OCI)	–	–	–	–	–	–	–	–	107	107
Fair value through OCI reserve	–	–	–	–	–	–	–	–	91	91
Exchange difference	–	–	–	–	–	–	–	–	16	16
Purchases	278	1,069	5,476	747	164	–	59	–	11	7,804
Sales	–	(668)	(5,172)	(651)	(12)	–	(33)	–	(151)	(6,687)
Settlements	(5)	(78)	(85)	(6)	–	–	(24)	–	–	(198)
Transfers out ¹	–	(269)	–	(32)	(7)	–	(17)	–	(4)	(329)
Transfers in ²	–	323	–	234	–	–	–	–	6	563
At 30 June 2025	271	2,338	3,392	1,882	318	–	104	–	934	9,239
Recognised in the income statement ³	–	(8)	(8)	1	(18)	–	3	–	–	(30)
At 1 January 2024	–	1,960	2,363	1,262	184	6	80	72	787	6,714
Total (losses)/gains recognised in income statement	–	(18)	(85)	25	(1)	(1)	(36)	–	–	(116)
Net trading income	–	(18)	(85)	(6)	2	–	(36)	–	–	(143)
Other operating income	–	–	–	31	(3)	(1)	–	–	–	27
Total (losses)/gains recognised in other comprehensive income (OCI)	–	–	–	–	–	–	–	(13)	(31)	(44)
Fair value through OCI reserve	–	–	–	–	–	–	–	–	(18)	(18)
Exchange difference	–	–	–	–	–	–	–	(13)	(13)	(26)
Purchases	18	2,538	2,725	468	3	–	166	13	37	5,968
Sales	(2)	(2,631)	(2,199)	(668)	(3)	(4)	(114)	–	(18)	(5,639)
Settlements	(7)	(14)	(329)	–	–	–	(15)	–	–	(365)
Transfers out	(13)	(155)	(5)	–	–	–	(2)	(72)	(1)	(248)
Transfers in	40	255	140	–	6	–	38	–	1	480
At 30 June 2024	36	1,935	2,610	1,087	189	1	117	–	775	6,750
Recognised in the income statement ³	–	1	1	11	12	–	(10)	–	–	15

1 Transfers out includes loans and advances, debt securities, alternative tier one and other eligible bills, equity shares and derivative financial instruments where the valuation parameters became observable during the period and were transferred to Level 1 and Level 2

2 Transfers in primarily relate to loans and advances, debt securities, alternative tier one and other eligible bills and equity shares where the valuation parameters become unobservable during the period

3 Represents total unrealised (losses)/gains recognised in the income statement, within net trading income, relating to change in fair value of asset

13. Financial instruments continued

Level 3 movement tables – financial liabilities

	Deposits by banks \$million	Customer accounts \$million	Debt securities in issue \$million	Derivative financial instruments \$million	Short positions \$million	Other liabilities \$million	Total \$million
At 1 January 2025	371	2,714	1,414	258	180	–	4,937
Total losses/(gains) recognised in income statement – net trading income	65	10	56	8	(2)	–	137
Issues	157	3,067	1,022	350	–	–	4,596
Settlements	(263)	(1,316)	(1,109)	(387)	(90)	–	(3,165)
Transfers out ¹	–	(230)	(39)	(10)	–	–	(279)
Transfers in ²	–	41	4	5	–	–	50
At 30 June 2025	330	4,286	1,348	224	88	–	6,276
Recognised in the income statement ³	1	3	5	2	–	–	11
At 1 January 2024	334	1,278	1,041	196	103	8	2,960
Total losses/(gains) recognised in income statement – net trading income	37	(4)	16	(12)	–	(7)	30
Issues	218	1,427	2,334	240	–	–	4,219
Settlements	(190)	(990)	(1,127)	(217)	–	–	(2,524)
Transfers out	–	(20)	(162)	(7)	(103)	–	(292)
Transfers in	–	38	37	9	–	–	84
At 30 June 2024	399	1,729	2,139	209	–	1	4,477
Recognised in the income statement ³	24	3	5	(4)	–	–	28

1 Transfers out during the period primarily relate to customer accounts, debt securities in issue and derivative financial instruments where the valuation parameters became observable during the period and were transferred to Level 2 financial liabilities

2 Transfers in during the period primarily relate to customer accounts, debt securities in issue and derivative financial instruments where the valuation parameters become unobservable during the period

3 Represents total unrealised losses/(gains) recognised in the income statement, within net trading income, relating to change in fair value of liabilities

Sensitivities in respect of the fair values of Level 3 assets and liabilities

Sensitivity analysis is performed on products with significant unobservable inputs. The Group applies a 10 per cent increase or decrease on the values of these unobservable inputs, to generate a range of reasonably possible alternative valuations. The percentage shift is determined by statistical analysis performed on a set of reference prices based on the composition of the Group's Level 3 inventory as the measurement date.

Favourable and unfavourable changes (which show the balance adjusted for input change) are determined on the basis of changes in the value of the instrument as a result of varying the levels of the unobservable parameters. The Level 3 sensitivity analysis assumes a one-way market move and does not consider offsets for hedges.

13. Financial instruments continued

	Held at fair value through profit or loss			Fair value through other comprehensive income		
	Net exposure \$million	Favourable changes \$million	Unfavourable changes \$million	Net exposure \$million	Favourable changes \$million	Unfavourable changes \$million
Financial instruments held at fair value						
Loans and advances	2,609	2,651	2,533	–	–	–
Reverse repurchase agreements and other similar secured lending	3,392	3,491	3,300	–	–	–
Debt securities, alternative tier one and other eligible bills	1,882	1,943	1,822	–	–	–
Equity shares	318	349	287	934	1,027	841
Derivative financial instruments	(120)	(105)	(135)	–	–	–
Customer accounts	(4,286)	(3,999)	(4,556)	–	–	–
Deposits by banks	(330)	(326)	(334)	–	–	–
Short positions	(88)	(87)	(89)	–	–	–
Debt securities in issue	(1,348)	(1,262)	(1,435)	–	–	–
At 30 June 2025	2,029	2,655	1,393	934	1,027	841
Financial instruments held at fair value						
Loans and advances	1,937	1,985	1,862	–	–	–
Reverse repurchase agreements and other similar secured lending	3,239	3,339	3,138	–	–	–
Debt securities, alternative tier one and other eligible bills	1,593	1,643	1,542	–	–	–
Equity shares	191	210	172	965	1,032	888
Derivative financial instruments	(130)	(115)	(147)	–	–	–
Customer accounts	(2,714)	(2,540)	(2,883)	–	–	–
Deposits by banks	(371)	(371)	(371)	–	–	–
Short positions	(180)	(178)	(182)	–	–	–
Debt securities in issue	(1,414)	(1,352)	(1,476)	–	–	–
At 31 December 2024	2,151	2,621	1,655	965	1,032	888

The reasonably possible alternatives could have increased or decreased the fair values of financial instruments held at fair value through profit or loss and those classified as fair value through other comprehensive income by the amounts disclosed below.

	Fair value changes			
	Possible increase		Possible decrease	
	30.06.25 \$million	31.12.24 \$million	30.06.25 \$million	31.12.24 \$million
Financial instruments				
Held at fair value through profit or loss	626	470	(636)	(496)
Fair value through other comprehensive income	93	67	(93)	(77)

14. Derivative financial instruments

The tables below analyse the notional principal amounts and the positive and negative fair values of derivative financial instruments. Notional principal amounts are the amounts of principal underlying the contract at the reporting date.

Derivatives	30.06.25			31.12.24		
	Notional principal amounts \$million	Assets \$million	Liabilities \$million	Notional principal amounts \$million	Assets \$million	Liabilities \$million
Foreign exchange derivative contracts:						
Forward foreign exchange contracts	5,638,429	45,632	46,062	4,923,991	54,913	51,128
Currency swaps and options	1,692,000	10,403	11,474	1,377,308	18,104	18,720
	7,330,429	56,035	57,536	6,301,299	73,017	69,848
Interest rate derivative contracts:						
Swaps	7,739,177	19,019	20,160	6,267,261	20,600	22,282
Forward rate agreements and options	313,474	1,166	1,081	294,705	2,233	2,771
	8,052,651	20,185	21,241	6,561,966	22,833	25,053
Exchange traded futures and options	508,822	25	39	383,528	30	27
Credit derivative contracts	224,896	292	2,804	227,675	397	2,320
Equity and stock index options	15,918	189	402	10,678	351	194
Commodity derivative contracts	197,517	1,761	1,761	142,393	1,274	1,052
Gross total derivatives	16,330,233	78,487	83,783	13,627,539	97,902	98,494
Offset	–	(14,262)	(13,905)	–	(16,430)	(16,430)
Total derivatives	16,330,233	64,225	69,878	13,627,539	81,472	82,064

The Group limits exposure to credit losses in the event of default by entering into master netting agreements with certain market counterparties. As required by IAS 32, exposures are only presented net in these accounts where they are subject to legal right of offset and intended to be settled net in the ordinary course of business.

The Group applies balance sheet offsetting only in the instance where we are able to demonstrate legal enforceability of the right to offset (e.g. via legal opinion) and the ability and intention to settle on a net basis (e.g. via operational practice).

The Group may enter into economic hedges that do not qualify for IAS 39 hedge accounting treatment, including derivatives such as interest rate swaps, interest rate futures and cross currency swaps to manage interest rate and currency risks of the Group. These derivatives are measured at fair value, with fair value changes recognised in net trading income: refer to Market Risk (page 77).

Derivatives held for hedging

The Group enters into derivative contracts for the purpose of hedging interest rate, currency and structural foreign exchange risks inherent in assets, liabilities and forecast transactions. The table below summarises the notional principal amounts and carrying values of derivatives designated in hedge accounting relationships at the reporting date.

Included in the table above are derivatives held for hedging purposes as follows:

	30.06.25			31.12.24		
	Notional principal amounts \$million	Assets \$million	Liabilities \$million	Notional principal amounts \$million	Assets \$million	Liabilities \$million
Derivatives designated as fair value hedges:						
Interest rate swaps	65,172	828	1,232	63,840	763	1,679
Currency swaps	1,175	90	–	1,035	–	56
	66,347	918	1,232	64,875	763	1,735
Derivatives designated as cash flow hedges:						
Interest rate swaps	52,796	334	65	49,309	165	282
Forward foreign exchange contracts	3,286	30	61	9,193	609	1
Currency swaps	9,348	71	215	14,305	729	2
	65,430	435	341	72,807	1,503	285
Derivatives designated as net investment hedges:						
Forward foreign exchange contracts	18,558	59	419	14,137	300	7
Total derivatives held for hedging	150,335	1,412	1,992	151,819	2,566	2,027

15. Reverse repurchase and repurchase agreements including other similar lending and borrowing**Reverse repurchase agreements and other similar secured lending**

	30.06.25 \$million	31.12.24 \$million
Banks	38,815	37,700
Customers	59,957	61,101
	98,772	98,801
Of which:		
Fair value through profit or loss	90,333	86,195
Banks	34,565	34,754
Customers	55,768	51,441
Held at amortised cost	8,439	12,606
Banks	4,250	2,946
Customers	4,189	9,660

Under reverse repurchase and securities borrowing arrangements, the Group obtains securities under usual and customary terms which permit it to repledge or resell the securities to others. Amounts on such terms are:

	30.06.25 \$million	31.12.24 \$million
Securities and collateral received (at fair value)	101,219	103,007
Securities and collateral which can be repledged or sold (at fair value)	100,946	102,741
Amounts repledged/transferred to others for financing activities, to satisfy liabilities under sale and repurchase agreements (at fair value)	19,126	27,708

Repurchase agreements and other similar secured borrowing

	30.06.25 \$million	31.12.24 \$million
Banks	9,411	8,669
Customers	39,785	37,002
	49,196	45,671
Of which:		
Fair value through profit or loss	43,946	33,539
Banks	8,617	7,759
Customers	35,329	25,780
Held at amortised cost	5,250	12,132
Banks	794	910
Customers	4,456	11,222

The tables below set out the financial assets provided as collateral for repurchase and other secured borrowing transactions:

Collateral pledged against repurchase agreements	Fair value through profit or loss \$million	Fair value through other comprehensive income \$million	Amortised cost \$million	Off-balance sheet \$million	Total \$million
On-balance sheet					
Debt securities and other eligible bills	5,559	12,118	14,062	–	31,739
Off-balance sheet					
Repledged collateral received	–	–	–	19,126	19,126
At 30 June 2025	5,559	12,118	14,062	19,126	50,865
On-balance sheet					
Debt securities and other eligible bills	4,698	6,366	7,592	–	18,656
Off-balance sheet					
Repledged collateral received	–	–	–	27,708	27,708
At 31 December 2024	4,698	6,366	7,592	27,708	46,364

The Group applies balance sheet offsetting only in the instance where we are able to demonstrate legal enforceability of the right to offset (e.g. via legal opinion) and the ability and intention to settle on a net basis (e.g. via operational practice).

16. Goodwill and intangible assets

	30.06.25				31.12.24			
	Goodwill \$million	Acquired intangibles \$million	Computer software \$million	Total \$million	Goodwill \$million	Acquired intangibles \$million	Computer software \$million	Total \$million
Cost								
At 1 January	2,387	252	6,301	8,940	2,429	278	6,168	8,875
Exchange translation differences	75	15	249	339	(42)	(18)	(109)	(169)
Additions	–	–	451	451	–	1	952	953
Disposals	–	–	(11)	(11)	–	–	(5)	(5)
Impairment	–	–	(49) ¹	(49)	–	–	(663) ²	(663)
Amounts written off	–	–	(53)	(53)	–	(9)	(42)	(51)
At 30 June/31 December	2,462	267	6,888	9,617	2,387	252	6,301	8,940
Provision for amortisation								
At 1 January	–	249	2,900	3,149	–	265	2,396	2,661
Exchange translation differences	–	15	125	140	–	(20)	(48)	(68)
Amortisation	–	–	325	325	–	4	695	699
Impairment charge	–	–	(31) ¹	(31)	–	–	(102) ²	(102)
Disposal	–	–	(4)	(4)	–	–	–	–
Amounts written off	–	–	(53)	(53)	–	–	(41)	(41)
At 30 June/31 December	–	264	3,262	3,526	–	249	2,900	3,149
Net book value	2,462	3	3,626	6,091	2,387	3	3,401	5,791

1 Includes impairment of software intangibles capitalised as at 31 December 2024

2 During 2024, the Group performed a review of its computer software intangibles which were capitalised as at 31 December 2023, and impaired \$483 million of the 2024 net book value due to limitations in the available evidence to support the continued capitalisation of the assets. The Group has made improvements in its processes and controls to capture the required evidence going forward. The Group has also performed its annual review of computer software intangibles to determine instances when the Group is no longer using certain applications in its ongoing business and impaired \$78 million. A total of \$561 million is recorded within impairment to reflect the above

At 30 June 2025, accumulated goodwill impairment losses incurred from 1 January 2005 amounted to \$3,331 million (31 December 2024: \$3,331 million), of which nil was recognised on 30 June 2025 (31 December 2024: \$ nil).

The Group assessed the goodwill assigned to each of the Group's cash-generating units (CGUs) and determined that there are no indicators of impairment for material CGUs at 30 June 2025.

17. Property, plant and equipment

	30.06.25					31.12.24				
	Premises \$million	Equipment \$million	Leased premises assets \$million	Leased equipment assets \$million	Total \$million	Premises \$million	Equipment \$million	Leased premises assets \$million	Leased equipment assets \$million	Total \$million
Cost and valuation										
At 1 January 2024	1,726	936	2,026	163	4,851	1,741	810	1,864	18	4,433
Exchange translation differences	53	23	50	1	127	(41)	(31)	(38)	(4)	(114)
Additions	78	47	132	5	262	112	194	213	150	669
Disposals and fully depreciated assets written off	(7)	(12)	(27)	(1)	(47)	(61)	(37)	(13)	(1)	(112)
Transfers to assets held for sale	(17)	–	1	–	(16)	–	–	–	–	–
Other movements	(3)	–	–	–	(3)	(25)	–	–	–	(25)
At 30 June/31 December	1,830	994	2,182	168	5,174	1,726	936	2,026	163	4,851
Depreciation										
Accumulated at 1 January	716	575	1,096	39	2,426	692	535	914	18	2,159
Exchange translation differences	21	21	19	1	62	(28)	(15)	(40)	(14)	(97)
Charge for the year	41	51	112	15	219	79	92	220	36	427
Impairment charge	(1)	–	1	–	–	2	–	9	–	11
Attributable to assets sold, transferred or written off	(4)	(12)	(18)	(1)	(35)	(29)	(37)	(7)	(1)	(74)
Transfers to assets held for sale	(4)	–	–	–	(4)	–	–	–	–	–
At 30 June/31 December	769	635	1,210	54	2,668	716	575	1,096	39	2,426
Net book value	1,061	359	972	114	2,506	1,010	361	930	124	2,425

18. Other assets

Other assets include:

	30.06.25 \$million	31.12.24 \$million
Financial assets held at amortised cost (Note 13):		
Hong Kong SAR Government certificates of indebtedness (Note 21) ¹	6,360	6,369
Cash collateral ²	13,895	11,046
Acceptances and endorsements	4,921	5,476
Unsettled trades and other financial assets	20,196	11,694
	45,372	34,585
Non-financial assets:		
Commodities and emissions certificates ³	19,366	8,358
Other assets	691	525
	65,429	43,468

1 The Hong Kong SAR Government certificates of indebtedness are subordinated to the claims of other parties in respect of bank notes issued

2 Cash collateral are margins placed to collateralise net derivative mark-to-market positions

3 Comprises precious metals and emission certificates, being inventory that is carried at fair value less costs to sell. \$16.6 billion is precious metals which are classified as Level 1, the fair value of which being derived from observable spot or short-term futures prices from relevant exchanges (31 December 2024: \$5.6 billion). \$2.7 billion is emissions certificates and other commodity related balances classified as Level 2 (31 December 2024: \$2.7 billion)

19. Investments in associates and joint ventures

Share of profit from investment in associates and joint ventures comprises:

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Loss from investment in joint ventures	(7)	(3)
Profit from investment in associates	86	147
Total	79	144

	30.06.25 \$million	31.12.24 \$million
Interests in associates and joint ventures		
At 1 January	1,020	966
Exchange translation difference	22	(40)
Additions ¹	361	22
Share of profits	79	108
Dividend received ²	(45)	(36)
Share of fair value through other comprehensive income (FVOCI) and Other reserves	(30)	9
Other movements	(2)	(9)
At 30 June/31 December	1,405	1,020

1 Includes investment in Jumbotail Technologies Private Limited. Refer to Note 6 Other operating income

2 Includes capital distribution from Ascenta IV

The Group's principal associates are:

Associate	Nature of activities	Main areas of operation	Group interest in associate %
China Bohai Bank	Banking	China	16.26
Jumbotail Technologies Pvt. Ltd	E-commerce	India	46.55

Jumbotail Technologies Private Ltd (JTPL)

On acquisition through the SCRTIPL transaction (refer to Note 6), the Group acquired a 46.55 per cent shareholding in JTPL, a company incorporated in India; these shares give the Group 46.64 per cent voting rights in JTPL. The carrying value as of 30 June 2025 was \$344 million. JTPL is engaged in business-to-business e-commerce. As a result of the acquisition, the Group has significant influence over the investee through its shareholding and accounts for its interest based on the application of the equity method. The Group's share of the associate's results since acquisition are immaterial.

19. Investments in associates and joint ventures continued

China Bohai Bank

The Group's ownership percentage in China Bohai Bank is 16.26 per cent.

Although the Group's investment in China Bohai Bank is less than 20 per cent, it is an associate because of the significant influence the Group can exercise over its management and financial and operating policies. This influence is exercised through Board representation and the provision of technical expertise to Bohai. The Group applies the equity method of accounting for investments in associates.

If the Group did not have significant influence over Bohai, the investment would be measured at fair value rather than the current carrying value, which is based on the application of the equity method as described in the accounting policy note.

Bohai publishes their results after the Group. As it is impracticable for Bohai to prepare financial statements sooner, the Group recognises its share of Bohai's earnings on a three-month lag basis. Therefore, the Group recognised its share of Bohai's profits and movements in other comprehensive income from 1 October 2024 through 31 March 2025 (six months of earnings) in the Group's consolidated statement of income and consolidated statement of comprehensive income for the period ended 30 June 2025, also considering any known changes or events in the subsequent period from 1 April 2025 to 30 June 2025 that would have materially affected Bohai's results.

Impairment testing

On 30 June 2025, the listed equity value of Bohai is below the carrying amount of the Group's investment in associate. As a result, the Group assessed the carrying value of its investment in Bohai for impairment and concluded that no impairment was required for the period ended 30 June 2025 (\$nil for the period ended 30 June 2024; \$1,459 million of accumulated impairment at 30 June 2025). The Group has not reversed any previously recognised impairments during the period (2024: \$nil). The carrying amount of the Group's investment in Bohai of \$834 million (2024: \$738 million) is supported with the higher of the value in use (VIU) and fair value less costs of disposal, i.e. the recoverable amount. The increase to the carrying amount during 2025 reflects the Group's share of profits of \$103 million, other comprehensive loss of \$30 million, net of foreign exchange profits of \$23 million and dividends received of \$nil. The financial forecasts used to estimate the recoverable amount, a VIU calculation, reflects Group management's best estimate of Bohai's future earnings, in line with current economic conditions and Bohai's latest reported results.

Bohai	30.06.25 \$million	31.12.24 \$million
VIU	834	738
Carrying amount ¹	834	738
Market capitalisation ²	320	338

1 The Group's 16.26 per cent share in the net assets less other equity instruments which the Group does not hold

2 Number of shares held by the Group multiplied by the quoted share price at period end

Basis of recoverable amount

The impairment test was performed by comparing the recoverable amount of Bohai, determined as the higher of VIU and fair value less costs to dispose, with its carrying amount.

The VIU is calculated using a dividend discount model (DDM), which estimates the distributable future cash flows to the equity holders, after adjusting for regulatory capital requirements, for a five-year period, after which a terminal value (TV) is calculated based on the price to earnings (P/E) exit multiple. The key assumptions in the VIU are as follows:

- Short-to-medium term projections are based on Group management's best estimates of future profits available to ordinary shareholders and have been determined with reference to the latest published financial results, the historical performance of Bohai and forward-looking macroeconomic variables for Mainland China.
- The projections use available information and include normalised performance over the forecast period, inclusive of:
 - (i) balance sheet growth assumptions based on the short-to-medium term GDP growth rates for Mainland China; (ii) net interest income (NII) projecting interest income (primarily the one-year Loan Prime Rate (LPR), one-year LPR, as basis) and interest expense (Shanghai Interbank Offered Rate, three-month SHIBOR, as basis) which reference to forecast third-party market interest rates plus/minus an observed historical spread to the benchmark rate; (iii) non-interest income estimated according to the latest available performance of Bohai, with consideration of the contribution of the constituent parts of the non-interest income; (iv) expected credit loss (ECL) assumptions using Bohai's historical reported ECL, based on the proportion of ECL from loans and advances to customers and financial investments measured at amortised cost and FVOCI; and (v) statutory tax rate of 25 per cent was applied to the taxable profit of Bohai, after consideration of taxable and non-taxable elements, consistent with historical reported results.

19. Investments in associates and joint ventures continued

- The distributable reserves under the DDM are calculated as the difference between the capital resources and the capital requirements in each of the forecast periods. The calculation assumes a target Common Equity Tier 1 (CET 1) capital ratio and risk-weighted asset (RWA) growth consistent with total assets.
- The discount rate applied to these cash flows was estimated with reference to a capital asset pricing model (CAPM), which includes a long-term risk-free rate, beta, and company risk premium assumptions for Bohai.
- A long-term average P/E multiple of comparable companies is used to derive a TV after the five-year forecast period.

The VIU model was refined during 2025 to include more granular forecasting assumptions for each period. While it is impracticable for the Group to estimate the impact on future periods, the key changes to the 2025 model are summarised as follows:

- The Group continues to calculate non-interest income with reference to the five components, i.e., net gains on financial investments through P/L, net gains on financial investments through OCI, net fee and commission income, net trading income, and other income. All components of non-interest income continue to be grown by the relevant GDP rate for Mainland China over the forecast period. However, the Group changed the returns forecast for the financial investments through P/L over the forecast period, by using the most recent reported returns as the starting point, normalising such returns to a long-term average over the forecast period. Previously, the return of this component of non-interest income was normalised to the long-term average from the start of the forecast period (year 1), and then grown according to relevant GDP rate of Mainland China. As a result of this change, the year 1 total forecast non-interest income is more aligned to the recently reported results, but due to the normalisation affect, the implied growth is negligible.

The key assumptions used for the VIU calculation:

	30.06.25	31.12.24
Post-tax discount rate ¹	10.00%	10.50%
Total balance sheet (and risk-weighted assets) growth rate	3.53% – 4.75%	3.77% – 4.52%
P/E multiple used to calculate TV	5.6x	5.6x
Interest income ²	2.94% – 3.20%	3.00%–3.56%
Interest expense ²	1.65% – 2.07%	1.77%–2.01%
Non-interest income – financial investments return	1.91%–2.98%	1.91%
Other non-interest income growth rate	3.53% – 4.75%	3.77%–4.52%
Expected credit losses as a percentage of customer loans ³	0.77%	0.84%–1.36%
Expected credit losses as a percentage of financial investments measured at amortised cost and FVOCI ³	0.39%	0.48%–1.26%
Tax expense ⁴	9.68% – 13.83%	5.4% – 14.1%
Capital maintenance ratio	8.00%	8.00%

1 Pre-tax discount rate of 15.37 per cent was used in 2025 (2024: 15.31 per cent). The difference in pre-tax discount rates relates to changes in effective tax rate

2 One-year LPR and three-month SHIBOR rate forecasts were sourced from an external third-party provider, and with a spread derived from long-term historical averages, are used to produce the interest income and interest expense forecasts

3 As 31 December 2024 the low end of the range was based on historical loss rates, and the high end of the range, applied in one of the forecast years, included adjustments for incremental judgemental management overlays. At 30 June 2025 the ECL assumption is based on historical loss rates with an adjustment for incremental judgemental management overlays, applied over the five-year forecast period

4 The tax rates disclosed are the implied effective tax rates (per cent) over the five-yr forecast period. The 30 June 2025 tax expense forecasts, calculated from the taxable profit, considered the long-term historical average of non-taxable income of 17.22 per cent (2024: 16.09 per cent) and non-deductible expenses of 14.43 per cent (2024: 12.53 per cent). A statutory tax rate of 25 per cent was applied to the taxable profit of Bohai, after consideration of taxable and non-taxable elements

19. Investments in associates and joint ventures continued

The table below discloses sensitivities to the key assumptions of Bohai, according to management's judgement of reasonably possible changes. Changes were applied to every cash flow year on an individual basis. The percentage change to the assumptions reflects the level at which management assesses the reasonableness of the assumptions used and their impact on the carrying amount.

Sensitivities ¹	basis points	Key assumption increase	Key assumption decrease
		Increase/(decrease) in VIU \$million	Increase/(decrease) in VIU \$million
Discount rate	100	(31)	33
Total balance sheet (and risk-weighted asset) growth rate ²	100	–	1
P/E multiple used to calculate TV	1.0x	110	(109)
Net interest income – Scenario 1 ³	10	(10)	10
Net interest income – Scenario 2 ⁴	Various ⁴	356	(229)
Non-interest income – financial investments return	100	242	(241)
Other non-interest income growth rate	100	27	(25)
Expected credit losses as a percentage of customer loans	10	(138)	138
Expected credit losses as a percentage of financial investments measured at amortised cost and FVOCI	10	(78)	78
Tax expense ⁵	300	24	(24)
Capital maintenance ratio	50	(86)	86

1 For comparative information as of 31 December 2024, refer to page 365 of the Group's Annual Report 2024

2 The sensitivity reflects the net impact of changing this assumption in the VIU, which links to various elements in forecast profit and regulatory capital adjustment

3 This scenario assumes that one-year LPR and three-month SHIBOR increase or decrease by the same amount, to demonstrate the impact on the carrying amount of a similar scenario

4 An alternative scenario is that Bohai's asset yield and liability cost move in the same direction, albeit by different amounts, through the five-year forecast period including the terminal value. The key assumption increase sensitivity assumes that asset yields increase by 25 basis points and liability costs increase by 10 basis points in each period. The key assumption decrease sensitivity assumes that asset yields decrease by 25 basis points and liability costs decrease by 15 basis points in each period

5 Changes in tax expense applied only to both average percentages of non-taxable income (17.22 per cent) and non-deductible expenses (14.43 per cent). Refer to footnote 4 of the key assumptions table for more details

The following table sets out the summarised financial statements of China Bohai Bank prior to the Group's share of the associate's profit being applied:

	31.03.25 \$million	31.03.24 \$million
Total assets	249,471	243,892
Total liabilities	233,876	227,393
Operating income ¹	1,865	1,862
Net profit ¹	496	441
Other comprehensive income ¹	(189)	49

1 This represents six months of earnings (1 October to 31 March)

20. Assets held for sale and associated liabilities

Assets held for sale

The financial assets reported below are classified under Level 1 \$15 million (31 December 2024: \$58 million), Level 2 \$491 million (31 December 2024: \$353 million) and Level 3 \$116 million (31 December 2024: \$473 million).

	30.06.25 \$million	31.12.24 \$million
Financial assets held at fair value through profit or loss	1	5
Loans and advances to banks	–	5
Equity shares	1	–
Financial assets held at amortised cost	622	884
Cash and balances at central banks	73	109
Loans and advances to banks	19	18
Loans and advances to customers	460	656 ¹
Debt securities held at amortised cost	70	101
Property, plant and equipment	28	15
Other assets	30	28
	681	932

1 Includes \$414 million unsecured personal loan business from SC Bank India which was disposed on 23 January 2025

Liabilities held for sale

The financial liabilities reported below are classified under Level 1 Nil (31 December 2024: \$89 million) and Level 2 \$194 million (31 December 2024: \$271 million).

	30.06.25 \$million	31.12.24 \$million
Financial liabilities held at amortised cost	194	360
Customer accounts	194	360
Other liabilities	16	16
Provisions for liabilities and charges	5	5
	215	381

21. Other liabilities

	30.06.25 \$million	31.12.24 \$million
Financial liabilities held at amortised cost (Note 13)		
Notes in circulation ¹	6,360	6,369
Acceptances and endorsements	4,926	5,476
Cash collateral ²	12,831	15,005
Property leases	1,089	1,041
Equipment leases	110	115
Unsettled trades and other financial liabilities	22,605	16,041
	47,921	44,047
Non-financial liabilities		
Cash-settled share-based payments	156	131
Other liabilities	561	503
	48,638	44,681

1 Hong Kong currency notes in circulation of \$6,360 million (31 December 2024: \$6,369 million) that are secured by the Government of Hong Kong SAR certificates of indebtedness of the same amount included in other assets (Note 18)

2 Cash collateral includes margins received against collateralised net derivative mark-to-market positions

22. Contingent liabilities and commitments

The table below shows the contract or underlying principal amounts of unmatured off-balance sheet transactions at the balance sheet date. The contract or underlying principal amounts indicate the volume of business outstanding and do not represent amounts at risk.

	30.06.25 \$million	31.12.24 \$million
Financial guarantees and other contingent liabilities		
Financial guarantees, trade and irrevocable letters of credit	103,959	90,632
	103,959	90,632
Commitments		
Undrawn formal standby facilities, credit lines and other commitments to lend		
One year and over	84,525	76,915
Less than one year	31,187	29,249
Unconditionally cancellable	77,235	76,365
	192,947	182,529
Capital commitments		
Contracted capital expenditure approved by the directors but not provided for in these accounts	105	123

As set out in Note 23, the Group has contingent liabilities in respect of certain legal and regulatory matters.

23. Legal and regulatory matters

The Group receives legal claims against it in a number of jurisdictions and is subject to regulatory and enforcement investigations and proceedings from time to time. Apart from the matters described below, the Group currently considers none of the ongoing claims, investigations or proceedings to be individually material. However, in light of the uncertainties involved in such matters, there can be no assurance that the outcome of a particular matter or matters currently not considered to be material may not ultimately be material to the Group's results in a particular reporting period depending on, among other things, the amount of the loss resulting from the matter(s) and the results otherwise reported for such period.

Since 2014, the Group has been named as a defendant in a series of lawsuits that have been filed in the United States District Courts for the Southern and Eastern Districts of New York against a number of banks on behalf of plaintiffs who are, or are relatives of, victims of attacks in Iraq, Afghanistan and Israel. The plaintiffs in each of these lawsuits have alleged that the defendant banks aided and abetted the unlawful conduct of parties with connections to terrorist organisations in breach of the United States Anti-Terrorism Act. None of these lawsuits specify the amount of damages claimed. The Group continues to defend these lawsuits.

In January 2020, a shareholder derivative complaint was filed by the City of Philadelphia in New York State Court against 45 current and former directors and senior officers of the Group. It is alleged that the individuals breached their duties to the Group and caused a waste of corporate assets by permitting the conduct that gave rise to the costs and losses to the Group related to legacy conduct and control issues. In February 2022, the New York State Court ruled in favour of Standard Chartered PLC's motion to dismiss the complaint. The plaintiffs are pursuing an appeal against the February 2022 ruling. A hearing date for the plaintiffs' appeal is awaited.

Since October 2020, four lawsuits have been filed in the English High Court against Standard Chartered PLC on behalf of more than 200 shareholders in relation to alleged untrue and/or misleading statements and/or omissions in information published by Standard Chartered PLC in its rights issue prospectuses of 2008, 2010 and 2015 and/or public statements regarding the Group's historic sanctions, money laundering and financial crime compliance issues. These lawsuits have been brought under sections 90 and 90A of the Financial Services and Markets Act 2000. The trial of these lawsuits is due to start in late 2026. The claimants have alleged that their losses are in the region of £1.56 billion (excluding any pre-judgement interest that may be awarded). In addition to having denied any and all liability, Standard Chartered PLC will contest claimants' alleged losses.

Bernard Madoff's 2008 confession to running a Ponzi scheme through Bernard L. Madoff Investment Securities LLC (BMIS) gave rise to a number of lawsuits against the Group. BMIS and the Fairfield funds (which invested in BMIS) are in bankruptcy and liquidation, respectively. Between 2010 and 2012, five lawsuits were brought against the Group by the BMIS bankruptcy trustee and the Fairfield funds' liquidators, in each case seeking to recover funds paid to the Group's clients pursuant to redemption requests made prior to BMIS' bankruptcy filing. The total amount sought in these cases exceeds \$300 million, excluding any pre-judgement interest that may be awarded. Three of the four lawsuits commenced by the Fairfield funds' liquidators have been dismissed and the appeals of those dismissals by the funds' liquidators are ongoing. The fourth lawsuit has been dismissed and is not the subject of any further appeal. The Group continues to defend the lawsuit brought by the BMIS bankruptcy trustee.

A number of Korean banks, including Standard Chartered Bank Korea, sold equity-linked securities (ELS) to customers, the redemption values of which are determined by the performance of various stock indices. From January 2021 to May 2023 Standard Chartered Bank Korea sold relevant ELS to its customers with a notional value of approximately \$900 million. Due to the performance of the Hang Seng China Enterprise Index, several thousand Standard Chartered Bank Korea customers have redeemed their ELS at a loss. Standard Chartered Bank Korea has offered compensation to impacted customers. Standard Chartered Bank Korea may also receive a regulatory penalty. A \$100 million provision had been recognised at Q1 2024 with respect to anticipated losses, \$24 million of which remains recorded on the Group's balance sheet at 30 June 2025.

In June 2025, a lawsuit was filed in the Singapore High Court against Standard Chartered Bank (Singapore) Limited, by three companies now in liquidation that had misappropriated funds from 1Malaysia Development Berhad (1MDB), seeking \$2.7 billion. The companies allege, among other things, that Standard Chartered Singapore knew or ought to have known that these companies were engaged in the fraud on 1MDB at the time that Standard Chartered Singapore effected transfers instructed by these companies. The companies allege that in doing so, Standard Chartered Singapore breached its mandate and applicable duties. Standard Chartered Singapore had reported the transaction activities of these companies before it closed their accounts in early 2013. Standard Chartered denies any and all liability and will defend against this lawsuit.

With the exception of the Korea ELS matter described above and certain other legal and regulatory matters for which provisions are recorded on the condensed consolidated interim balance sheet under Provisions for liabilities and charges as at 30 June 2025, the Group has concluded that the threshold for recording provisions pursuant to IAS 37 Provisions, Contingent Liabilities and Contingent Assets is not met with respect to the above matters; however, the outcomes of these matters are inherently uncertain and difficult to predict.

24. Subordinated liabilities and other borrowed funds

	30.06.25					31.12.24				
	USD \$million	EUR \$million	GBP \$million	NPR \$million	Total \$million	USD \$million	EUR \$million	GBP \$million	NPR \$million	Total \$million
Fixed rate subordinated debt	6,685	1,142	934	17	8,778	7,510	2,008	846	18	10,382

Redemptions and repurchases during the period 2025

Standard Chartered PLC exercised its right to redeem \$1 billion 3.516 per cent fixed rate reset subordinated debt due 2030 and EUR 1 billion 2.5 per cent fixed rate reset subordinated notes due 2030.

Redemptions and repurchases during the year 2024

Standard Chartered PLC exercised its right to redeem \$1 billion 5.2 per cent subordinated notes 2024 and €500 million 3.125 per cent subordinated notes 2024.

Issuance during the period 2025

There was no issuance during the period.

Issuance during the year 2024

There was no issuance during the year.

25. Share capital, other equity instruments and reserves

	Number of ordinary shares millions	Ordinary share capital ¹ \$million	Ordinary share premium \$million	Preference share capital and share premium ² \$million	Total share capital and share premium \$million	Other equity instruments \$million
At 1 January 2024	2,665	1,332	3,989	1,494	6,815	5,512
Cancellation of shares including share buyback	(113)	(57)	–	–	(57)	–
Additional Tier 1 equity issuance	–	–	–	–	–	992
At 30 June 2024	2,552	1,275	3,989	1,494	6,758	6,504
Cancellation of shares including share buyback	(127)	(63)	–	–	(63)	–
Additional Tier 1 equity issuance	–	–	–	–	–	576
Additional Tier 1 redemption	–	–	–	–	–	(553)
Other movements ³	–	–	–	–	–	(25)
At 31 December 2024	2,425	1,212	3,989	1,494	6,695	6,502
Cancellation of shares including share buyback	(93)	(47)	–	–	(47)	–
Additional Tier 1 equity issuance	–	–	–	–	–	994
Other movements ⁴	–	–	–	–	–	4
At 30 June 2025	2,332	1,165	3,989	1,494	6,648	7,500

1 Issued and fully paid ordinary shares of 50 cents each

2 Includes preference share capital of \$75,000

3 Relates to realised translation loss on redemption of AT1 securities of SGD 750 million

4 Includes issuance cost

25. Share capital, other equity instruments and reserves continued

Share buybacks

On 21 February 2025, the Group announced the buyback programme for a \$1,500 million share buyback of its ordinary shares of \$0.50 each. At H1 2025, the total number of shares purchased of 82,248,452 representing 3.41 per cent of the ordinary shares in issue at the beginning of the programme, for total consideration of \$1,222 million, and a further \$278 million relating to irrevocable obligation to buy back shares under the buyback programme has been recognised. The nominal value of the shares was transferred from the share capital to the capital redemption reserve account.

The shares were purchased by Standard Chartered PLC on various exchanges not including the Hong Kong Stock Exchange.

	Number of ordinary shares	Highest price paid £	Lowest price paid £	Average price paid per share £	Aggregate price paid £	Aggregate price paid \$
January 2025	11,300,128	10.870	9.704	10.4133	117,671,362	145,286,293
February 2025	3,395,890	12.725	11.790	12.3236	41,849,427	52,884,831
March 2025	24,636,534	12.810	11.175	11.8745	292,546,496	377,784,647
April 2025	19,971,649	11.545	8.728	10.1018	201,750,555	264,351,775
May 2025	18,340,963	11.755	10.385	11.2137	205,669,905	274,781,456
June 2025	15,903,416	12.200	11.160	11.6973	186,026,636	252,365,331

Ordinary share capital

In accordance with the Companies Act 2006, the Company does not have authorised share capital. The nominal value of each ordinary share is 50 cents.

During the period nil shares were issued under employee share plans.

Preference share capital

At 30 June 2025, the Company has 15,000 \$5 non-cumulative redeemable preference shares in issue, with a premium of \$99,995 making a paid-up amount per preference share of \$100,000. The preference shares are redeemable at the option of the Company and are classified in equity.

The available profits of the Company are distributed to the holders of the issued preference shares in priority to payments made to holders of the ordinary shares and in priority to, or pari passu with, any payments to the holders of any other class of shares in issue. On a winding up, the assets of the Company are applied to the holders of the preference shares in priority to any payment to the ordinary shareholders and in priority to, or pari passu with, the holders of any other shares in issue, for an amount equal to any dividends payable (on approval of the Board) and the nominal value of the shares together with any premium as determined by the Board. The redeemable preference shares are redeemable at the paid-up amount (which includes premium) at the option of the Company in accordance with the terms of the shares. The holders of the preference shares are not entitled to attend or vote at any general meeting, except where any relevant dividend due is not paid in full or where a resolution is proposed varying the rights of the preference shares.

Other equity instruments

The table provides details of outstanding Fixed Rate Resetting Perpetual Subordinated Contingent Convertible AT1 securities issued by Standard Chartered PLC. All issuances are made for general business purposes and to increase the regulatory capital base of the Group.

Issuance date	Nominal value	Proceeds net of issue costs	Interest rate ¹	Coupon payment dates ²	First reset dates ³	Conversion price per ordinary share ⁵
26 June 2020	\$1,000 million	\$992 million	6%	26 January, 26 July	26 January 2026	\$5.331
14 January 2021	\$1,250 million	\$1,239 million	4.75%	14 January, 14 July	14 July 2031	\$6.353
19 August 2021	\$1,500 million	\$1,489 million	4.30%	19 February, 19 August	19 August 2028	\$6.382
15 August 2022	\$1,250 million	\$1,239 million	7.75%	15 February, 15 August	15 February 2028	\$7.333
08 March 2024	\$1,000 million	\$993 million	7.875%	8 March, 8 September	8 September 2030	\$8.216
19 September 2024	SGD750 million	\$579 million	5.300%	19 March, 19 September	19 March 2030	SGD12.929
16 January 2025	\$1,000 million	\$994 million	7.625%	16 January, 16 July	16 July 2032	\$12.330
Total		\$7,525 ⁴ million				

1 Interest rates for the period from (and including) the issue date to (but excluding) the first reset date

2 Interest payable semi-annually in arrears

3 Securities are resettable each date falling five years, or an integral multiple of five years, after the first reset date

4 Excludes realised translation loss (\$25 million) on redemption of AT1 securities on 3 October 2024 (SGD 750 million)

5 Conversion price set at the time of pricing with reference to closing share price and any applicable discount

The AT1 issuances above are primarily purchased by institutional investors.

25. Share capital, other equity instruments and reserves continued

The principal terms of the AT1 securities are described below:

- The securities are perpetual and redeemable, at the option of Standard Chartered PLC in whole but not in part, on the first interest reset date and each date falling five years after the first reset date.
- The securities are also redeemable for certain regulatory or tax reasons on any date at 100 per cent of their principal amount together with any accrued but unpaid interest up to (but excluding) the date fixed for redemption. Any redemption is subject to Standard Chartered PLC giving notice to the relevant regulator and the regulator granting permission to redeem.
- Interest payments on these securities will be accounted for as a dividend.
- Interest on the securities is due and payable only at the sole and absolute discretion of Standard Chartered PLC, subject to certain additional restrictions set out in the terms and conditions. Accordingly, Standard Chartered PLC may at any time elect to cancel any interest payment (or part thereof) which would otherwise be payable on any interest payment date.
- The securities convert into ordinary shares of Standard Chartered PLC, at a predetermined price detailed in the table above, should the fully loaded Common Equity Tier 1 ratio of the Group fall below 7.0 per cent. Approximately 1,051 million ordinary shares would be required to satisfy the conversion of all the securities mentioned above.

The securities rank behind the claims against Standard Chartered PLC of (a) unsubordinated creditors, (b) which are expressed to be subordinated to the claims of unsubordinated creditors of Standard Chartered PLC but not further or otherwise; or (c) which are, or are expressed to be, junior to the claims of other creditors of Standard Chartered PLC, whether subordinated or unsubordinated, other than claims which rank, or are expressed to rank, *pari passu* with, or junior to, the claims of holders of the AT1 securities in a winding-up occurring prior to the conversion trigger. The net proceeds of the issuances of AT1s are used for the general purposes of the Group.

Reserves

The constituents of the reserves are summarised as follows:

- The capital reserve represents the exchange difference on redenomination of share capital and share premium from sterling to US dollars in 2001. The capital redemption reserve represents the nominal value of preference shares redeemed.
- The amounts in the Capital and Merger Reserve represent the premium arising on shares issued using a cash box financing structure, which required the Company to create a merger reserve under section 612 of the Companies Act 2006. Shares were issued using this structure in 2005 and 2006 to assist in the funding of Korea (\$1.9 billion) and Taiwan (\$1.2 billion) acquisitions, in 2008, 2010 and 2015 for the shares issued by way of a rights issue, primarily for capital maintenance requirements and for the shares issued in 2009 by way of an accelerated book build, the proceeds of which were used in the ordinary course of business of the Group. The funding raised by the 2008, 2010 and 2015 rights issues and 2009 share issue was fully retained within the Company. Of the 2015 funding, \$1.5 billion was used to subscribe to additional equity in Standard Chartered Bank, a wholly owned subsidiary of the Company. Apart from the Korea, Taiwan and Standard Chartered Bank funding, the merger reserve is considered realised and distributable.
- Own credit adjustment (OCA) reserve represents the cumulative gains and losses on financial liabilities designated at fair value through profit or loss relating to own credit. Gains and losses on financial liabilities designated at fair value through profit or loss relating to own credit in the year have been taken through other comprehensive income into this reserve. On derecognition of applicable instruments the balance of any OCA will not be recycled to the income statement, but will be transferred within equity to retained earnings.
- Fair value through other comprehensive income (FVOCI) debt reserve represents the unrealised fair value gains and losses in respect of financial assets classified as FVOCI, net of expected credit losses and taxation. Gains and losses are deferred in this reserve and are reclassified to the income statement when the underlying asset is sold, matures or becomes impaired.
- FVOCI equity reserve represents unrealised fair value gains and losses in respect of financial assets classified as FVOCI, net of taxation. Gains and losses are recorded in this reserve and never recycled to the income statement.
- Cash flow hedge reserve represents the effective portion of the gains and losses on derivatives that meet the criteria for these types of hedges. Gains and losses are deferred in this reserve and are reclassified to the income statement when the underlying hedged item affects profit and loss or when a forecast transaction is no longer expected to occur.
- Translation reserve represents the cumulative foreign exchange gains and losses on translation of the net investment of the Group in foreign operations. Since 1 January 2004, gains and losses are deferred to this reserve and are reclassified to the income statement when the underlying foreign operation is disposed. Gains and losses arising from derivatives used as hedges of net investments are netted against the foreign exchange gains and losses on translation of the net investment of the foreign operations.
- Retained earnings represents profits and other comprehensive income earned by the Group and Company in the current and prior periods, together with the after tax increase relating to equity-settled share options, less dividend distributions, own shares held (treasury shares) and share buybacks.

25. Share capital, other equity instruments and reserves continued

A substantial part of the Group's reserves is held in overseas subsidiary undertakings and branches, principally to support local operations or to comply with local regulations. The maintenance of local regulatory capital ratios could potentially restrict the amount of reserves which can be remitted. In addition, if these overseas reserves were to be remitted, further unprovided taxation liabilities might arise.

As at 30 June 2025, the distributable reserves of Standard Chartered PLC (the Company) were \$13.9 billion (31 December 2024: \$14.1 billion). Distributable reserves of SC PLC are calculated from the Merger reserve and Retained Earnings with consideration for restricted items in line with sections 830 and 831 of the Companies Act 2006.

Own shares

The 2004 Employee Benefit Trust (2004 Trust) is used in conjunction with the Group's employee share schemes and other employee share-based payments (such as upfront shares and salary shares). Computershare Trustees (Jersey) Limited is the trustee of the 2004 Trust. Group companies fund the 2004 Trust from time to time to enable the trustee to acquire ordinary shares in Standard Chartered PLC to satisfy these arrangements.

Details of the shares purchased and held by the 2004 Trust are set out below.

	2004 Trust		
	30.06.25	31.12.24	30.06.24
Shares purchased during the period	8,765,965	19,604,557	40,707
Market price of shares purchased (\$million)	137.45	223	0.35
Shares held at the end of the period	1,799,177	17,589,987	1,863,677
Maximum number of shares held during the period	25,082,882	28,085,688	28,085,688

Except as disclosed, neither the Company nor any of its subsidiaries has bought, sold or redeemed any securities of the Company listed on The Stock Exchange of Hong Kong Limited during the period.

Dividend waivers

The trustees of the 2004 Trust, which holds ordinary shares in Standard Chartered PLC in connection with the operation of its employee share plans, waive any dividend on the balance of ordinary shares that have not been allocated to employees, except for 0.01p per share.

26. Related party transactions

Directors and officers

As at 30 June 2025, Standard Chartered Bank had in place a charge over \$67 million (31 December 2024: \$68 million) of cash assets in favour of the independent trustee of its employer financed retirement benefit scheme.

There were no changes in the related party transactions described in the Annual Report 2024 that could have or have had a material effect on the financial position or performance of the Group in the period ended 30 June 2025. All related party transactions that have taken place in the period were similar in nature to those disclosed in the Annual Report 2024.

Associate and joint ventures

The following transactions with related parties are on an arm's length basis:

	30.06.25 \$million	31.12.24 \$million
Assets		
Derivative assets	9	5
Total assets	9	5
Liabilities		
Deposits	380	209
Derivative liabilities	3	4
Total liabilities	383	213
Loan commitments and other guarantees ¹	108	14

1 The maximum loan commitments and other guarantees during the period were \$108 million (31 December 2024: \$14 million)

27. Post balance sheet events

A share buyback for up to a maximum consideration of \$1.3 billion has been declared by the directors after 30 June 2025. This will reduce the number of ordinary shares in issue by cancelling the repurchased shares.

The Board has recommended an interim ordinary dividend for the half year 2025 of 12.3 cents a share or \$288 million.

On 26 July 2025, Standard Chartered PLC redeemed its \$1.0 billion 6.00% Resetting Perpetual Subordinated Contingent Convertible Securities in full at 100 percent. of their principal amount together with any accrued interest.

28. Corporate governance

The directors confirm that, throughout the period, the Company has complied with the code provisions set out in the Corporate Governance Code contained in Appendix C1 of the Hong Kong Listing Rules. The directors also confirm that the announcement of these results has been reviewed by the Company's Audit Committee. The Company confirms that it has adopted a code of conduct regarding securities transactions by directors on terms no less exacting than the required standard set out in Appendix C3 of the Hong Kong Listing Rules and that, having made specific enquiry of all directors, the directors of the Company have complied with the required standards of the adopted code of conduct throughout the period. Details of the Group's corporate governance arrangements are set out in the Directors' Report within the 2024 Annual Report.

As previously announced, the following changes to the composition of the Board have taken place since 31 December 2024.

On 1 January 2025, Diane Jurgens and Jackie Hunt joined the Board Risk Committee, David Tang stepped down from the Board Risk Committee, and David and Jackie joined the Remuneration Committee.

On 8 May 2025, Maria Ramos commenced her role as Group Chair and Chair of the Governance and Nomination Committee, with José Viñals stepping down from the Board. Consequently, Maria stepped down as Senior Independent Director, Chair of the Board Risk Committee and as a member of the Audit and Remuneration Committees. Maria has a contract for services with the Company and will receive a fee of £1,293,000 per annum for her services as Group Chair with effect from 8 May 2025.

With effect from the same date, Phil Rivett, was appointed Chair of the Board Risk Committee, subject to regulatory approval, and assumed the role immediately on an interim basis. He was also appointed as Senior Independent Director and succeeds Maria in both roles. Jackie was appointed as Chair of the Audit Committee, subject to regulatory approval. Phil remains Chair of the Audit Committee ahead of Jackie receiving regulatory approval to assume that role. Jackie was also appointed to the Governance and Nomination Committee.

In compliance with Rule 13.51B(1) of the Hong Kong Listing Rules, the Company confirms that, effective 30 April 2025, Bill Winters was appointed to the board of Stripe Inc as a non-executive director after retiring as a non-executive director of Novartis International AG on 6 March 2025. Maria Ramos retired as a non-executive director on the board of Compagnie Financière Richemont SA on 31 March 2025. As announced on 26 February 2025, Robin Lawther will join the Board of Intermediate Capital Group plc as a non-executive director on 1 November 2025.

Biographies for each of the directors and a list of the committees' membership can be found at www.sc.com/ourpeople.

29. Statutory accounts

The information in this Half Year Report is unaudited and does not constitute statutory accounts within the meaning of section 434 of the Companies Act 2006. This document was approved by the Board on 31 July 2025. The statutory accounts for the year ended 31 December 2024 have been audited and delivered to the Registrar of Companies in England and Wales. The report of the auditors was (i) unqualified, (ii) did not include a reference to any matters to which the auditors drew attention by way of emphasis without qualifying their report, and (iii) did not contain a statement under sections 498(2) and 498(3) of the Companies Act 2006.

30. Cash flow statement**Adjustment for non-cash items and other adjustments included within income statement**

	30.06.25 \$million	30.06.24 \$million
Amortisation of discounts and premiums of investment securities	(700)	249
Interest expense on subordinated liabilities	302	394
Interest expense on senior debt securities in issue	1,216	1,291
Pension costs for defined benefit schemes	30	27
Share-based payment costs	206	172
Impairment losses on loans and advances and other credit risk provisions	336	240
Other impairment	19	147
Gain on disposal of property, plant and equipment	(6)	(13)
(Gains)/loss on disposal of FVOCI and Actively Managed Certificate financial assets	(2)	86
(Gains)/loss on disposal of business ¹	(242)	169
Depreciation and amortisation	544	516
Fair value changes taken to income statement	(1,085)	(1,034)
Foreign currency revaluation	207	(110)
Profit from associates and joint ventures	(79)	(144)
Movement in fair value hedges on FVOCI assets ¹	(5)	(191)
Other non-cash items ¹	(52)	(69)
Total	689	1,730

1 (Gains)/loss on disposal of business and Movement in fair value hedges on FVOCI assets previously reported within Other non-cash items have been re-presented as separate items

Change in operating assets

	30.06.25 \$million	30.06.24 \$million
Net decrease in derivative financial instruments	18,128	1,370
Net increase in debt securities, treasury bills and equity shares held at fair value through profit or loss	(13,673)	(25,183)
Net increase in loans and advances to banks and customers	(6,856)	(9,614)
Net decrease/(increase) in prepayments and accrued income	189	(227)
Net increase in other assets	(26,081)	(7,928)
Total	(28,293)	(41,582)

Change in operating liabilities

	30.06.25 \$million	30.06.24 \$million
Net decrease in derivative financial instruments	(13,117)	(5,059)
Net increase in deposits from banks, customer accounts, debt securities in issue, Hong Kong notes in circulation and short positions	62,397	17,512
Net decrease in accruals and deferred income	(751)	(380)
Net increase in other liabilities	1,651	8,393
Total	50,180	20,466

30. Cash flow statement continued

Changes in financing activities – subordinated and senior debts

	30.06.25 \$million	30.06.24 \$million
Subordinated debt (including accrued interest):		
Opening balance	10,536	12,216
Interest paid	(247)	(252)
Repayment	(2,175)	(1,000)
Foreign exchange movements	365	(91)
Fair value hedge adjustments	202	(92)
Accrued interest and others	221	244
Closing balance	8,902	11,025
Senior debt (including accrued interest):		
Opening balance	40,576	41,350
Proceeds from the issue	7,953	7,698
Interest paid	(1,678)	(548)
Repayment	(7,040)	(7,191)
Foreign exchange movements	914	(292)
Fair value hedge adjustments	275	(92)
Accrued interest and others	1,617	1,612
Closing balance	42,617	42,537

Senior debt is presented as part of debt securities in issue in the condensed consolidated interim balance sheet.

Other supplementary information

Supplementary financial information

Insured and uninsured deposits

The Group operates and provides services to customers across many countries and insured deposit is determined on the basis of limits enacted within local regulations.

	30.06.25					31.12.24				
	Insured deposits		Uninsured deposits		Total \$million	Insured deposits		Uninsured deposits		Total \$million
	Bank deposits \$million	Customer accounts \$million	Bank deposits \$million	Customer accounts \$million		Bank deposits \$million	Customer accounts \$million	Bank deposits \$million	Customer accounts \$million	
Current accounts	10	18,339	25,043	168,286	211,678	8	15,596	19,844	152,101	187,549
Savings deposits	–	34,549	–	98,419	132,968	–	31,977	–	86,579	118,556
Time deposits	29	32,486	7,229	189,415	229,159	–	28,417	6,717	170,752	205,886
Other deposits	–	112	9,978	40,526	50,616	–	104	9,393	37,737	47,234
Total	39	85,486	42,250	496,646	624,421	8	76,094	35,954	447,169	559,225

UK and non-UK deposits

The following table summarises the split of Bank and Customer deposits into UK and Non-UK deposits for respective account lines based on the domicile or residence of the clients.

	30.06.25					31.12.24				
	UK deposits		Non-UK deposits		Total \$million	UK deposits		Non-UK deposits		Total \$million
	Bank deposits \$million	Customer accounts \$million	Bank deposits \$million	Customer accounts \$million		Bank deposits \$million	Customer accounts \$million	Bank deposits \$million	Customer accounts \$million	
Current accounts	554	8,348	24,499	178,277	211,678	544	7,734	19,308	159,963	187,549
Savings deposits	–	301	–	132,667	132,968	–	145	–	118,411	118,556
Time deposits	516	8,650	6,742	213,251	229,159	315	7,731	6,402	191,438	205,886
Other deposits	2,262	11,437	7,716	29,201	50,616	2,342	12,744	7,051	25,097	47,234
Total	3,332	28,736	38,957	553,396	624,421	3,201	28,354	32,761	494,909	559,225

Contractual maturity of Loans, Investment securities and Deposits

	30.06.25						
	Loans and advances to banks \$million	Loans and advances to customers \$million	Investment securities – treasury and other eligible bills \$million	Investment securities – Debt securities \$million	Investment securities – Equity shares \$million	Bank deposits \$million	Customer accounts \$million
One year or less	64,441	178,323	52,942	46,771	–	35,416	520,025
Between one and five years	13,108	71,408	19	86,009	–	6,870	58,782
Between five and ten years	1,645	22,390	–	27,935	–	2	1,487
Between ten years and fifteen years	59	13,369	–	5,450	–	–	1,216
More than fifteen years and undated	91	65,128	–	31,720	8,420	–	623
Total	79,344	350,618	52,961	197,885	8,420	42,288	582,133
Total amortised cost and FVOCI exposures	42,386	286,731					
Of which: Fixed interest rate exposures	35,638	151,270					
Of which: Floating interest rate exposures	6,748	135,461					

31.12.24

	Loans and advances to banks \$million	Loans and advances to customers \$million	Investment securities – treasury and other eligible bills \$million	Investment securities – Debt securities \$million	Investment securities – Equity shares \$million	Bank deposits \$million	Customer accounts \$million
One year or less	66,448	181,863	41,966	47,959	–	29,678	463,566
Between one and five years	12,122	63,006	41	74,197	–	6,281	57,062
Between five and ten years	1,680	21,139	–	23,319	–	3	849
Between ten years and fifteen years	71	13,236	–	5,876	–	–	1,217
More than fifteen years and undated	239	60,313	–	26,743	6,480	–	569
Total	80,560	339,557	42,007	178,094	6,480	35,962	523,263
Total amortised cost and FVOCI exposures	43,593	281,032					
Of which: Fixed interest rate exposures	35,383	153,575					
Of which: Floating interest rate exposures	8,210	127,457					

Maturity and yield of debt securities, additional tier one and other eligible bills held at amortised cost

	One year or less		Between one and five years		Between five and ten years		More than ten years		Total	
	\$million	Yield %	\$million	Yield %	\$million	Yield %	\$million	Yield %	\$million	Yield %
Central and other government agencies										
– US	2,096	1.42	9,055	1.91	5,800	1.73	4,267	2.62	21,218	1.95
– UK	77	0.50	618	2.06	49	0.88	–	–	744	1.82
– Other	4,719	2.63	9,457	2.69	3,350	3.04	36	6.77	17,562	2.75
Other debt securities	1,420	6.90	2,376	6.09	6,460	4.83	5,430	5.14	15,686	5.32
At 30 June 2025	8,312	3.03	21,506	2.72	15,659	3.28	9,733	4.04	55,210	3.16

	One year or less		Between one and five years		Between five and ten years		More than ten years		Total	
	\$million	Yield %	\$million	Yield %	\$million	Yield %	\$million	Yield %	\$million	Yield %
Central and other government agencies										
– US	1,864	1.53	9,607	1.98	5,187	1.88	4,353	2.76	21,011	2.08
– UK	192	1.70	684	2.07	44	0.88	–	–	920	1.93
– Other	3,081	3.20	11,454	3.39	2,932	3.93	25	7.55	17,492	3.46
Other debt securities	1,687	6.21	2,676	6.30	4,620	4.86	6,731	5.41	15,714	5.49
At 31 December 2024	6,824	3.45	24,421	3.12	12,783	3.42	11,109	4.38	55,137	3.48

The maturity distributions are presented in the above table on the basis of contractual maturity dates. The weighted average yield for each range of maturities is calculated by dividing the annualised interest income for the year by the book amount of debt securities at that date.

Average balance sheets and yields

Average balance sheets and yields

For the purposes of calculating net interest margin, the following adjustments are made:

- reported net interest income is adjusted to remove interest expense on amortised cost liabilities used to provide funding to the Global Markets business
- financial instruments measured at fair value through profit or loss are classified as non-interest earning
- premiums on financial guarantees purchased to manage interest-earning assets are treated as interest expense. In the Group's view, this results in a net interest margin that is more reflective of banking book performance.

The following tables set out the average balances and yields for the Group's assets and liabilities for the periods ended 30 June 2025 and 30 June 2024 under the revised definition of net interest margin. For the purpose of these tables, average balances have been determined on the basis of daily balances, except for certain categories, for which balances have been determined less frequently. The Group does not believe that the information presented in these tables would be significantly different had such balances been determined on a daily basis.

Average assets

	6 months ended 30.06.25				
	Average non-interest-earning balance \$million	Average interest-earning balance \$million	Interest income \$million	Gross yield interest-earning balance %	Gross yield total balance %
Cash and balances at central banks	10,239	57,677	1,036	3.62	3.08
Gross loans and advances to banks	44,580	46,672	1,109	4.79	2.45
Gross loans and advances to customers	70,108	288,614	7,276	5.08	4.09
Impairment provisions against loans and advances to banks and customers	–	(5,300)	–	–	–
Investment securities – treasury and other eligible bills	22,343	27,494	621	4.55	2.51
Investment securities – debt securities	70,219	126,228	2,443	3.90	2.51
Investment securities – equity shares	6,817	–	–	–	–
Property, plant and equipment and intangible assets	6,239	–	–	–	–
Prepayments, accrued income and other assets	140,721	–	–	–	–
Investment associates and joint ventures	1,065	–	–	–	–
Total average assets	372,331	541,385	12,485	4.65	2.76
Adjustment for trading book funding cost and others			256		
Total average assets	372,331	541,385	12,741	4.75	2.81

	6 months ended 30.06.24				
	Average non-interest-earning balance \$million	Average interest-earning balance \$million	Interest income \$million	Gross yield interest-earning balance %	Gross yield total balance %
Cash and balances at central banks	10,244	59,865	1,360	4.57	3.90
Gross loans and advances to banks	39,425	41,801	1,052	5.06	2.60
Gross loans and advances to customers	56,445	285,940	8,259	5.81	4.85
Impairment provisions against loans and advances to banks and customers	–	(5,501)	–	–	–
Investment securities – treasury and other eligible bills	13,364	28,990	807	5.60	3.83
Investment securities – debt securities	53,058	132,693	2,716	4.12	2.94
Investment securities – equity shares	4,545	–	–	–	–
Property, plant and equipment and intangible assets	6,263	–	–	–	–
Prepayments, accrued income and other assets	120,866	–	–	–	–
Investment associates and joint ventures	1,052	–	–	–	–
Total average assets	305,262	543,788	14,194	5.25	3.36
Adjustment for trading book funding cost and others			371		
Total average assets	305,262	543,788	14,565	5.39	3.45

Average liabilities

	6 months ended 30.06.25				
	Average non-interest bearing balance \$million	Average interest-bearing balance \$million	Interest expense \$million	Rate paid interest-bearing balance %	Rate paid total balance %
Deposits by banks	17,730	22,344	326	2.94	1.64
Customer accounts:					
Current accounts	42,054	137,384	1,945	2.85	2.19
Savings deposits	–	122,554	875	1.44	1.44
Time deposits	20,779	191,578	4,083	4.30	3.88
Other deposits	39,189	7,154	150	4.23	0.65
Debt securities in issue	12,153	71,832	1,727	4.85	4.15
Accruals, deferred income and other liabilities	166,756	1,303	33	5.11	0.04
Subordinated liabilities and other borrowed funds	–	9,907	302	6.15	6.15
Non-controlling interests	389	–	–	–	–
Shareholders' funds	50,610	–	–	–	–
	349,660	564,056	9,441	3.38	2.08
Adjustment for trading book funding cost and others			(2,199)		
Total average liabilities and shareholders' funds	349,660	564,056	7,242	2.59	1.60

	6 months ended 30.06.24				
	Average non-interest bearing balance \$million	Average interest-bearing balance \$million	Interest expense \$million	Rate paid interest-bearing balance %	Rate paid total balance %
Deposits by banks	15,374	21,300	441	4.16	2.42
Customer accounts:					
Current accounts	39,666	128,079	2,245	3.52	2.69
Savings deposits	0	113,627	1,204	2.13	2.13
Time deposits	19,131	186,811	4,642	5.00	4.53
Other deposits	36,403	11,734	299	5.12	1.25
Debt securities in issue	11,642	64,678	1,794	5.58	4.73
Accruals, deferred income and other liabilities	138,565	0	0	–	–
Subordinated liabilities and other borrowed funds	0	11,379	394	6.96	6.96
Non-controlling interests	389	0	0	–	–
Shareholders' funds	50,272	0	0	–	–
	311,442	537,608	11,019	4.12	2.61
Adjustment for trading book funding cost and others			(1,816)		
Total average liabilities and shareholders' funds	311,442	537,608	9,203	3.44	2.18

Other supplementary information continued
Supplementary financial information continued

Net interest margin

	6 months ended 30.06.25 \$million	6 months ended 30.06.24 \$million
Interest income (reported)	12,485	14,194
Adjustment for trading book funding cost and others ¹	256	371
Interest income adjusted for trading book funding cost and others	12,741	14,565
Average interest-earning assets	541,385	543,788
Gross yield (%)	4.75	5.39
Interest expense (reported)	9,441	11,019
Adjustment for trading book funding cost and others	(2,199)	(1,816)
Interest expense adjusted for trading book funding cost and others	7,242	9,203
Average interest-bearing liabilities	564,056	537,608
Rate paid (%)	2.59	3.44
Net yield (%)	2.16	1.95
Adjusted net interest income ¹	5,499	5,362
Net interest margin (%)	2.05	1.98

¹ Adjusted net interest income has been re-presented in line with the RNS on Re-Presentation of Financial Information issued on 2 April 2025 to reflect the reclassification of funding cost mismatches to non-net interest income (non NII). Adjusted NII is reported NII less trading book funding cost, treasury currency management activities, cash collateral and prime service

A. Our Fair Pay Charter

Our Fair Pay Charter brings all People Leaders and colleagues to a shared understanding of our fundamental principles around reward which are key considerations in our decision-making. The four focus areas in the Charter – Equal pay; Purpose-led; Competitive opportunities; Performance-driven – drive our remuneration policies and processes, ensuring equity and transparency are at the forefront of decision-making, and that sustainable high performance, delivered in line with our valued behaviours, is recognised and rewarded appropriately. Our 2024 Diversity, Equality and Inclusion Impact Report gives further detail on our Fair Pay Charter and is available on our Group website.

B. Group share plans

Discretionary share plans

The 2021 Standard Chartered Share Plan (the 2021 Plan) was approved by shareholders in May 2021 and is the Group's main share plan, replacing the 2011 Standard Chartered Share Plan (the 2011 Plan) for new awards from June 2021. It is used to deliver various types of share awards to employees and former employees of the Group, including directors and former executive directors:

Award type	Description and performance measures
Long-Term Incentive Plan (LTIP) awards	Long-Term Incentive Plan (LTIP) awards are granted with a vesting period of between three to seven years (with a further 12 month retention period post vesting), subject to performance measures which have previously included: • relative total shareholder return (TSR); • return on tangible equity (RoTE) (with a Common Equity Tier 1 (CET1) underpin); and • strategic measures (including targets set for sustainability linked to business strategy) Each measure is assessed independently over a three-year period. All LTIP awards have an individual conduct gateway requirement that results in the award lapsing if not met, and the outcome of LTIP awards granted from 2025 onwards are subject to a risk and control modifier.
Deferred shares	Used to deliver: • the deferred portion of year-end variable remuneration, in line with both market practice and regulatory requirements. These awards vest in instalments on anniversaries of the award date specified at the time of grant. This enables the Group to meet regulatory requirements relating to deferral levels, and is in line with market practice. • replacement buyout awards to new joiners who forfeit awards on leaving their previous employers. These vest in the quarter most closely following the date when the award would have vested at the previous employer. This enables the Group to meet regulatory requirements relating to buyouts, and is in line with market practice. Deferred share awards have various vesting periods and are not subject to any performance measures.

Under the 2021 Plan and 2011 Plan, no grant price is payable to receive an award. The remaining life of the 2021 Plan during which new awards can be made is six years. The 2011 Plan has expired and no further awards can be granted under this plan.

All employee share plans

The Standard Chartered 2023 Sharesave Plan was approved by shareholders in May 2023, replacing the Standard Chartered 2013 Sharesave Plan. Under the 2023 Sharesave Plan, employees may open a savings contract. Within a maturity period of six months after the third anniversary, employees may purchase ordinary shares in the Company at a discount of up to 20 per cent on the share price at the date of invitation. The vesting period of the Sharesave options is three years. There are no performance measures attached to options granted under the 2023 Sharesave Plan and no grant price is payable to receive an option.

In some countries in which the Group operates, it is not possible to deliver shares under the 2023 Sharesave Plan, typically due to securities laws and regulatory restrictions. In these countries, where possible, the Group offers an equivalent cash-based plan to its employees.

Valuation of share awards

Details of the valuation models used in determining the fair values of share awards granted under the Group's share plans are detailed in the Group's 2024 Annual Report.

Information on options and awards granted and available for grant under our share plans

As at 1 January 2025 and 30 June 2025, the share awards outstanding under our discretionary and Sharesave plans adopted by Standard Chartered PLC and its subsidiaries represented 5.1 per cent and 5.3 per cent of the issued ordinary share capital of Standard Chartered PLC respectively. Accordingly, the number of Standard Chartered PLC shares available to be granted under all discretionary and Sharesave plans at the beginning and the end of the period were 123,504,051 and 124,710,668 respectively.

The maximum number of Standard Chartered PLC shares that may be issued in respect of share options and awards granted under the discretionary and Sharesave plans during the period divided by the weighted average number of Standard Chartered PLC shares in issue at the end of the period is 0.7 per cent.

See page 359 of our Annual Report 2024 for details of plan limits.

Reconciliation of share award movements for the year to 30th June 2025

	LTIP ¹	Deferred/ Buy-out awards ¹	Sharesave ⁵	Weighted average Sharesave exercise price (£)
Outstanding on 1 January 2025	9,640,693	51,693,726	20,565,111	5.48
Granted ^{2,3,4}	2,159,737	15,012,117	–	–
Lapsed ⁶	(324,419)	(286,441)	(568,281)	5.61
Vested/Exercised	(1,272,072)	(19,184,061)	(1,138,037)	3.77
Outstanding on 30 June 2025	10,203,939	47,235,341	18,858,793	5.57
Total number of securities available for issue under the plan	10,203,939	47,235,341	18,858,793	5.57
Percentage of the issued shares this represents as of 30 June 2025	0.44	2.03	0.81	
Exercisable as of 30 June 2025	–	102,277	60,887	5.18
Range of exercise prices (£)	–	–	3.67 – 6.10	
Intrinsic value of vested but not exercised options (\$ million)	0.00	1.69	0.58	
Weighted average contractual remaining life (years)	7.65	8.42	2.20	
Weighted average share price for awards exercised during the period (£)	11.78	11.54	11.17	

1 Granted under the 2021 Plan and 2011 Plan. Employees do not contribute to the cost of these awards

2 2,159,737 (LTIP) granted on 12 May 2025. The closing price of the shares immediately before the date on which the awards were granted was £10.675

3 14,537,101 (Deferred shares) granted on 14 March 2025. The closing price of the shares immediately before the date on which the awards were granted was £11.58. 141,397 (Deferred shares) notional dividend uplift on 27 March 2025. 333,619 (Deferred shares) granted on 12 May 2025. The closing price of the shares immediately before the date on which the awards were granted was £10.675

4 No discretionary awards (LTIP or deferred/buy-out awards) have been granted in the form of options since June 2015. For historic awards granted as options and exercised in the period to 30 June 2025, the exercise price of deferred/ Buy-out shares options was nil

5 All Sharesave awards are in the form of options. The exercise price of Sharesave options exercised was £ 6.10 for options granted in 2024, £ 5.88 for options granted in 2023, £4.23 for options granted in 2022 and £3.67 for options granted in 2021

6 No options or share awards were cancelled in the period

C. Group Chair and independent non-executive directors' interests in ordinary shares at 30 June 2025^{1,2}

	Shares beneficially held as of 31 December 2024	Shares beneficially held as of 30 June 2025
Chair		
M Ramos ³	2,000	2,000
Independent non-executive directors		
S M Apte	2,000	2,000
J Hunt	2,000	2,000
D E Jurgens	8,888	8,888
R A Lawther, CBE	2,000	2,000
L Leong	13,369	13,369
P G Rivett	2,128	2,128
D Tang	2,000	2,000
J Viñals ⁴	45,000	–
L Y Yueh, CBE	2,000	2,000

1 Independent non-executive directors are required to hold shares with a nominal value of \$1,000. All the directors have met this requirement

2 The beneficial interests of directors and their related parties in the ordinary shares of the Company are set out above. The directors do not have any non-beneficial interests in the Company's shares. None of the directors used ordinary shares as collateral for any loans. No director had either i) an interest in the Company's preference shares or loan stocks of any subsidiary or associated undertaking of the Group or ii) any corporate interests in the Company's ordinary shares. All figures as of 30 June 2025

3 Maria Ramos was appointed as Group Chair on 8 May 2025

4 J Viñals retired from the Board on 8 May 2025

D. Executive directors' interests in ordinary shares at 30 June 2025

Scheme interests awarded, exercised and lapsed during the period

Employees, including executive directors, are not permitted to engage in any personal investment strategies with regards to their Company shares, including hedging against the share price of Company shares. The main features of the outstanding shares and long-term incentive plan (LTIP) awards are summarised below:

LTIP award ¹	Performance measures	Performance outcome
2018–2020	33% Return on equity (RoE) 33% Relative TSR 33% Strategic	26%
2019–2021	33% RoTE	23%
2020–2022	33% Relative TSR 33% Strategic	36.8%
2021–2023	30% RoTE	57%
2022–2024	30% Relative TSR	88%
2023–2025	15% Sustainability 25% Strategic	To be assessed at the end of 2025
2024–2026	30% RoTE 30% Relative TSR 25% Environmental, Social and Governance (ESG) 15% Other strategic	To be assessed at the end of 2026
2025–2027	40% RoTE 40% Relative TSR 20% Sustainability	To be assessed at the end of 2027

¹ LTIP awards are delivered in five equal tranches

Other supplementary information continued
Additional items continued

The following table shows the changes in share interests.

Changes in interests from 1 January to 30 June 2025									
	Date of grant	Share award price (£)	At 1 January	Awarded ^{1,2}	Vested ³	Lapsed	At 30 June	Performance period end	Vesting date
Bill Winters ¹									
2018–2020 LTIP	9 Mar 2018	7.782	28,179	–	28,179	–	–	9 Mar 2021	9 Mar 2025
2019–2021 LTIP	11 Mar 2019	6.105	30,604	–	30,604	–	–	11 Mar 2022	11 Mar 2025
			30,605	–	–	–	30,605		11 Mar 2026
2020–2022 LTIP	9 Mar 2020	5.196	59,282	–	59,282	–	–	9 Mar 2023	9 Mar 2025
			59,282	–	–	–	59,282		9 Mar 2026
			59,282	–	–	–	59,282		9 Mar 2027
2021–2023 LTIP	15 Mar 2021	4.901	85,853	–	85,853	–		15 Mar 2024	15 Mar 2025
			85,853	–	–	–	85,853		15 Mar 2026
			85,853	–	–	–	85,853		15 Mar 2027
			85,853	–	–	–	85,853		15 Mar 2028
2022–2024 LTIP	14 Mar 2022	4.876	151,386	–	133,219	18,167		14 Mar 2025	14 Mar 2025
			151,386	–	–	18,167	133,219		14 Mar 2026
			151,386	–	–	18,167	133,219		14 Mar 2027
			151,386	–	–	18,167	133,219		14 Mar 2028
			151,388	–	–	18,167	133,221		14 Mar 2029
2023–2025 LTIP	13 Mar 2023	7.398	101,209	–	–	–	101,209	13 Mar 2026	13 Mar 2026
			101,209	–	–	–	101,209		13 Mar 2027
			101,209	–	–	–	101,209		13 Mar 2028
			101,209	–	–	–	101,209		13 Mar 2029
			101,209	–	–	–	101,209		13 Mar 2030
2024–2026 LTIP	12 Mar 2024	6.600	123,275	–	–	–	123,275	12 Mar 2027	12 Mar 2027
			123,275	–	–	–	123,275		12 Mar 2028
			123,275	–	–	–	123,275		12 Mar 2029
			123,275	–	–	–	123,275		12 Mar 2030
			123,278	–	–	–	123,278		12 Mar 2031
2025–2027 LTIP	12 May 2025	10.675	–	163,242	–	–	163,242	31 Dec 2027	12 May 2028
			–	163,242	–	–	163,242		12 May 2029
			–	163,242	–	–	163,242		12 May 2030
			–	163,242	–	–	163,242		12 May 2031
			–	163,245	–	–	163,245		12 May 2032
Diego De Giorgi ¹									
2024–2026 LTIP	12 Mar 2024	6.600	80,812	–	–	–	80,812	12 Mar 2027	12 Mar 2027
			80,812	–	–	–	80,812		12 Mar 2028
			80,812	–	–	–	80,812		12 Mar 2029
			80,812	–	–	–	80,812		12 Mar 2030
			80,814	–	–	–	80,814		12 Mar 2031
2025–2027 LTIP	12 May 2025	10.675	–	90,394	–	–	90,394	31 Dec 2027	12 May 2028
			–	90,394	–	–	90,394		12 May 2029
			–	90,394	–	–	90,394		12 May 2030
			–	90,394	–	–	90,394		12 May 2031
			–	90,395	–	–	90,395		12 May 2032

- The unvested LTIP awards held by Bill and Diego are conditional rights. They do not have to pay towards these awards. Under these awards, shares are delivered on vesting or as soon as practicable thereafter
- For the 2025–2027 LTIP awards granted to Bill and Diego on 12 May 2025, the values granted were: Bill: £7.4 million; Diego: £4.1 million. The number of shares awarded in respect of the LTIP took into account the lack of dividend equivalents (calculated by reference to market consensus dividend yield) such that the overall value of the award was maintained. Performance measures apply to 2025–2027 LTIP awards. The closing price on the day before grant was £10.675
- Shares (before tax) were delivered to Bill from the vesting element of LTIP awards. The closing share price on the day before the shares were delivered were as follows:
 - 10 March 2025: Shares in respect of the 2018–2020 LTIP and 2020–2022 LTIP. Previous day closing share price: £12.150
 - 11 March 2025: Shares in respect of the 2019–2021 LTIP. Previous day closing share price: £11.705
 - 17 March 2025: Shares in respect of the 2021–2023 LTIP. Previous day closing share price: £11.765
 - 19 March 2025: Shares in respect of the 2022–2024 LTIP. Previous day closing share price: £12.060
- The weighted average closing price for Bill's awards that vested during the period was £11.976

At 30 June 2025, none of the directors had registered an interest or short position in the shares, underlying shares or debentures of the Company or any of its associated corporations that was required to be recorded pursuant to section 352 of the Securities and Futures Ordinance, or as otherwise notified to the Company and the Hong Kong Stock Exchange pursuant to the Model Code for Securities Transactions by Directors of Listed Issuers.

Shareholdings and share interests

The following table summarises the executive directors' shareholdings and share interests.

	Shares held beneficially ^{1,2,3}	Unvested share awards not subject to performance measures (net of tax) ^{4,5}	Total shares counting towards shareholding requirement	Shareholding requirement	Salary ³	Value of shares counting towards shareholding requirement as a percentage of salary ¹	Unvested share awards subject to performance measures (before tax)
Bill Winters	3,180,013	497,989	3,678,002	500% salary	£1,500,000	2,960%	1,938,636
Diego De Giorgi	100,908	–	100,908	400% salary	£1,100,000	111%	856,033

- 1 All figures are as of 30 June 2025 unless stated otherwise. The closing share price on 30 June 2025 was £12.07. No director had either: (i) an interest in Standard Chartered PLC's preference shares or loan stocks of any subsidiary or associated undertaking of the Group; or (ii) any corporate interests in Standard Chartered PLC's ordinary shares
- 2 The beneficial interests of directors and connected persons in the ordinary shares of the Company are set out above. The executive directors do not have any non-beneficial interest in the Company's shares. Neither of the executive directors used ordinary shares as collateral for any loans
- 3 The shares held beneficially include shares awarded to deliver the share element of executive directors' salary prior to 1 April 2025, when part of salary was delivered in shares. Since this date, all salary is delivered in cash
- 4 88 per cent of the 2022–2024 LTIP award is no longer subject to performance measures due to achievement against 2022–2024 RoTE, relative TSR and strategic measures
- 5 As Bill and Diego are UK taxpayers, 47 per cent tax is assumed to apply to other unvested share awards (marginal combined PAYE rate of income tax at 45 per cent and employee National Insurance contributions at 2 per cent) – rates may change

E. Share price information

The middle market price of an ordinary share at the close of business on 30 June 2025 was 1,207.0 pence. The share price range during the first half of 2025 was 878.8 pence to 1,269.0 pence (based on the closing middle market prices).

F. Free float percentage

At 30 June 2025, the free float percentage of voting rights attached to all of the Company's listed ordinary and preference shares in issue was approximately 99.87 per cent.

For information on the outstanding Fixed Rate Resetting Perpetual Subordinated Contingent Convertible AT1 securities issued by Standard Chartered PLC and the rights attached to them see page 136 and further information on our website at www.sc.com/en/investors/credit-ratings-fixed-income/capital-securities-in-issue/.

G. Substantial shareholders

The Company and its shareholders have been granted partial exemption from the disclosure requirements under Part XV of the Securities and Futures Ordinance (SFO). As a result of this exemption, shareholders no longer have an obligation under Part XV of the SFO (other than Divisions 5, 11 and 12 thereof) to notify the Company of substantial shareholding interests, and the Company is no longer required to maintain a register of interests of substantial shareholders under section 336 of the SFO. The Company is, however, required to file with The Stock Exchange of Hong Kong Limited any disclosure of interests made in the UK.

H. Code for Financial Reporting Disclosures

The UK Finance Code for Financial Reporting Disclosure (the Code) sets out five disclosure principles together with supporting guidance. The principles are that UK banks will: provide high-quality, meaningful and decision-useful disclosures; review and enhance their financial instrument disclosures for key areas of interest; keep under review and commit to ongoing re-evaluation and enhancement of financial instrument disclosures for key areas of interest, acknowledging the importance of good practice recommendations and similar guidance issued from time to time by relevant regulators and standard-setters and assessing the applicability and relevance of such guidance to disclosures; seek to enhance the comparability of financial statement disclosures across the UK banking sector; and clearly differentiate in their annual reports between information that is audited and information that is unaudited.

The Group's interim financial statements for the six months ended 30 June 2025 have been prepared in accordance with the Code's principles.

I. Employees

The details regarding our remuneration policies, bonus schemes and training schemes have not materially changed from our 2024 Annual Report and Accounts and we will be updating these in the 2025 Annual Report.

Employee headcount

The following table summarises the number of employees within the Group:

	Business ¹	Support services ²	Total ^{3,4}
At 30 June 2025	29,613	51,082	80,695
At 31 December 2024	29,563	51,582	81,145

1 Business is defined as employees directly under the remit of the businesses

2 Support services include employees who support businesses' operations or investments where costs are fully recharged to the businesses. Decrease in support services H1 in 2025 is mainly due to decrease in technology and operations support resources as tighter hiring controls are in place and we continue to review our workforce composition and skills

3 Excludes 498 employees (headcount) from Digital Ventures entities (Appro, Audax, Cashenable/Labamu, Furaha, Letsbloom, Libeara, MyZoi, Qatalyst, Solv Ghana, Solv Kenya, TASConnect, Zodia Custody, Zodia Markets)

4 Includes employees operating in discontinued/restructured businesses

Shareholder information

Dividend and interest payment dates

Ordinary shares		2025 interim dividend (cash only)
Results and dividend announced		31 July 2025
Ex-dividend date		7 (UK) 6 (HK) August 2025
Record date		8 August 2025
Last date to amend currency election instructions for cash dividend*		5 September 2025
Dividend payment date		30 September 2025

* in either US dollars, sterling, or Hong Kong dollars

2025 final dividend (provisional only)	
Results and dividend announcement date	24 February 2026

Preference shares		Second half-yearly dividend
7 ³ / ₈ per cent non-cumulative irredeemable preference shares of £1 each		1 October 2025
8 ¹ / ₄ per cent non-cumulative irredeemable preference shares of £1 each		1 October 2025
6.409 per cent non-cumulative preference shares of \$5 each		30 July 2025 and 30 October 2025
7.014 per cent non-cumulative preference shares of \$5 each		30 July 2025

Further details regarding dividends can be found on our website at www.sc.com/shareholders.

ShareCare

ShareCare is available to shareholders on the Company's UK register who have a UK address and bank account. It allows you to hold your Standard Chartered PLC shares in a nominee account. Your shares will be held in electronic form so you will no longer have to worry about keeping your share certificates safe. If you join ShareCare, you will still be invited to attend the Company's AGM and you will receive any dividend paid at the same time as everyone else. ShareCare is free to join and there are no annual fees to pay. If you would like to receive more information, please visit our website at www.sc.com/sharecare or contact the shareholder helpline on 0370 702 0138.

Donating shares to ShareGift

Shareholders who have a small number of shares often find it uneconomical to sell them. An alternative is to consider donating them to the charity ShareGift (registered charity 1052686), which collects donations of unwanted shares until there are enough to sell and uses the proceeds to support UK charities. There is no implication for capital gains tax (no gain or loss) when you donate shares to charity, and UK taxpayers may be able to claim income tax relief on the value of their donation. Further information can be obtained from the Company's registrars or from ShareGift on 020 7930 3737 or from www.sharegift.org.

Bankers' Automated Clearing System (BACS)

Dividends can be paid straight into your bank or building society account. Please register online at www.investorcentre.co.uk or contact our registrar for a mandate form.

Registrars and shareholder enquiries

If you have any enquiries relating to your shareholding and you hold your shares on the UK register, please contact our registrar at www.investorcentre.co.uk/contactus. Alternatively, please contact Computershare Investor Services PLC, The Pavilions, Bridgwater Road, Bristol, BS99 6ZZ or call the shareholder helpline number on 0370 702 0138.

If you hold your shares on the Hong Kong branch register and you have enquiries, please contact Computershare Hong Kong Investor Services Limited, 17M Floor, Hopewell Centre, 183 Queen's Road East, Wan Chai, Hong Kong. You can check your shareholding at: computershare.com/hk/investors.

Chinese translation

If you would like a Chinese version of this Half Year Report, please contact: Computershare Hong Kong Investor Services Limited at 17M Floor, Hopewell Centre, 183 Queen's Road East, Wan Chai, Hong Kong.

本半年報告之中文譯本可向香港中央證券登記有限公司索取。地址：香港灣仔皇后大道東183號合和中心17M樓。

Shareholders on the Hong Kong branch register who have asked to receive corporate communications in either Chinese or English can change this election by contacting Computershare. If there is a dispute between any translation and the English version of this Half Year Report, the English text shall prevail.

Electronic communications

If you hold your shares on the UK register and in future you would like to receive the Half Year Report electronically rather than by post, please register online at: investorcentre.co.uk. Click on 'register now' and follow the instructions. You will need to have your shareholder or ShareCare reference number to hand. You can find this on your share certificate or ShareCare statement. Once you have registered and confirmed your email communication preference, you will receive future notifications via email enabling you to submit your proxy vote online. In addition, as a member of Investor Centre, you will be able to manage your shareholding online and change your bank mandate or address information.

Important notices

Forward-looking statements

The information included in this document may contain 'forward-looking statements' based upon current expectations or beliefs as well as statements formulated with assumptions about future events. Forward-looking statements include, without limitation, projections, estimates, commitments, plans, approaches, ambitions and targets (including, without limitation, ESG commitments, ambitions and targets). Forward-looking statements often use words such as 'may', 'could', 'will', 'expect', 'intend', 'estimate', 'anticipate', 'believe', 'plan', 'seek', 'aim', 'continue' or other words of similar meaning to any of the foregoing. Forward-looking statements may also (or additionally) be identified by the fact that they do not relate only to historical or current facts.

By their very nature, forward-looking statements are subject to known and unknown risks and uncertainties and other factors that could cause actual results, and the Group's plans and objectives, to differ materially from those expressed or implied in the forward-looking statements. Readers should not place reliance on, and are cautioned about relying on, any forward-looking statements.

There are several factors which could cause the Group's actual results and its plans and objectives to differ materially from those expressed or implied in forward-looking statements. The factors include (but are not limited to): changes in global, political, economic, business, competitive and market forces or conditions, or in future exchange and interest rates; changes in environmental, geopolitical, social or physical risks; legal, regulatory and policy developments, including regulatory measures addressing climate change and broader sustainability-related issues; the development of standards and interpretations, including evolving requirements and practices in ESG reporting; the ability of the Group, together with governments and other stakeholders to measure, manage, and mitigate the impacts of climate change and broader sustainability-related issues effectively; risks arising out of health crises and pandemics; risks of cyber attacks, data, information or security breaches or technology failures involving the Group; changes in tax rates or policy; future business combinations or dispositions; and other factors specific to the Group, including those identified in Standard Chartered PLC's Annual Report and the financial statements of the Group. To the extent that any forward-looking statements contained in this document are based on past or current trends and/or activities of the Group, they should not be taken as a representation that such trends or activities will continue in the future.

No statement in this document is intended to be, nor should be interpreted as, a profit forecast or to imply that the earnings of the Group for the current year or future years will necessarily match or exceed the historical or published earnings of the Group. Each forward-looking statement speaks only as of the date that it is made. Except as required by any applicable laws or regulations, the Group expressly disclaims any obligation to revise or update any forward-looking statement contained within this document, regardless of whether those statements are affected as a result of new information, future events or otherwise.

Please refer to Standard Chartered PLC's Annual Report and the financial statements of the Group for a discussion of certain of the risks and factors that could adversely impact the Group's actual results, and cause its plans and objectives to differ materially from those expressed or implied in any forward-looking statements.

Non-IFRS performance measures and alternative performance measures

This document may contain: (a) financial measures and ratios not specifically defined under: (i) International Financial Reporting Standards (IFRS) (Accounting Standards) as adopted by the European Union; or (ii) UK-adopted International Accounting Standards (IAS); and/or (b) alternative performance measures as defined in the European Securities and Market Authority guidelines. Such measures may exclude certain items which management believes are not representative of the underlying performance of the business and which distort period-on-period comparison. These measures are not a substitute for IAS or IFRS measures and are based on a number of assumptions that are subject to uncertainties and change. Please refer to Standard Chartered PLC's Annual Report and the financial statements of the Group for further information, including reconciliations between the underlying and reported measures.

Financial instruments

Nothing in this document shall constitute, in any jurisdiction, an offer or solicitation to sell or purchase any securities or other financial instruments, nor shall it constitute a recommendation or advice in respect of any securities or other financial instruments or any other matter.

Caution regarding climate and environment-related information

Some of the climate and environment-related information in this document is subject to certain limitations, and therefore the reader should treat the information provided, as well as conclusions, projections and assumptions drawn from such information, with caution. The information may be limited due to a number of factors, which include (but are not limited to): a lack of reliable data; a lack of standardisation of data; and future uncertainty. The information includes externally sourced data that may not have been verified. Furthermore, some of the data, models and methodologies used to create the information is subject to adjustment which is beyond our control, and the information is subject to change without notice.

General

You are advised to exercise your own independent judgement (with the advice of your professional advisers as necessary) with respect to the risks and consequences of any matter contained in this document. The Group, its affiliates, directors, officers, employees or agents expressly disclaim any liability and responsibility for any decisions or actions which you may take and for any damage or losses you may suffer from your use of or reliance on the information contained in this document.

Glossary

Absolute financed emissions

A measurement of our attributed share of our clients' greenhouse gas emissions.

Additional Tier 1 capital (AT1)

Additional Tier 1 capital consists of instruments other than Common Equity Tier 1 that meet the Capital Requirements Regulation (as it forms part of UK domestic law) criteria for inclusion in Tier 1 capital.

Additional value adjustment (AVA)

See Prudent valuation adjustment.

Advanced Internal Rating Based (AIRB) approach

The AIRB approach under the Basel framework is used to calculate credit risk capital based on the Group's own estimates of prudential parameters.

Alternative performance measures (APM)

A financial measure of historical or future financial performance, financial position, or cash flows, other than a financial measure defined or specified in the applicable financial reporting framework.

Assets under management (AUM)

Total market value of assets such as deposits, securities and funds held by the Group on behalf of the clients.

Associate of South East Asian Nations (ASEAN)

Includes the Group's operations in Brunei, Indonesia, Malaysia, Philippines, Singapore, Thailand and Vietnam.

Basel III

The global regulatory standards on capital adequacy and liquidity developed by the Basel Committee on Banking Supervision (BCBS) in response to the financial crisis of 2007–2009. It was originally issued in December 2010 and finalised in December 2017. The standards have been in the process of being phased into UK policy since 2022.

Basel Committee on Banking Supervision (BCBS)

A forum on banking supervisory matters which develops global supervisory standards for the banking industry. Its members are officials from 45 central banks or prudential supervisors from 27 countries and territories.

Basic earnings per share (EPS)

Represents earnings divided by the basic weighted average number of shares.

Basis point (bps)

One hundredth of a per cent (0.01 per cent); 100 basis points is 1 per cent.

Capital-lite income

Income derived from products with low risk-weighted asset consumption or products which are non-funding in nature.

CRD or Capital Requirements Directive

A capital adequacy legislative package adopted by the Prudential Regulation Authority. CRD comprises the Capital Requirements Directive and the UK onshored Capital Requirements Regulation (CRR). The package implements the Basel III framework together with transitional arrangements for some of its requirements. CRD IV came into force on 1 January 2014. The EU CRR II and CRD V amending the existing package came into force in June 2019 with most changes starting to apply from 28 June 2021. Only those parts of the EU CRR II that applied on or before 31 December 2020, when the UK was a member of the EU, have been implemented. The PRA recently finalised the UK's version of the CRR II for implementation on 1 January 2022.

Capital resources

Sum of Tier 1 and Tier 2 capital after regulatory adjustments.

CGU or Cash-generating unit

The smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

Cash shortfall

The difference between the cash flows that are due in accordance with the contractual terms of the instrument and the cash flows that the Group expects to receive over the contractual life of the instrument.

Clawback

An amount an individual is required to pay back to the Group, which has to be returned to the Group under certain circumstances.

Commercial real estate

Includes office buildings, industrial property, medical centres, hotels, malls, retail stores, shopping centres, farm land, multi-family housing buildings, warehouses, garages, and industrial properties. Commercial real estate loans are those backed by a package of commercial real estate assets.

Common Equity Tier 1 capital (CET1)

Common Equity Tier 1 capital consists of the common shares issued by the Group and related share premium, retained earnings, accumulated other comprehensive income and other disclosed reserves, eligible non-controlling interests and regulatory adjustments required in the calculation of Common Equity Tier 1.

CET1 ratio

A measure of the Group's CET1 capital as a percentage of risk-weighted assets.

Contractual maturity

Contractual maturity refers to the final payment date of a loan or other financial instrument, at which point all the remaining outstanding principal and interest is due to be paid.

Countercyclical capital buffer

The countercyclical capital buffer (CCyB) is part of a set of macroprudential instruments, designed to help counter procyclicality in the financial system. CCyB as defined in the Basel III standard provides for an additional capital requirement of up to 2.5 per cent of risk-weighted assets in a given jurisdiction. The Bank of England's Financial Policy Committee has the power to set the CCyB rate for the United Kingdom. Each bank must calculate its 'institution-specific' CCyB rate, defined as the weighted average of the CCyB rates in effect across the jurisdictions in which it has credit exposures. The institution-specific CCyB rate is then applied to a bank's total risk-weighted assets.

Counterparty credit risk

The risk that a counterparty defaults before satisfying its obligations under a derivative, a securities financing transaction (SFT) or a similar contract.

Credit conversion factor (CCF)

An estimate of the amount the Group expects a customer to have drawn further on a facility limit at the point of default. This is either prescribed by CRR or modelled by the bank.

Credit default swaps (CDS)

A credit derivative is an arrangement whereby the credit risk of an asset (the reference asset) is transferred from the buyer to the seller of protection. A credit default swap is a contract where the protection seller receives premium or interest-related payments in return for contracting to make payments to the protection buyer upon a defined credit event. Credit events normally include bankruptcy, payment default on a reference asset or assets, or downgrades by a rating agency.

Credit institutions

An institution whose business is to receive deposits or other repayable funds from the public and to grant credits for its own account.

Credit risk mitigation

Credit risk mitigation is a process to mitigate potential credit losses from any given account, customer or portfolio by using a range of tools such as collateral, netting agreements, credit insurance, credit derivatives and guarantees.

Credit valuation adjustments (CVA)

An adjustment to the fair value of derivative contracts that reflects the possibility that the counterparty may default such that the Group would not receive the full market value of the contracts.

Customer accounts

Money deposited by all individuals and companies which are not credit institutions including securities sold under repurchase agreement (see repo/reverse repo). Such funds are recorded as liabilities in the Group's balance sheet under customer accounts.

Days past due

One or more days that interest and/or principal payments are overdue based on the contractual terms.

Debit valuation adjustment (DVA)

An adjustment to the fair value of derivative contracts that reflects the possibility that the Group may default and not pay the full market value of contracts.

Debt securities

Debt securities are assets on the Group's balance sheet and represent certificates of indebtedness of credit institutions, public bodies or other undertakings, excluding those issued by central banks.

Debt securities in issue

Debt securities in issue are transferable certificates of indebtedness of the Group to the bearer of the certificate. These are liabilities of the Group and include certificates of deposits.

Default

Financial assets in default represent those that are at least 90 days past due in respect of principal or interest and/or where the assets are otherwise considered to be unlikely to pay, including those that are credit-impaired.

Deferred tax asset (DTA)

Income taxes recoverable in future periods in respect of deductible temporary differences between the accounting and tax base of an asset or liability that will result in tax deductible amounts in future periods, the carry-forward of tax losses or the carry-forward of unused tax credits.

Deferred tax liability (DTL)

Income taxes payable in future periods in respect of taxable temporary differences between the accounting and tax base of an asset or liability that will result in taxable amounts in future periods.

Defined benefit obligation

The present value of expected future payments required to settle the obligations of a defined benefit scheme resulting from employee service.

Defined benefit scheme

Pension or other post-retirement benefit scheme other than a defined contribution scheme.

Defined contribution scheme

A pension or other post-retirement benefit scheme where the employer's obligation is limited to its contributions to the fund.

Delinquency

A debt or other financial obligation is considered to be in a state of delinquency when payments are overdue. Loans and advances are considered to be delinquent when consecutive payments are missed. Also known as arrears.

Deposits by banks

Deposits by banks comprise amounts owed to other domestic or foreign credit institutions by the Group including securities sold under repo.

Diluted earnings per share

Represents earnings divided by the weighted average number of shares that would have been outstanding assuming the conversion of all dilutive potential ordinary shares.

Dividend per share

Represents the entitlement of each shareholder in the share of the profits of the Company. Calculated in the lowest unit of currency in which the shares are quoted.

Early alert, purely and non-purely precautionary

A borrower's account which exhibits risks or potential weaknesses of a material nature requiring closer monitoring, supervision, or attention by management. Weaknesses in such a borrower's account, if left uncorrected, could result in deterioration of repayment prospects and the likelihood of being downgraded to credit grade 12 or worse. When an account is on early alert, it is classified as either purely precautionary or non-purely precautionary. A purely precautionary account is one that exhibits early alert characteristics, but these do not present any imminent credit concern. If the symptoms present an imminent credit concern, an account will be considered for classification as non-purely precautionary.

Effective tax rate

The tax on profit/(losses) on ordinary activities as a percentage of profit/(loss) on ordinary activities before taxation.

Encumbered assets

On-balance sheet assets pledged or used as collateral in respect of certain of the Group's liabilities.

ESG

Environmental, Social and Governance.

European Union

The European Union is a political and economic union of 27 member states that are located primarily in Europe.

Eurozone

Represents the 19 EU countries that have adopted the euro as their common currency.

Expected credit loss (ECL)

Represents the present value of expected cash shortfalls over the residual term of a financial asset, undrawn commitment or financial guarantee. This comprises ECL generated by the models, management judgements and individually assessed credit impairment provisions.

Expected loss (EL)

The Group measure of anticipated loss for exposures captured under an internal ratings-based credit risk approach for capital adequacy calculations. It is measured as the Group-modelled view of anticipated loss based on probability of default, loss given default and exposure at default, with a one-year time horizon.

Exposures

Credit exposures represent the amount lent to a customer, together with any undrawn commitments.

Exposure at default (EAD)

The estimation of the extent to which the Group may be exposed to a customer or counterparty in the event of, and at the time of, that counterparty's default. At default, the customer may not have drawn the loan fully or may already have repaid some of the principal, so that exposure is typically less than the approved loan limit.

External Credit Assessment Institution (ECAI)

External credit ratings are used to assign risk-weights under the standardised approach for sovereigns, corporates and institutions. The external ratings are from credit rating agencies that are registered or certified in accordance with the credit rating agencies regulation or from a central bank issuing credit ratings, which is exempt from the application of this regulation.

Financial Conduct Authority (FCA)

The Financial Conduct Authority regulates the conduct of financial firms and, for certain firms, prudential standards in the UK. It has a strategic objective to ensure that the relevant markets function well.

Forbearance

Forbearance takes place when a concession is made to the contractual terms of a loan in response to an obligor's financial difficulties. The Group classifies such modified loans as either 'Forborne – not impaired loans' or 'Loans subject to forbearance – impaired'. Once a loan is categorised as either of these, it will remain in one of these two categories until the loan matures or satisfies the 'curing' conditions described in Note 8 to the financial statements in the 2024 Annual Report.

Forborne – not impaired loans

Loans where the contractual terms have been modified due to financial difficulties of the borrower, but the loan is not considered to be impaired. See 'Forbearance'.

Funded/unfunded exposures

Exposures where the notional amount of the transaction is funded or unfunded. Represents exposures where a commitment to provide future funding is made but funds have been released/not released.

Funding valuation adjustment (FVA)

FVA reflects an adjustment to fair value in respect of derivative contracts that reflects the funding costs that the market participant would incorporate when determining an exit price.

G-SIB buffer

A CET1 capital buffer which results from designation as a G-SIB. The G-SIB buffer is between 1 per cent and 3.5 per cent, depending on the allocation to one of five buckets based on the annual scoring. In the UK, the G-SIB buffer is implemented via the CRD as Global Systemically Important Institutions (G-SII) buffer requirement.

Global Systemically Important Banks (G-SIBs)

Global banking financial institutions whose size, complexity and systemic interconnectedness mean that their distress or failure would cause significant disruption to the wider financial system and economic activity. The list of G-SIBs is assessed under a framework established by the Financial Stability Board (FSB) and the BCBS. In the UK, the G-SIB framework is implemented via the CRD and G-SIBs are referred to as Global Systemically Important Institutions (G-SIIs).

Green and Sustainable Product Framework

Sets out underlying eligible qualifying themes and activities that may be considered ESG. This has been developed with the support of external experts, and has been informed by industry and supervisory principles and standards such as the Green Bond Principles and EU Taxonomy for sustainable activities.

Interest Rate Risk

The risk of an adverse impact on the Group's income statement due to changes in interest rates.

Internal model approach

The approach used to calculate market risk capital and risk-weighted assets with an internal market risk model approved by the Prudential Regulation Authority under the terms of CRD/CRR.

Internal ratings-based approach (IRB)

Risk-weighting methodology in accordance with the Basel Capital Accord where capital requirements are based on a firm's own estimates of prudential parameters.

International Accounting Standard (IAS)

A standard that forms part of the International Financial Reporting Standards framework.

International Accounting Standards Board (IASB)

An independent standard-setting body responsible for the development and publication of IFRS, and approving interpretations of IFRS that are recommended by the IFRS Interpretations Committee (IFRIC).

International Financial Reporting Standards (IFRS)

A set of international accounting standards developed and issued by the International Accounting Standards Board, consisting of principles-based guidance contained within IFRS and IAS. All companies that have issued publicly traded securities in the EU are required to prepare annual and interim reports under IFRS and IAS that have been endorsed by the EU.

IFRIC

The IFRS Interpretations Committee supports the IASB in providing authoritative guidance on the accounting treatment of issues not specifically dealt with by existing IFRS and IAS.

Investment grade

A debt security, treasury bill or similar instrument with a credit rating measured by external agencies of AAA to BBB.

Leverage ratio

A ratio introduced under CRD IV that compares Tier 1 capital to total exposures, including certain exposures held off-balance sheet as adjusted by stipulated credit conversion factors. Intended to be a simple, non-risk-based backstop measure.

Liquidation portfolio

A portfolio of assets which is beyond our current risk appetite metrics and is held for liquidation.

Liquidity coverage ratio (LCR)

The ratio of the stock of high-quality liquid assets to expected net cash outflows over the following 30 days. High-quality liquid assets should be unencumbered, liquid in markets during a time of stress and, ideally, be central bank eligible.

Loan exposure

Loans and advances to customers reported on the balance sheet held at amortised cost or FVOCI, non-cancellable credit commitments and cancellable credit commitments for credit cards and overdraft facilities.

Loans and advances to banks

Drawn amounts loaned to credit institutions including securities bought under Reverse repo.

Loans and advances to customers

This represents drawn lending made under bilateral agreements with customers entered into in the normal course of business and is based on the legal form of the instrument.

Loans past due

Loans on which payments have been due for up to a maximum of 90 days including those on which partial payments are being made.

Loans subject to forbearance – impaired

Loans where the terms have been renegotiated on terms not consistent with current market levels due to financial difficulties of the borrower. Loans in this category are necessarily impaired. See 'Forbearance'.

Loan-to-value ratio (LTV)

A calculation which expresses the amount of a first mortgage lien as a percentage of the total appraised value of real property. The loan-to-value ratio is used in determining the appropriate level of risk for the loan and therefore the correct price of the loan to the borrower.

Loss given default (LGD)

The percentage of an exposure that a lender expects to lose in the event of obligor default.

Loss rate

Uses an adjusted gross charge-off rate, developed using monthly write-off and recoveries over the preceding 12 months and total outstanding balances.

Malus

An arrangement that permits the Group to prevent vesting of all or part of the amount of an unvested variable remuneration award, due to a specific crystallised risk, behaviour, conduct or adverse performance outcome.

Master netting agreement

An agreement between two counterparties that have multiple derivative contracts with each other that provides for the net settlement of all contracts through a single payment, in a single currency, in the event of default on, or termination of, any one contract.

Mezzanine capital

Financing that combines debt and equity characteristics. For example, a loan that also confers some profit participation to the lender.

Minimum requirement for own funds and eligible liabilities (MREL)

A requirement under the Bank Recovery and Resolution Directive for EU resolution authorities to set a minimum requirement for own funds and eligible liabilities for banks, implementing the FSB's Total Loss Absorbing Capacity (TLAC) standard. MREL is intended to ensure that there is sufficient equity and specific types of liabilities to facilitate an orderly resolution that minimises any impact on financial stability and ensures the continuity of critical functions and avoids exposing taxpayers to loss.

Net asset value (NAV) per share

Ratio of net assets (total assets less total liabilities) to the number of ordinary shares outstanding at the end of a reporting period.

Net interest income (NII)

The difference between interest received on assets and interest paid on liabilities.

Net stable funding ratio (NSFR)

The ratio of available stable funding to required stable funding over a one-year time horizon, assuming a stressed scenario. It is a longer-term liquidity measure designed to restrain the amount of wholesale borrowing and encourage stable funding over a one-year time horizon.

Net zero

The commitment to reaching net zero carbon emissions from our operations by 2025 and from our financing by 2050.

Non-linearity

Non-linearity of expected credit loss occurs when the average of expected credit loss for a portfolio is higher than the base case (median) due to the fact that bad economic environment could have a larger impact on ECL calculation than good economic environment.

Non-performing loans (NPLs)

An NPL is any loan that is more than 90 days past due or is otherwise individually impaired. All NPLs are reported as part of Stage 3.

Normalised items

Refer 'Underlying/Normalised' in the Alternative performance measures section.

Operating expenses

Staff and premises costs, general and administrative expenses, depreciation and amortisation. Underlying operating expenses exclude expenses as described in 'Underlying earnings'. A reconciliation between underlying and reported earnings is contained in Note 2 to the financial statements.

Operating income or operating profit

Net interest, net fee and net trading income, as well as other operating income. Underlying operating income represents the income line items above, on an underlying basis. See 'Underlying earnings'.

Over-the-counter (OTC) derivatives

A bilateral transaction (e.g. derivatives) that is not exchange traded and that is valued using valuation models.

Own credit adjustment (OCA)

An adjustment to the Group's issued debt designated at fair value through profit or loss that reflects the possibility that the Group may default and not pay the full market value of the contracts.

Physical risks

The risk of increased extreme weather events including flood, drought and sea level rise.

Pillar 1

The first pillar of the three pillars of the Basel framework which provides the approach to calculation of the minimum capital requirements for credit, market and operational risk. Minimum capital requirements are 8 per cent of the Group's risk-weighted assets.

Pillar 2

The second pillar of the three pillars of the Basel framework which requires banks to undertake a comprehensive assessment of their risks and to determine the appropriate amounts of capital to be held against these risks where other suitable mitigants are not available.

Pillar 3

The third pillar of the three pillars of the Basel framework which aims to provide a consistent and comprehensive disclosure framework that enhances comparability between banks and further promotes improvements in risk practices.

Priority Banking

Priority Banking customers are individuals who have met certain criteria for deposits, AUM, mortgage loans or monthly payroll. Criteria varies by country.

Private equity investments

Equity securities in operating companies generally not quoted on a public exchange. Investment in private equity often involves the investment of capital in private companies. Capital for private equity investment is raised by retail or institutional investors and used to fund investment strategies such as leveraged buyouts, venture capital, growth capital, distressed investments and mezzanine capital.

Probability of default (PD)

PD is an internal estimate for each borrower grade of the likelihood that an obligor will default on an obligation over a given time horizon.

Probability weighted

Obtained by considering the values the metric can assume, weighted by the probability of each value occurring.

Profit (loss) attributable to ordinary shareholders

Profit (loss) for the year after non-controlling interests and dividends declared in respect of preference shares classified as equity.

Prudent valuation adjustment (PVA)

An adjustment to CET1 capital to reflect the difference between fair value and prudent value positions, where the application of prudence results in a lower absolute carrying value than recognised in the financial statements.

Prudential Regulation Authority (PRA)

The Prudential Regulation Authority is the statutory body responsible for the prudential supervision of banks, building societies, credit unions, insurers and a small number of significant investment firms in the UK. The PRA is a part of the Bank of England.

Regulatory consolidation

The regulatory consolidation of Standard Chartered PLC differs from the statutory consolidation in that it includes Akashaverse Pte. Ltd, ASCENTA IV, CFZ Holding Limited and its subsidiaries, Global Digital Asset Holdings Limited, Olea Global Pte. Ltd and its subsidiaries, Partior Holdings Pte. Ltd, SBI Zodia Custody Co. Ltd, Seychelles International Mercantile Banking Corporation Limited, and Vault22 Solutions Holdings Ltd on a proportionate consolidation basis. These entities are equity consolidated for statutory accounting purposes.

The regulatory consolidation further excludes the following entities, which are consolidated for statutory accounting purposes: Appro marketing solutions L.L.C, Audax Financial Technology Pte. Ltd, Furaha Finserve Uganda Limited, Letsbloom India Private Limited, Letsbloom Pte. Ltd, PointSource Technologies Pte. Ltd, PT Labamu Sejahtera Indonesia, Qatalyst Pte. Ltd, Qlarion Ltd, Regwise Ltd, SCV Research and Development Pte. Ltd., SCV Research and Development Pvt. Ltd., Solv Vietnam Company Limited, Solvezy Technology Ghana Ltd, Solvezy Technology Kenya Ltd, Standard Chartered Assurance Limited, Standard Chartered Bancassurance Intermediary Limited, Standard Chartered Bank Insurance Agency (Proprietary) Limited, Standard Chartered Botswana Education Trust, Standard Chartered Isle of Man Limited, TASConnect (Hong Kong) Private Limited, TASConnect (Malaysia) Sdn. Bhd, and TASConnect (Shanghai) Financial Technology Pte. Ltd.

Repo/reverse repo

A repurchase agreement or repo is a short-term funding agreement, which allows a borrower to sell a financial asset, such as asset-backed securities or government bonds as collateral for cash. As part of the agreement the borrower agrees to repurchase the security at some later date, usually less than 30 days, repaying the proceeds of the loan. For the party on the other end of the transaction (buying the security and agreeing to sell in the future), it is a reverse repurchase agreement or reverse repo.

Residential mortgage

A loan to purchase a residential property which is then used as collateral to guarantee repayment of the loan. The borrower gives the lender a lien against the property, and the lender can foreclose on the property if the borrower does not repay the loan per the agreed terms. Also known as a home loan.

Return on risk-weighted assets (RoRWA)

Profit before tax for year as a percentage of RWA. Profit may be statutory or underlying and is specified where used.

See 'RWA' and 'Underlying earnings'.

Revenue-based carbon intensity

A measurement of the quantity of greenhouse gases emitted by our clients per USD of their revenue.

Risk-weighted assets (RWA)

A measure of a bank's assets adjusted for their associated risks, expressed as a percentage of an exposure value in accordance with the applicable standardised or IRB approach provisions.

Risks not in VaR (RNIV)

A framework for identifying and quantifying marginal types of market risk that are not captured in the Value at Risk (VaR) measure for any reason, such as being a far-tail risk, or the necessary historical market data not being available.

Roll rate

Uses a matrix that gives average loan migration rate from delinquency states from period to period. A matrix multiplication is then performed to generate the final PDs by delinquency bucket over different time horizons.

Scope 1 emissions

Arise from the consumption of energy from direct sources during the use of property occupied by the Group. On-site combustion of fuels such as diesel, liquefied petroleum gas and natural gas is recorded using meters or, where metering is not available, collated from fuel vendor invoices. Emissions from the combustion of fuel in Group-operated transportation devices, as well as fugitive emissions, are excluded as being immaterial.

Scope 2 emissions

Arise from the consumption of indirect sources of energy during the use of property occupied by the Group. Energy generated off-site in the form of purchased electricity, heat, steam or cooling is collected as kilowatt hours consumed using meters or, where metering is not available, collated from vendor invoices. For leased properties we include all indirect and direct sources of energy consumed by building services (among other activities) within the space occupied by the Group. This can include base building services under landlord control but over which we typically hold a reasonable degree of influence. All data centre facilities with conditioning systems and hardware remaining under the operational control of the Group are included in the reporting. This does not include energy used at outsourced data centre facilities which are captured under Scope 3.

Scope 3 emissions

Occur as a consequence of the Group's activities but arising from sources not controlled by the Group. Business air travel data is collected as person kilometres travelled by seating class by employees of the Group. Data is drawn from country operations that have processes in place to gather accurate employee air travel data from travel management companies. Flights are categorised as short, medium or long haul trips. Emissions from other potential Scope 3 sources such as electricity transmission and distribution line losses are not currently accounted for on the basis that they cannot be calculated with an acceptable level of reliability or consistency. The Group does however capture Scope 3 emissions from outsourced data centres managed by third parties.

Secured (fully and partially)

A secured loan is a loan in which the borrower pledges an asset as collateral for a loan which, in the event that the borrower defaults, the Group is able to take possession of. All secured loans are considered fully secured if the fair value of the collateral is equal to or greater than the loan at the time of origination. All other secured loans are considered to be partially secured.

Securitisation

Securitisation is a process by which credit exposures are aggregated into a pool, which is used to back new securities.

Under traditional securitisation transactions, assets are sold to a structured entity which then issues new securities to investors at different levels of seniority (credit tranching). This allows the credit quality of the assets to be separated from the credit rating of the originating institution and transfers risk to external investors in a way that meets their risk appetite. Under synthetic securitisation transactions, the transfer of risk is achieved by the use of credit derivatives or guarantees, and the exposures being securitised remain exposures of the originating institution.

Senior debt

Debt that takes priority over other unsecured or otherwise more 'junior' debt owed by the issuer. Senior debt has greater seniority in the issuer's capital structure than subordinated debt. In the event the issuer goes bankrupt, senior debt theoretically must be repaid before other creditors receive any payment.

Significant increase in credit risk (SICR)

Assessed by comparing the risk of default of an exposure at the reporting date to the risk of default at origination (after considering the passage of time).

Solo

The solo regulatory group as defined in the Prudential Regulation Authority waiver letter dated 10 August 2020 differs from Standard Chartered Bank Company in that it includes the full consolidation of nine subsidiaries, namely Standard Chartered Holdings (International) B.V., Standard Chartered MB Holdings B.V., Standard Chartered UK Holdings Limited, Standard Chartered Grindlays PTY Limited, SCMB Overseas Limited, Standard Chartered Capital Management (Jersey) LLC, Cerulean Investments L.P., SC Ventures Innovation Investment L.P. and SC Ventures G.P. Limited.

Sovereign exposures

Exposures to central governments and central government departments, central banks and entities owned or guaranteed by the aforementioned. Sovereign exposures, as defined by the European Banking Authority, include only exposures to central governments.

Stage 1

Financial assets within the scope of IFRS 9 ECL that have not experienced a significant increase in credit risk since origination and impairment recognised on the basis of 12 months expected credit losses.

Stage 2

Financial assets within the scope of IFRS 9 ECL that have experienced a significant increase in credit risk since origination and impairment is recognised on the basis of lifetime expected credit losses.

Stage 3

Financial assets within the scope of IFRS 9 ECL that are in default and considered credit-impaired (non-performing loans).

Standardised approach

In relation to credit risk, a method for calculating credit risk capital requirements using External Credit Assessment Institution (ECAI) ratings and supervisory risk weights. In relation to operational risk, a method of calculating the operational capital requirement by the application of a supervisory defined percentage charge to the gross income of eight specified business lines.

Structured note

An investment tool which pays a return linked to the value or level of a specified asset or index and sometimes offers capital protection if the value declines. Structured notes can be linked to equities, interest rates, funds, commodities and foreign currency.

Subordinated liabilities

Liabilities which, in the event of insolvency or liquidation of the issuer, are subordinated to the claims of depositors and other creditors of the issuer.

Sustainability aspirations

A series of targets and metrics by which we aim to promote social and economic development, and deliver sustainable outcomes in the areas in which we can make the most material contribution to the delivery of the UN Sustainable Development Goals.

Sustainable Finance assets

Assets from clients whose activities are aligned with the Green and Sustainable Product Framework and/or from transactions for which the use of proceeds will be utilised directly to contribute towards eligible themes and activities set out within the Green and Sustainable Product Framework.

Sustainable Finance revenue

Revenue from clients whose activities are aligned with the Green and Sustainable Product Framework and/or from transactions for which proceeds will be utilised directly to contribute towards eligible themes and activities set out within the Green and Sustainable Product Framework and/or from approved 'labelled' transactions such as any transaction referred to as 'green', 'social', 'sustainable', 'SDG (sustainable development goal) aligned', 'ESG', 'transition', 'COVID-19 facility' or 'COVID-19 response' which have been approved by the Sustainable Finance Governance Committee.

Tier 1 capital

The sum of Common Equity Tier 1 capital and Additional Tier 1 capital.

Tier 1 capital ratio

Tier 1 capital as a percentage of risk-weighted assets.

Tier 2 capital

Tier 2 capital comprises qualifying subordinated liabilities and related share premium accounts.

Total loss absorbing capacity (TLAC)

An international standard for TLAC issued by the FSB, which requires G-SIBs to have sufficient loss-absorbing and recapitalisation capacity available in resolution, to minimise impacts on financial stability, maintain the continuity of critical functions and avoid exposing public funds to loss.

Transition risks

The risk of changes to market dynamics or sectoral economics due to governments' response to climate change.

UK bank levy

A levy that applies to certain UK banks and the UK operations of foreign banks. The levy is payable each year based on a percentage of the chargeable equities and liabilities on the Group's UK tax resident entities' balance sheets. Key exclusions from chargeable equities and liabilities include Tier 1 capital, insured or guaranteed retail deposits, repos secured on certain sovereign debt and liabilities subject to netting.

Unbiased

Not overly optimistic or pessimistic, represents information that is not slanted, weighted, emphasised, de-emphasised or otherwise manipulated to increase the probability that the financial information will be received favourably or unfavourably by users.

Unlikely to pay

Indications of unlikelihood to pay shall include: placing the credit obligation on non-accrued status; the recognition of a specific credit adjustment resulting from a significant perceived decline in credit quality subsequent to the Group taking on the exposure; selling the credit obligation at a material credit-related economic loss; the Group consenting to a distressed restructuring of the credit obligation where this is likely to result in a diminished financial obligation caused by the material forgiveness, or postponement, of principal, interest or, where relevant fees; filing for the obligor's bankruptcy or a similar order in respect of an obligor's credit obligation to the Group; the obligor has sought or has been placed in bankruptcy or similar protection where this would avoid or delay repayment of a credit obligation to the Group.

Value at Risk (VaR)

A quantitative measure of market risk estimating the potential loss that will not be exceeded in a set time period at a set statistical confidence level.

Value in Use (ViU)

The present value of the future expected cash flows expected to be derived from an asset or CGU.



standard
chartered



Global headquarters

Standard Chartered Group
1 Basinghall Avenue
London, EC2V 5DD
United Kingdom
telephone: +44 (0)20 7885 8888

Investor Relations

For further information, please contact:
Manus Costello, Global Head of
Investor Relations
+44 (0) 20 7885 0017
Manus.Costello@sc.com

Shareholder enquiries

ShareCare information
website: sc.com/shareholders helpline:
+44 (0)370 702 0138

ShareGift: information
website: ShareGift.org
helpline: +44 (0)20 7930 3737



Registrar information

UK

Computershare Investor
Services PLC
The Pavilions
Bridgwater Road
Bristol, BS99 6ZZ
helpline: +44 (0)370 702 0138

Hong Kong

Computershare Hong Kong
Investor Services Limited
17M Floor, Hopewell Centre
183 Queen's Road East
Wan Chai
Hong Kong

website: [computershare.com/
hk/investors](https://computershare.com/hk/investors)



Chinese translation

Computershare Hong Kong
Investor Services Limited 17M
Floor, Hopewell Centre 183
Queen's Road East Wan
Chai
Hong Kong

Register for electronic communications

website: investorcentre.co.uk



View our results online
website: [sc.com/en/investors/
financial-results](https://sc.com/en/investors/financial-results)

LSE stock code: STAN.LN
HKSE stock code: 02888